

Shakti Pumps (SHAKTIPUMP)

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"Shakti Pumps (India) Limited
Q4 & FY23 Earnings Conference Call"

May 8, 2023

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Moderator: Ladies and gentlemen, good day and welcome to Shakti Pumps (India) Limited Q4 and FY23 Earnings Conference Call.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rohit Anand from Ernst & Young LLP. Thank you and over to you, Mr. Anand.

Rohit Anand: Thank you and good afternoon everyone.

Before we proceed, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risks that could cause future results performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements.

To take us forward through the financial results and developments and to answer your question today, we have the senior management of Shakti Pumps (India) Limited represented by Mr. Dinesh Patidar - Managing Director, Mr. Ramesh Patidar – Executive Director (Exports), Mr. Dinesh Patel – Chief Financial Officer and Mr. Ravi Patidar – CS & Compliance Officer . We will start the call with a brief overview of the past quarter by Mr. Dinesh Patidar followed by a Q&A session. I will now handover the call to Mr. Patidar. Over to you, sir.

Dinesh Patidar: Thank you Rohit. Hello friends and welcome to this call and thank you for coming here. We would like to give good news to everyone that the rate contract has been released by the SECI, a Department of Government of India , for which we were waiting for the last 2 quarters and we are qualified to provide solar pumps in 21 states. Now in 21 states Shakti Pumps is going to expand its network and to facilitate its customers. We are moving towards the leadership in solar pumping in the coming future. The numbers which have come in PM KUSUM Yojana are from the states that we have worked in before like Maharashtra, Rajasthan, Madhya Pradesh, Punjab, Haryana, and nearly 80% of the total quantity which is approximately 857,000 pumps are from these states and the rest is from the new states and new business is also going to open for us. The special thing is that the rates for which we were waiting for the last 2 quarters have come and we have sent the letter for acceptance to the

Indian Government that we are ready to work in the 21 states and have told our purchase team to start doing negotiation with our vendors and our suppliers in a better way and in a good quantity, we will continue our work.
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Furthermore, we have done well in our export business, the best thing is that we have received a dividend from the USA in the last 2 years and there also our network has developed very well.

I would request our CFO – Mr. Dinesh Patel to provide you the Financial Details. Over to Dinesh.

Dinesh Patel: Thank you, sir.

Revenue from operations in Q4 FY23 stood at Rs. 182.7 crores as against Rs. 384.6 crores in the corresponding quarter. Revenue from the export business stood at Rs. 68.9 crores as compared to Rs. 51.5 crores, registering a strong growth of 34% Y-o-Y. EBITDA for Q4 FY23 was at Rs. 10.9 crores and EBITDA margin was at 6%. The Company reported a PAT of Rs. 2.2 crores during Q4 FY23.

During the full year FY23, we recorded a revenue of Rs. 967.7 crores as against Rs. 1,178.5 crores in FY22. The export business continued its growth journey and surged 27% Y-o-Y to Rs. 234.8 crores. EBITDA for FY23 was at Rs. 66.6 crores. EBITDA margin at 6.9% and PAT was at Rs. 24.1 crores.

Now

I request the moderator to open the floor for question and answer.

Moderator: Thank you. We will now begin the question and answer session. Our first question is from the line of Kaushal Vora from Latin Manharlal Securities. Please go ahead.

Kaushal Vora: Sir, I wanted to know more about the KUSUM 3.0 as you said size is 857,000 pumps, so what is the timeline for that?

Dinesh Patidar: The Indian Government has sanctioned the quantity of 857,000 pumps and it has to be completed in 2 years.

Kaushal Vora: And sir, you were talking about the pricing, you and another Company together have talked about the pricing, so how is the price?

Dinesh Patidar: Regarding the price, we have told that this tender is done for pricing only and our purchase team is doing negotiation with our vendors and yes, pricing is better from our previous tender, but still, we are trying more to negotiate it and take it further.

Kaushal Vora: And sir as you were saying that earlier 5HP pump was approximately of Rs. 2.5 lakhs, so now this new tender's price that came from the government side, so approximately how much will it be? Can it be around Rs. 3 lakhs?

Dinesh Patidar: Actually, what happened is that the technology has changed the se days like earlier they used to use polycells, now mono cells are being used because now advanced technology has come to

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mono cells and approximately 25% to 30% space is saved in this and all over the world the problem is with space only, so that specification has changed. Earlier solar poly rates have also changed. Yes, we will try to maintain a good margin in this.

Kaushal Vora: So in this margins will be better than before?

Dinesh Patidar: Yes, it will be better.

Kaushal Vora: And, sir from when this scheme is likely to start?

Dinesh Patidar: From next quarter we will be able to give you good results because today itself we have sent the rates to the Ministry, there again it will take another 1 month to 1.5 months to get the LOI, so from next quarter we will start this.

Kaushal Vora: So we can expect by July onwards we can see the KUSUM 3.0 starting?

Dinesh Patidar: Sure.

Kaushal Vora: And, sir what is the situation of Uganda?

Dinesh Patidar: For Uganda's progress, I will ask Ramesh to update you, our Export Director is with us.

Ramesh Patidar: Sir good afternoon. The advance payment which we were waiting from our Uganda contribution has also come to us, so total advance of Rs 60 Crores has come and we have started the implementation of the jobs. The ground-breaking ceremony, which took place in April in which our Honorable Minister of External Affairs, Mr. Jaishankar, was present and he also participated in the groundbreaking ceremony.

Kaushal Vora: So, Uganda will start from this quarter or will it start from the next quarter?

Dinesh Patidar: In this quarter we will get some results, but it is like the site clearance has to be done there, so as it progresses we will give you an update.

Moderator: Thank you. Our next question is from the line of Mr. Vishal from Svan. Please go ahead.

Vishal: Sir just wanted to know the breakup customer wise which you give every year?

Dinesh Patidar: Vishal ji, not customer-wise, but we can give segment-wise breakup. I will ask Dinesh Patel, to give you segment-wise breakup.

Vishal: Yes, sir basically customer segment-wise breakup for the year as well as for the quarter that will be helpful. And one more thing I want to understand that sir, how do you see now going forward that you have qualified in 21 states and given go-ahead approval that you will be participating in the tender, so how fast do you expect this ordering process will start and when
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will this execution start? So can we easily assume that the majority of the ordering will be in the second half or second

quarter, what is the roadmap going forward?

Dinesh Patidar: Yes, I told you that from next quarter you will start seeing KUSUM's sales in ours. Today the rate acceptance letter which has gone to Indian Government from our side from there they will finalize and send it to all the states for LOI and the states will write a letter to us then we will sign the agreement with the states, so in this whole process one to one and half month will go, so from the next quarter you will see the results for KUSUM.

Vishal: And sir in terms of the export order of Uganda, execution of Uganda has started from this quarter, is this understanding right?

Dinesh Patidar: Right.

Dinesh Patidar: Little has started this quarter, but from next quarter it will start properly.

Vishal: So next quarter means you are saying that Q2 of FY24?

Dinesh Patidar: Right.

Vishal: So, I just want to know a little bit about the future performance, in Q1 our performance will be slightly better than Q4, but it will not be significantly better because our execution is basically a little back-ended this year?

Dinesh Patidar: Perfectly right. Vishal you have analyzed very nicely, many people will have this question that in this quarter sale from KUSUM will not be added, so this will be slightly weak, but from the second quarter, we will go ahead in full speed and let us see going further what else can we do more in this aspect.

Moderator: Thank you. Our next question is from the line of Ankit from JHP Securities. Please go ahead.

Ankit: So actually, I want to ask in KUSUM Scheme 2, the Shakti Pumps contribution in total execution is getting reduced quarter-on-quarter, so what is the reason behind that? Because in quarter 1 it was 45% currently in quarter 4 it is at 24%, any reason for that?

Dinesh Patidar: Yes, from the previous 2 quarters we are saying that the rate of the tender has expired and those rates were not good enough to give us any margins in that, so we surrendered the order of Rs. 350 crores of Haryana Government's and now in quarter 2 its realization will be started and from other states also its order will be started. We stopped that order because we were not making any money in that pricing. Now as the rate has also expired, so we surrendered and the orders got held. Now, in the coming quarters, from Q2, you will start seeing its effect.

Ankit: And sir can I get the bifurcation of Solar EPC, and others of revenue in the KUSUM Scheme?

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Dinesh Patel: Yes, on Year-on-Year basis Rs. 623 crores is from Solar EPC, Rs. 235 crores is from exports, the rest is Agri, domestic and OEM.

Dinesh Patidar: In exports, we have a growth of 25%.

Ankit: What about quarter 4 figure?

Dinesh Patel: In quarter 4 nearly Rs. 90 crores is from our EPC, Rs. 69 crores is from our exports, and rest is Agri, OEM and domestic.

Moderator: Our next question is from the lines of Hardik Vyas from Economic Times. Please go ahead.

Hardik Vyas: My question is that we participated in 21 states and got the tender, so those rates are going to be the same for all the states or will the rates be different for each state?

Dinesh Patidar: Hardik your question is very good, every state will have different rates and it is well planned this time and that rates are workable and we are going to work on that.

Hardik Vyas: Sir as these rates are different then in every state our pricing will be dynamic like in the last 2-3 years the raw materials prices have increased, but we haven't received any price hike from the government side and sometimes if the raw material prices are reduced then price revision gets downwards, but if the raw material prices increases then we don't get upward revision, so in this will there be a clause that if the prices increase then we will be able to sell it at a little higher price to save our margin?

r something like that?

Dinesh Patidar: Yes, Hardik you said very well, we tried our best and have told regarding this that you should put a price variation clause, but they have not put and haven't agreed to it. Our selling prices are fixed for next 2 years.

Hardik Vyas: So, for raw materials sale prices are fixed, so if you can give a little indication that you are trying for higher escalation like someone asked question regarding Rs. 2.5 lakhs 5 HP, 2.75, 3, or 3.15 give us a little indication so that we can make it into our models accordingly that yes this much can be done?

Dinesh Patidar: For 21 states I will tell the price for 5 hp then between Rs. 280,000 and Rs. 309,000 pricing has come.

Hardik Vyas: Sir one more question regarding the technology change of poly and mono that you told, so due to that 25% to 30% cost saving is done, but have we shifted to that technology and if not shifted then when will we shift? That is my first question and second question is if we are staying in poly only then what is the status of polysilicon prices there?

Dinesh Patidar: Now the possibility of poly is over because government has also stopped using this old technology and regarding saving which I told was about space saving like earlier the space

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which was used in poly for 1 kW was 100 square feet now, for 1 kW only 70 square feet is required.

Hardik Vyas: I thought the cost is.....

Dinesh Patidar: Pricing became a bit higher because of that and further negotiation is going on it.

Hardik Vyas: Sir last time you told that pricing is nearly 24, 25, so this time pricing is around what? Is it same or has it become little less or more?

Dinesh Patidar: Negotiation is still going on and may be by the next quarter negotiation with everybody will be completed and then only I can tell you regarding this.

Hardik Vyas: Sir Uganda is okay, but in other orders also I think we have suffered a little on the export front, is it because of American market is undergoing recession and we have received dividends for 2 years consecutively, but what are the sales in exports there?

Dinesh Patidar: We have done a growth of 25% in the whole export business and Ramesh will throw some more light on American business.

Ramesh Patidar: We have done good growth in US. This year we have made a growth of 30% there.

Hardik Vyas: Will there be some de-growth in the last quarter?

Ramesh Patidar: There is no de-growth in last quarter.

Hardik Vyas: What is the value of American market out of Rs.70 crores, Rs. 69 crores exports?

Ramesh Patidar: I will not be able to give you the values right now, percentage is with me and I can tell you which is 30%.

Dinesh Patidar: 30% of the export sale.

Hardik Vyas: And last question, Uganda is okay, but Ghana and rest of the other countries will be in line, I assume, so I want to know how, when and what can be done?

Ramesh Patidar: Yes, work is still going on that. We will update you as soon as any news comes.

Dinesh Patidar: Let Uganda's experience come after that we will open other LOC project front. We want to experience it once and once the experience of this project has started we will open the next front afterwards.

Moderator: Thank you. Our next question is from the line of Nitin from KIFS Trade Capital Private Limited. Please go ahead.

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Nitin: With reference to the current 2-year order of 8.6 lakh pump, what is the market share strategy which you are planning because some of the states may be aggressive and some states might decide on this thing so if you can share some thoughts you are getting major market share in that?

Dinesh Patidar: Nitin, in earlier calls also we have told this we will maintain our 30% to 35% market shares and further also our effort will be that we work on our good market share and basically

lly the

80% quantity is in that states only where Shakti Pumps brand is strong and our customers are giving us their trust and they know about our brands also, so from this 80% market share, we will try to take as much as possible and only after the full execution of the order, we will let you know about our market share.

Nitin: Can margins become double digit because the pricing from the government is also favorable, so this low of 7% can we expect something on mid-double digit?

Dinesh Patidar: Yes, Nitin you have very well-articulated and you must be looking for the answers so yes, definitely this Company is striving for better margins and if the Company does not give better

margin to its shareholder then there will be no fun, so yes, we will try to take margin to double-digit.

Moderator: Thank you. Our next question is from the line of Forum Makim from Equitree Capital. Please go ahead.

Forum Makim: Sir congratulations on being qualified for 21 states. Sir what is exactly going to happen in the next 1 month in our KUSUM order? Can you tell what will be the process?

Dinesh Patidar: First, today we have sent a letter for the rates for their 21 states stating that these rates are acceptable to us and for the next 2 years we will work on this. In a meeting their final rate list will be made and all rates list will be sent to all of their SNA (State Nodal Agency) to all the nodal agencies of every state and SNA will give us offer for LOI to come and do the agreement on this, then we will do the agreement and then there will start working with the state this is the procedure.

Forum Makim: So you are saying this agreement will come in next month? All agreement will be done with the states within next 1 month?

Dinesh Patidar: Yes, next one to one and a half month will be spent to have an agreement with them and everything is ready, few states have planned their budget. State like Haryana is going very aggressively, so they are also going ahead.

Forum Makim: In Haryana our order worth Rs. 500 crores which was pending, so if you send the rate which is acceptable then can we execute this Rs. 500 crores in this quarter?

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Dinesh Patidar: No, I am not saying about this quarter. KUSUM sale will start from quarter 2 and yes, our orders which were on hold from that we will start getting business and from quarter 2 onwards you will see good business from Haryana.

Forum Makim: We will do that pending Rs. 500 crores in quarter 2?

Dinesh Patidar: I will tell you in the final call about the orders which we execute from that.

Forum Makim: And sir elections are coming for all states, so there could be some slowdown due to that?

Dinesh Patidar: Not at all. If rates are finalized today, LOI are accepted and state is making agreement and state is planning the budget then we will definitely supply, what difference does it make on whichever government comes.

Forum Makim: And sir we have seen in KUSUM 1 and KUSUM 2 implementation was little slow, we could not do as much as we targeted, so for KUSUM 3 what kind of implementation should we expect and how much should we do for the next 2 years?

Dinesh Patidar: Actually, it is a whole new business, and new pilot project came in Q1 and Q2 also and in Q1 and Q2 ESL had worked and after fixing all the problems that has come SECI has done the work. SECI is more experienced and SECI is a well-functioning Company of Indian Government, so now I don't think that any other problem will come in the implementation. We will do it in time.

Forum Makim: And sir what about the Maharashtra tender of 1 lakhs pumps?

Dinesh Patidar: Actually, the pumps in Maharashtra which were sent for sanction, they have again sent it to the government for its permission as they want to give some pumps to those who have connections, so we are waiting for

their GR, moment the Government will give the permission for GR that tender will also come.

Forum Makim: So, sir once this KUSUM 3 starts then what run rate of pumps can we expect per quarter?

Dinesh Patidar: Yes, your question is very good, but it is like we would get a feel of this in Q2, how are we going in this state and what are we able to do in old state and how are we doing and after that only we will give you the projection of the numbers.

Forum Makim: Sir just 2 more questions. Sir we are saying we have received a price of Rs. 280,000 from Rs. 250,000, so that 12% increase is done plus little bit of our high-cost inventory would have been removed and the raw material price has also reduced now, so our double-digit margin should be done?

Dinesh Patidar: Yes, of course we will try our best to take our shareholders towards double digit margin.

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Forum Makim: Sir from this 8 lakh pumps, how much will be 5HP and above? What will be its demand?

Dinesh Patidar: You can find all this in SECI's website and MNRE website you will get all the sanction-wise, stage-wise, everything has been given. I don't have the data with me, I will mail you.

Moderator: Thank you. Our next question is from the lines of Deepesh Sancheti from Manya Finance. Please go ahead.

Deepesh Sancheti: First thing, what is our capacity and this time what was the utilization in India as well as Uganda?

Dinesh Patidar: Currently the capacity utilization of our total capacity is around 30% throughout the year and our capacity is of making 5 lakh s pump set. We can make and supply 5 lakh pump set.

Deepesh Sancheti: And from this how many solar pumps can we make?

Dinesh Patidar: We can make all these 5 lakhs solar pumps.

Deepesh Sancheti: So now what will be the approximate value of the tender of PM KUSUM for 857,000 solar pumps? Means can I directly multiply it with 2.8 lakhs?

Dinesh Patidar: Of course, you can do, you can do with 3 lakhs.

Deepesh Sancheti: Sir almost Rs. 24,000 crores order is done and our Company generally does have a market share of 30% to 35% then can we do Rs. 8,000 crores in the next 2 years.

Dinesh Patidar: We will talk next year.

Deepesh Sancheti: Not in next quarter?

Dinesh Patidar: No, not in the next quarter. We will talk next year about what we can do. Currently it is a pilot project, we have come this far. The company used to do Rs. 500 crores, has done Rs. 1,000 crores and further what and how has to be done, Rs. 1,200 crores just happened let us see how it is going. There is a good business opportunity in KUSUM so we will let you know.

Deepesh Sancheti: Because this entire order has to be completed in 2 years, by the next quarter will we be able to know how many orders we have got and how much would be our run rate in next 2 years?

Dinesh Patidar: Not at all, it is not like that at all because this 857,000 - 856,000 pumps about which you are talking is the sanction that has been given by the Indian Government to the state and no one gets the tender in the name of L1 Company, this is a rate contract. My customers will give me the orders quantity as much as they like me or will give to my competitor, so we believe in our brand and our quality and we will execute a good market share from this and definitely you can analyze and see it in quarter-on-quarter.

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Deepesh Sancheti: Sir just to understand these orders will be given every quarter or 857,000 pumps order, we will know that who got how much order directly in one and half month or two months?

Dinesh Patidar: No, it will not be like that. This quantity is for 2 years and in this rate contract will happen. Let me explain one procedure that Indian Government has planned everything very well. They have given a nodal agency and a portal to every State and in that p

ortal, farmers will get my

competitors and my list, that they will choose from that, then they will put their customer share for subsidy and then that order through the portal will come to SNA and SNA will give us after making order then we will supply the order and the third party inspection will be done and then we will get its payment, this is the process. So this rate contract is done now, now we have to complete this quantity in 2 years.

Dinesh Patidar: Farmer is the decision maker in this. Farmer will take the decision of which Company's pump he should buy.

Deepesh Sancheti: And what is the current order book?

Dinesh Patidar: Currently we have exports and some domestic order booking, which is around Rs. 25 crores.

Deepesh Sancheti: And in that how much is Uganda after per the ramp up?

Dinesh Patidar: No, Uganda's project is taken separately, the planning what we tell is without projects.

Deepesh Sancheti: Sir right now how is the debt situation? And going forward in next 2 years will we maintain the same debt? Or we will ramp up because we will need more capacity utilization?

Dinesh Patel: Exactly as on today's date 31st March, we have finished a short term of Rs. 71 crore and on Rs. 2.42 crores long term. The total sanction from the bank which we have is around Rs. 500 crores in which 50% is fund based, 50% is non-fund based, so sufficient sanction is available for doing any turnover and bank is also ready to support.

Dinesh Patidar: Our Company is a cash-rich Company. Not very much of term-loan is on it, only 70 crores loan, which is not a big amount in front of this technology. We have a lot of patterns with us and we have developed a very good capacity.

Deepesh Sancheti: I completely understand that the loan is not big enough, but I want to know that will we take more loans because of higher capacity utilization?

Dinesh Patel: Currently we are trying to do as much as possible through our internal equity and we have sufficient loan available with us for supporting our working capital that I am answering you and at present we do not need a term loan.

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Deepesh Sancheti: Sir one last question how is its payment cycle? Farmers do the advance payment or government keeps that money and after few months of dispatching them money comes? How does the payment come?

Dinesh Patidar: Your question is very good, we have made tenders with the condition of getting 90% of the

payment within 30 days, SNA will give us 90% money within 30 days. After 30 days rest 10% will be provided and after 90 days we will get that money.

First of all if farmer's share is 30% then he gives his 30% of farmer share money in advance to the SNA, state gives its 30% and central 30% comes and after that only order is executed and after that only we supply. So in maximum 90 days the payment comes back to us.

Deepesh Sancheti: Thank you so much, sir and all the very best, sir. I hope that you will definitely achieve your double digit margins and more, sir I think in 2 years you can do orders of Rs. 8,000 crores.

Dinesh Patidar: Thanks..

Moderator: Thank you. Our next question is from the lines of Rikesh Parikh from Rockstud Capital LLP. Please go ahead.

Rikesh Parikh: Sir I wanted to know that we are eligible in 21 states in KUSUM 3, so in this how many states we become L1?

Dinesh Patidar: There were total 900 line items in the whole tender. You will be very happy to know that only in 15 line of items our rates were more than 25% and in some 19 line of items we became L1.

Rikesh Parikh: In 19 line items we become L1. Secondly, I want to know that in terms of the people who have participated other than us, in that are we seeing any opportunity of subcontract or supply to anybody?

Dinesh Patidar: Where on our terms and conditions OEM wants to buy from

us, we will definitely supply to

OEM.

Rikesh Parikh: I mean have already entered into agreement with someone or any understanding? Just wanted to know in general?

Dinesh Patidar: No, currently there is no understanding with anybody.

Rikesh Parikh: Nothing as if now. Sir third, I just wanted to know one thing you told us: one pilot project for EV motor was going on and we achieved a bit of success so what is the status of that?

Dinesh Patidar: Building is going on full swing and land work is going on for that, building is being built, some plant and machinery orders are placed and some developments are also passed, so R&D team is working full-fledged for full development of EV, so we think that in the coming 2

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years we will surely be able to take the best of it to India because we have started receiving calls from some Company's because the Indian Government has made 54% compensation of Indian materials in EV, they will only get the subsidy, earlier people used to go to China but now they have stopped going there and now they are all looking for the Indian manufacturers.

Rikesh Parikh: Sir I wanted to know what will be the total cost and in this do we have some firm orders from 1 or 2 companies or how is it?

Dinesh Patidar: Yes, we have done JV with some companies and have signed Non Disclosure, that is why we can't tell the name. We are working for some companies and designing some specific motors for them.

Rikesh Parikh: How much investments have you planned? And from when we can expect its execution?

Dinesh Patidar: For this full EV projects, we have planned for investment of Rs. 250 crores and in that Shakti Pumps will put its equity of Rs. 50 crores and for Rs. 200 crores at that time will see what is the situation, if a loan is required then will take or if to be taken from equity then will do through equity, whatever will be the plan it will come after 2 years. So now starting with Rs. 50 crores then within 1 year will bring this under a good status and after that next planning will be done.

Rikesh Parikh: Means we will start our execution on Rs. 50 crores and for ramp up will plan how to do it by taking another loan or will do through JV partners?

Dinesh Patidar: Perfectly right, this is our plan. First let it grow.

Rikesh Parikh: In terms of numbers, this year can we expect some revenue will start coming in topline by the end of the year?

Dinesh Patidar: Yes definitely.

Moderator: Thank you. Our next question is from the lines of Balasubramanian from Arihant Capital Markets Limited. Please go ahead.

Balasubramanian: Sir just wanted confirmation on the payment cycle that you mentioned, 90% of the payment is received in 30 days or 90 days? If you can reconfirm it once again?

Dinesh Patidar: 90% within 30 days and 10% within 90 days.

Balasubramanian: And 30% advance you get from the farmer and the government?

Dinesh Patidar: No, we don't get 30% advance, 30% advance which is farmer's share goes to the SNA, goes to the State Nodal Agency. If today we have done a bill of Rs. 100 then we will get the 90% of the money within 30 days, 10% of money we will get within 90 days.

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Moderator: Thank you. Due to time constraints that was the last question of our question and answer session. I would now like to hand the conference over to Mr. Dinesh Patidar for closing comments.

Dinesh Patidar: Thank you all for coming and listening to me in this concall. I have tried my best to answer to all of your questions and still if you want some more information, then you can contact our IR team at EY. Thank you.

Moderator: On behalf of Shakti Pumps (India) Limited, that concludes this conference. Thank for joining us and you may now disconnect your lines.

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"Shakti Pumps India Limited Q1 FY24 Earnings
Conference Call "

August 14, 2023

MANAGEMENT : MR. DINESH PATIDAR – CHAIRMAN , SHAKTI PUMPS
(INDIA) LIMITED
MR. RAMESH PATIDAR – MANAGING DIRECTOR ,
SHAKTI PUMPS (INDIA) LIMITED
MR. DINESH PATEL – CHIEF FINANCIAL OFFICER ,
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ANALYST : MR. ROHIT ANAND, ERNST & YOUNG LLP

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Moderator : Ladies and gentlemen, good day and welcome to the Shakti Pumps (India) Limited Q1 FY24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rohit Anand from Ernst & Young LLP. Thank you and over to you.

Rohit Anand : Hi, before we proceed , let me remind you that this discussion may contain forward -looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risk that could cause future results performance or achievements to differ significantly from what is expressed or implied by such forward -looking statements .

To take us forward through the financial results and developments and to answer your question today, we have the senior management of Shakti Pumps (India) Limited represented by Mr. Dinesh Patidar – Chairman , Mr. Ramesh Patidar – Managing Director , Mr. Dinesh Patel – Chief Financial Officer and Mr. Ravi Patidar – CS and Compliance Officer . We will start the call with a brief overview of the past quarter by Mr. Dinesh Patidar followed by a Q&A session.

I will now hand over the call to Mr. Patidar. Over to you, sir.

Dinesh Patidar : Hello friends , good afternoon . Thank you everyone for joining us today. I welcome you all to today's call . I am happy to inform you that we have done an approx. 60% growth in export business in which we have done total export revenue of Rs. 64 .7 crores. We were working in Uganda project for the last 3 - 4 years and in that we have done a sale of \$1 million . This is the first step that we have taken in this project and in the coming time under second step , our plan is to take it to \$ 2 million then \$ 5 million and then so on . This is a total order of \$ 35 million and we have a plan to take it further in that way. The initial stage has started and all hurdles are over now , and the project has to be implemented directly in the field.

In this quarter we have received a dividend of Rs. 7.5 crores from our UAE subsidiary company . SECI 's tender is also finalized and we have got LOE status and we hope we will be able to do a good business in that in the coming times. The order which we are seeing from KUSUM and MNRE , will take around 7 days to 8 days more, as there were some issues regarding GST

between SECI and MNRE , so after getting that clarity , the orders will start getting executed and at the end of the month we are seeing a possibility of good business in KUSUM .
Under EV business , we have done a tie up with a bus manufacturer and we are developing motors with them and our motors are on the roads which we developed earlier in our R&D under our Shakti Pumps (India) Limited
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EV company and now slowly its sale will also start . Our team is ready for strong growth in the next quarter , everything is ready and we have planned very well and I want to tell you that in export the sales which we done of Rs. 65 crores has a growth of ~60%, we did a sale of Rs. 20 crores in DTA , we have made a sale of Rs. 23 crores in old orders of EPC which were with us for execution and from next month KUSUM is starting , so yes, we would like to assure our shareholders that we will be in a good position by the end of this year with good growth . Thank you, if you have any questions, then I am ready to reply and for financials I am giving to Dinesh Patel.

Dinesh Patel : Good afternoon . Revenue from operations stood at Rs. 1,131 million in Q1 FY24. Our export

business registered revenue of Rs. 647 million and has continued to grow strongly by 59% Y-o-Y from Rs. 407 million in Q1 FY23. EBITDA for the quarter was at Rs. 79 million and EBITDA margin was at 7%. PAT for the quarter stood at Rs. 10 million. We have adequate liquidity and a strong credit profile backed by our stabilized market position on account of a robust distribution network and diversified product portfolio .

With our strong balance sheet and the key metrics , we are confident in the timely completion of KUSUM 3 orders and further consolidated our position in the market. With this now I request the moderator to open the floor for question and answer.

Moderator: Thank you very much. We will now begin the question and answer session. We have a first question from the line of Digant Haria from GreenEdge Wealth . Please go ahead.

Digant Haria : Sir my question is that recently polysilicon prices have fallen in China and due to that there is a little dismay in the panel manufacturing sector, so as you are saying that soon we are expecting KUSUM orders from other states also then due to this panel pricing can there be further delay or this time do you think delay will not be there? And second , is this panel pricing a complete pass through for you or you have to bear its benefit or loss?

Dinesh Patidar : Your question is very good, if you see our old records you will see the solar panel prices have increased gradually and we had to leave some orders of Haryana , so we have left some orders because that time rates also expired and solar panel prices also increased. Now solar panels price are also good and we are hopeful that we will get its profit because we are taking KUSUM forward, so we will go towards a good margin and we will be benefited from it. In the future if solar prices decrease more , then we are going to get its benefit .

Digant Haria : Secondly, it has been almost 4 years for this solar pumps and KUSUM scheme that small orders are being executed, but according to your experience do you think that other than KUSUM scheme the demand is increasing inside India? Or Like the EPC work done by Tata Power or Adani , so other than KUSUM scheme do you see any demands of this solar pumps ?

Dinesh Patidar : Yes, of course , recently in KUSUM scheme they have a planning of total 6 lakhs pumps, the sanction which they have given , in that 6 lakhs pumps will be given for KUSUM only. And if

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you are planning beyond KUSUM then yes, we were also trying to establish ourselves . For the last 4 - 5 years we were seeing there were some delays. First ESL tender was done, there was a delay of 2 years then Corona came , then again there was a delay of 2 years, then SECI came in this and then again some delay happened between SECI and the ministry . KUSUM is in its place, it is okay and we hope that when it gets started it will be much better and almost everything is lined up . In today 's date if we look in KUSUM then I am confident that it won't take that long in the future . Yes, your question is correct that other markets will also develop , yes , it will develop slowly . Here our farmer's size is a little small, energy is free that is why he is not seeing cost-effectiveness in solar pumps. If energy was paid then he would have installed his own solar pump by financing it from somewhere . But big farmers are getting diverted towards the solar pumping system and also getting converted and we feel that slowly that sale will develop but little time will take because sanctions happen but don't receive in time . The motivation of this scheme is very good, but it transfers to purchase in cash and that causes the delay once the government completely refuses and says that we will not give you solar pumps then it will be easy to convert big farmers, but it is okay it will take some more time , I

feel that in 1.5 - 2 years

business would be very different because from solar pumps the benefit is very much . From solar pumps customer shift s to micro -irrigation and receives its pay back . Whereas diesel is concerned custo mer is already getting converted, they have started happening on their own and whereas electricity is concerned or where connection is not available yet there also we are focusing and we have put our team at that place s to convert the farmers here where electricity is not available and haven't got connection since years , so this is the condition and slowly sale will develop here. Digant Haria : My last question is, if this time in KUSUM 3 big orders come and suppose that e very year we have to do the execution of nearly 1 lakhs pumps, then are we ready for that with the working capital and factory from our side?

Dinesh Patidar : Yes, of course we have. If you see that as KUSUM is lined up then we will work with speed. You would have seen the balance sheet, our balance sheet is also strong and we are fully prepared to easily install 1 lakhs pumps.

Moderator: Thank you. We have our next question from the line of Ankit from JHP Securities . Please go ahead.

Ankit : Sir h ow much would be our order book?

Dinesh Patidar : We can't talk about the order books right now because the rate contract that has been released from SECI in that we will get LOE and after that it will come into our hands, so after August only we can tell you how much order book is with us for KUSUM .

Ankit : Any estimated figures for the order book you can give?

Dinesh Patidar : Estimate d value that I can tell you about the order book is that we will grow about 20% to 25% from what we have done last year and in the next 2 quarters we will do in a much better manner .

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Moderator: Thank you. We have our next question from the line of Nirav Asher from Latin Manharlal Securities . Please go ahead.

Nirav Asher : As you told that you can give details for KUSUM 3 orders afterwards only, so can you tell something about Maharashtra, the tender which happened for 2 lakhs, 2.5 lakhs pumps for Maharashtra? What is its current status?

Dinesh Patidar : That 2 lakhs, 2.5 lakhs pumps tender which happened, in that again that price problem was there due to which that discontinued and it has been closed now . We were leader in that and about 40% to 42% pumps are installed by us in entire Maharashtra.

Nirav Asher : According to you , once full clearance com es from SECI , then there shoul d not be any problem regarding the KUSUM 3 regarding the 6 lakhs pumps?

Dinesh Patidar : Yes, absolutely there will be no problem in that.

Nirav Asher : And that should be executed within next 2 years right ?

Dinesh Patidar : Right.

Nirav Asher : And sir wanted to ask regarding supply side , the prices of the solar panel which has reduced now will we get the benefits of the reduced prices ? Margin s will improve going ahead?

Dinesh Patidar : Absolutely, you will see that we will only get its full benefit . The last order which we left which was of Haryana was because we were not getting any margin s in that .

Nirav Asher : Sir do we have the enough man power to render such a big opportunity which is going to com e ahead in next 2 years to 3 years ?

Dinesh Patidar : Definitely. Everything is ready.

Moderator: Thank you. We have our next question from the line of Ram S hridhar from Madhuram Capital . Please go ahead.

Ram Shridhar : Sir I have doubt on KUSUM 3 Yojana, so can you tell me approx. figure, how much profit we can make per pump ?

Dinesh Patidar : We will make good margin in that. You would have seen last year and before last year we have done a great work. We will work on approximately 10% PAT and will try to go much beyond that.

Ram Shridhar : Can you tell me some numbers like 1 lakh pumps something like tha

t?

Dinesh Patidar : In numbers , if everything is streamlined then we can easily install 1 lakh pumps.

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Ram Shridhar : Then I think you are telling in 2 years we will be installing all 6 lakh or 8 lakh pumps?

Dinesh Patidar : No, I am not telling like that . Total quantity is of 6 lakh pumps and from that our program is to install 1 lakh pumps in next 2 years.

Moderator: Thank you. We have our next question from the line of Harshil Solanki from Equitree Capital . Please go ahead.

Harshil Solanki : Sir I have multiple questions , sir this quarter how many pumps have we installed under KUSUM 2?

Dinesh Patidar : This quarter our total sales were Rs. 23 crores according to the revenue .

Harshil Solanki : Sir volume of pumps ?

Dinesh Patidar : If you are asking about total KUSUM then we have denied KUSUM earlier , so in KUSUM our last order book was for 700 pumps which we have supplied last.

Harshil Solanki : So this quarter approx. 25,000 pumps have been installed in KUSUM 2 and your peers also have not installed that much , so exactly who is installing all these pumps in PM KUSUM and how are they affording to install that?

Dinesh Patel : Site updating takes time, otherwise there are no other players who are working. Major work of KUSUM 2 has been closed and everyone is focusing in KUSUM 3 .

Harshil Solanki : Sir in Q1 25,000 pumps have been installed, it is showing in web portal?

Dinesh Patidar : Yes, data is showing in Q1 25,000 pumps were installed . In olden times data did not come automatically , but now system has developed , slowly everything is being digitalized . Earlier it was not possible through portals now slowly it has started happening, so previous data also would have come in this portal for this quarter .

Dinesh Patel : Total quantity 165,433 has been installed in KUSUM 2 till June, out of that we have installed 34,828 .

Harshil Solanki : That means small all players are also installing if we are not installing , is there anything like this ?

Dinesh Patidar : Yes, when we denied , others have done some work .

Harshil Solanki : Sir, at the standalone entity we have reported a profit of Rs. 4 crores and if you see at consolidated level then you will see Rs. 1 crores profit is reported, so there has been a loss somewhere in subsidiary that also in domestic business, so what is that loss for and from which subsidiary has it been reported? Can you please clarify it?

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Dinesh Patel : Actually, in India we have only 2 subsidiary one is Shakti EV Mobility in which we are doing work of EV and other subsidiary is Shakti Energy Solution in which we do structural works in which KUSUM scheme whatever structure is there it is supplied from that subsidiary. Currently it has no order that is why it has a nominal loss .

Dinesh Patidar : But is not a very big loss. It is a loss of Rs. 30 lakhs.

Harshil Solanki : But, sir numbers are not matching if you check standalone and console?

Dinesh Patel : The number that you are seeing is actually formula based, I will share details with you .

Dinesh Patidar : We will share with you.

Harshil Solanki : Sir you are saying that we will get LOE within 7 days-8 days and execution will also start , so is it for any particular state or our execution will start all across India together in different states ?

Dinesh Patidar : Each state does LOE separately .

Harshil Solanki : So we will get for one state in August month ?

Dinesh Patidar : Major state LOE is ready as soon as the clarification comes from GST all of it will get started.

Harshil Solanki : So in Q3 can we assume that all the big 4 - 5 states will start their execution programs in full swing ?

Dinesh Patidar : Yes.

Harshil Solanki : Sir roughly how many pumps will be required when this will start execution in full swing on quarterly basis?

Dinesh Patidar : See, the total figure that you are seeing , the numbers are very high, but we have to do only 1 lakh pumps, but we are confident that every month we can easily install 10,000 pumps to 15,000 pumps .

Harshil Solanki : Every month 10,000 pumps to 15,000 pumps?

Dinesh Patidar : Yes.

Harshil Solanki : Last question , our non-solar business which we do like industrial pumps and all, how is it going ? How was it in Q1? And how do you feel next?

Dinesh Patidar : In that also we have increased our team and in that we have added some products, we have added products for fire-fighting in that phase in which we are hoping of getting good business, so

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something is going on that too and in that we are doing growth only and in the coming times also we will do growth.

Harshil Solanki : Lastly , in September we will start our execution for KUSUM 3 marginally and will start majorly in Q3 ?

Dinesh Patidar : By the August end when we feel that as soon as GST matter is cleared we will start our work .

Moderator: Thank you. We will take our next question from the line of Parth Mehta an Individual Investor .

Please go ahead.

Parth Mehta : I have 2 - 3 question in which first you said that we have a non-solar business that is also growing ,

sir I want some numbers like how many pumps have we installed in non -solar in last quarter ?

Dinesh Patel : Are you asking about non solar ?

Parth Mehta : Yes non solar.

Dinesh Patel : Non-solar or non -KUSUM ?

Parth Mehta : Non solar. Non KUSUM is also there, but you tell about non solar?

Dinesh Patel : In non-solar it is around 25,000 .

Parth Mehta : Earlier our non -solar business used to be roughly around Rs. 100 crores quarterly from export, so are we going to get back to that number anytime soon? Or KUSUM is eating up into our non-solar business as well?

Dinesh Patidar : No, both are different businesses, if you see that in solar business also growth has happened and domestic also we are increasing our range, so more than Rs. 100 crores sale will come in the future .

Parth Mehta : I was asking quarterly? Quarterly should be more than Rs. 100 crores?

Dinesh Patidar : Yes.

Parth Mehta : In Uganda we have done an execution of \$1 million approximately Rs. 8 crores, Rs. 8.5 crores in this quarter, so you have told that it is a phased execution, so in this quarter how much \$ 2 million or \$ 5 million? I didn't understand that number?

Dinesh Patidar : In this quarter we will be able to do around \$ 2 million. We are doing it step by step because Uganda is a country where we have to do the work step by step and getting experience and we are going forward.

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Parth Mehta : So, have we finalized on another African country like Ghana or something like that ?

Dinesh Patidar : Yes, in this after taking experience , we are in final stage in 2 - 3 other countries, so after getting its experience we will focus in business in African countries.

Parth Mehta : Sir you told that under KUSUM 2 we have executed 700 systems in the past quarter for Rs. 23 crores, is that number correct?

Dinesh Patidar : Yes, it is correct.

Parth Mehta : And my last question is that what is the GST discrepancy for our KUSUM 3, like you told 7 to 8 days delay is there, so?

Dinesh Patidar : Actually this tender has been done by SECI and SECI handles power project , so in power project 18% GST is there because they are services and since ours is solar pump, so ours 30% is services and 70% is our product, so the guidelines which GST department gave us in earlier years was to charge 13.9% GST , but someone wrote to the ministry of finance department for the clarification regarding such confusions , like how much should be the GST . As you know that in our country how hard is it to get reply and have

to get reply from GST that how much GST would be there in this product.

Parth Mehta : So you think that this GST matter should be resolved in 7days -8 days?

Dinesh Patidar : Yes.

Parth Mehta : So which is the state from where we are supposed to get LOE , the one which we have suspended from Haryana, is it the same?

Dinesh Patidar : Yes, absolutely you guessed it right. Market gets the information first before us .

Parth Mehta : So, sir how big it would be? May be Rs. 300 crores order ?

Dinesh Patidar : One order was of Rs. 380 crores. Everything has converted.

Parth Mehta : So it will be semi only?

Dinesh Patidar : Currently they have started taking it in a big way . Haryana is going to do it in a much better way.

Parth Mehta : So the order which we will get for Haryana will be more than Rs. 380 crores which ever is the said that we are waiting for ?

Dinesh Patidar : Yes, definitely.

Parth Mehta : Sir in September our 1 month execution will be there in second quarter?

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Dinesh Patidar : Yes.

Parth Mehta : All the states like Rajasthan, Gujarat, Maharashtra, Madhya Pradesh, Chhattisgarh wherever our leadership is there after getting the GST issue solved everything will come all together from every state , you told like this?

Dinesh Patidar : Yes, absolutely.

Parth Mehta : So I am expecting that the second half of the year should be like we have to do 1 lakh pump for the whole year and you told that we will do 10,000 pumps in 1 month, so I understand that we will be able to do 60,000 or 70,000 systems we should be able to do in the second half ?

Dinesh Patidar : Yes, absolutely. You have done a good calculation.

Moderator: Thank you. We have our next question from the line of Ketan Athavale from Robo Capital s. Please go ahead.

Ketan Athavale : Sir what will be our revenue and margin guidance for FY24 and FY25?

Dinesh Patidar : We are planning for approximately 20% to 25% revenue growth, and we will try to increase it more.

Ketan Athavale : And margins ?

Dinesh Patidar : EBITDA margin is 10%.

Moderator: Thank you. We have our next question from the line of Ashok Sachdeva an Individual Investor . Please go ahead.

Ashok Sachdeva : Hello, our capacity is 5 lakh pumps as what is showing in your site, but every month how much execution can we do ? Supposing we are going to get lot of orders , so maximum how much can be executed in one month? How many pumps?

Dinesh Patidar : According to this we can install 10,000 pumps to 15,000 pumps monthly and when any system is running regularly then, when train is started bog ies keep on adding very well, but adding 1 bogie after the engine takes some time then less time is taken for second then in third much less time is taken. So what happens is , when we go for installation then in field for creating godown C&F agent is required, installer is required then the system is required , then training is required for the people there and once that ecosystem is developed then in that channel there is no problem in increasing the quantity. Production capacity is already there .

Ashok Sachdeva : We can do production, but for installation I wanted to know the time only because elections are coming and before election many orders will come ?

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Dinesh Patidar : Before this election many orders will come and there should be no effect due to the election because it is already decided.

Ashok Sachdeva : That is fine but before election government pressure s will be on you like you can execute as much as you can, so that farmers will be happy? That why there has been a delay in MNRE approval because if it is given now then farmers will forget after getting it?

Dinesh Patidar : Right.

Ashok Sachdeva : So, you do a minimum of 30,000 pumps quarterly?

Dinesh Patidar : Yes, definite

ly.

Moderator: Thank you. Next question is from the line of Ajay Surya from Niveshaay . Please go ahead.

Ajay Surya : Sir I wanted to ask about the GST issue which you are saying will be solved within 8 days to 9 days, if this issue is not solved then in KUSUM Yojana we are saying that we can do 10,000 pumps every month , will it have any effect?

Dinesh Patidar : No, not at all, just a small clarification is there. It has stopped only because a small confirmation is required and I think within 1 or 2 days its reply should come and work will be started .

Ajay Surya : So that means you are saying that due to GST issue there will be no effect on our realization for 1 pump of Rs. 3.5 lakhs or Rs. 3.25 lakhs ?

Dinesh Patidar : Absolutely .

Moderator: Thank you. Next question from the line of Chetan Dhruva an Individual Investor . Please go ahead.

Chetan Dhruva : Sir I had 2 questions, first question , I just wanted to check the context of the competition that you have because of the delay in the KUSUM orders over the last 1.5 years . Have you seen some of your competition like KSB and Kirloskar Brothers , all those people actually also having developed their own pump systems and they say they want to enter this space and they have said they want to do this in a big way, so do you see any impact of that in terms of your market share or KUSUM shares ?

Dinesh Patidar : No, nothing is going to happen . Total sanction quantity is for 857,000 pumps . I would say KSB to come as soon as possible then market will develop , then our sales will also develop. I want good players to come and compete and due to that farmers can get the visibility which we struggle hard to show them, so that can be shown and it will be nice only and you will be happy to know that whether it be KSB or any other company whose name you have taken , Shakti Pumps performance is more by 20% to 30% from them , so we are always going to be ahead of them , there is no need to be worried of that.

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Chetan Dhruva : Sir my second question was on the margins, but that you have already mentioned that you will do 10%? Sir third question I had was this capacity, your capacity was 5 lakhs pumps per annum right and if you are doing 10 ,000 pumps per month it will still be a fraction of what you are capable of, is that correct, sir?

Dinesh Patidar : No, our installation capacity of 10,000 or 15,000 pumps is a different ecosystem of EPC, we are talking about installing the pumps . If you have to do manufacturing then we can easily manufacture 5 lakhs pumps in today 's date.

Chetan Dhruva : So you are saying of whole EPC from setup till end? But your pump supply can be more till 5 lakhs ? And specifically on the pricing in last call you said that average price is around Rs. 2.8 lakhs to Rs. 3 lakhs per pump , is that still holding good even with the new KUSUM scheme?

Dinesh Patidar : Yes, in that margin has increased.

Moderator: Thank you. We have our next question from the line of Jatin Koradia an Investor . Please go ahead.

Jatin Koradia : Sir my question is also relating to margins like the discussion which you are doing with states for LOE , is it regarding margins or we are waiting for increased pricing apart from GST or the price will remain same as the prices that we executed in this quarter EPC pumps?

Dinesh Patidar : No, Jatin your question is very good , let me make it more clear, we have received new KUSUM rates with an increase in price of 20% as compared to the old KUSUM rates and it is because of the raw material as raw material prices increased a bit and 20% price increase is also there , so we will get its benefit and we were paused so as to work in new prices because there was no benefit in working on that. Yes as the rates have already decided, rates are already finalized , and after GST clarification our

sale will start .

Jatin Koradia : About this GST clarification , because we have been waiting for last 2 months, so are you hopeful that it will happen in 1 or 2 weeks? Any information relating to this?

Dinesh Patidar : Yes, I am very much hopeful and next week I am going to MNRE, I will go and sit there and clear everything with MNRE , full efforts are going on.

Moderator: Thank you. We have our next question from the line of Sanjay Kumar from IIT PMS . Please go ahead.

Sanjay Kumar : In the investor presentation you have mentioned that Shakti EV Mobility has successfully developed EV motors and EV controllers, can you talk about this, what is the technology of the motor? Is it BLDC or PMSM or the newer synchronize electric motors some kind of selective motors ? What is the market currently and what market share you are targeting?

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Dinesh Patidar : Currently our company is in development stage, for construction building work and civil work is going on, but we have started our product development work long ago. We have experience of making motors for induction motors, BLDC motors , PMSM motors and we have already developed all these motors . You will be very happy to know that we already do controller manufacturing in our company , so already our 175,000 controllers are running in India which is a matter of pride for us . We have already developed technology.

Sanjay Kumar : Under which segment, sir is it 2 wheelers or 3 wheelers ?

Dinesh Patidar : We have developed under 2 wheelers and in 3 wheelers it is under development . We have developed and released for 2 wheelers in market. And regarding 1,75,000 controller it is solar controller , means it doesn't matter whether it works on battery or solar panel, technology is almost same , but yes, money goes in development and time is gone in development . So we have developed a lot in that and already company is in -house and work is going on, and there are many engineers from IIT Delhi, IIT Mumbai and other IITs are working on R&D and more than 28 patents are there and we have done a lot of work in the controller.

Sanjay Kumar : When will this plant be ready?

Dinesh Patidar : Another 1 year or 1.5 year more will go.

Sanjay Kumar : In this how much will be the share of bought out items both in motor and controller ? How much do we buy and assemble or do we make everything by ourselves?

Dinesh Patidar : In controller , the bought out items are chip, PCB , IGBT , resistance and this technically which is used in power electronics is there, we do the assembly of the SMT line in -house only , do the designing in -house this is regarding controller . We make motors in-house, we have a stamping machine with us , we do machining ourselves and only bought out items are aluminum in box or aluminum components are bought out items , rest all is an in -house process .

Sanjay Kumar : Sir you also mentioned few companies have endorsed our products, is it possible we can name those companies ?

Dinesh Patidar : We have NDA with them otherwise our motors are on road now. Already 400 buses are on roads with our motors.

Moderator: Thank you. We have our next question from the line of Dinesh Nagda from Harsh investment . Please go ahead.

Dinesh Nagda : Hello, sir. Please give so me update regarding solar panel? Earlier it used to be 28 per watts , so now what is the current pricing? Any clarification on that?

Dinesh Patidar : In solar we have 2 types of technologies were available one was mono and other poly . Earlier the specifications which were there in that we have to put poly, poly technology became old,

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slowly that technology is getting over and its manufactures are also not working on it and the efficiency of mono has improved and due to the improvement in efficiency

the size of panel has

little bit increased and panels wattage has increased, efficiency has increased, so customers space will be saved , 24% space will be saved . He will put poly panel versus mono panel, so approximately , in 24% less space he can put more panels and whereas price is concerned, yes price is now stabilizing slowly and I understand that what we have to supply is mono. Mono has to be supplied for the first lot .

Dinesh Nagda : The pricing will be almost same or will be little less or more?

Dinesh Patidar : Currently it depends on demand and supply. In the future , poly will not be available and mono will be available and in this tender DCR cells is required and capacity is available in India and we are getting everything from them .

Dinesh Nagda : So Adani or whatever tie up s for the solar , I think now there is no problem there that is everything is normalized ?

Dinesh Patidar : No problem is there just after getting GST clearance we will start our work .

Dinesh Nagda : Sir in the last call you told us that now we will be open to OEMs, so sir our focus is that we will supply to the compositions as well ?

Dinesh Patidar : Yes, definite ly we will do .

Dinesh Nagda : Can you tell like up to how many numbers sale can happen in OEMs ?

Dinesh Patidar : Once it gets started, after getting MOU and after tie up we will go ahead .

Dinesh Nagda : Sir can you please brief upon our new EV company regarding exactly what is our vision and how are we moving forward ?

Dinesh Patidar : We will take it step wise and we have started working on priority number 1 and priority number 2 in this. We are assuming that this total project of Rs. 250 crores have to be invest in next 4 years. In this Rs. 50 crores will be Shakti Pumps equity and we will arrange the rest of the finance separately . And in this we will make EV motors for 2 wheelers, 3 wheelers and 4 wheelers and make motors for buses and from that we have started selling out 2 wheelers motors , we have already started 3 wheelers from 2 years, 3 years we were testing the market gradually . So by the time this plant is ready, we will have a good customer with us , with this purpose we have started this.

Dinesh Nagda : Sir our 2 - 3 pilot projects were there of railways and other, any fruitfulness from that, means is there any chance of going forward in that ?

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Dinesh Patidar : Yes, we are going forward. We are working on that , and with team is also doing well on that and definitely we feel we will go forward in that .

Moderator: Thank you. We have our next question fro m the line of Forum Makim from JHP. Please go ahead.

Forum Makim : Sir we have been talking about this KUSUM scheme for a long time that it will happen and implementation is not starting . We know the intention is there, but when we are seeing in SECI then tenders are coming for wind energy, solar energy , allotment is being done to, bidding is being done , so why is it stuck with this solar pumps?

Dinesh Patidar : This is a nice question and worth a multi -dollar question and I will answer this , first there is ESL did tender 1 and tender 2 and you know all the mess that happened there like what and how has happened there . Now SECI has handled it in a very good manner and in the coming time we feel that it will be done in a much better manner . In India nobody has done this kind of pilot projects like what we are going to do in KUSUM scheme because in this the DISCOM companies who are going to supply power are giving subsidy as much as it takes them for connection, so their benefit is also there , state governments benefit is also there and central government's and customers benefit is also there . All three departments benefit is there , but all three departments used to have issues regarding rate . SECI its elf is an independent power that it can allot its tender , but

in this scheme the power is with MNRE that is why little delay in correspondence to SECI will come because ministry has other works also, so if SECI is responsible to handle the whole tender or full decision making is with him then the way he is doing in wind and doing in rest of the solar power plant , in that manner only this scheme will come to SECI and SECI will take it forward. In the coming time as soon as more experience comes, there will be more improvement in it. You must be seeing that to make KUSUM successful earlier 1 lakh pumps tender came , then 3 lakh pumps tender came and now 8 lakhs came and slowly numbers are increasing and it

was a good pilot project that is why time has also taken .

Forum Makim : But already it has been 6 months and already 2 years has been washed out for KUSUM, is it something that DISCOM will have loss of revenue or that is why things are not progressing ? Is there any issue like this?

Dinesh Patidar : No, there are no such issues . See I can answer you regarding my company that we are doing everything by planning very well, but when will ministry approve the rates and when will SECI do the tender and how much time will it take it is their area and they have to do much better in that, this is all we can expect from them .

Forum Makim : Earlier also we told that we have received LOE and are going to receive and all that, but our work was not started , so this time what is giving you the confidence that this time work will start, means we have been hearing this for many quarters that it will happen , but if it comes from all the states together then only we as a company will be benefited? At least those 3 - 4 major Shakti Pumps (India) Limited
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states , so what is giving you the confidence at this point that this will happen this time within the next say 1 quarter or 2 quarter ?

Dinesh Patidar : It has already happened , now only GST matter has to be done and if GST clarification comes for putting 18% GST then also our company will be benefited and if 13% has to be applied then also our company will be benefited , doesn't matter .

Forum Makim : Any other regulatory issues are not there ?

Dinesh Patidar : No issues yet.

Forum Makim : And, sir regarding Uganda, we have started , so from now onwards what numbers can we expect every quarter?

Dinesh Patidar : In the previous speech I told you that we have done a business of \$1 million and next our plan is we will turn a cycle of \$2 million and as soon as it is completed then will take it towards \$ 5 million and slowly we will move on. That is a new experience for us , it is not like that we will go very fast, but we will move slowly. In the next quarters , you will see good sales in that .

Moderator: Thank you. Ladies and gentlemen due to time constraint that was the last question for today. I now handover the call to Mr. Dinesh Patidar for closing comments. Over to you, sir.

Dinesh Patidar : Thank you everyone for coming and listening everything. I have tried to answer all of your questions. I and my team are confident that in the coming future we will give a good returns to our shareholders . Thank you very much.

Moderator: Thank you. On the behalf of Shakti Pumps India Limited that concludes this conference . Thank you for joining us and you may now disconnect your lines .

Note: 1. This is a transcription and may contain transcription errors. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. Some minor editing may have been done for better readability.

2. Any of the statements made herein may be construed as opinions only and as of the date. We expressly disclaim any obligation or undertaking to release any update or revision to any of the views contained herein to reflect any changes in our expectations with regard to any change in events, conditions or circumstances on which any of these opinions might have been based upon .

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"Shakti Pumps India Limited Q2 FY24 Earnings
Conference Call"

November 06, 2023

M

MANAGEMENT : M R. DINESH PATIDAR – CHAIRMAN
MR. RAMESH PATIDAR – MANAGING DIRECTOR
MR. DINESH PATEL – CHIEF FINANCIAL OFFICER
MR. RAVI PATIDAR – CS AND COMPLIANCE OFFICER

ANALYST : MR. ROHIT ANAND – ERNST & YOUNG LLP

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Moderator: Ladies and gentlemen, good day and welcome to the Shakti Pumps India Limited Q2 FY24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rohit Anand from Ernst & Young LLP. Thank you and over to you Mr. Anand.

Rohit Anand: Good afternoon everyone. Before we proceed let me remind you that the discussion may contain forward looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risks that could cause future result performance or achievements to differ significantly from what is expressed or implied by such forward looking statements.

To take us forward through the financial results and development and to answer your questions, today we have the senior management of Shakti Pumps (India) Limited represented by Mr. Dinesh Patidar – Chairman, Mr. Ramesh Patidar – Managing Director, Mr. Dinesh Patel – Chief Financial Officer and Mr. Ravi Patidar – CS and Compliance Officer.

We will start this call with a brief overview of the past quarter by Mr. Dinesh Patidar followed by a Q&A session. I will now hand over the call to Mr. Patidar. Over to you, sir.

Dinesh Patidar: Thank you Rohit. Hello friends welcome to today's Call.

I feel very happy to announce that in this quarter the company has achieved a huge milestone which was waiting for a long time, the orders have started coming in under the KUSUM Phase-3 scheme. Till date we have received 3 big orders and in that 1 order is from Haryana Government which is for 7781 pumps worth Rs. 358 crores. Other order is for 10,000 pumps worth Rs. 293 crores. Here I would like to say about the 2 orders that it is for Off-Grid pump where electricity connections have not been given. We have been trying for a long time in which we received an order of Rs. 150 crores order from Ajmer DISCOM which is on-grid pump which means the pumps which were running on grid is to be replaced by solar pumps and the farmers who were called food providers now changed to energy providers from these pumps that means by installing these pumps the farmers will also start getting income and the DISCOM will be saved from losses. Roughly our calculation is that from it farmer's income will become Rs. 50,000 annually and Ajmer DISCOM will save Rs. 2 lakhs annually. As soon as this pilot project is successful we will approach to other DISCOM and seamlessly we will convert to on-grid pumps.

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Company has received an order for 50,000 pumps from Maharashtra Government and they have reserved us with these numbers and in the coming time their portal is getting ready in which we can see some billing in it this quarter and in next quarter also we can see some good billing in that. This order of 50,000 pumps worth Rs. 1,603 crores is the biggest order ever for the company and we have to complete it within the coming 24 months.

The main reason of the improved EBITDA which you have seen in this quarter is increase in our export margins and we have also increased our margins in other areas also. Further, earlier we had received the R&D certificate from India Government's Science and Technology which they have extended till 2026. The certificate was till 2023 under which we had the facilities to import duty free R&D commodities, so it is also a matter of a great pride for us that the government has recognized us an R&D company. Recently we have received a very good patent for our EV Company, Shakti

i EV Mobility

Private Limited. Regarding this patent, I would like to say that this patent will add a feather to our cap for our experience in making motors at Shakti Pumps due to which efficiency will also be improved, mileage will be improved under EV, the vehicles will be able to travel more kilometers with less charge and this is a cost effective design in which we will be able to reduce our prices by around 3% to 3.5% from our competitors with which we can give a cost-effective and energy-efficient product under our EV segment. This patent will cover our entire EV, 2-wheeler, 4-wheeler, buses and 3-wheeler and we see a good hope in this and that is why we have approved to invest Rs. 114 crores in that company in the last board meeting.

In the second quarter and half year of FY2024 we got orders from 21 states out of which we have been able to make agreements in 5 states and the way our booking is going on we expect more good results to come because we feel that we are likely to get more new orders from UP, Rajasthan and Haryana in the next quarters. And for this I would like to thank our R&D team and production team. Our export team has done a great job. They have increased the margins and increased the sales also. I am very hopeful that the coming results will be very good.

Thank you and if you have any questions I am ready to reply.

Our CFO Mr. Dinesh Patel will give you our financial performance highlights.

Dinesh Patel: Good afternoon everyone. Revenue from operations stood at Rs. 1,528 million in Q2 FY24, our export business registered revenue of Rs. 699 million up by 12.7% Y-o-Y. EBITDA for the quarter grew by 22% Y-o-Y at Rs. 152 million as against Rs. 124 million in Q2 FY23.

EBITDA margin was at 10% up significantly by 420 bps from 5.8% in the corresponding quarter of last year. PAT for the quarter stood at Rs. 59 million recording a robust growth of 200% Y-o-Y from Rs. 19 million and PAT margin at Rs. 3.8% up by 296 bps from 0.9% in Q2 FY23.

For H1 FY24 revenue from operations stood at Rs. 2,658 million. Our export business grew by 31% Y-o-Y to Rs. 1,346 million. EBITDA was at Rs. 231 million with an EBITDA margin of

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8.7% in H1 FY24. PAT for H1 FY24 stood at Rs. 69 million. Supported by our resilient distribution network, diverse product range and technological expertise our solid credit profile and strong brand recognition among customers is reinforced.

Backed by stable balance sheet and key performance indicator we have full confidence in our capacity to deliver the KUSUM 3 orders within the designated time frame, while also embracing additional orders to fortify our position in the market even further. Now I request the moderator to open the floor for question and answer.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. We will take the first question from the line of Deepak Purswani from Svan Investments. Please go ahead.

Deepak Purswani: Sir just wanted to know your post export execution amount for this quarter? And what was the amount from KUSUM execution for this quarter?

Dinesh Patidar: In this quarter we have done Rs. 45 crores sale from KUSUM, did export of Rs. 70 crores and Rs. 40 crores is from other businesses.

Deepak Purswani: Sir, the presentation which you have given for this order is very informative. In this I want to understand that the order from Haryana for renewable energy is for 7,781 odd pumps worth Rs. 358 crores, so the realization of this comes approximately Rs. 4,60,000 per pump and for

UP Rs. 2,90,000 per pump and for Ajmer about Rs. 5 lakhs per pump, so UP is close to on an average which happens in KUSUM. Haryana and Ajmer is some different kind of concept, so can you explain what happens there, give some light on that?

Dinesh Patidar: Definitely, in UP's order, the water level of UP is very high and there we have requ

ested the

government to give the permission to install solar pumps of 10 HP and 10 HP above, but we have seen the number till 7.5

though they have the rate contract of 10 HP and we also have the rate contract of 10 HP, in the coming future we will see the 10 HP pumps. So, in Haryana the maximum pumps are 10 HP, which is a very good segment and in future also the people of Haryana want for 15 HP and 20 HP, so that will also be very good in the future. Regarding

Ajmer, this solar pump is grid connected that means remaining electricity will also be supplied in the grid and you will be happy to know that this is our patented technology we already have the patent on this technology. The electricity will be supplied to the grid when the pump is running, so we will be more powerful than our competitors and will save more electricity and farmers and DISCOM will get more benefits. So, we will get the benefit of that patent here in Ajmer and in Ajmer we are seeing this as a demo. As soon as this demo is successful we will take it to the other DISCOM and show it and by changing the pumps of all the DISCOMs in this manner, all the DISCOMs of our country will start making profit because we believe that today their losses are due to the agriculture connections only.

Deepak Purswani: Sir one more thing regarding this order of Haryana pumps of 10HP is this order under KUSUM scheme or it is some kind of different state governments order?

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Dinesh Patidar: This is KUSUM scheme only and Haryana Government has given the subsidy and Indian Government has also given the subsidy in this. This project comes under KUSUM only.

Deepak Purswani: Sir for example Haryana's realization is Rs. 4.5 lakhs per pump, are there any other states under KUSUM which are similar to this or more than this, like our realization on an average is around 2,90,000, so do you have orders which are more than this in your pipeline? Or going forward do you feel that these can lead to orders which are higher than the average realization?

Dinesh Patidar: Yes, definitely we feel like this will slowly shift. In India we have tried to establish this scheme by supplying so much number of agricultural pumps. As we move towards the bigger things, more the customers will get motivated and they will be able to take more advantage from it and it will move upwards.

Deepak Purswani: Sir my last question is regarding the 5 patents which you have filed, sir most of them is relating to EV sector in mobility technology or different components, sir what is your vision in terms of how do you want to scale this EV business? Because we are investing now into EV and you have patents also and you have the plan, so can you share your roadmap in terms of how much investment do you have to make going forward? And which market do you want to cater in the future, domestic, export and what is its market size? And 2, 3 years down the line what do you think the revenue will be?

Dinesh Patidar: Your question is very good and other people would also like to hear this because of the investment of Rs. 114 crores which we are doing in EV. Shakti Pumps has an experience of last 30 years in making motors and last 8 years in making controllers, so this experience in designing, production and rest of the things, we can share this experience in our EV business. What we have done is we have contacted limited number of EV manufactures of bus, 2-wheelers and 3-wheelers and we are trying to establish it. We have already sold around 3,000 to 4,000 3-wheelers motors in the market and we have supplied around 5,000 motors under bus segment and we will establish ourselves in that and as soon as all these things are in place we will reach a good quantity and our plant will also start. In the next 1.5 year our plant's production should start coming, till then we can connect our motors, our technologies, our customer

s and the vehicle manufacturing companies with us and till then our production will also get started. We plan to invest a total of Rs. 250 crores in EV in which the board has already approved Rs. 114 crores, so we will complete it with that and rest we will focus on how to do that and yes, I feel that the coming time is for EV, so we should transform and give our experiences to our shareholders.

Deepak Purswani: Sir you told that we have already supplied motors to 3,000 vehicles on a pilot project basis, so are we earning revenues or what kind of revenue you estimate for FY24 over this segment?

Dinesh Patidar: In this you can assume that we will sell more 5,000 motors in the coming times and in that if you see that total revenue will be around Rs. 25 crores this year. We will establish ourselves with the Rs. 25 crores.

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Moderator: Thank you, sir. We will take the next question from the line of Hitesh from Kosha Capital Advisors LLP. Please go ahead.

Hitesh: Sir can you tell your export strategy? How do you plan to scale up your export business on the pump side? What are the markets that you are exploring? And in that how big is the opportunity? What is the advantage that we have in the overseas market?

Dinesh Patidar: I will ask Mr. Ramesh to answer you regarding exports.

Ramesh Patidar: We are an exporting company and we have been exporting for the last 20 years, so we have

our experience and we are growing slowly from the same base like we have opened our subsidiaries in US, Dubai and recently we have our subsidiary in Bangladesh also, so we will continue working in the same style and accordingly we will continue to grow our business this will be our strategy.

Hitesh: No, sir to which countries we are supplying? And what advantages do we get from that? Which are the other players there or other global players?

Ramesh Patidar: Yes, we have international competition in this, there is competition from European countries and we export in every continent we have our dealer distributor network there and we export through that and our major competition is with European companies.

Dinesh Patidar: Growth is little slow but it is solid.

Hitesh: And the second part is we are there in centrifugal pumps for a long time, any thoughts on the opportunity in the positive displacement pump? What opportunity is coming there? And do we want to do something on that?

Dinesh Patidar: Yes, we are doing on that.

Hitesh: Can you share some details on that like what is the opportunity like how do you plan to get into that market?

Dinesh Patidar: Currently we are trying to use that in solar market, so in solar market also we have already supplied it are moving ahead by establishing it.

Hitesh: What is the difference between solar pumps which are Centrifugal based and Progressive Cavity Pumps application wise?

Dinesh Patidar: Both are technologically different. One has helical pumps and other has centrifugal impellers, so there is a difference in technology between the two, both are different technologies.

Hitesh: Obviously, technology is different, but application-wise which pump is used in which application?

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Dinesh Patidar: Application is same water lifting, water boosting, water transfer.

Hitesh: So, does one pump have a higher advantage over the other technology wise?

Dinesh Patidar: Yes, it depends on various situations like if you need a pump for low discharge then in that helical pumps are good and can work well if your discharge is very low and if you want high discharge then centrifugal pumps are used and if want to get water out of the ground then for that submersible pumps are there.

Moderator: Thank you, sir. We will take the next question from the line of Mr. Amir Merchant from IIFL Securities. Please go ahead, sir.

Amir Merchant: Sir

My quick question, what is the overall capacity that you have? And with the orders on KUSUM coming in do you think capacity constraint will be an issue?

Dinesh Patidar: Regarding capacity, we are running our company at 10% capacity and you will see that we were waiting for the KUSUM for the last 2 quarters and now it has come, so we would like to tell you with great pleasure that our production capacity is of Rs. 2,500 crores per year and we can install that much pumps in that.

Amir Merchant: And sir some more light on some of the EV projects, what is the exact plan? Is it on the pump? Is it on the motor manufacturing side or something on the charging side? Any color on that?

Dinesh Patidar: Right now, the focus is on motor in which we are expert in making motors, we have developed the Hub Motors of 2 wheelers. We have developed and tested the 3-wheelers motor Induction Motors, PMSM which are there; we have tested on bus motor and we have sold about 4,000 to

5,000 motors of bus, so we feel that we have great experience in it, so it should be utilized. We have experience of 8 years in Controller manufacturing because we are making and supplying controllers in solar, so we will also make the controller. Yes, we have done some R&D regarding fast chargers, but it is still far away because it will be in the second phase. In first phase we will establish our company in motors and controllers, after that step by step we will take it to chargers and R&D is going on our chargers.

Amir Merchant: Also in terms of KUSUM who are the other major players besides you?

Dinesh Patidar: Apart from us, the major players are very small players and right now we are at number 1 place rest all are very small and none of them is a listed company.

Moderator: Thank you. We will take the next question from the line of Harshil Solanki from Equitree Capital. Please go ahead.

Harshil Solanki: Sir I have 2, 3 questions, first is in the PPT we have given that we have done 59,600 pumps, so on that basis our market share comes on 22%, so what is the reason for this market share drop of 30%, sir?

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Dinesh Patidar: If you remember last year we have left some orders from Haryana as there were no margins and here in Shakti Pumps we have a policy that we don't work where there is no margin, we

don't like to work in losses that is why we left that orders. They have given that orders to someone else to execute and it is still in dispute that others have executed a bit or not, so that is why you might be seeing that figure and secondly, I want to say as of today's order booking we are saying about the order book of Rs. 2,400 crores this will increase further in the future, so that is not an issue for us.

Harshil Solanki: And sir our preferred HP segment is 5 HP plus, right, so out of our total opportunity of 8, 9 lakh pumps, in that how many pumps of 5 HP plus will be there?

Dinesh Patidar: From where did you get this 8, 9 lakhs figure? Total figure is 17.5 lakh is off-grid pump and 20 lakh is grid connected pumps. Total sanctions is of 37.5 lakh pumps this is a total scheme of KUSUM.

Harshil Solanki: In that what will be the proportion of 5 HP plus, which is our target segment?

Dinesh Patidar: All customers are equal for us, we have customers for 3 HP, 5 HP, 7.5 HP and 10 HP and whatever is the requirement of the customers, if you call us to your farm and ask for survey and after doing survey if only 5 HP is required we will not give you 7.5 HP we will give 5.5 HP only because it will be feasible for you. We would not recommend a 7.5HP pump when a 5HP pump would be sufficient.

Harshil Solanki: Sir our working cycle has deteriorated a bit, what is the reason behind it?

Dinesh Patel: Solankiji, it will improve because sales have started increasing, actually according to the future prospective orders which we are seeing we have done a little

inventory pileup and you will see

a lot of improvement from next quarter onwards and if you see in the earlier years, there has been a lot of improvement.

Harshil Solanki: Sir debtors have also increased because if you see there is a sale of Rs. 265 crores and our debtors are of Rs. 256 crores during H1.

Dinesh Patel: Correct, so what has happened there that if you see in the last 2 quarters sale from KUSUM was not there, so government sales were not there, now the government sale has started that is why debtors have piled up little bit, otherwise there is no such big issues in that.

Harshil Solanki: Sir last question from my side, now that we have orders in hand, how would be our installation on ground? Our work force, our team and all are ready for last mile installation? Can you give some color on that?

Dinesh Patidar: Yes, our team is absolutely ready, we have established the entire process very well and everything is digitalized. We have given our mobile app to our business partners who work for Shakti Pumps India Limited

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us in district level and tehsil level and it is available in Google app store. We have also given them all the training through our mobile app. They do survey through mobile app; they do installation through mobile app and they submit documents through mobile app. Everything has been done very well. We don't see any problems in that area and we feel there is a good opportunity for Shakti Pumps.

Harshil Solanki: The Warehouses, supply chain, transportation at district level and everything is in place or it will take some time?

Dinesh Patidar: Initially it takes some time to reach to a new places, but which has already established like Haryana, Rajasthan, UP and Maharashtra, these are our established areas where our sales people are connected with us, our service centers are connected with us, our installation team is connected with us they are already trained, so in this area we will be able to increase our numbers very well. And when we go to new areas like we went to Karnataka in South and if we have to develop there then it will take 90 days cycle for training, for development and for first order. But from where we have received orders till today, there our channels are already established.

Moderator: Thank you. The next question is from the line of Mohit Surana from Monarch Network Capital Limited. Please go ahead.

Mohit Surana: Sir only 3 questions, first is there is a decline in our revenues as compared to last year, is it due to seasonality and if so then what type of seasonality is there in the business? Second is improvement in our EBITDA margins is due to the increase in our realization or decrease in our cost that has also played a part? How much is EBITDA margin sustainable at this normalization level? And third I want to know that like there are 2 business segments positive displacement and centrifugal, Shakti Pumps are more into centrifugal, so are the EBITDA margins of both comparable or does centrifugal is more or positive displacement is low? It will be very helpful if you can throw some light on that?

Dinesh Patidar: First I want to tell you about the decline in our revenues as compared to last year. That is because we surrendered some orders which were allotted to us from Haryana worth of Rs. 400 crores. We did not supply them because it did not had margin and apart from this we have refused some orders from other states also because the rates have expired and there was no margin in that rate, so we left that and further you must have seen that same order was converted and received by us in Haryana, so this was one issue that due to KUSUM our total

turnover has decreased. Now coming to export as you said that increase in margin in export, yes definitely margins have increased in exports and wherever we have the possibility of increasing our margins, where we have established ourselves, th

ere we try to increase our margin little bit. Another thing is that most of the pumps in solar pumps are centrifugal pumps only and there is a market for those pumps only and the market for those pumps has not been developed that much, so we are supplying centrifugal pump for solar pumps and the future
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belongs to this only. Technology for positive displacement pumps has to be developed yet and it has a very small market in which not much output can be seen.

Mohit Surana: In India what is the market size of solar pumps?

Dinesh Patidar: You can see that Indian government had to install 37.5 lakh pumps for which they have extended the scheme, so it is a huge market.

Mohit Surana: And sir last question which I have previously asked that what is our EBITDA margins at normalized levels?

Dinesh Patidar: We should talk about margins on full year basis because in the last 2 quarters we were not able to execute KUSUM orders and if we see on a full year basis our plan is that our EBITDA level will be 12%.

Moderator: Thank you. We will take the next question from the line of Aditya Sen from Robo Capital. Please go ahead.

Aditya Sen: Sir I wanted to know that when our KUSUM project is fully executed at the national level then our company will go in which direction? What will be the growth trajectory from there? Can you give some outlook on that?

Dinesh Patidar: Yes, definitely as you can that our order book is of Rs. 2400 crores and we think that more orders will be added in this like orders from Haryana, UP and Rajasthan, we are seeing a good opportunity in this. As far as our total volume is concerned our plan is to do a growth of 25% - 30% year-by-year and we have given our team the target like this only.

Aditya Sen: How long will this 25% to 30% continue till 27, 28?

Dinesh Patidar: We will discuss it later. We come in every quarter and tell you about the next quarter.

Aditya Sen: No, I don't want to understand growth trajectory, I want to understand that when KUSUM's project is fully executed then what will we execute there? What will be the project that is what I want to understand?

Dinesh Patel: We are also trying to tell you that every year the company is targeting that we have to grow at least 25% to 30%. So, you should assume that if today we keep a target of Rs. 1,200 Crores then going forward we have to keep the target around Rs. 1,500 Crores

Dinesh Patidar: So, every year we will grow 25% to 30%.

Moderator: Thank you. The next question is from the lines of Hardik Vyas from Economic Times. Please go ahead.

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Hardik Vyas: Sir we have to look at the December quarter results, March quarter results, but right now it seems that the orders received from Haryana and UP are to be executed by the end of December if I am not wrong?

Dinesh Patidar: Absolutely.

Hardik Vyas: And regarding Maharashtra order you told that little bit of billing will start in this quarter and rest of the biggest chunk we will be able to see in the March quarter?

Dinesh Patidar: Yes, definitely correct.

Hardik Vyas: So, far we have 3 big orders; Ajmer's order is a small order of Rs. 150 crores. Some of them will be executed in this quarter or should be calculated in the next quarter?

Dinesh Patidar: It will happen in this quarter and next quarter also.

Hardik Vyas: So, by the end of next quarter Ajmer's order will be executed?

Dinesh Patidar: Yes will be executed. And let me tell you about the target which we have given to our team regarding which you were asking is that for quarter 3 it is for Rs. 400 crores and for quarter 4 is for Rs. 500 crores.

Hardik Vyas: I was asking you the same thing in a different way that do we feel that new order will continue to come, it is not like that for this year we have order book of 2400 crores because going forward for

the March Quarter and June Quarter, do you feel that orders have start coming or and we have not seen any order for the long time that is why I am asking?

Dinesh Patidar: Yes, orders have just started coming in. Basically, you must have seen that KUSUM 1 and KUSUM 2 were pilot mode and they were for testing the scheme. In real terms you will see that KUSUM 3 will be the next milestone.

Hardik Vyas: Sir you have guided that orders were to come from Rajasthan and Chhattisgarh has not taken

the subsidy under KUSUM because they have given subsidy to NABARD, so is there any possibility of orders coming from there?

Dinesh Patidar: Yes, definitely. Rajasthan orders have started, small orders have just started coming from Rajasthan. Currently code of conduct has been imposed there, that is why orders have started coming from Rajasthan and we are taking orders from Chhattisgarh, 1 or 2 small orders keep on coming.

Hardik Vyas: After code of conduct, results will come in December 3rd and after that retendering will be done or this tenders orders will be released?

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Dinesh Patidar: No, KUSUM rate has been already decided, everything is ready. The orders which have come we are supplying it. We have already some orders of 400 pumps and we are supplying it.

Hardik Vyas: So, new tendering will not be done?

Dinesh Patidar: No new tendering will be done for 1 year or 1.5 year and it should run very smoothly.

Hardik Vyas: And sir last question, you have guided an export of 2 million for this September quarter, so it has been done right? That is a part of 70 crores. Our export numbers for this quarter is 70 crores then from that what is the Africa component? And what is the rest of the component?

Ramesh Patidar: In this we have done nearly \$ 1 million in Uganda, the project which we have planned, basically we have done a total work of \$ 2 million. Now we have requested that initiative of 2 million for payment. We are moving a little slow right now so that the payment cycle rotates once again then after that we will start working at speed because we have established everything. Our team, our groundwork, the field work and the survey everything has been completed.

Hardik Vyas: So, in this third quarter we have planned for this \$ 4 million for December quarter, so will that happen or will be little slow?

Ramesh Patidar: We are trying, but it totally depends on payment. Once payment factor is done then we can definitely do that.

Hardik Vyas: Otherwise like \$ 2 million must come?

Ramesh Patidar: Yes, definitely that much will come.

Hardik Vyas: And sir my last question is that in this quarter the orders received for KUSUM and Haryana have been executed or not?

Dinesh Patidar: Yes, it is going on and has happened in that quarter.

Hardik Vyas: Happened in this quarter?

Dinesh Patidar: Yes, has happened.

Hardik Vyas: For how much?

Dinesh Patel: So, far we have sold approximately 2,676 quantities under KUSUM scheme and this revenue of Rs. 45 crores which you are seeing for the six months most of the quantity was from that only.

Dinesh Patidar: Few are from Chhattisgarh and rest is all of that.

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Moderator: Thank you. The next question is from the line of Dinesh Nagda from Harsh Investments. Please go ahead.

Dinesh Nagda: The question is regarding orders, as you said for Punjab and Chhattisgarh small orders are coming, for Rajasthan you said because of the elections we are seeing some delay, can you tell something regarding the positions of Punjab and rest of the states?

Dinesh Patidar: I am telling you once again in Haryana we have executed the orders, in UP also we have executed the orders, in Rajasthan it is pending due to elections and Punjab nothing has been started and in MP also nothing has started, in Maharashtra we have already taken one order

and some of its sale will come in this quarter and very good sales will come from next quarter.

Dinesh Nagda: Sir I wanted to know that when the application is closed in our portal for example Gujarat's is now open and the last date for closing of application in portal is November 12th then what is

the time taken for actual orders to come?

Dinesh Patidar: No, we are not doing for Gujarat. We have not done any agreement for huge quantity; we have refused Gujarat.

Dinesh Nagda: But sir apart from other state, this was not relating only to Gujarat, but for other states also like after how much time we can expect an order from a particular state after portal application is closed?

Dinesh Patidar: See what happens is that one quantity is sanctioned like for Maharashtra Indian Government has sanctioned a quantity of 1, 80,000 pumps and for that they will open the portal after

sanctioning 50,000 quantity and in the coming time, requirement will keep on coming on that portal and if all of the requirement comes in 1 week, 2 weeks then after doing survey we will submit our reports and after 90 days we have to supply them. So, as the requirements will come, as the survey reports are submitted then within 90 days or if they think it should be extended then they will extend. So, things are like that we will supply for 50,000 pumps and Indian government can extend the quantity also.

Dinesh Nagda: How much is our current capacity utilization?

Dinesh Patidar: In the last 2 quarters we have been able to run 10% of our capacity. Total capacity is of Rs. 2,500 crores.

Moderator: Thank you. The next question is from the line of Mehul from Nuvama Wealth. Please go ahead.

Mehul: My question is with related to capital employed, if I look at sequentially the capital employed is down by 1% and as you explained we are setting up inventories to basically meet with orders like in which we have got under KUSUM scheme like from Haryana and UP, so is it Shakti Pumps India Limited

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look at like in terms of capacity utilization we are not required to spend anything on capital expenditures, so that is what I would like to this reduction in capital employed, is that correct?

Dinesh Patel: Actually, it is like that till Rs. 2,500 crores we do not need to do any major expansions, so we are closely watching the situation and as soon as we feel that Rs. 2,500 crores will be touched in future, then we will preplan for expansion, but if I talk as of today, we do not have any plans for capacity expansions as the existing capacity is sufficient for us and regarding CAPEX then our routine CAPEX is Rs. 20 crores to Rs. 25 crores which you can see in cash flow of every years. This year it will be little more because EV segment is also growing, so due to this you will see little bit more CAPEX.

Mehul: So, if I look at like in terms of ROCE which would look at by this year and as well as by FY25 like an expanding a lot?

Dinesh Patel: Yes, you can see it.

Mehul: In terms of gross margins if I look at again sequentially there is about 300 basis points increase as well as Y-o-Y, so what is that leading to?

Dinesh Patel: Export market.

Mehul: So, broadly whatever there is expansion in terms of gross margins is on the back of export market not under KUSUM scheme or under domestic business?

Dinesh Patel: No, we have got advantage of KUSUM also like if you talk about the last year situation then in September we had to withdraw the orders, but according to the current situation the orders for KUSUM which are coming are coming at good price and have a good margin. So, we see that our EBITDA will grow very well.

Mehul: Last question is that you gave breakup of revenue like for quarter 2 I think it was about Rs. 42 crores under KUSUM scheme and Rs. 40 crores exports, so rest was what? I did not get that?

Dinesh Patel: I will tell you again that Rs. 45 crores which they have

told is for solar EPC in which we have

sold out all of our KUSUM and all of our solar pumps. Now the exports that you are talking about is something of Rs. 70 crores, the remaining part that you are talking about is our domestic dealer distributor network plus industrial customer, OEM customers and service segment.

Moderator: Thank you. The next question is from the line of Forum Makim from JHP. Please go ahead.

Forum Makim: Sir great set of numbers. Sir apart from the PM KUSUM scheme, separate orders from state government comes, so are we receiving any orders?

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Dinesh Patidar: Yes, the orders from Maharashtra were converted into KUSUM and the orders from Chhattisgarh as of today we see orders from Chhattisgarh itself which is non KUSUM.

Forum Makim: So, now the whole of Maharashtra will come from KUSUM only?

Dinesh Patidar: What Maharashtra is doing now is that Indian Government has sanctioned 1,80,000 pumps, so why will they leave their 30% and after completion of 1,80,000 pumps they have another plan of 5,00,000.

Forum Makim: It is only from the 5,00,000?

Dinesh Patidar: No, 5,00,000 has not started yet. Once this 1,80,000 is complete then we will do that.

Forum Makim: And sir is our margin expansion due to some inventory gain or how is it? Is it operational efficiency or what?

Dinesh Patidar: You have seen the sales from export of Rs. 70 crores, we have got a higher margin in sale from export and the other sale which you are seeing of Rs. 45 crores which is from Government sale in which you know that there is 20% difference in last year's KUSUM rate and current

KUSUM rate, so our shareholders should get that margin here.

Forum Makim: Currently the prices of our raw materials are falling, so we will see the benefits of that in the future right? That is why you are saying 12% margin?

Dinesh Patidar: Yes, that is why saying 12% margin and definitely our shareholders will get that margin.

Forum Makim: And sir this PM KUSUM scheme gives a lot of volatility in its revenues means some quarters will be heavy, some not, what are we planning to do to reduce this volatility, so that little consistency is there in our revenues?

Dinesh Patidar: Your advice is very good that is why we have increased our order book a bit to Rs. 2,400 crores and if we keep increasing the order book in the coming time, then you will not see much difference in the quarters.

Forum Makim: And sir when the elections come in the central level will there be a halt in coming of orders?

Dinesh Patidar: No, there would be no halt, this is a scheme and it is approved by the cabinet. Whichever government comes and go, it doesn't matter. If the next government has to reduce the losses from electricity and has to reduce CO2 from earth then there is no other option.

Forum Makim: Sir under Components C and you said for other states we will start after we complete Ajmer, right?

Dinesh Patidar: Right.

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Forum Makim: But there is demand like portals are open?

Dinesh Patidar: Yes, it is already confirmed. This Ajmer DISCOM is not taking any money from the farmers; it is giving the entire money from its side. There is no requirement of portal, this is a free of cost thing.

Forum Makim: And in this what is our margins in the component C?

Dinesh Patidar: We will let you know once it gets billed.

Forum Makim: Will be 12 something?

Dinesh Patidar: Yes, it will be like that only. It is a patented technology and this is a pilot project.

Moderator: Thank you. We take the next question from the line of Deepak Purswani from Svan Investments. Please go ahead.

Deepak Purswani: Sir one question was left in terms of your EV business which you are planning, what is your vision in terms of how much you can grow over a period of next 3 to 5 years? And second question is your estimate

on this is that we will do around Rs. 24 crores to Rs. 25 crores this year, so how will be the margin trajectory, Obviously it will be not so much, but in this going

forward how are you seeing the margin trajectory? And in FY24 how do you think, will we make profit at EBITDA level in EV?

Dinesh Patidar: Your question is very good. I will tell you once again that the reason why we have started Shakti EV is that in India the maximum EV motors and controllers are made in China. In the name of screw assembly maximum people are doing assembly and manufacturing in India, we call it screw assembly. Maximum of the product designing is done in China and manufacturing also comes from China and then it is assembled here. Major part of the EV comes from China.

Now we have to develop it in India, so we have started focusing on it and most of the time is spent in its development. We have already done the development. Work is going on the controllers and motors of EV for the last 4 years. Now the plan is to establish it. Right now we are restricting ourselves. We are not going to many manufactures; we will establish our product. In the coming 6 months our plants production will also start and slowly we will take it forward. So, the vision to start this company is that the company has experience of last 30 years in making motors and has an experience of last 8 years in making controllers, so our shareholders should get its benefit. We have established that technology and we think that we can make some contribution in Indian EV. Right now it is very early for figures, margins and all that. Once the production starts, once customer level is known, then we will run it in the same way as we do in our pump business, we do not want to work in low margins and we don't want to work at a loss. The reason behind our 2 bad quarters was this only that we surrendered our Rs. 400 crores order, so our aim is to work in a sustainable manner at good margins.

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Deepak Purswani: Sir I have one question to Dinesh Patilji, we have seen a growth expansion in gross margin by almost 310 basis points, so can you tell us that the raw material price has decreased, solar panel price has also decreased, so we have got expansion in it, what is the benefit of raw material cost or what percent if we put it in other terms?

Dinesh Patel: So, if we see raw materials price as compared to June then not much plus or minus is there almost continued in the same level. Panel prices are almost in the same level, so the gross

margin that you are talking about, so there is not much plus for raw material or you can say that I am not seeing it in increase level, right now it is in a stable level, so we believe that it will remain stable in future too and with this our margins will improve and the margin which we are trying to achieve at 12% will also be achieved.

Dinesh Patidar: Deepak one more thing in this, we are looking at the margins of our sale price which has increased by 20% and in panels the market price which gives you the information regarding the market whereas I know is that the panel which are imported from China and which are available today at Rs. 18 to Rs. 20 per watt we cannot put those panels in this scheme. In this scheme we have to put DCR cells which is under India's Make in India and Atmanirbhar Bharat, so in DCR cells there has not been much difference in the rate in the last 2 quarters. Earlier the wafer prices were bit high now that has come down a little 50 paisa, 60 paisa per watt, so there is not much difference in it, rest the process is of India. If you talk about the Chinese panel, yes Chinese panel strategically the people of China have reduced its price, but if we see here the Indian DCR manufacturer prices are almost same.

Moderator: Thank you. The next question is from the line of Sahil Chopra from KIFS Trade Capital. Please go ahead.

Sahil Chopra: Sir I have some confusion, the order you have received from Maharashtra I think it is a Letter of Empanelment, so it is a LoE, right, so it is not an order, so from this Rs. 1,600 crores how much we can expect that will be converted to order?

Dinesh Patidar: Full will be converted into order. The only thing you can think about is time. Now let us assume that this portal will be ready in the next 15 days and when they launch it one quantity will be booked then for that quantity our installation team will do survey and submit the reports and then we have to supply within 90 days. So, for this 50,000 pumps let us assume that you will see its sale in the next quarter (Q4) and in the first quarter of FY25 also, so there you will see this. It is confirmed that we will do 50,000 pumps easily in the coming time.

Sahil Chopra: So, you are saying that you will get the full 50,000, it is sure?

Dinesh Patidar: 100%.

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Moderator: Thank you. Ladies and gentlemen due to time constraint that was the last question for today. I would now like to hand the conference over to Mr. Dinesh Patidar for closing comments. Over to you, sir.

Dinesh Patidar: I would like to thank you all once again for coming and listening to me and all of your questions were very good. I would try to meet the expectations of our shareholders and I will end my speech with best wishes to everyone for Diwali. Thank you very much.

Moderator: Thank you very much, sir. Ladies and gentlemen on behalf of Shakti Pumps India Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. Some minor editing may have been done for better readability. In case of discrepancy, the audio recordings uploaded on the stock exchange on November 06, 2023, will prevail.

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"Shakti Pumps (India) Limited Q3 & 9M FY24
Earnings Conference Call"

January 29, 2024

MANAGEMENT : M R. DINESH PATIDAR – CHAIRMAN
MR. RAMESH PATIDAR – MANAGING DIRECTOR
MR. DINESH PATEL – CHIEF FINANCIAL OFFICER
MR. RAVI PATIDAR – CS AND COMPLIANCE OFFICER

ANALYST : M R. ROHIT ANAND – ERNST & YOUNG LLP

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Moderator: Ladies and gentlemen, good day and welcome to the Shakti Pumps (India) Limited Q3 & 9M FY24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

I now hand the conference over to Mr. Rohit Anand from Ernst & Young LLP. Thank you and over to you, sir.

Rohit Anand: Good afternoon everyone.

Before we proceed, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risks that could cause future result performance or achievements to differ significantly from what is expressed or implied by such forward looking statements.

To take us forward through the Financial Results & developments and to answer your questions, today we have the senior management of Shakti Pumps (India) Limited represented by Mr. Dinesh Patidar – Chairman, Mr. Ramesh Patidar – Managing Director, Mr. Dinesh Patel – Chief Financial Officer and Mr. Ravi Patidar – CS and Compliance Officer.

We will start the call with a brief overview of the past quarter by Mr. Patidar followed by a Q&A session. I will now hand over the call to Mr. Patidar. Over to you, sir.

Dinesh Patidar: Thank you Rohit. Hello friends and thank you very much for coming and joining this call.

Today the result which I have brought in front of you which our team has given, is the best ever quarter for the company and we have recorded a revenue of Rs. 496 crores and PAT is of Rs. 45 crores. This is the biggest achievement of our team so far in our life and this achievement is also because our order book as on date is of Rs. 2,250 crores. We have received orders for some more pumps in the last quarter and have also sold some and we have to complete this order of Rs. 2,250 crores in the coming 21 months.

Our focus has always been in R&D as you all know that our Company has filed for 29 patents and from that we have received 11 patents and these 11 patents technically will give more strength to Shakti Pumps in the coming time and these are very good patents. Recently one of our EV Company under Shakti Pumps which is 100% wholly owned subsidiary company where we make motors and controllers in EV, regarding it we have told earlier that we will make controllers in that which will be of 2 lakhs capacities and the board has already approved

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to invest Rs. 13.16 crores in this. Already we have about 10,000 motors running in this and in the coming time, as soon as its production will start by that time we will have completed all our R&D of these 2-wheeler, 3-wheelers and bus motors and its sale will also be started. I would like to attribute our significant progress to our very strong team and our R&D team as this was possible because of their development. My commitment and determination towards the shareholders and their trust remains and I hope will remain so in the future also. A significant contribution is being made by the government in the KUSUM scheme. By 2028 almost 20 lakhs solar pumps have to be installed which is a component B part and in component C almost 15 lakhs solar pumps will be required. I have already told about this component C part earlier that this is a pilot project. We are going to do with the Rajasthan government and that is also in the final stage and its supply is starting in this quarter. We have worked a lot on our strong distributor network, product folio and energy efficiency technology and our shareholders will benefit from

it from time to time. Additionally, we look forward to further strengthening our market position and welcoming additional orders. We look forward to increasing our orders. In our business we expect performance and positive impact with these expectations we will continue to deliver strong results in the times to come. I am confident that the coming times will be much better for us. For further financial positions I will hand over to Mr. Dinesh Patel. Thank you.

Dinesh Patel: Thank you, sir. Good afternoon everyone.

We recorded a revenue from operations of Rs. 495.6 crores in Q3 FY 24, our highest ever revenue in a quarter, up by 57.7% Y-o-Y from Rs. 314.2 crores in Q3 FY23. Our export business registered revenue of Rs. 62.2 crores.

We have also reported our highest ever number in terms of profitability. EBITDA for the quarter stood at Rs. 71.0 crores as against Rs. 21.9 crores in Q3 FY23 increased by 224.2% Y-o-Y. EBITDA margin was at 14.3% expanded significantly by 735 bps from 7.0% in the corresponding quarter of last year. PAT for the quarter stood at Rs. 45.2 crores recording a robust growth of 301.8% Y-o-Y from Rs. 11.2 crores and PAT margin at 9.1% up by 554 bps from 3.6% in Q3 FY23.

For 9M FY24, revenue from operations stood at Rs. 761.5 crores. EBITDA recorded a robust growth of 69% reaching to Rs. 94.1 crores from Rs. 55.7 crores in the same period of previous fiscal. EBITDA margin is 12.4% in 9M FY24 expanded by 527 bps from 7.1% in 9M FY23.

PAT for the 9M FY24 stood at Rs. 52.1 crores as against Rs. 21.9 crores in 9M FY23. PAT margin in 9M FY24 was at 6.8%, expanded by 405 bps from 2.8% in 9M FY23.

With this now I request the moderator to open the floor for question and answer. Thank you.

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Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Vikram from Niveshaay Investments Advisors. Please go ahead.

Vikram: Dineshji, congratulations for a good set of numbers. Sir I wanted to enquire on how we are managing volatility in raw material prices? So solar module price has corrected a lot in last 3-4 months, sir is our higher margin of 14% is due to solar module prices? Or what is the main reason behind significant margin improvement?

Dinesh Patidar: Your question is very good. Basically, we have been observing things for the last 2, 3 quarters in raw materials like SS, copper and these things have now already established. Yes, where solar cell is concerned, prices of solar cell have lowered and have been established now. As we have to take DCR cell, already we have our contract for 1 year for solar manufactures and we don't see any effect in this because solar prices are coming down and secondly we already have contract with them with their prices. As far as we are concerned, we have done it very nicely.

Vikram: Sir what is the quantity and what is the time period of that contract?

Dinesh Patidar: This is a one-year contract that we have with solar manufactures whose manufacturing expenses have been fixed by them. As you are seeing that solar prices are going down, we have hedged the price that whether these prices will go down or come up. Rest we have fixed their pricing like many things are required in solar panel besides solar cells, so we have fixed all those things, so we don't have any danger in that and solar cell which is a product whose price in today's time is Rs. 3 to Rs. 3.5 we have kept that at our end by hedging that price according to us. I believe that for the coming 1 year we do not see much effect in pricing as on date unless again a war-like atmosphere arises.

Vikram: Sir secondly, in India what is the total number of pump requirement? How big is the

opportunity size? And how much of that has been fulfilled?

Dinesh Pat

Patidar: Currently, we are the leaders in the way the work is being done in every state. We are leader in Haryana, UP, Rajasthan and Maharashtra, so we have achieved around 25% to 30% market share and currently we are doing the role of leader in India. In the future, you can see that we have orders of Rs. 2,250 crores pending and we feel that we will get more success in this.

Vikram: I wanted to understand the total market size like what number of solar pumps has been already installed in India? And total demand which has already come and which is pending to come, all together?

Dinesh Patel: Actually, the total scheme of KUSUM is for 35 lakh pumps, 20 lakh is of KUSUM component B's part and 15 lakhs is for component C's part. Currently what you see in PM KUSUM site as on 31st December 23, almost 12,23,721 has been allotted to states and from this 284,607 pumps have been installed from which 66,591 Shakti Pumps has done.

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Moderator: Thank you. The next question is from the line of Vishal from Swan Investments. Please go ahead.

Vishal: Congratulations for great set of numbers. Sir I have 2, 3 questions, can you share how is our revenue breakup in Q3 FY24? How much you have done in exports? How much done in KUSUM? And other than KUSUM how much has been done?

Dinesh Patidar: In solar we have done Rs. 342 crores in Q3FY24 and in 9MFY24 we have done Rs. 410 crores and last year we did of Rs. 533 crores. We did an export of Rs. 62 crores in Q3FY24 and if you see for 9MFY24, we have done Rs. 197 crores which was Rs. 166 crores, there is a growth.

There is also good growth in others also. In export we have done Rs. 62 crores and in solar we have done Rs. 342 crores.

Vishal: So as you said that other than exports side all are government or non-government is also included in this?

Dinesh Patidar: It is government, mostly KUSUM's role is there.

Vishal: Sir in last quarter you gave the guidance that you are seeing revenue of above Rs. 1,200 crores, and if we take 3 quarters together then we have already achieved a topline of almost Rs. 760 crores, so we can easily achieve this number. Can you give your revised guidance?

Dinesh Patidar: Absolutely, earlier also I have given you the guidance that in quarter 3 we will do Rs. 400 crores and in quarter 4 we will do Rs. 500 crores.

Vishal: How do you feel about next year's order?

Dinesh Patidar: Order book is of Rs. 2,250 crores and in quarter 4 we will do Rs. 500 crores.

Vishal: What do you think how will be the execution next year in terms of your order book is very good? How will be the order inflow? And how will be the execution in the topline?

Dinesh Patidar: Your question is very good. We will grow by 25%, as you will see that currently we have done Rs. 750 crores and will do Rs. 500 crores in Q4 then if it comes to Rs. 1,250 crores per year then we will definitely do a minimum growth of 25%, such is our confidence level.

Vishal: If you can share what visibility do you see in this to grow the order book?

Dinesh Patidar: We have the order book of Rs. 2,250 crores from which Rs. 1,550 crores order is of Maharashtra government, Rs. 258 crores is of Haryana government, Rs. 300 crores is of Uttar Pradesh, Rs. 150 crores is of Rajasthan. This is the order book which we have to complete in 21 months.

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Vishal: Sir in this quarter has your execution started in Maharashtra? Or how will the execution start?

You received this Maharashtra order in October, so can you tell something regarding that?

Dinesh Patidar: Yes, in the last quarter Rs. 20 - 25 crores sale has started from Maharashtra at the end and now its lineup is on, its portal has started and we are doing it well.

Vishal: Sir one more thing, this quarter

your gross margin level despite you have grown very well in the topline, but the gross margin has been little muted, can you tell the reason what the problem was? Is there any problem in the mix?

Dinesh Patidar: Our CFO will reply for that.

Dinesh Patel: Actually if you are comparing it with last year quarter then, last year contribution of export sales was higher and this time contribution of other sale (other than export) is high which had a slight impact on gross margins. If you see in EBITDA level, then there has been a lot of margin improvement and one more thing I want to say in this that the sale of Rs. 342 crores which we have done in that Rs. 150 - 170 crores are of solar panel in which we do not get any

margin, meaning if you look at the margin level of pervious Quarter 2 then in that sale of solar pump was very little in which our trading item is solar cell which we have to purchase and supply then from that also you can get an idea.

Vishal: So, sir what do you feel that how will be the sales of solar pumps in the next quarter? What do you think the run rate would be? And gradually in the next quarter your gross margins should improve a bit because if my scale is such high from Rs. 158 crores you have reached to Rs. 490 crores then ideally speaking gross margin should have increased a bit, so in the next quarter if we are expecting above Rs. 500 crores then how do you feel gross margin trajectory will pan out?

Dinesh Patidar: The margin which you are seeing in Q3, you will see the same margin in future also because already the price is fixed, and raw materials prices are also established and in this quarter Rs. 495 crores have already been done so in these also initial overheads are also over.

Moderator: The next question is from the line of Dhruv Bajaj from Smart Sync Investment Advisory Services. Please go ahead.

Dhruv Bajaj: Congratulations, you have got very good results. I have 2 - 3 questions. My first question is that our solar pumps opportunity, when this scheme was announced around 2020 and in these 3 years although we have got good orders, but we lag in execution may be because there were issues regarding pricing as you have already told in previous call, so if you can summarize what problems were faced in the implementation of the scheme? And why do you feel that there is going to be a very good implementation now? This quarter the results were very good, so I was trying to understand that what is the ground reality?

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Dinesh Patidar: After arrival of Modiji, he tried to introduce new system, we were also thinking something new will happen then some good work will be done in that and will happen in a good manner.

So basically, Indian Government finalized its specifications and rate contract methods.

Provided rates to all the states and asked the states to work on it. So, in the beginning 3 - 4 years MSME was given permission to participate in that which was Rs. 70,000 crores scheme and our MSMEs are not capable enough to fulfill this that is why we keep on approaching the Ministry that your tender's condition in that you support MSME, but commercially they are not capable enough to understand the rate properly and put it in the tender. So in that 2 tender people went to court and rates were also not good. Hence the ministry also got to see that experience and we also got to learn. The current tender has come an year ago whose 2 quarters you have seen and it is fixed for next 2 years, so I don't see any hindrance in this in the coming 2 years and you also shouldn't be worried either because everything is clear and besides this some states have done tenders separately whose rates are more than KUSUM, so I feel that this will go on. So there is no confusion, I don't see any negative in this; very co

nfidently I can see
everything very clearly.

Dhruv Bajaj: Sir how much fragmented and consolidated is our market? Since we are saying that our market share is 30%, but order flow has been a bit slow in the last 3, 4 years, so as you said that currently our capacity utilization is 30%, so how many more competitors do we have? And basically is the industry dynamic in this?

Dinesh Patidar: Till now it had to be established now it has been established as you have seen the scenario that we worked in this quarter and shown you. We too have to move forward afresh by learning many things in the past, now everything has been established. Now we all are ready, our C&A, our installer, our service team, our SAP team, our IT team and our mobile app through which we work everything is ready and proven and we feel good about the future.

Moderator: The next question is from the lines of Harshil Solanki from Equitree Capital. Please go ahead.

Harshil Solanki: Sir I have 2, 3 questions. Sir on 15th September we received orders from Uttar Pradesh for 10,000 pumps and its execution was for 90 days, so is it not completed yet, sir because you said it is Rs. 150 crores is....

Dinesh Patidar: It has started now. We got the LOI for the order and got the orders for 10,000 pumps. Now their portal and everything is ready and now it has started. They have received approval from the cabinet. Sanction of budget has also come. Central government has already sanctioned earlier, now everything is done, cabinet also done, decisional so done, their advertisements also went into the market. Now in this quarter its sale will be started.

Harshil Solanki: Sir we are doing a QIP of Rs. 200 crores, so can you explain the rationale behind it?

Dinesh Patidar: This Rs. 2,200 crores order book will be in front of you for the last 2 quarters and we are seeing good orders in the coming times. We have already said that our capacity is up to Rs.

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2,500 crores and for that we do not need to plan for expansion, but the future seems to be good to us and we think there we will need to do expansion and for this we are already taking permission from our shareholders. The day when we have Rs. 2,500 crores order booking that day we will have to clearly talk about the expansion because our current capacity is up to Rs. 2,500 crores as on date. Therefore, we have made plan and taken the permission from the shareholders and have kept it as of now. There are procedures for the same. We have taken permission from our shareholders because if they give permission we will move forward if we see scope for more orders in the future.

Harshil Solanki: So this Rs. 200 crores will be utilized in pumps factory and not in EV factory for which already a CAPEX of Rs. 114 crores is going to be utilized, so both are separate?

Dinesh Patidar: Yes, definitely it is separate. It will be only used for the expansion of the pumps.

Harshil Solanki: Sir one new article was there that the scheme will be shifted to the state level and budgetary allocation will not be there this year, so, sir what will be its effect on execution and tendering of your scheme? Can you share something on this?

Dinesh Patidar: Yes, there was some confusion and it is good that you asked it, so let me clear it that this is already a tender for 2 years and we don't have any problem with it. Where agreements with other states could not be done like Assam or South where we were not able to do our work there they asked us to do retender there. So tender has been done in Karnataka also and tender has been done in Odisha also and tender has been done in Assam also. In that we are in Karnataka, Odisha and in the coming tender the rates are better than KUSUM and we are participating in that also. So my shareholders will not be affected

from all these things.

Harshil Solanki: Sir one last question is Bangladesh is talking about installing 45,000 pumps and we are already present there, so, sir are we getting any traction there?

Dinesh Patidar: Our MD Mr. Ramesh Patidar will reply for this.

Ramesh Patidar: Yes, Bangladesh government is also working very well on solar panels, but for the last 2, 3 months there were elections and clarity was not there. Now in 1 or 2 months clarity will come about it.

Harshil Solanki: Sir are we getting any traction from Uganda and other countries of Africa? Have we started the next leg in Uganda?

Ramesh Patidar: Yes, we are already working in Uganda.

Harshil Solanki: Sir we were waiting for the payment of that 2 million, so after that have we started?

Ramesh Patidar: The payment is under process; we will intimate you as soon as we receive the payment.

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Moderator: Thank you. The next question is from the line of Ronak from RoBoCapital. Please go ahead.

Ronak: Congratulations for the good results. I wanted to ask that our guidance for targeted margin was of 12% EBITDA margin, but now we did 14%, so is it due to the operational efficiencies or in this quarter itself going further we will be left behind at 12%, 13%? Or will continue with 14%?

Dinesh Patidar: See we have given a guideline of 12%, but 14% came which is very good. This is our team's specialty that they very beautifully planned the inventory and they worked very beautifully on purchase and as the volumes keeps on increasing, we feel that we will be able to maintain this quarter's margins there are no issues. The problem comes when you are near your break even or are below it. Now break even has also been crossed and pricing is in hand and sale price is already quite good and the price other than KUSUM, the tenders which we have from South and Odisha, we received good price from it, even better than KUSUM. So in the coming time we feel that we will maintain our price line very well and will also maintain our EBITDA very well.

Ronak: Sir can you tell how much realization do we get per pump approximately, average?

Dinesh Patidar: It is difficult to tell the average as we supply small pumps of 3 HP, 2 HP and 10 HP also. Whenever you do a factory visit then I will show you everything here then the picture will be clear. My invitation to all the shareholders is that whenever you plan to visit Indore, please come and visit the factory once, you will get a different experience when you will see our world-class facilities. So my request to all of you is to come.

Moderator: Thank you. The next question is from the lines of Hardik Vyas from ET Now. Please go ahead.

Hardik Vyas: Sir congratulations, very good set of numbers after a long time. Sir I have 1 - 2 questions. Sir first question is Haryana's order of Rs. 350 crores has been fully executed?

Dinesh Patidar: Yes, that is done, and we got the second also and hope for getting the third also.

Hardik Vyas: The other order which we got of Rs. 260 crores has its work order come or work order will not be required as it is a follow-up order?

Dinesh Patidar: No, there is no need of follow-up order. There we directly get the orders now which I just now told you that we received an order from Haryana government worth Rs. 258 crores that order is second order itself.

Hardik Vyas: Its execution has started or will be started?

Dinesh Patidar: Right, it has also started.

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Hardik Vyas: Sir in UP you told that the background work of Rs. 292 crores has been cleared, so did we receive the work order?

Dinesh Patidar: Yes, work order has already arrived. Government has done very well in UP. Actually, Indian Government was giving less subsidy in 7.5 HP, but other segment UP state is increasing

the

subsidy, so for that reason they had put some work on hold for cabinet approval etc., now everything has been done and they will get all the pumps at the price of 25% farmer shares.

Hardik Vyas: Sir execution has started from our end.

Dinesh Patidar: Yes, it has started. Our stock has reached to the godowns.

Hardik Vyas: Sir regarding Maharashtra you told that Rs. 20 - 25 crores took place in December quarter, so this quarter numbers will be little more?

Dinesh Patidar: Yes, definitely, it will be more.

Hardik Vyas: Some orders were due from Rajasthan and Chhattisgarh, some visibility on that? I am not talking about Ajmer, you told that for Ajmer execution will start from this quarter if I am not wrong, but apart from Ajmer I am talking about component C, is there anything to be done about it in Chhattisgarh and Rajasthan?

Dinesh Patidar: Yes, Hardik you are doing the study very deeply, all of your information is very good. We are doing very well in Rajasthan. We already have had a very good sale there.

Hardik Vyas: How many sales were made in Rajasthan in this quarter? Can you give some number? I am not asking exact numbers, like for Maharashtra you have told for 20 % - 25%?

Dinesh Patidar: In Rajasthan?

Hardik Vyas: Rajasthan and Chhattisgarh both.

Dinesh Patidar: We will share that with you separately.

Hardik Vyas: Sir, last question in Uganda our payment is awaited, but we have made some sale in December quarter or payment is pending, so we have not made any sale?

Dinesh Patidar: Already we have done sale worth Rs. 2 million there.

Hardik Vyas: In December quarter?

Dinesh Patel: We have done sales of about Rs. 5.5 crores in this quarter.

Hardik Vyas: So, when the payment comes then in this March Quarter something will come?

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Dinesh Patel: Will increase more.

Ramesh Patidar: We want to rotate the payment cycle and we are working on this field but will work a little faster due to which a payment of Rs. 2 million will come. We have completed the entire groundwork there.

Dinesh Patidar: Actually payment has to be done by the Indian bank, EXIM bank. We just need a certificate from there, completion certificate is required. After receiving that certificate we will get the payment from here. Earlier they had their own terms and conditions in the certificate which we gradually brought them into our system and now everything have been done in their manner. It is a bit slow. People in Africa work a bit slow.

Hardik Vyas: Is it possible to achieve our target of Rs. 5 million in this March quarter or is it a little more?

Dinesh Patidar: Yes, it is possible. It depends on them if they give the completion certificate tomorrow then we are ready to start the sale from day after tomorrow itself, everything is ready from our side. Even we have made its inventory also.

Moderator: Thank you. The next question is from the line of Kush Tandon from Ananta Capital. Please go ahead.

Kush Tandon: Sir I joined the call a little late, so sir I just had one question from you that our quarterly results, is this more sustainable? I have also seen that your order book is around Rs. 2,000 crores and last one year, one and half year we had ups and downs on a quarter-on-quarter basis, but given the traction now should we consider it as a sustainable performance going further?

Dinesh Patidar: Yes, definitely because this is what we want to say that we have seen the best ever quarter and profit of our life and now our time has started and that is visible from the order book itself.

Kush Tandon: In this quarter was there any such lumpy order which has not repeated means obviously order book is there, but there was no such one time in this quarter?

Dinesh Patidar: No, nothing was there.

Kush Tandon: Our margin guidance is 12% on the lower side given that we can do Rs. 550 crores, Rs. 600

crores quarterly revenue, so, sir you are being conservative just like that or, sir you have done 14% now and there is no one time in margin also then 14% should be sustainable I think so?
Dinesh Patidar: See we told you 12% and delivered 14%, it looks good doesn't it, so our entire team always works towards doing good work. I believe that if I am giving you the guidance of 12% or 12.5% margin then you be assured that we are going to do better than this only.
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Moderator: Thank you. The next question is from the line of Ankur Kumar from Alpha Capital. Please go ahead.

Ankur Kumar: Sir congratulations for a very good set of numbers. Sir my first question is that in October we made an announcement that we have received a Letter of Empanelment from Maharashtra of Rs. 1,600 crores which is like total order book, so how much we will get from that?

Dinesh Patidar: We got Rs. 1,600 crores.

Ankur Kumar: So this Rs. 1,600 crores is included in our Rs. 2,200 crores order book.

Dinesh Patidar: Right, Rs. 1,580 crores is included. Rs. 20 crores we have already done.

Ankur Kumar: And sir we told that in next quarter Rs. 500 crores and will maintain current margin and next year will be like 25% growth over this number?

Dinesh Patidar: Right.

Ankur Kumar: What else is expected from the next quarters in near terms? Can you comment on that?

Dinesh Patidar: For this you have to come to factory. I will show you the factory and after showing the facility after then you assess then I will answer all your questions.

Ankur Kumar: Last time also I confirmed that we received this whole 50,000 orders of Rs. 1,600 crores? That is quite a good number, sir.

Dinesh Patidar: Yes we got it.

Moderator: Thank you. The next question is from the line of Gauri from Old Bridge Capital Management. Please go ahead.

Gauri: Sir many congratulations to you for this excellent performance. Sir you told that your order execution capacity is of Rs. 2,500 crores and if more order book is there then you have enabling resolution for that Rs. 2,500 crores QIP, but sir when you talk about execution means this year your revenue will be of Rs. 1,250 crores, next year let us say the revenues can be about anywhere between Rs. 1,600 crores to Rs. 1,700 crores and even beyond that if you are taking a run rate of 25% to 30% then also you can go up to Rs. 2,200 crores. What I am asking is that you gave us a guidance of the order book, but actually the execution is annual, sir you still have that much capacity and you don't have to necessarily expand, can you help me understand this?

Dinesh Patidar: Yes, I understand very well because you have known me for a long time and understand me.

We have just taken the permission from the shareholders for QIP, when we feel that we are confident then only we will go for QIP. Though nothing has been finalized yet. Currently we
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are going for fund raising nothing is finalized. After getting permission from shareholders for fund raising and after that we will see the visibility and after that we will think about the expansion plan if we are able to bring good orders to our shareholders.

Gauri: Sir this margin is okay, but what is the sense on working capital, sir? Sir do you think you will be able to get money in time? Or how is the contract really structured?

Dinesh Patidar: While this contract was being designed, we worked very well on it, whatever suggestions we had to give to the government, we gave them. We gave to the state and state also accepted, earlier state did not accept now has accepted and Indian government has also accepted, so 90% money comes within 30 days and 10% money comes after 30 days. Now a day everything is being digitalized, at some places it is done and at some places portal is working. In

Rajasthan portal is going to start the work. Haryana's portal is done. Maharashtra's portal is already developed. In UP things are already under development, so slowly everything will be done. New solar scheme which is designed by Indian government in the state in which farmer has to take the decision in this 4 people are involved, farmer's decision is there and state governments funding is there, central government's subsidy is there, all these things are there. Everything has been done very well and we feel good about the future.

Gauri: As you are saying that 90% of the payment comes within 30 days, but your profit component let us assume 10% will come after the 30 days?

Dinesh Patidar: Let me explain you, Gauri madam this is tender's condition but normally it is not like that. Normally payment comes in 120 days, 125 days, 118 days, and 115 days. If the condition of the tender is good then your payment will be around the tender's condition.

Gauri: Anyways, even if we accept this, all your payments should be received on weighted average basis within 35 days right?

Dinesh Patidar: No, it doesn't happen like this. What you see it does not work that way. First order comes then we do the supply, then material goes to our godown after that customers order is executed and after that from our bill, the date on which we dispatch our materials to the farmer from there the average payment which is coming to us if you see our cycle for which the banks have given the CC loans they have given for that only that gives the average of 110 days to 120 days.

Gauri: You don't expect a slippage here? Whatever is the 120 days kind of a cycle you don't expect this to elongate, is that right? This will not elongate or are there any chances to elongate?

Dinesh Patidar: No, it will not elongate.

Moderator: Thank you. The next question is from the line of Yashi Lohia from The MicroCap Minute.

Please go ahead.

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Yashi Lohia: Congratulations, sir for good set of numbers. I have 2 questions like you said that this quarter your sales from exports were less?

Dinesh Patidar: No, I have not said that this quarter our sales from exports were less. Export sale is of Rs. 62 crores.

Dinesh Patel: This quarter our export is of Rs. 62 crores.

Dinesh Patidar: In 9M FY24 we have done exports of Rs. 197 crores, we have made a growth of Rs. 156 crores in 9MFY24.

Yashi Lohia: I have misunderstood. My second question is that since you are going in EV segment and your capacity is for 2 lakhs motors and controllers, then you will do this in domestic market or are you targeting the export market also?

Dinesh Patidar: We are doing the work at both places. For doing the export work we can import duty free in SEZ, can do purchases and for that we have installed a unit before 12 years, we keep on exporting from that. We have separate unit for domestic and we do domestic from that unit.

Yashi Lohia: So what are your projections for how much capacity you would like to expand more for the next 2 to 3 years?

Dinesh Patidar: Currently we are seeing that if good order booking is there then we will make a project report and will share with you also.

Yashi Lohia: Previously you said that you are going from bus segments and three-wheeler segments then are you doing in 4-wheelers segments also?

Dinesh Patidar: Yes, designing part is going on and we have already started 2-wheelers and 3-wheelers and bus motors on roads. Its trial run has already been done.

Yashi Lohia: When are you all planning for its execution?

Dinesh Patidar: Its production will start from June.

Moderator: Thank you. The next question is from the line of Vivek Gautam from GS Investment. Please go ahead.

Vivek Gautam: Sir to be honest, I have recently starting tracking the Company, so not much idea, but sir the concerns on the sales to Africa are re

garding the receivables are there for other companies, so

how are we planning to tackle that Africa and other nations? Is it a World Bank funded project, so that we get payment through LC? And similar queries on the government business, B2G business in India is also having some concerns on the receivables, issues are there on the

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receivable part in Africa and with government also. Are we getting payment on time from Indian government at least? Can you share something, sir?

Dinesh Patidar: Good question. Firstly if you see the percentage of sale in Africa which we have shown in our presentation it is very low it is not very high, most of our sales is in Middle East and USA and regarding the project which we are doing in Africa that is funded by EXIM bank and Indian government's EXIM bank is going to pay us. It is our LC project and we don't have any risk there. Secondly, whatever we export that is insured by ECCG, so my experience says that we have been exporting since 20 years from then till today I didn't have any major bad debts. Everything was normal and has been going on normally and our money doesn't stop abroad.

Vivek Gautam: In India is this number sustainable? Means the payments from our state governments, the subsidy which was involved then the condition of the companies became very bad earlier, I am talking about Jain Irrigation and all when it used to come agricultural subsidy, now what has changed basically? And are these numbers sustainable? How do you think going forward, sir?

Dinesh Patidar: Vivek, you have asked a very good question. Actually it depends on who is running that organization. Our 20-years' experience of working with government department is that good

that we work where we see chances of getting money and where there is plan in budget. My other friends whose name you just told they without fund, without budget and without any other efforts they sell then debtors will be there in the books, you see our books, you see our debtors. Let me tell you that last year from South I could have received orders worth Rs. 2,000 crores to Rs. 2,500 crores, despite having capacities I did not supply there. Today also there are states where we do not supply unless we get assurance from the department in budget that its state budget and central money has come. Last year we didn't work in our own state here in Madhya Pradesh they didn't plan for budget, so we did not sell a single penny material in Madhya Pradesh. We are very strict with payment; our Company runs on SAP and the limit of every department is fixed. If someone sells more than that limit or goes beyond that limit then our system stops it.

Moderator: Thank you. The next question is from the line of Rikesh Parikh from Rockstud Capital LLP. Please go ahead.

Rikesh Parikh: Congratulation on good set of numbers. Sir I just wanted to understand your progress on the EV side means any kind of progress on the order inflow? And the investment we are going to do over the next one year?

Dinesh Patidar: Rikesh, as there were some disturbance what I understood your question is that you were asking about EV, our EV production will start in June and rest other things are in pipeline and the EV motors for 2 wheelers, 3 wheelers and busses on which we have already done our R&D are in the market and are running and almost 10,000 numbers are like that which are running in the market and we are keeping a close eye on it. If any change in it or any quality issues or any Shakti Pumps (India) Limited
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kind of such problems is coming then we deal with it and are establishing it. You can say majorly 95% has been established.

Rikesh Parikh: In EV where will be our major competition? And is there any firm order with any developer?

Dinesh Patidar: We have signed

NDA with some companies, so it will be difficult to tell their names, but yes, as an Indian manufacturer I can tell you that there are very few manufactures of controllers in our country, manufacturers of EV motors are also very few. In the coming times you will see that we will come with a good share in the EV market.

Moderator: Thank you. The next question is from the line of Rajasekar MS an Individual Investor. Please go ahead.

Rajasekar MS: Congrats on a good set of numbers. I have been following your Company for quite long time. I have one question, you talked about control panel, till now one of the major raw material is steel, do you have any long-term contract about it? What are those I would like to hear from you?

Dinesh Patidar: In stainless steel price has been established since previous years, has come down and we feel that in stainless steel nickel prices are almost established. We don't feel the need to do hedging in that. Dollar yes, every time there is definitely a little fear regarding the dollar. So hedging is there in dollar because what we import and the dollar we get from export we get a good help from the dollars. So, in this I don't feel much need of doing hedging for raw materials because we already hedge in dollar and everything seems to be getting established regarding the raw materials.

Rajasekar MS: Second question is that under the KUSUM scheme from which other states tender and order is going to come now?

Dinesh Patidar: From South you will get orders and from Odisha orders are going to come, these 2 states are there which we are going to add. They have not done through KUSUM, they have done through state's own tenders from that also we will get orders.

Rajasekar MS: Visibility is seeing for at least 2 to 3 years, that is what I would put it across, correct?

Dinesh Patidar: Correct. For the next 2 years we feel the visibility is very good as we said in concall that every year we will be doing growth of 25% year-on-year and we are also doing some more development work like you must have seen that we are the leader in solar pumping all over India, so slowly leadership quality comparison will also be there, and our competitors who supplied the pumps earlier, farmer will see their pumps quality. In this one of the best thing is that farmer is the decision maker, so slowly we will try to increase our market share.

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Moderator: Thank you. Due to time constraint that was the last question for today. I would now like to hand the conference over to Mr. Dinesh Patidar for closing comments. Over to you, sir.

Dinesh Patidar: Thank you all for joining today's call. I assure you; I am confident that we will continue to do good work like this. Once again thank you for coming to this call.

Moderator: Thank you. On behalf of Shakti Pumps (India) Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. Some minor editing may have been done for better readability. In case of discrepancy, the audio recording uploaded on the stock exchange on January 29, 2024, will prevail.

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"Shakti Pumps (India) Limited Q4 & FY24 Earnings
Conference Call"

April 29, 2024

MANAGEMENT : M R. DINESH PATIDAR – CHAIRMAN
MR. RAMESH PATIDAR –MANAGING DIRECTOR
MR. DINESH PATEL – CHIEF FINANCIAL OFFICER
MR. RAVI PATIDAR – CS & COMPLIANCE OFFICER

ANALYST: MR. ROHIT ANAND – ERNST & YOUNG LLP

Shakti Pumps India Limited
April 29, 2024

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Moderator: Ladies and gentlemen, good day and welcome to Q4 FY24 and Full Year FY24 Earnings Conference Call of Shakti Pumps (India) Limited.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rohit Anand from Ernst & Young LLP. Thank you and over to you Mr. Rohit.

Rohit Anand: Good afternoon everyone.

Before we proceed, let me remind you that this discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risks that could cause future results performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements.

To take us forward through the "Financial Results" and the "Key Developments" and to answer your questions today, we have the senior management of Shakti Pumps (India) Limited represented by Mr. Dinesh Patidar – Chairman, Mr. Ramesh Patidar – Managing Director, Mr. Dinesh Patel – Chief Financial Officer and Mr. Ravi Patidar – CS and Compliance Officer. We will start the call with a brief overview of the past quarter and full year FY24 by Mr.

Dinesh Patidar followed by a Q&A session.

I will now hand over the call to Mr. Patidar. Over to you, sir.

Dinesh Patidar: Thank you Rohit. Hello friends and thank you everyone for joining this call today.

It is with immense pride and a sense of accomplishment that I stand before you today to share the triumphant financial narrative of Shakti Pumps in Q4 FY24 and the entire financial year of 2024. Our journey this year has been nothing short of remarkable, and I am thrilled to report that we have achieved the highest revenue of Rs. 1,371 crores and profitability of Rs. 142 crores in our company's history. Our Q4 FY24 performance was also the highest ever in company history, with a revenue of Rs. 609 crores and PAT of Rs. 90 crores. The government business revenue has significantly grown by about 52% YoY to Rs 945.1 crores in FY24, up from Rs. 623.2 crores in FY23, contributing to 67% to the overall revenues. Our export sales, which made up about 21% of our revenues, also did really well, increasing by around 23% YoY to Rs. 286.1 crores in FY24 from Rs. 232.5 crores in last financial year. Undoubtedly, superior execution and better economies of scale resulted in the EBITDA margins of 16.4%

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this financial year and we expect the EBITDA margins to be stable at around 14-15% range going ahead.

Our robust order book of around Rs. 2,400 crores extends revenue visibility for a robust 18 months – promises continuity and stability. The anticipated order inflow, fortifying our position for the next 3 to 4 years, stands as a testament to our unwavering commitment to growth and excellence. The recent order accumulation of approximately Rs 243 crores under the esteemed PM Kusum scheme during the fourth quarter of FY24 signals not just business progression but also a deep trust in our capabilities.

Our horizon brightens further with the government's focus on the deployment of solar pumps, targeting an installation of 14 lakh off-grid and 35 lakh on-grid units. This initiative opens vast avenues for us, as we endeavour to empower the agricultural sector with sustainable, cost-effective solutions. We would also like to highlight how the installation of solar pumps benefits both the DISCOMS and the farmers. Usually, DISCOMS have to provide farmers a

basic infrastructure which has a cost involved plus the electricity also has to be provided at an extremely subsidized rates which is a further dent on the DISCOMS financials. Despite this, many farmers are deprived with the electricity connections and their needs remain unmet. A shift to subsidized solar pumps, with ~60-70% of costs absorbed through state and central schemes, offers a viable solution for government. This initiative helps to balance the subsidies with savings in just 2-3 years while providing reliable power to farmers, steering towards sustainability and contentment. Shakti Pumps stands at the forefront of this revolution. Innovation is deeply ingrained in our DNA, a narrative endorsed by the two new patents we received this quarter, contributing to a robust portfolio of 13 patents out of 29 filed. Our relentless pursuit of technological advancements consistently propels us ahead. Venturing beyond, Shakti Pumps is harnessing its expertise in the manufacture of energy-efficient motors and controllers to OEMs, innovatively transitioning into the electric vehicle space. We have invested an additional Rs. 5.08 crores in the current quarter in our Wholly Owned Subsidiary, Shakti EV Mobility Private Limited, consolidating the total investment to Rs. 32 crores as on date.

We are not just preparing for the future; we are shaping it. With plans set to double our existing capacity of pumps/motors, inverters/VFDs and structures, the Company successfully raised Rs. 200 crores through QIP which was subscribed by two leading Mutual Funds. The company has already acquired 46 acres of land in Pithampur, Madhya Pradesh for this expansion.

Our foundational pillars – a strong credit profile, pure brand recognition, and a robust distribution network – coupled with our technological prowess, position us favourably to harness the abundant opportunities that lie ahead. As we embrace the new financial year with optimism and strategy, I am confident that Shakti Pumps will continue to deliver substantial growth and value, not just to our esteemed shareholders but to the society at large.

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Thank you for your continued faith in Shakti Pumps. With this, I would now hand over the call to our CFO, Dinesh Patel, to take you through the financial highlights. Thank You.

Dinesh Patel: Thank you, sir. Good afternoon everyone.

During the Q4 FY24 our Company witnessed an impressive revenue growth of 233.6% compared to the same period in the previous year rocketing to Rs. 609.3 crores from Rs. 182.7 crores. EBITDA surged to Rs. 130.7 crores, a significant increase from Rs. 10.9 crores in the corresponding quarter of the previous year, multiplying 12-fold. We achieved an EBITDA margin of 21.5%, a notable rise from the previous year's 6.0%. Thanks to the benefit of scale and an accelerated execution as we move forward we anticipate the EBITDA margin to stabilize at around 14% to 15% at an annual level in line with our ongoing strategy for sustained growth. The Profit After Tax (PAT) for Q4 FY24 marked an extraordinary jump to Rs. 89.7 crores from Rs. 2.2 crores reported in Q4 FY23, showcasing a robust year-on-year basis increase. The PAT margin for Q4 FY24 stood at 14.7% a substantial improvement from 1.2% in Q4 FY23. For the full year of FY24, the Company registered a 41.7% year-on-year growth in revenue reaching Rs. 1,371 crores up from Rs. 968 crores in FY23. Revenue from Government projects increased by 51.7% year-on-year basis to Rs. 945 crores while export revenue reached Rs. 286 crores up by 23% year-on-year basis.

Our EBITDA for the full year stood at an impressive Rs. 224.8 crores marking a significant improvement of 237.8% from Rs. 66.6 crores in FY23. Additionally, the EBITDA margin for

the year was strengthened b

y 952 basis points to 16.4% compared to 6.9% in FY23. The Profit After Tax for FY24 increased significantly by 487.2% year-on-year basis to Rs. 141.7 crores up from Rs. 24.1 crores in FY23. Simultaneously, the PAT margin expanded by 784 basis points to 10.3% for FY24 from 2.5% in the previous year. These exceptional results are a testament to our commitment to driving sustainable growth and creating long-term value for our stakeholders.

In light of these performances, Company's net worth has enhanced to around Rs. 756 crores at the end of FY24 with an interest coverage ratio strengthening from 3.5 in FY23 to a robust 11.5 in FY24. Notably our working capital cycle has seen an elongation reflecting a substantial portion of our Q4 revenue still pending recognition in our books. Return on Capital Employed (ROCE) has risen to 24.5% from 9.8% in FY23 and Return on Equity has also improved moving up from 5.8% in FY23 to 18.8% in FY24.

With this now I request the moderator to open the floor for question and answer. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Deepak Purswani from Svan Investments. Please go ahead.

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Deepak Purswani: Vishal here. Congratulations for a great set of numbers. Sir I have 3 questions, first on this margin improvement, we have seen some phenomenal improvement for this quarter. Sir can you bifurcate how much of this benefit has come from raw materials? How much has come from the scale? And how much has come from product mix if any?

Dinesh Patidar: Yes, I will send it to you in detail Vishal, but the biggest thing in this is that when you see you are going very high from your breakeven and your quarter is at the top then the manufacturing expenses also reduce. The raw material prices also decreased and as you see the margin is around 16%. The reason is that when we exceed our capacity, manufacturing expenses in that which come to around 7% to 7.5% that also impacts and our raw materials prices have also decreased around 1.5%, so its effect is also there.

Deepak Purswani: So, for example this quarter our EBITDA margin is 21.5%, I am talking about the quarter not for the full year, so if this similar scenario is continued and raw material pricing is not increased and the scale will come because our order book is robust, so are you seeing the margin trajectory in the similar levels as you are guiding or will be in between these two?

Dinesh Patidar: The margin which we are planning should not be seen quarter-to-quarter but should be seen on year-on-year because in margin there are many other factors. So, let us assume that we will maintain a margin around 15%. This is what we are thinking and trying to do according to our planning of present raw material. If it exceeds this, then we will definitely inform you in the next quarter.

Deepak Purswani: Secondly, our raw material working capital cycle has been little bit elevated and Dineshji told that this quarter we have not received some revenue, so going forward what do you feel that like last year or in the first half the working capital cycle will be on the same run rate or are you seeing any changes in that?

Dinesh Patel: Roughly, if you see that our working capital cycle is of one quarter and secondly if you compare it from last year then definitely when you go towards high volume then cycle also moves towards that direction, but we have controlled it.

Deepak Purswani: So, more or less on sustainable basis if we see for the full year or even if we see for the next year then it will be around 1 quarter?

Dinesh Patel: On year-on-year basis our outstanding has been less than Rs. 100 crores, so there is not much stress on working capital. One temporary cycle comes

which we have run on, so the revenue of

Rs. 600 crores which we have touched this quarter in that our working capital cycle has already run and the realization will come in the next quarter this is what our belief.

Deepak Purswani: One last question is in terms of order book we have done order book of around Rs. 2,500 crores in FY24, so are you seeing a similar level or momentum for order book in FY25 going forward?

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Dinesh Patidar: When KUSUM started, you saw that all the states had placed big orders now we are executing these orders. We have a big order from Maharashtra and Uganda and after that the running states like Haryana, Rajasthan and UP and from this we feel that we will continue to get some orders every month which we have already received. As we told that this quarter, we have received orders of around Rs. 240 crores.

Deepak Purswani: Do you feel that this project will sustain in the future also order inflow over and above Rs. 2,500 crores?

Dinesh Patidar: Yes, definitely it will be there because Government's target has increased and our target has also increased, hence we have gone for capacity expansion, raised funds and government's target is also high for solar. Secondly, the solar system has become so sustainable that Rs. 250,000 is spent for giving connection, but farmers work can be done on half of the subsidy amount and that pump uses electricity of Rs. 1 lakh per year, so to increase profit of any DISCOM without putting this solar energy our country's DISCOM will not be saved, so agriculture sector will progress from this, and electricity board will be in profit from this only.

Moderator: Thank you. The next question is from the line of Balasubramanian from Arihant Capital. Please go ahead.

Balasubramanian: Congratulations for good set of numbers. Sir this order book of Rs. 2,400 crores what will be the execution timeline? And are we getting any advance mobilization for this executing the orders?

Dinesh Patidar: Actually, in this for Maharashtra Government's order we have 18 months' time, we will complete it in 18 months and in the previous quarter we have done sale of around Rs. 110 crores. We don't get any mobilized fund; we get these orders only when we deposit our share of bank guarantee.

Dinesh Patel: Remaining order has timelines of 90 days to 120 days.

Dinesh Patidar: The remaining orders also has 90 days' to 120 days' time.

Balasubramanian: Second question is that we have raised around Rs. 200 crores through QIP, so what kind of incremental capacities we can expect on the pumps, motors and inverters side?

Dinesh Patidar: The total capacity will be 2x. In our previous calls, we have been telling that as soon as sale of Rs. 2,500 crores come then after that we will do further planning for production capacity, and we see more orders ahead. In 2 years, we will complete our investment and then our capacity will become Rs. 5,000 crores.

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Balasubramanian: Any order pipelines are coming up? Are we facing any slowdown because of these elections? What kind of order pipelines we have? And on the export front, we are keeping around 20% exports side what kind of opportunities we can see over the next 2 years to 3 years?

Dinesh Patidar: Ramesh will reply to you on exports.

Ramesh Patidar: In exports we will continue the growth which we have been traditionally doing. We are doing well in our markets in US and this year we have line up in Uganda and last quarter also we have done quite well. Do in exports we will continue to do the growth which we used to do traditionally.

Balasubramanian: Sir on the orders pipelines, what kind of order pipeline we have in this year?

Dinesh Patel: The Uganda order of Rs. 250 crores, in that almost Rs. 35 crores sale has been done and besides this our orders for dealers

and distributors in that around Rs. 20 crores to Rs. 25 crores orders are always in our pipeline on export side.

Moderator: Thank you. The next question is from the line of Aashish from InvesQ. Please go ahead.

Aashish: Sir in our presentation it has been written regarding opportunity size, so I had a few questions on that. Firstly, regarding 14 lakh pumps it is mentioned in component B and 35 lakhs for on grid, so our presence is little weak in on grid and still we are counting that in opportunity size, so need clarification on that like are we competent enough to gain that kind of market share that we have in the overall 25% which we say? Secondly, you have given that the opportunity size is Rs. 1.5 lakh that means if 60% is subsidy then is the government going to give around Rs. 90,000 crores of subsidy in these two to five years when this is executed? So, if you can give some light on this then it will help us and related to this if we are saying that 25% market share is in this then it will be around Rs. 35,000 crores in 3 years to 5 years, so annually Rs. 7,000 crores topline is there by doing reverse calculation, so are we running for this kind of number or am I miscalculating things here?

Dinesh Patidar: You are perfectly right, sir. Aashishji you have understood it very well. Here I want to clear one more thing that you are talking about on-grid pumps, in India we are the only company which in Ajmer DISCOM is executing an order of Rs. 150 crores as a pilot project. As soon as our pilot project is completed, these are on-grid pumps, this project is based on the theme of our Prime Minister's dream of transforming Anna Daata into Urja Daata. As soon as our DISCOM is finalized then it doesn't matter from wherever subsidy comes. I want to say that if a pump of Rs. 5 lakhs are there then the entire money invested in DISCOM for 3 years, 100% of the entire money can be recovered even if the pump is given free to the farmers and if the farmer is installing the pump, then he will be earning a yearly income of Rs. 50,000 additionally, that means he will earn by selling electricity and not by farming, such is the dream project of our Prime Minister on which we have worked and completed it. Also, the

pump will automatically supply electricity to the grid while it is running and for this Shakti
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Pumps has patent. So, the patent is such a valid patent which confirms that it will save electricity as well as water also. If the farmer does not require a 1,000 liter, he requires only 500 liters then he can set his quantity up to 500 liters through his mobile app because all our pumps are operated through mobile app and through which the speed will be reduced and water will be saved and the remaining electricity will go to the grid and when the remaining electricity goes to the grid then DISCOM will sell it out after taking the profit and in this the DISCOM and the farmer both will be in profit.

Aashish: The logic which you stated is very solid. All the problems of Government and DISCOM are solved in this, but allocation of subsidy is it a contentious matter or it will happen because the intent is very strong and should be done and secondly, the demand for replacement of diesel and electric pumps which is somewhat a figure like 3 crores pumps which is out of this opportunity as you said, so is the opportunity size bigger than this 1.5 lakh crores for us?

Dinesh Patidar: Yes, the opportunity size is very big, sky is the limit and it is so big that 4.5 crores pumps are grid connected in our country and same numbers of more pumps are required by the farmers, so if 4.5 crores are grid connected then 4.5 crores have to be changed from grid connected to solar connected pumps, so everyone is winning. Secondly the 4.5 crores farmers in their field and no matter if one farmer has

2 fields where in 1 field he has taken a solar pump and in another field he needs to take solar pump, currently he is not able to join that field with micro irrigation, he is able to do irrigation with the help of rain.

Aashish: Will this top line of 5,000 crores capacity be possible? It seems that if ordering happens properly in 2, 3 years it is possible for us to achieve the top line in 3 years, 4 years.

Dinesh Patidar: Yes, it is correct, but our commitment to our shareholders is that we will keep on growing at 25% to 30% on year-on-year basis.

Moderator: Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: Sir I just wanted to know our order book; our current order book is around Rs. 2,400 crores, so over FY25 and FY26 what kind of order book we are targeting given the opportunity size that we have been talking about, so in FY25 and FY26 which type of order book we are targeting by FY25 end?

Dinesh Patidar: Deepak, I think this will be everyone's question, you have asked a very good question. I feel delighted to tell you that already we have an order of Rs. 1,500 crores from Maharashtra in which we have done a sale of Rs. 110 crores in the previous quarter. We have an order from MEDA in Maharashtra worth Rs. 100 crores, UP's order is of Rs. 240 crores, one order from Haryana worth Rs. 420 crores and as I talked about Rajasthan Ajmer DISCOM in which installation has to be done this quarter which is around Rs. 150 crores. These are the orders which we already have with us, we will inform you as soon as the rest of the orders come in Shakti Pumps India Limited

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the next quarter and in between if any big orders come to us we will inform you immediately without waiting for 24 hours.

Deepak Poddar: Will there be any target in this like this Rs. 2,400 crores we can target it to be at Rs. 3,000 crores – Rs. 3,500 crores or something by FY25 end?

Dinesh Patidar: Yes, definitely we are going to increase our capacity and along with it we always provide a guideline to our shareholders that we will definitely grow on 25% to 30% on year-on-year basis.

Deepak Poddar: Is there any timeline for this Rs. 2,400 crores like within this timeline we have to execute it?

Dinesh Patidar: Yes, we have 18 months' time for Rs. 1,500 crores and rest we have to complete within 90 days to 120 days.

Deepak Poddar: 18 months for 1,500 crores and for rest?

Dinesh Patel: 90 days to 120 days.

Deepak Poddar: I understood, and do you see any impact of election on us in coming quarters?

Dinesh Patidar: No, it is not much, but yes little bit is there as the officers are engaged in election duty, so not much big impact is there as not much work can be done in new orders. Old orders are not stopped, but other things like payments are delayed as officers are not there, but we are moving forward understanding all that. Not much problems are there for us.

Deepak Poddar: Seasonally wise our second half is best, right?

Dinesh Patidar: Yes, first quarter is low, rest you have seen that everything is same.

Moderator: Thank you. The next question is from the lines of Khushbu Gandhi from Share India

Securities. Please go ahead.

Khushbu Gandhi: Sir my one question is like as you said we have an order book of Rs. 2,400 crores and from that Rs. 1,500 crores execution is for 18 months and the balance Rs. 900 crores we will execute it in 3 months to 4 months, right?

Dinesh Patidar: Right.

Khushbu Gandhi: So, if I look from this year's revenue front then our growth in revenue will be 30% to 40%?

Dinesh Patel: 25% to 30% is our commitment.

Khushbu Gandhi: And now when new orders come its execution will also be there in it?

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Dinesh Patidar: Definitely, if it comes in next quarter then will tell you in next quarter.

Khushbu Gandhi: We are conservatively thinking of 25% to 30%, but can be more than this also, right?

Dinesh Patel: This is minimum quote.

Dinesh Patidar: This is minimum quote and can be more than this.

Khushbu Gandhi: Secondly if we have this much orders then in this quarter we have improved our margins because of better capacity and raw material improvement, so this capacity improvement is going to improve quarter-on-quarter, so if raw material is stable at least not 21%, but we can reach up to 18% - 19%?

Dinesh Patidar: Same question was asked to me in the previous quarters called at that time I was saying that we will work on 12% - 13% margin and today I am saying that we will work on 15% margin and if it is showing 16% then you will feel happy that the Company has done a good job.

Dinesh Patel: Our minimum commitment is that we want to work on 15% margin, so the guideline which was 12% is being revised to 3% and made it 15%.

Moderator: Thank you. The next question is from the line of Harshil Solanki from Equitree Capital. Please go ahead.

Harshil Solanki: Sir I have 2 questions, sir it will be helpful if you can break up this topline of Rs. 600 crores like how much in KUSUM and how much in non-KUSUM and how much in exports?

Dinesh Patidar: Solar was of Rs. 473 crores, Export was Rs. 90 crores and Rs. 48 crores were "Others".

Harshil Solanki: For solar under KUSUM in which states you did this Rs. 473 crores? And how much you did?

Dinesh Patidar: Good question. In UP we did Rs. 60 crores, in Haryana we did Rs. 257 crores, in Odisha we did Rs. 7 crores, in Maharashtra Rs. 112 crores and in Rajasthan we did Rs. 37 crores.

Harshil Solanki: If we look at our order book then our closing order book is of Rs. 2,400 crores and our opening order book was Rs. 2,250 crores in which we got extra Rs. 250 crores order, so the total is Rs. 2,500 crores and our closing order book is Rs. 2,400 crores which means we have done execution of Rs. 100 crores, but in that closing order book you have mentioned about Haryana which is of Rs. 419 crores, but you told that we have done execution of Rs. 257 crores in Haryana, so in closing order book the numbers are little bit high which should be low because we have done execution of Rs. 600 crores?

Dinesh Patel: Harshil I will mail its detailed version separately to you.

Dinesh Patidar: Dinesh Patel will mail you.

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Harshil Solanki: Second question is as you quantified that in India such big opportunity is there, so in Uganda can you give some color like how big is the opportunity in terms of numbers?

Ramesh Patidar: In this Uganda project we have to work in 60 states, it is scheme wise, so the numbers are different it is divided scheme wise. It all depends on scheme.

Harshil Solanki: Any ballpark number, any idea?

Ramesh Patidar: It is a project of total Rs. 250 crores.

Harshil Solanki: This is regarding one project, but work has to be done beyond this, isn't it? What number that could be?

Ramesh Patidar: Definitely, a high level of delegation from ministry also visited us and they have discussed the future plan with us.

Harshil Solanki: What would be the ballpark number Rs. 1,000 crores, Rs. 2,000 crores or Rs. 5,000 crores?

Ramesh Patidar: I can't tell anything regarding that because I don't have any detailed forecasting with me, but yes we are talking about that.

Dinesh Patidar: Will inform you within 24 hours as soon as it comes.

Moderator: Thank you. The next question is from the line of AjayKumar Surya from Niveshaay. Please go ahead.

AjayKumar Surya: Congratulations for good set of numbers. Sir my question was on margin, sir as in previous call you said that you have hedged your raw material like we have contracted with premier for sale on fixed prices after fixing

the process cost, but sir if I see in the last 3 months, 4 months prices for cells and modules have dropped significantly and our s was a fixed contract, but still our margins have expanded. So, can you tell how our margin expansion on gross level and EBITDA level is? Can you give such clarifications?

Dinesh Patel: In this the margin impact is due to 2 reasons one is due to the downfall in price of raw material and second is the marginal operational efficiency which we got due to this large order, so impact of these 2 things was there in our EBITDA margin. Secondly, the first question which you asked like we did a tie up with premier or our remaining vendors, so there price fixation is not done actually it is a MoU "Memorandum of Understanding" that this much of quantity should be given in a given time period and second thing is that a minimum rate is fixed which you directly cannot link with it.

Dinesh Patidar: One more thing is that which effects the rate is wafer and the price which has come down in wafer we got its effect in raw material if you think like this, due to the decrease in the price of solar panel whether you have got profit or not, yes definitely you have, and it is reflected in Shakti Pumps India Limited

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your raw material prices. Rest all the expenses of making solar panels in India are fixed and we have fixed them, and we have done a MoU with them that you will not increase the prices of other things we have hedged wafer prices and kept with us and if wafer prices are decreased then we will get its benefit and if wafer prices is increased then we will only get the hit.

AjayKumar Surya: Under component B you have to use DCR cells and DCR module, so, sir in component C also DCR cell requirement is there?

Dinesh Patidar: Yes, long live Modiji, it is due to Indian Government's Atmanirbhar Bharat.

AjayKumar Surya: Like in component C nothing has happened yet in its execution, so what are the difficulties we are facing there? When will this execution happen?

Dinesh Patidar: We will execute one big order of Rs. 150 crores, then will take Chairman of every DISCOM there and will show them and explain them and next year will start booking its order. A new project has been developed and we would also like to see after installing 2,000, 4,000 pumps will take big projects because it is a very unique thing. We have a patent for this, so we are also wanting to give some time.

AjayKumar Surya: Is anyone else working on component C? Any player who has become successful so far?

Dinesh Patidar: We have patent in this grid connected pumps and to my knowledge I haven't seen anyone else yet. It is a huge market people should come, should work in technology, should make investment people will get employment.

AjayKumar Surya: Last question is if we see our order book then much is concentrated towards Maharashtra Government, so, sir going forward which are the new states that we are targeting from where we can get good order inflow?

Dinesh Patidar: You are absolutely correct. We will inform you within 24 hours as soon as the order is received.

AjayKumar Surya: Which new states are we targeting like Odisha or?

Dinesh Patidar: I cannot disclose this in this call like where and what work we are doing, but as soon as a confirmed order is in our hands within 24 hours we will inform you.

AjayKumar Surya: Last question, sir our raw material contract with premier and other vendors how long is that contract?

Dinesh Patidar: In that we have planned around 1.5 giga.

AjayKumar Surya: If I talk in terms of number of pumps how many pumps we have to do?

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Dinesh Patidar: There are small type and big type of pumps, so number of pumps cannot be known, but still, I will give you the details like how many pumps will be there in 1.5 giga. You come

here and

see, and you will know. I request everyone whoever is listening to the call to come to Shakti Pumps, inform our EY team and rest we will take care of here will show you the entire facility.

Moderator: Thank you. The next question is from the line of Mehul Mehta from Nuvama. Please go ahead.

Mehul Mehta: Chairman, sir the guidance which you gave for this quarter was Rs. 500 crores and you exceeded it so much, so should we expect that you believe in under promising and outperforming?

Dinesh Patidar: You understood it very well. The guidance which I gave for Rs. 500 crores were based on my capacity, but it has been a great quarter and in future also we will try to do the same and will tell you that will do Rs. 400 crores and if we do Rs. 450 crores then you will also like it.

Mehul Mehta: According to me the market share was 24% in quarter third end now it is 26%, so is it like that because we are gaining market share or others are moving out because we are the most integrated, so is that giving us an edge compared to others?

Dinesh Patidar: Yes, it will go on like this only, but we will increase little more because our quality is very good. We give 30% to 40% more discharge than our competitors, so in today's date farmers have the same requirement and he can see that also because in electric pump it is not shown that how much electricity is consumed and nobody knows because meter is not installed, but in solar pumps the panel is limited, so water shown is very less, so it is very easy for farmers to compare that is why people who buy our competitors pump come back to us only. If you see for the last 3 years, 4 years to make solar a success in our country we used to supply to Tata, L&T, Mahindra, Adani, Vikram all the big names.

Mehul Mehta: This VFD basically which we talk about drives kind of which is one of our strength, can we look at going forward from 26% we can reach to 30%, 35% because even states who are executing this may be with having confidence in you, can we think the market shares can go anywhere to 30%, 35% like we can increase it?

Dinesh Patidar: Yes, Mehul we are doing it because we have brought expansion for it and we are working further towards it, so work is in progress in that line.

Dinesh Patel: Mehulji if you see in our history once we have already achieved 30%, so it is not a very big achievement for us we would like to think beyond that.

Mehul Mehta: This was regarding PM KUSUM and in EV side when we are thinking because if you can update on that like what customers kind of if you can share anything like which we have added and how are we looking at on EV business?

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Dinesh Patidar: We have experience of 40 years' in Shakti Pumps of making motors, have experience of 8 years to 10 years in making controller hence we will get benefit of this experience in EV and some bus manufactures are there, some are 2-wheelers and some are 3-wheelers everywhere their work is in progress and I think in EV it will take little more time because in our country until DC to DC charger and charging quantity like as many petrol pumps are there that many charging stations has to be made till then 2 years to 3 years more time will be required and we are also stabilizing our quality slowly because automobile quality is a different standard hence we are also working on that and we have registered ourselves in that. In some places we are doing well and there are offers from some other places also I will not disclose the name right now and in some places we have already been registered also. So, my request to you is that in the future we are going to do a great work in EV.

Mehul Mehta: For couple of years like KUSUM will bring growth and post that EV will take both the engines will start working can we expect that,

sir?

Dinesh Patidar: Right.

Moderator: Thank you. The next question is from the line of Ketan from Rojo Capital. Please go ahead.

Ketan: Sir how much volume of pumps did we execute in Q4?

Dinesh Patel: In this we have installed around 15,000 pumps under KUSUM.

Ketan: In FY25 and FY26 how much number of pumps we will execute?

Dinesh Patidar: We will move forward with a minimum guarantee of 25% to 30%. You don't look at the numbers, don't see on quarter-on-quarter basis, but we will definitely give you growth year-on-year and you will definitely see a minimum growth of 30%.

Ketan: And sir this time in EBITDA besides the decreased raw material price nothing was one off, right?

Dinesh Patel: Besides that, the operational efficiency was there. Actually, after one scale when you do production there only variable cost is hit, doesn't hit fixed cost, so that impact comes in margin that we both know.

Ketan: But this is not one off, this will be continued because we are going to do volumes going further, but as such there was no one off, right?

Dinesh Patel: Will update you in next quarter.

Ketan: Just needed 2 confirmations, for this quarter we have told for KUSUM is Rs. 473 crores, right?

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Dinesh Patidar: Right.

Ketan: The raw material price has reduced by 12%, right?

Dinesh Patidar: No. In raw material prices you assume that the 1.5% reduced is in our basic stainless steel and other materials and little bit reduced in solar panel and little is reduced due to the efficiency improvement which we have done by increasing our production and if you want separate detail then we will definitely provide you. Come to our place we can show you here also.

Moderator: Thank you. The next question is from the line of Arpit Shah from Stallion Asset. Please go

ahead.

Arpit Shah: Just wanted to understand that the revenue of Rs. 600 crores which we have done this quarter typically under pumps what will be the contribution of solar cell?

Dinesh Patidar: Assume that 50% of our business of Rs. 473 crores is solar cell.

Arpit Shah: Your solar cells sales will be around Rs. 240 crores, right?

Dinesh Patidar: Perfectly right.

Arpit Shah: So, their margins like you have guided 15% operating margin for FY25, how is it divided in between pumps and solar cells. What kind of margin are you going to do in solar cells?

Dinesh Patidar: We are not going to make margin in solar cells because for us solar cells is a bought out product because it is necessary for us to give it with the pumps, so we don't add any margin with it. Basically, margin comes on our product today if you are seeing a margin of 16% and I have done a government sale of Rs. 473 crores then in that the 16% margin which you are seeing in that if 50% solar is removed then you can see my margin as 30%.

Arpit Shah: Sir 30% margin is your products margin, broadly?

Dinesh Patidar: Right.

Arpit Shah: So, this Rs. 600 crores number which you have done in Q4, so this seasonality will continue, or momentum will go on under KUSUM? Q1, Q2 will be dip or the number will be on the higher end?

Dinesh Patidar: No, we are bringing expansion. We are seeing a huge and a better market ahead that is why we will do a minimum growth of 30% year-on-year.

Arpit Shah: If I see your market share in KUSUM website you have 26% overall market share, but if I see your incremental market share then it is around 43%, so will you be able to maintain this incremental market share around 40% to 50%?

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Dinesh Patidar: No, this 43% which you are seeing is something else. Total 26% is showing in their website, but what I am telling you is that currently we are at 30% market share. That is more correct.

Dinesh Patel: Market share is 26% you

have seen it wrong somewhere.

Arpit Shah: No, if incrementally I see then it is around 43%. What you show executed in your presentation that you have executed Rs. 81,754 in Q4. In Q3 presentation you have shown Rs. 68,779 you had an incremental?

Dinesh Patel: Actually, in this we don't see temporary impact we always say on year-on-year basis that is why we are talking with you on YTD level that in this total pumps have been executed and from that what was our market share is different that is the different study and if you want a different study then as Dinesh sir has welcomed you please come I will tell you 2, 3 more studies.

Arpit Shah: Broadly you are saying 30%, 15% is operating margin you are guiding for FY25 and could be better than that?

Dinesh Patidar: Yes, we will make market share and will increase slowly.

Moderator: Thank you. The next question is from the line of Pritesh Chedda from Lucky Investments.

Please go ahead.

Pritesh Chedda: I just wanted to check how many players in the solar pump side have their own variable frequency drive?

Dinesh Patidar: Majorly we are the manufacturers of frequency drive in India. We are the ones who are making in pump industry and haven't found anyone yet who has made pumps yet. Yes, there will be other small players as ours is a big country.

Pritesh Chedda: So, in the 75% market share that the other players have do they use imported frequency drive? Do they get it from India? How is it?

Dinesh Patidar: Basically screw assembly is going on these days that too will stop in few days, ISI has come in that too, so I don't think that Chinese product will be sold in our country in the future because if we have to make our country Atmanirbhar Bharat then in VFD a ISI mark has come and it will be compulsory in the future then will be able to know from where it is coming, where it is going, what is happening and who is buying.

Pritesh Chedda: So, as of now everyone is assembling imported or using imported, that is how it is, right other than you who is having your own frequency drive?

Dinesh Patidar: Right.

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Pritesh Chedda: Do you sell frequency drive to any of the pump manufacturer?

Dinesh Patidar: We are not doing it yet. We have little capacity and as our capacity increases yes, definitely we will give to other pump industry.

Dinesh Patel: Currently we are not supplying to the OEM customers in pump industry market.

Pritesh Chedda: So, you don't supply pump neither you do you supply frequency drive to any of the other....

Dinesh Patidar: Right now, but in the future as the capacity increases we will definitely do.

Moderator: Thank you. Ladies and gentlemen due to the time constraint we will take this as the last question. I would now like to hand the conference over to Mr. Dinesh Patidar for closing comments.

Dinesh Patidar: Thank you everyone for attending this call. If any of your queries remained unanswered then you can contact with our EY IR team. Once again I invite you all to come and visit our plant.

Thank you very much.

Moderator: Thank you. On behalf of Shakti Pumps India Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Disclaimer : E&OE. This transcript has been edited for factual errors. In case of discrepancy, the audio recordings uploaded on stock exchange on 29 April 2024 will prevail.

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"Shakti Pumps (India) Limited Q1 FY25 Earnings
Conference Call "

July 22 , 202 4

MANAGEMENT : MR. DINESH PATIDAR - CHAIRMAN
MR. RAMESH PATIDAR - MANAGING DIRECTOR
MR. DINESH PATEL - CHIEF FINANCIAL OFFICER
MR. RAVI PATIDAR - CS & COMPLIANCE OFFICER

ANALYST : MR. ROHIT ANAND – ERNST & YOUNG LLP

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Moderator: Ladies and gentlemen, good day and welcome to the Shakti Pumps (India) Limited Q1 FY25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to Mr. Rohit Anand from Ernst & Young LLP. Thank you, and over to you, Mr. Rohit Anand.

Rohit Anand: Good afternoon, everyone.

Before we proceed, let me remind you that this discussion may contain forward -looking statements that may involve known or unknown risk, uncertainties, and other factors. It must be viewed in conjunction with our business risk that could cause future results, performance, or achievements to differ significantly from what is expressed or implied by such forward -looking statements.

To take us forward through the financial results and business development and to answer your question today, we have the senior management of Shakti Pumps (India) Limited represented by Mr. Dinesh Patidar - Chairman; Mr. Ramesh Patidar - Managing Director ; Mr. Dinesh Patel - Chief Financial Officer and Mr. Ravi Patidar - Company Secretary & Compliance Officer.

We will start the call with a brief Overview of the past quarter by Mr. Patidar followed by an interactive Q&A session. I will now hand over the call to Mr. Patidar . Over to you, sir.

Dinesh Patidar: Thank you, Rohit. Namaskar to all and thank you for joining us on this call today . I am very happy to report an outstanding start to the Financial Year 2025, with the first quarter demonstrating robust revenue growth and enhanced profitability. We delivered revenue of Rs. 568 crores, which was four times higher than the same quarter in the previous year . We also delivered a manifold growth in profitability as our Profit After Tax grew from Rs. 1 crores to Rs. 93 crores in this quarter .

Our EBITDA for this quarter was Rs. 136 crores. Our commendable performance is attributable to the accelerated execution of the order book. We also benefitted from a decline in raw material prices, along with economies of scale resulting from higher execution rate during the quarter, which resulted in a strong expansion in margins. We have negotiated with our vendors and suppliers and gave them a planning schedule and worked on the price. With this

we have succeeded in reducing the price of our raw material by 3% .
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We expect the order book of Rs. 2,000 cr ores should be implemented in the next 15 months efficiently . We are plan ning to complete the order of approximately Rs. 500 crores in the Q2, the execution is dependent upon how the monsoon season in India will emerge for the quarter . We continue to maintain our focus on technology and innovation, as we received another patent during the quarter, taking the total number of patents granted to 14, out of the 29 which we had filed. We are also going to book good orders in export. We hope t o get good orders there as well.

With this, to take you through financial highlights , I would like to hand over the call to our CFO – Mr. Dinesh Patel. Over to you Dinesh Ji.

Dinesh Patel: Thank you, sir, Good afternoon, everyone.

During the Q1 FY25 was our revenue was at Rs. 567.6 crores which increased from Rs. 113.1 crores in the same quarter last year reporting a growth of 4 times .

Our EBITDA stood at Rs. 135.9 crore s as against Rs. 7.9 crore s in Q1 FY24. EBIDA margin were at 23 .9% in this quarter , as against 7 .0% in Q1 FY24. The expansion in margin was largely driven by economies of scale and higher execution of or

ders along with some benefits
accrued due to decline in raw material prices.

Profit after tax stood at Rs. 92.6 cror es compared to Rs. 1.0 crore in Q1 FY24. PAT margin stood at 16.3% as compared to 0.9% in the corresponding quarter of the previous fiscal.

The company's long term credit rating has been upgraded to A + stable from India Rating s & Research.

With our stron g balance sheet and the key metrics , we are confident in the timely completion of order book and consolidate our position in the market.

With this, I now request the moderator to open the floor for question and answer. Thank you .

Moderator: Thank you very much. We will now begin the question -and-answer session. The f irst question is from the line of Deepak Purswani from SVAN I nvestments . Please go ahead .

Deepak Purswani: Sir, firstly, we wanted to understand that if we look at the order inflo w how should we look at the trajectory going forward and what are the states we are targeting at? If you can share some insights on that.

Dinesh Patidar: You need state wise, right?

Deepak Purswani: Yes, and now basically how our order inflow pipeline is looking now and how should we look ahead? From which states are we exploring the opportunity?

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Dinesh Patidar: That's a very good question. Deepak, we are going to do well in Maharashtra. And you know that we do well in Rajasthan, in Haryana , in UP. So, we a re working in these states, and we will continue do well.

Deepak Purswani: And sir, if you could share some insights, how many tenders are open and how many bid pipeline s are open where we are participating?

Dinesh Patidar: Tender process has already been done and t here is no concern about the tender s. Tender s were called for two years. And, Now only three quarters are past while rest of the quarters are remaining. And all state government s are planning everything well. So, the tender quantity you are seein g is increasing and we hope that this will continue .

Deepak Purswani: Sir, how should we see the target of this year's order inflow?

Dinesh Patidar: Deepak , as we have already informed in the earlier calls that as last year, we did around Rs. 1370 crore s, we will continue to grow by at least 30%. It is monsoon season, there are elections in Maharashtra, Haryana, and some other states . But we are still in the stage of making it to 30% more than Rs. 1370 crores .

Deepak Purswani: We have seen that there are some new players entering this space. So, how should we look ahead? Is the competitive intensity increasing for us or are we confident that our order inflow or our market share will be maintained?

Dinesh Patidar: Yes, we can not stop the new players. The new players will come, some will exit. But we are fully confident about our technology, our company, and our products. The technology that we have developed in the last 40 years, the brand in the market, we will keep getting the b enefit of it. New players will come, it is good and should come as it is a big market. We will welcome the new players who will come.

Deepak Purswani: And secondly, sir, on the margin front , we have seen a significant improvement in this quarter. So, how was the procurement price of our Solar panel in this quarter?

Dinesh Patidar: Yes, as I have told you the same in my speech . That , in the Solar panel price s and in the other

raw material prices, we negotiated very well, we did very good advance planning. Then, in advance, the transportation cost is reduced, the vendor is confident, and it is easy to supply for them also. So, all these things when you have the order, you can negotiate it well. The price has also reduced a little for solar panel, so we have benefited from that also. As you can see, we have succeeded in reducing the price by 3% in the raw materials.

Deepak Purswani: So, the procurem

ent of solar panel was around Rs. 15 in this quarter?

Dinesh Patidar: Deepak, we are negotiating with 2-3 vendors. So, I think it is not possible to talk on this call.

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Moderator: Thank you, sir. The next question is from Aashish Uppanlawar from InvesQ. You may go ahead, sir.

Aashish Uppanlawar: On the Ajmer pilot project, any updates on that? If you could also tell us about the progress of Component t-C, how things are looking and what is our competitive edge in that? We would also want to know if it goes through in the next maybe one or two years, how things will look like?

Dinesh Patidar: Yes, Ashish. As you can see, Component -C is our dream project. For others in the call, I would like to tell that Component -C is a very good scheme. In this, the farmer gets an income of Rs. 50,000 a year and DISCOM will get a profit of Rs. 1 lakh a year. And in 3-4 years the entire investment of DISCOM becomes free. To make this scheme successful, we have already found around 200-250 feeders in Rajasthan Ajmer, DISCOM. We are working on this and being a new project it is a challenging one for us. It is a pilot project for us too which is worth about Rs. 150 crores pilot project. We have already installed approximately around 56 pumps. It is working successfully. Now it will pick up speed, as it was very new for us and the DISCOM department. Now everything has been lined up. And it is quite possible that we will be able to complete it in the next two quarters.

Aashish Uppanlawar: So, after two quarters, you are saying that there will be some traction in the Component -C orders?

Dinesh Patidar: Right. What we will do is that when this project will be completed, we will talk to all the MDs of all the DISCOMs and show that the best way to reduce their loss is through the grid connected pumps. It's not only increasing the farmer's income, but it's also reducing the loss of DISCOM. And this money is also being getting freed in 3-4 years, so I think that we will also get orders from DISCOM. And I would like to talk about technological aspect in this. So, our shareholders should also know that when the pump is running in the grid and if water requirement is less, then the farmer can export the remaining electricity to the grid. Shakti Pumps also has a patent in this. So, this product will be very good for us in the future. Grid connected pumps will be counted as amongst the good system in India in the coming time.

Aashish Uppanlawar: But does anyone else have this technology? As of now, whatever you know?

Dinesh Patidar: Competitors have the technology, but they have to turn off the pump, then start the switch and then the supply will go to the grid. They do it manually. With the use of our technology, if your requirement is for 1000 liters and if you need only 500 liters, then at the same time, the remaining electricity can be supplied to the grid. The technology available in the world is that you turn off the pump, then the grid will be supplied.

Aashish Uppanlawar: So, we will be basically niche in this, or we will have to share technology with others?

Dinesh Patidar: We will see what happens next, but I think this will be our biggest edge.

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Moderator: Thank you. The next question is from Harshil Solanki from Equitree Capital. Sir, you may go ahead.

Harshil Solanki: Sir, Maharashtra has announced in their state budget that they are going to allot 8.5 lakh solar pumps. So, can our company gain from that and by when are you seeing the tractions on the orders?

Dinesh Patidar: Yes, Harshil, Maharashtra government has planned 8.5 lakhs in their budget, then we will also be able to get our share. The effort is still going on. We are working at a speed and will work at a greater speed further and it will

be a big benefit for us.

Harshil Solanki: We have big orders expected, right?

Dinesh Patidar: Right

Harshil Solanki: Because Maharashtra is a strong market.

Dinesh Patidar: We are already present in Maharashtra, working with DISCOM. The order of approx. Rs. 1400 crores is pending as of now. We have supplied few in every quarter. And already there is a

good demand and our brand recognition is also very good.

Harshil Solanki: If we see nonetheless, Rs. 2400 crores we can do this year and our capacity is that much, so how can we grow next year, what is our plan? Because CAPEX for which QIP was done, is going to come after a year. So, what are your plans for capacity wise growth next year?

Dinesh Patidar: Yes, Harshil, you are absolutely right. I have already said about it while giving the guidance .

We are planning for 30% growth over last year and we are working on it to meet the full target.

As our skills improve, we will work on it further . The expansion plans are also in progress.

Our team is ready to move forward. But as there is monsoon season in coming quarter , and election s in few states . So, we are giving you a conservative figure that we will do 30% growth on Rs. 1370 crores , reaching around Rs. 1750 crores at least .

Harshil Solanki: And sir, the free cash flow that we will generate, because of good profit, where are we thinking of deploying it? Because we have already done a QIP, so how will we plan the deployment of the surplus funds?

Dinesh Patel: Harshil, actually you have to understand two things. First, we already have an expansion plan, so we have taken some funding through QIP, and we have to fund from internal accruals as well. Second thing is we have a big project of EV in hand in which we have to make high investment and which we want to fund without taking banking finance. So, let's see, in the coming weeks with the new developments, management will keep updating you about it quarter -on-quarter.

Harshil Solanki: And Dinesh ji, if you can give us the receivable number in this quarter, please?

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Dinesh Patel: You want it as on date?

Harshil Solanki: Yes.

Dinesh Patel: Rs. 883 crores receivable till date, 30th June 2024.

Moderator: Thank you. The next question is from Avi Agarwal from Arihan t Capital Markets Limited.

Please go ahead , sir.

Avi Agarwal: Sir, I wanted to ask you about the Shakti EV Mobility and what are the plans for this in the future ? And regarding our plan to double our capacity , what is the progress in this?

Dinesh Patidar: First of all, let me tell you about Shakti EV Mobility because we have been making motors for the last 40 years. So, the experience of making motors should benefit the company and its shareholders. For that, we have formed a company called Shakti EV Mobility and we will invest around Rs. 250 crores in the next two years. And the motors and controllers will be manufactured for 2-wheelers, 3 -wheelers, 4 -wheelers, and buses. We have already built some motor s in that. Today, we have around 2, 000 buses running on the road. So, we have been working slow to prove our technology, now the speed will increase. We have also ordered the plant and machinery and installation is on track . As we progress, we will talk about th e growth in coming quarter s as well . We will tell you about it. Mr. Agarwal, the best thing is that we have the experience of making both controller s and motor s. And in India, we still don't see EV motors being manufactured on a very large scale. The central government's plan of Atman irbhar Bharat requires to use the manufactured things in India . So, we see a good opportunity in that. That's why we have planned to make such a big investment there.

Avi Agarwal: So, sir, which company have you tied up for your motor supply and what can be the timeline for its execution?

Din

esh Patidar: We welcome you Mr. Agarwal. I invite all the participants in this call. Please come and visit the factory. As of now I can't take the names of the companies in this call because we have signed NDA with them.

Avi Agarwal: And sir, one last question that , the capacity of you r solar pumps , your guidance is to double the capacity of your solar pumps. What is the progress in this ?

Dinesh Patidar: They are on track . Our guidance was to double it. You must be having the information that we have done equity participation with SBIMF and LIC MF on account of that . The things are progressing well. We have already placed some order s for Plant & Machinery and some we are going to do in future . Madhya Pradesh Government has already allotment the land and the land registration are going to happen soon. As and when things progress and we will get a clarity , we will inform you.

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Moderator: Thank you. The next question is from Rajesh Vora from Jainma y Venture. You may go ahead.

Rajesh Vora: In last 3 years, in the financial year of 2021 , 2022, 2023, if we calculate the cumulative profit , it is less than Rs. 165 crores and you have increased it by Rs. 180 crores in the last two quarters. So, well done. What are the 3-4 things that have caused such a huge change in profits,

revenue, and sales? It would be nice if you could tell us about that.

Dinesh Patidar: Absolutely, Mr. Rajesh. Actually, for the past 5 -6 years we have been waiting for KUSUM scheme . And in every call, we have been saying that KUSUM scheme is on the progress.

There are few issues in KUSUM 1 and in KUSUM 2. That is why we have created our company for these days. We have been working in the energy efficient pump for the past 20 years so that in the coming time our shareholders will get some profit . So, now KUSUM scheme has been established in the market. Demand is coming from everywhere. Every customer is praising it. Every farmer wants to take it. With solar pumps, the farmer automatically converts it to micro -irrigation and is generating higher income for himself .

Government losses are decreasing. So, we are also gradually scaling ourselves. We have the capacity, and we are going to expand it further. So, the company was set up for such days . And now you see, we are going to do better work than this.

Rajesh Vora: So, now any major issue is not there that needs any intervention by the government, central government, everything is clear?

Dinesh Patidar: Yes, everything is very clear, and it has happened in a very good way because in this, there are equal role of state government, farmer, and central government . As a result , we can see tender of 8.5 lakhs pumps project from Maharashtra. Government also wants their DISCOM losses to get reduced and farmer is also hoping to get a profit from this.

Rajesh Vora: Win-Win situation, great. In this quarter, we have installed about 14,700 pumps under PM KUSUM, so how much of the whole industry will be approximately if CFO can share the number ? What was the market share in this quarter?

Dinesh Patel: It has been updated in PPT. It is around 70,000-80,000 approx .

Rajesh Vora: So, our market share will be 20% less or greater?

Dinesh Patidar: We can't say that because there are old figures on the portal , the information on the state portal regarding the vendors who have supplied in KUSUM 1, KUSUM 2 and KUSUM 3 are getting updated. So, that is why you feel our market share is around 20%. But, let me tell you, we have maintained our market share elsewhere. We have slowed down a little bit in Maharashtra. Our payment was due from Maharashtra , so we have reduced the focus a little bit there. We have received payments of Rs. 60 crores and Rs. 50 crores now. Now we are going to increase the speed again . If we see that even though they have m

oney in the budget, the payment is delayed

due to some issues , we stop supplying.

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Rajesh Vora: The last question, in this quarter, the percentage of revenue from government would be how much?

Dinesh Patidar: 78%.

Moderator: Thank you. The next question is from Tushar Jain from Sumitomo Mitsui DS Asset Management. You may go ahead.

Tushar Jain: Sir, I wanted to understand two things. First, you said you have done Rs. 568 crore s in revenue and you are saying that you will do Rs. 500 crore s in the next quarter but you are saying only Rs. 1750 crore s for the whole year. So, in the second half, do you want to keep a surprise element or is there some seasonality because of which you are giving such guidance?

Dinesh Patidar: We don't know how the rainy season will be , in Rajasthan, in Punjab, or in Haryana or in Maharashtra. So, the installation activity slows down due to rain. Also, the elections are coming up in few states. So, there are a couple of issues that we can't control. But if these issues are not there, then we will do better. But we are saying that we will increase revenues by 30% even factoring these issues.

Tushar Jain: And secondly, you said that you have been able to negotiate in raw materials. So, if you give us an idea of what is your major raw material?

Dinesh Patidar: Major raw material is solar panels, stainless steel, copper. These are our three major raw materials.

Tushar Jain: So, mostly negotiation might have happened on the solar panel ?

Dinesh Patidar: Yes, negotiations were done on the solar panel and also on the steel.

Moderator: Thank you. The next question is from Ajay Kumar Surya from Niveshaay . You may go ahead , sir.

Ajay Kumar Surya: Sir, my question is, as we see on KUSUM website, they say that about 13.5 lakh s pumps have been sanctioned and KUSUM scheme has plan of total 17.5 lakh pumps. So, sir, I wanted to know that till today how much tendering has happened for pumps? Can you tell us how much percentage of pumps have been tendered?

Dinesh Patidar: It is not because of the percentage of pumps, or the number of pumps tendering has happened. This tender has been done under a rate contract. The Government of India had called for a rate contract. In that rate contract there is no limitation regarding number of pumps . Decision maker is farmer, 25% to 40 % money is to be given by farmer; state gives the rest of the money

and the central gives the rest of the money. So, there is no issue with numbers. And there is no issue with tender. This rate contract was called for the next two years. So far, only three quarters have been called. The rest of the quarters are in our hands.

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Ajaykumar Surya: No sir, I am asking that the 13.5 lakh pumps mentioned, so has the tendering of those pumps been done? Have you got orders in it or are there orders left in the market?

Dinesh Patel: It is ongoing. As Dinesh sir has said, tender is called for two years. Tender is market mode, so state-wise portals open and quantity is allotted. So, the sanctioned quantity that you see now through the portal is actual.

Dinesh Patidar: So, in that as farmers choose, we get orders. Here decision maker is a farmer, there is no meaning of numbers.

Ajaykumar Surya: Second question was, like today, the state government in Maharashtra is also putting a lot of pumps by itself. And sir, as seen in subsidies, the total subsidy is more than the 60% subsidy of the central and state. Sir, how will we focus in the future? Should we focus on state government orders only or should we focus on KUSUM? I mean, how do you see your focus area in the future?

Dinesh Patidar: Look, if you ask me about our focus area in the future, I am working towards cash market. Now, cash market has already increased in

India. People don't have to wait for so long for solar pumps to give them subsidy. Now the market is slowly converting towards the cash market. So, our target is to support our small dealers at every Tahsil level, at the Taluka level, and further market our products through them. As far as the working with the government is concerned, in KUSUM we are working with both the central government and with the state government. So, at both the places, we feel that now the opportunity for us is to establish our own brand there. So, that in the coming time, we can benefit from the private market and cash sales. That's why we are working on the brand and the quality.

Ajaykumar Surya: Sir, the order that has to be made in KUSUM the farmer chooses himself. So, does in the state government's policy also the farmer chooses himself or does the government give L1 or similar tender that we have to be a little price competitive there?

Dinesh Patidar: There is no concept of L1. The farmer makes the decision because ultimately it is his money in it. Those who will give good service, those who will make good brand, they will get the order.

Ajaykumar Surya: So, in both the schemes, the farmer will choose.

Dinesh Patidar: Yes definitely.

Ajaykumar Surya: Last question, as solar module is our major component in raw material, so there is domestic content requirement also in this, so how are we seeing prices, because our margins have been good in last 2-3 quarters. So, going forward how are we seeing the margins with respect to prices. What is our planning so that our margins will become more stable?

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Dinesh Patidar: Solar module requires DCR cell. As you know, there is a DCR cell capacity of 8 to 10 Giga in India. We have to take it from there. In the coming time, I think manufacturers are working on its capacity enhancement. As the capacity enhancement progresses, I think the price of solar should come down. I think there is a 20% to 25% chance of solar price to go down.

Moderator: Thank you. The next question is from Swati Jhunjhunwala from JM Financial. You may go ahead ma'am.

Swati Jhunjhunwala: I have a couple of questions. Firstly, the margin of 23%-24%, is it only for this quarter or we can do a margin of 22%-23% in future as well? That was the first question. Secondly, can you give us an idea of our submersible vs solar pumps? What is the mix? So, will there be any change in the capacity of solar pump? These are the two questions.

Dinesh Patidar: Okay. Swati madam, first let me talk about the margin. The improvement we have made is due to the negotiations, the negotiations are always going on. As the quantity improves, as you know, the expenses decrease and the margin improves, it is a known fact. We will continue with the negotiations in the future. And our dream is that we will always negotiate and buy our raw material in the best possible way. Secondly, we are in the SAP now, so we can do good planning and estimates for raw materials, we can give orders to our vendors for the next 3-4 months. So, because of that, vendors are confident, and they provide good rates. So, we will continue to work well with margin. Now, you have asked about solar and submersible pumps. Majority is solar pumps. We are moving ahead on that. And that is what we feel will give us the benefit of energy efficiency.

Swati Jhunjhunwala: Also, one more question. You have said that you don't have to turn off the pump to supply to the grid. Do you charge premium? As opposed to other players, is the pricing a bit more? What

is the benefit of technology? If you can, tell us about that.

Dinesh Patidar: Basically, first of all, we have to prove the concept of grid -connected pumps in India. So, we will see if we can get a margin in this. First of all, this concept is new in the whole country and in the who

le world. It is connected to both grid and solar. So, both are of the same type. This concept is a bit new. We will have to prove it to people. We are trying to successfully run this grid-connected pump for 5 years. The biggest challenge of grid -connected pumps on the agricultural side because there is no guarantee of grid availability. If there is a grid -connected pump and you have installed solar and there is no grid availability, then we are lagging behind in exporting in the grid.

If the grid is not available, then the export is not happening. But the farmer can pump the soil and give water to his cattle. So, we have to prove all these things. And to prove this we have taken a project of Rs. 150 crores for Ajmer DISCOM, and we will prove it. As soon as it is proved, we will take all the DISCOMs of India and show them. And in the coming time, we feel that it is a very good product for the company.

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Moderator: Thank you. The next question is from Rushik. Please go ahead.

Rushik: Yes sir, there is confusion in slides . Slide #30 and #31; in slide number 30 we are showing that Indian industry solar pump market size is 150 billion and in #31 we are telling that it is 1,47,000 crores . So, sir we have to understand what this confusion is we have to clear it .

Dinesh Patidar: We will give it to your, later. Actually the 49 lakh pumps you are seeing are from KUSUM and we are talking about the overall.

Rushik: So, sir, overall it is very less. We are telling that it is only 15,000 crores market size. But actually what we are showing in 31 is KUSUMs market size of 1 ,47,000 crores.

Dinesh Patidar: No, it is in billion INR. Please check again.

Rushik: Yes sir, both are in billion.

Dinesh Patidar: No, it is in lakhs. It is 49 lakh pumps.

Rushik: No sir, the one we give below in market size billion, we have given 1470 billion.

Dinesh Patidar: We will check it and inform you separately.

Rushik: Okay sir. And sir, the second thing I wanted to ask is, if we are seeing the success that we are getting in our KUSUM in solar pump, and we have expanded capacity for it, this pump is beneficial for farmers and government , so we can be more aggressive in CAPEX in the future . And if we plan CAPEX in the future, then the cost of product will also be less because scale will increase So, what is your view in this for the next 3 years ?

Dinesh Patidar: We have planned expansion because we are seeing a good business opportunity after the expansion is complete. As it goes on, we will have to increase the quantity . In our country, there is requirement of 4.5 crore grid-connected pumps which are used by farmers. And similar number is required for diesel pumps . So, there is a requirement of 8 -9 crore pumps in the country. Our capacity alone is not that much. Gradually, we will try to enhance our capacity and keep moving forward.

Rushik: Sir, how long is the life cycle of the pumps that we install? I mean, how long is the replacement cycle?

Dinesh Patidar: See, replacement cycle is 5 years in VFD, 10 years in pumps and 25 years in solar panels. So, our secondary sale has started from Madhya Pradesh, the pumps that were installed in Chhattisgarh , all those pumps some are coming in replacement, so it is going on. We are establishing ourselves in that market.

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Rushik: Okay sir, the last question is that in the future, in what range will we keep our EBITDA margin? Like we have historically done 14 -15%, and in the last two quarters, our margin is very good because raw material price is also supporting us and our economies of scale is also happening, then in the future, what do you think, will we do more than the EBITDA margin 14-15% in a sustainable basis ? Somewhere around 18 % to 20%, can we do at a steady rate?

Dinesh

Patidar: We have been answering this question before. We are still trying to maintain the EBITDA at 15% to 16 % . You must have seen this quarter. We have brought you the profit as soon as we got the chance. But the 15 % to 16 % target that we have given to our team, we will keep improving in the coming months.

Moderator: Thank you. The next question is from Bharat Shah from Ask Investment Managers Limited. Sir, you may go ahead.

Bharat Shah: I will come back to the question of margins because there is a lot of confusion about the numbers. So, in the quarter of March 2024, it is about 21.5%. The one that has gone now, it is about 24%. But if we look at the history, we have never seen such margins. If you put a light on it, you will understand how this kind of margin is sustainable. Historically, company have never delivered such numbers. But suddenly good numbers are seen in two quarters.

Dinesh Patel: Sir, actually the margin you are seeing now is a result of an improvement of economies of scale plus decline in raw material prices. Our dependence is on solar panels and the major margin driver depends on the price of solar panels. You will see that in the last three quarters, the price of solar panels has softened, which improved our margins. In the next quarter, we will update you about the future. But we will maintain a margin of 15 %-16% even in a worst situation. This is our guidance that we have given in the last quarter and in this quarter as well. If we talk about revenue basis, we will maintain a 30% growth minimum. If we talk about the EBITDA margin, we will maintain a 15 %-16% growth level.

Bharat Shah: 30% is for this year or?

Dinesh Patel: We are talking about year -on-year basis. We don't give guidance on quarter -on-quarter.

Revenue guidance for next quarter is for Rs. 500 crores.

Bharat Shah: No, I have not talked about the quarter. I said, the 30 %, so is that for this year or longer term?

Dinesh Patel: We are giving 25 %-30% revenue growth guidance on a yearly basis. We did Rs. 1370 crores last year. And this year we will fetch revenue of Rs. 1750 crores.

Bharat Shah: So, you are seeing 25 %-30% growth for the next 3 -4 years.

Dinesh Patel: Yes, that is why we have done expansion because we see a big opportunity ahead.

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Bharat Shah: How much margin is structurally secured in your hands and how much is based on an external factor ?

Dinesh Patel: Mostly sir there are external factors. Like the prices of raw materials. If you look historically our raw material is 65%. So, gross margin will be 35%, so if price hike from 35% to 65% then it will have a reverse impact on my gross margin plus my EBITDA margin and my PAT .

Bharat Shah: Absolutely. I will ask one last question. Deepak ji had mentioned about research & development that company has applied for many patents. You have already got about 13 -14 patents. So, as a research and development organization, what are your efforts? How many people are there? What kind of work is going on? Can you give some light on that?

Dinesh Patidar: Shakti Pump is an R&D company. We have 8 PhD holders from IIT Delhi, IIT Mumbai and all the IIT of the country who have done their PhDs in Power Electronics and Motors . There are about 50 Masters and around 100 Engineers. Now, yesterday in our Board meeting, we have appointed an independent director Prof. Bhim Singh and Pawan Kumar Hari from IIT Delhi . One retired IAS Officer who has worked in energy department in Gujarat, H.S. Patel, who has worked with Prime Minister Modi , we have hired him as the independent director. So, you can understand that the big names in our field have been taken in to the Board of the company. One is our IIM professor, who has a great reputation in Indore IIM in marketing and in the industry. We have appointed him as a Director of

the Company . Recently, we have appointed Mr.

Ashwin Bothra , who had done a remarkable work for the last 17 years in the Export Department was appointed as a Director of the Company. This has happened in yesterday 's Board meeting , we are an R&D company, and we want to progress in R&D. So, the people of R&D should guide us. We should not make any mistakes. That is why we have brought such people to the Board . And now you will see that the company will also move forward in their market.

Moderator: Thank you. The next question is from Darshil Pandya from Fintest Capital. Sir , you may go ahead.

Darshil Pandya: Sir, one question regarding the capacity that we are doubling. What will be our time frame? When will we be able to bring this capacity live?

Dinesh Patidar: We will be able to bring it in FY27.

Darshil Pandya: And the second question was , I missed out a little bit. Can you tell us more about the grid -connected pump? I missed out a little bit at the start.

Dinesh Patidar: No, it's okay. Grid -connected pump means that like the KUSUM scheme is running now , part B of the KUSUM scheme is off -grid pump is where there is no electricity connection. So, if today's electricity connection is to be given to a farmer, a 5 HP pump, it will cost Rs. 2 lakhs to connect the electricity. Whereas solar pumps are available for Rs. 2.5 lakhs. So, the

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government has decided to provide this electrical pump instead of giving new connections.

And electrical pump will consume electricity of Rs. 1 lakh per year. So, if we promote electric pumps every year, then DISCOMs will also be in loss and the farmers will not get electricity on time. So, if there is solar, the farmer will also get electricity on time. So, this is the case with KUSUM -B. In KUSUM -C, the grid -connected pump, where the connection has already been given, the expenses that have already been incurred by DISCOM and the government, if the farmer's income can be increased there, which is the scheme of Prime Minister Modi ji that the food provider become the energy provider . If a farmer does not need a pump for 3 60 days to water his fields , he only needs 180 days to water the fields , he will supply the remaining electricity to grid and DISCOM will take it into their use or sell it. So, the DISCOM that invests and installs all the pumps for free and in 3.5 years the entire investment of DISCOM will be free. And the farmer will also get an income of Rs. 50,000 per year. This scheme is so good.

Darshil Pandya: And we are giving pumps in this as you are saying.

Dinesh Patidar: We are giving pumps, solar structure, and the whole system. And our pumps are operated from mobile apps, i.e., digital pumps.

Darshil Pandya: Sir, how much have we utilized from the Rs. 200 crore s that we raised till now?

Dinesh Patidar: We have not utilized any of it till now. We will utilize those funds for the land registration and for the order of plant and machinery for the plant .

Darshil Pandya: In this, our subsidiaries abroad, the subsidiary that is in Bangladesh, nothing has happened there yet. So, are we going to do something there or what is it? What is the plan of export of the company?

Ramesh Patidar : The subsidiary that we have opened was for a project. So, we did a project in that one year ago and it is a government funded project. So, there is some delay in that. This year we are hoping to get some other projects in the financial year. We have also done a survey on the site. So, we have continued the subsidiary so that we can do the project.

Dinesh Patidar: UNICEF and World Bank 's funded projects are there, in which their terms and condition are there that allows to provide services. That is reason for us to start there . And we are also seeing that in the coming time, we will get some good business there. T

hey are also working in the

same way , they are supplying the pump free for farmers . Bangladesh government is also doing the same.

Darshil Pandya: And sir, this SBI Mutual Fund has diluted the stake a little in the last quarter. So, do you have any information regarding this? Will it remain?

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Dinesh Patidar: That is their decision making but we cannot discuss it on this call. We will definitely discuss it separately.

Moderator: Thank you, sir . The next question is from Ketan Athval from Robo Capital. Sir, you may go ahead.

Ketan Athval: Sir, I wanted to ask you that in this quarter how many pumps have you installed in KUSUM 3 and how much revenue have you received in KUSUM 3 this quarter?

Dinesh Patel: Under KUSUM 3 we installed around 15,000 pumps and revenue is around Rs. 445 crores.

Ketan Athval: And sir, a small question. We are taking a new initiative like Component C , so do we have a rough revenue figure as to how much revenue potential is there in this?

Dinesh Patel: We have a project of Rs. 150 crore s, which is a pilot project. Once it is successful, we will see a big opportunity for revenue.

Moderator: Thank you. The next question is from CA Garvit Goyal from Nvest Analytics Advisory, LLP.

You may go ahead.

CA Garvit Goyal: Just one question on the sustainability of growth. You mentioned that 30% growth will be there in the next 3 -4 years. But my question is related to capacity. Like in existing capacity we can make a revenue of Rs. 2,400 crores. How much of that can we utilize , that is question number one . And secondly, you mentioned that by FY27 our capacity will be double in solar pumps. So, how will the growth be in FY26? Minimum 30% .

Dinesh Patel: Actually, our existing capacity is sufficient for around Rs. 2,500 crores. Secondly, as has already told you in the previous quarters in concall and in the investor meet, our capacity is not such that we will come to bottleneck after this. Some bottlenecks for machines will come, which we can build in the existing capacity and expand it a little. So, that's why we don't see any big bottleneck here now. And the execution is going smoothly and will continue to happen , that is what we think.

CA Garvit Goyal: So, after doubling, you are saying that the pump capacity will be Rs. 5,000 crore s revenue, right?

Dinesh Patel: Yes, actually, I have a capacity of 5 lakh pump and motors, and I am building it up to 10 lakh pump and motor capacity. As soon as it happens, it will be sufficient capacity for Rs. 5,000 crore s.

CA Garvit Goyal: So, how much is the total CAPEX for this?

Dinesh Patel: I am planning for Rs. 250 crore s, out of which Rs. 200 crore s support has been given by SBIMF and LIC MF through QIP.

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CA Garvit Goyal: And the EV CAPEX is different from this?

Dinesh Patel: EV CAPEX is for different project, and we are funding it from internal accruals .

CA Garvit Goyal: And that will also come in FY26?

Dinesh Patel: It is a 5-year project. But yes, initially I am talking about the first phase which is starting now.

I have to inaugurate it in September 2024.

CA Garvit Goyal: Understood. And sir, when did you say EV Capex? How much will be on the margin?

Dinesh Patel: That is a very early question. Once we get to that, we will comment on it.

Dinesh Patidar: It will depend on the prices of competitors importing from China . We can fix our margin, but we have to see the price in competition. As we can see that it will be compulsory for everyone to buy Indian products because of Atmanirbhar Bharat . So, we will get a good margin. But if competitors put some caveat on pricing then the margin may be a stretched , but now 99% of the chances are that we will do good work on the good margin in Shakti EV .

CA Garvit Goyal: And

just last question sir, our order book has been reduced in this quarter. So, going ahead, how do you see the order book inflow in this quarter?

Dinesh Patidar: We believe Rs. 2,000 crore s order book is also a good figure.

CA Garvit Goyal: Last quarter it was Rs. 2,400 crores, now it has reduced to Rs. 2,000 crores . So, do you see orders inflow in the upcoming quarters, sir?

Dinesh Patidar: Yes, orders are coming, some orders are in the pipeline and orders will continue to come.

Dinesh Patel: And the order book for now is also sufficient for the next 15 months.

Moderator: Ladies and gentlemen, due to time constraints, we will take that as our last question. I would now like to hand the conference over to Mr. Dinesh Patidar for closing comments.

Dinesh Patidar: Thank s for attending the call and boosting our confidence. I am happy that I am able to answer all of your questions. If you have any other question or if you want to know anything, you can speak to our EY team and also to us. You can visit us, and we will be happy to show you, our plants. Thank you very much.

Moderator: On behalf of Shakti Pumps India Ltd. that concludes this conference. Thank you for joining us and you may now disconnect your lines .

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"Shakti Pumps (India) Limited
Q2 & H1 FY25 Earnings Conference Call"
October 28, 2024

MANAGEMENT : M R. DINESH PATIDAR – CHAIRMAN
M R. RAMESH PATIDAR – MANAGING DIRECTOR
M R. DINESH PATEL – CHIEF FINANCIAL OFFICER
M R. RAVI PATIDAR – CS & COMPLIANCE OFFICER

MODERATOR : M R. ROHIT ANAND – ERNST & YOUNG LLP

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 & H1 FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rohit Anand from Ernst & Young LLP. Thank you, and over to you, sir.

Rohit Anand: Good afternoon, everyone. Before we proceed, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risk that could cause future results performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements.

To take us forward through the financial results and development and to answer your questions today, we have the senior management of Shakti Pumps (India) Limited represented by Mr. Dinesh Patidar, Chairman; Mr. Ramesh Patidar, Managing Director; Mr. Dinesh Patel, Chief Financial Officer; and Mr. Ravi Patidar, CS and Compliance Officer. We will start the call with a brief overview of the past quarter by Mr. Dinesh Patidar followed by a Q&A session.

I will now hand over the call to Mr. Patidar. Over to you, sir.

Dinesh Patidar: Thank you, Rohit. Namaskar friends. Thank you for joining us. I am very happy to tell you that during the quarter we have broken all our records. If you see, our biggest quarter was of March '24, which was of INR609 crores in front of that, we have done this quarter of INR635 crores.

In the operating profit, the June '24 quarter, which was of INR 136 crores, that is now INR149 crores. So, I am very happy to tell you that now our company is moving forward and our team has done a very good job. In this quarter, our revenue which was INR635 crores is now 3x of last year's same quarter revenue. The PAT, which was INR101 crores is now 16x of last year's PAT. So, this quarter has contributed to make the first half of financial year even better.

Our achievement is well contributed through the exports, and we have got good orders in export as well. Adding to this, we have done decent execution in the home country as well. So I thank my team. The outstanding orders as on Sep '24 are of approximately INR 1,800 crores. Our primary status in PM Kusum Yojana is increasing continuously. We are very happy to inform that Government of India has granted us one more patent, the 15th patent overall, which is to make our VFD technology, so that in the coming time we can see some benefit of competition and pricing due to this patent.

As you all know that our Board has recommended a bonus issue with the ratio of 5:1 which is

our commitment to reward the shareholders. In the margin, we have benefited from last
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quarter's uprising structure. And the profit we have received due to the increase in production capacity is also seen as a margin.

Apart from this, our company is also growing in the retail sector, we are also growing in exports and solar sector and in the industrial market. We are also moving forward in the solar sector without any subsidy business. We are also going to make some new strategies in that business. Now, for further financial information, I will hand over the call to our CFO, Dinesh Patel. Over to you Dinesh Patel.

Dinesh Patel: Thank you, sir. Good afternoon, everyone. We delivered a remarkable performance during the quarter 2 and first half of financial year 2025. We reported a revenue from operation

of

INR634.6 crores in Q2 FY '25, which was at INR152.8 crores in Q2 FY '24, a growth of 315% year-on-year basis.

EBITDA increased to INR148.7 crores this quarter as compared to INR15.2 crores in the corresponding quarter of previous year. EBITDA margin expanded significantly to 23.4% from 10% in Q2 FY '24. This expansion was largely due to higher execution of orders and realization of economies of scale.

PAT of Q2 FY '25 stood at INR101.4 crores with a PAT margin of 16% as compared to INR5.9 crores at a PAT margin of 3.8% in Q2 FY '24. Earnings per share for the quarter was at INR50.6 as compared to INR3.2 per share Q2 FY '24.

In H1 FY '25, the company recorded revenue amounting to INR1,202.2 crores, which represents a substantial 3.5x increase from INR265.8 crores in H1 FY '24. EBITDA also witnessed a significant rise to INR284.6 crores, translating to an EBITDA margin of 23.7% as compared to INR23.1 crores and an EBITDA margin of 8.7% in H1 FY '24.

PAT for FY '25 stood at INR194.1 crores with a PAT margin of 16.1% as compared to INR6.9 crores and a PAT margin of 2.6% in H1 FY '24. EPS for H1 FY '25 was INR96.9 per share as compared to INR3.7 per share in corresponding period of last year.

The company's long-term credit rating remained at A+ stable from India Rating and Research. With our strong balance sheet and the key metrics, we are confident in the timely completion of order book and consolidate our position in the market.

With this, I now request the moderator to open the floor for question-and-answer. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Ashish Soni from Family Office.

Ashish Soni: Sir, what about margin sustainability? Last quarter, you said margin can improve, but is it peak right now? What's your sense on the margin?

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Dinesh Patidar: Yes, in margin you have seen the role of raw material. Since last year, in two, three quarters, the raw material has been stabilised, so the margin is in front of you. And we are a R&D company and getting benefits in margin, but price is decided by the competition but as such there is no big player in competition, so the good margin you are seeing is maintained. It is a very good margin, there is another way to calculate it. If you deduct the solar panel costs that we have purchased, then you will see a bigger margin.

Our raw material mostly depends on dollars because all the material is copper, stainless steel and solar panels. Our major purchase is solar panels and we have to buy these from domestic manufacturers. So, the rates of solar panels have also been stabilised in the last 2 to 3 quarters. And we feel that we are going to do it in a good way.

Ashish Soni: Okay. Second question, sir, is more on your capacity of solar pumps. Will your revenue come near INR2,500 crores if your capacity is of solar pumps or more? I know that capacity expansion is also in progress?

Dinesh Patidar: Yes, we have been saying in the past that we can do INR2,500 crores in current capacity. We have already planned another expansion and for that we have already got equity from SBI MF and LIC MF. So that is also in progress and in the coming months we are also increasing our capacity.

Ashish Soni: So this year, can we assume that there would be bottleneck at around INR2500 crores if the capacity remains in 6 months, 1 year.

Dinesh Patidar: Mr. Ashish, your question is very good but we are confined with our systems. We give a guideline of 1 quarter. I am giving you the guideline of next quarter that we will do minimum

INR500 crores in next quarter.

Ashish Soni: No, but my question is I repeat it sir, when you will not get expansion of INR2,500 crores, can there

be bottleneck in 6 months to 1 year?

Dinesh Patel: Actually, we have already submitted that the existing capacity is sufficient for INR2,500 crores. But yes, we add on some machines in our existing capacity, so we can achieve around INR3,000 crores to INR3,200 crores.

Ashish Soni: And in how many days it will be done, that adding of machine – 3 to 6 months?

Dinesh Patel: Within 3 months we can do that work. So, we are checking very minutely our order book and our execution. And once things are getting done, we will implement it.

Ashish Soni: Thank you all the best.

Dinesh Patidar: Thank you, thank you, Ashish.

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Moderator: Thank you. The next question is from the line of Ankit Jain from IIFL. Please go ahead.

Ankit Jain: Congratulations, sir. Very good numbers. I had two or three questions. I just wanted to know that in this quarter's solar revenue, I need a state-break up in the revenue of solar in this quarter?

Dinesh Patidar: That is not possible. I will mail you separately for state wise break up. We can tell you the total in phone call.

Dinesh Patel: So, if we talk about the total, we have done 18,460 pumps in this quarter. The revenue is around INR487 crores.

Ankit Jain: Okay, what was the last quarter's revenue?

Dinesh Patel: The last quarter's revenue was INR445 crores which we did from 14,923 pumps.

Ankit Jain: Okay sir, sir what is the situation of new orders inflow from Maharashtra, Haryana, Madhya Pradesh?

Dinesh Patel: In the last quarter we got an order from UP which we had already informed to exchange. Rest of the orders are in pipeline. We will inform you as soon as they arrive.

Ankit Jain: Which states are they from? You can give us an idea?

Dinesh Patidar: Already we have an order book of INR1,800 crores.

Dinesh Patel: The one which we have told you in the presentation.

Ankit Jain: That is correct. So, Maharashtra state election is coming up. There should be no impact on its execution?

Dinesh Patidar: As orders are issued before election, so it will continue.

Ankit Jain: And sir, Ajmer execution is slow, I think you have given a presentation of INR139 crores, it was an order of INR150 crores, only INR11 crores have been executed, so its pickup should be done now, and till when we have to deliver this, you tell us that?

Dinesh Patidar: This is a pilot project, part of KUSUM Component C, so some good work has been done in this quarter. Because there are challenges, we are moving forward slowly. For them also, it is a challenge for the department because it is the first order and it is a challenge for us too because we have to take the grid connectivity in the field. Till now we are people off-grid, we work with this grid in full speed. But here we have to connect with the grid, we have to give

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connectivity, so there are some challenges. We are moving a little slow, moving forward while establishing. We have done a good job in this quarter as well.

Ankit Jain: Sir, my last question is, what is the execution timeline of Maharashtra's order above INR900 crores and what is the execution timeline of UP?

Dinesh Patidar: It is 12 months.

Ankit Jain: That means it will be executed in the next four quarters of INR 900 crores.

Dinesh Patel: We have to execute the overall order book in the next 12 months.

Ankit Jain: Okay. Thank you so much, sir. All the best.

Dinesh Patidar: Thank you, Ankitji. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, in order to ensure that the management is able to answer questions from all the participants in the conference, please limit your questions to two per participant.

The next question is from the line of Vivek Gautam from GS Investment. Please go ahead.

Vivek Gautam: Yes. First of all, congratulations on excellent number yet again by you, s

ir. You are doing a very good job and your whole team. Sir, my concern was a little bit about the receivables. We have mostly client concentration with the state government. Maharashtra, Haryana and other states are there. So how are we doing client concentration risk? And are we worried about their receivables and debtor days or we already work on it carefully and then we move forward? That is the first one sir.

Dinesh Patidar: Vivek, your question is very good. First of all, we have to understand that the money is secured here. Our money is secured with the state government, that means that money will not be lost. It will come.

Secondly, this is also a way of business that we see it, run away because it is our old experience. You must have seen our old call. If you have attended, then we stopped work of Maharashtra Order because even though it was budgeted, we were not getting the money on time. That is why we reduced the numbers and executed it later.

In the last quarter, when we felt that the payment was coming right and we were getting the payment on time, we increased a little. Once we sense payment surety, we speed up the work, else a bit slow. Our debtor days is definitely on a higher side. There are some reasons behind it, such as the Indian government has made some amendments in our system.

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Some people have opted for some new government schemes led by RBI for which the processing was bit slow. But now the accounts have opened and processed in that scheme and that money has started coming through them. So right now, in this quarter, in UP, in Haryana, in Rajasthan, in Maharashtra, their subsidy money has started to come in the form of trials. And now we think that in coming time we will be able to get our payment faster and we will continue to increase the speed in the upcoming time.

We plan where there is the state budget. At least we are sure that our money will not be lost. It is possible that it will be a little bit here and there. We are not going to lose our money. We will get money. It is possible that a few months will pass. And if the quarter is highest and all our records are going and 90-100 days are our process, then there is no big deal if our debtor's days is 130 days. This is a natural thing and it is in our attention and we are going to reduce it. Thank you very much.

Vivek Gautam: Sir, and sir this is a little bit of market size or expected growth rate both for solar pumps and in the time to come or both for solar pumps and the solar power in general for India. How big is the change is there for middle east crude as the replacement for India? Is it possible to replace the crude from the Middle East? I mean, at least the imports should be reduced. How much potential is there? And sir, the government is understanding. So according to that, what is the potential? What other states do you feel have the potentials? Thank you.

Dinesh Patidar: It is like this that the solar business is source of development for our country in the future. In terms of power and electricity, yes, every DISCOM are in loss and there is only one way to bring them to profit, if we connect the agriculture pump with solar.

So in the coming months solar market will increase, it is just a pilot. According to us its just testing of market. Total India market, 4.5 crores pump connection is with grid, means the grid connected pump requirement is 4.5 crores is there and the off-grid is also close to this. It is a very big market and the size of the market is sky the limit. And the rest of the government is taking care of everything and I think in the coming time the speed will increase. And we will also contribute to this.

Vivek Gautam: Sir, it was a little everybody saying about potential for past few months, but the execution is slow and less, can anything happen? Why does

it not seem to be improving? Mr. RK Singh, the Power Minister, when he was there everything was going very well and now new minister has come, does it seem like a slowdown?

Dinesh Patidar: No, it does not seem like a slowdown. You see, we are growing and we are the leaders of this market. So, the speed at which we are growing, this scheme will also grow. So, there is a limit to everything. So, it is growing slowly. As you can growth that we have seen in the last quarter, last quarter, last year, what growth we have seen, and with this speed it will continue to grow.

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Vivek Gautam: Yes, okay. Thank you very much. Keep up the good work sir. Thank you.

Moderator: Thank you. The next question is from the line of Deepak Purswani from Swan Investments. Please go ahead.

Deepak Purswani: Thank you for taking my question sir. And congratulations on great set of numbers. Sir, one question regarding last year you have guided that in FY25 we will grow at 35% so your top line guidance is around INR1800 crores for FY25 but in these two quarters also you have given INR1200 crores. So hence do you want to revise the guidance one, and to go to that growth what is your order visibility, execution is going very well but then next year incremental order visibility what is it looking like, can you give some guidance on this?

Dinesh Patidar: Yes, Deepak, you have seen it very well. The guideline we gave you was INR1,800 crores and in two quarters we have done INR1,200 crores. Yes, what we have done, INR1200 crores, was also very achievable and we will do well in the future. We are giving you a guideline of INR500 crores for the next quarter. We will talk about quarter four and study about it and when you will come to next call at the end of quarter three. We will talk about it. Yes, it is sure that in coming time if we will have solar market next year and after that we will think about next year and move forward for that.

But we will guide you quarter-to-quarter. We have order book as we told you that we have already order of INR1800 crores. We have pending order that we have to finish it in next three-four quarters business. This is a segment of solar pumping business. This is a different type of business in which everyone has a benefit. So we should do it with more speed. Our team is ready for it. We are thinking to move forward every day.

Deepak Purswani: Super, sir. So, sir, our order book of INR1800 crores this time which you have given in the presentation and in its previous presentation, the order book was of INR2000 crores. So, our execution has been very good. But in incremental order book, in growth, do you see any slowdown in growth? Or is it a one-off, the order will come in bulk gradually, this is the way the government works, so maybe it can be momentary and you are seeing good growth. Is this understanding right?

Dinesh Patidar: Yes, absolutely right. Our order book of INR1800 crores, which was in the last quarter in INR2000 crore, before that it was probably, it was INR2400. So this is fine, we are executing in our place. New orders are also coming to us, we are executing them. New things are also in the pipeline. Things will come and will keep telling you further. I don't think that order will be a problem for us. If we have a problem, then it will be execution. And we have kept a good eye on execution. We are going to take it forward on a day-by-day basis.

Deepak Purswani: Great sir. Sir, there is a project going on in Uganda in our exports. You can tell us the status of its execution? And secondly, we were also discussing that we to get some new businesses from Shakti Pumps (India) Limited
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Bangladesh. So what is the status of that? At what level are we? Can you throw some light on that?

Dinesh Patidar: Yes, for that

I will give you the link of our Export Director, Ramesh. He will tell you about it in more depth.

Ramesh Patidar: Yes, Deepak ji, Namaskar. We have completed 40% of the work in the Uganda project and 60% of the work has been allotted. So, we are working in progress in Uganda. We have held the current political situation in Bangladesh. They have given us the project but we have held it till the situation becomes normal over there. So we are not moving forward in that.

Deepak Purswani: Okay sir. And are you seeing any incremental projects in exports? Where are you seeing them? Can you tell us more about that?

Ramesh Patidar: Yes, we are running 2-3 countries in our business pipeline based on the same Uganda project. So we will definitely tell you as we have further development, we will definitely tell you.

Deepak Purswani: Sir, your raw material prices, in terms of gross margin, this time it has expanded very well. It happened in the last quarter also. We are seeing from the last three quarters that it has expanded a lot since last three quarters. So, on a sustainable basis, sir, what can we assume the gross margin in the near term? What do you think about the raw material cost and the basic inputs like solar modules? What are the prices of these products going forward in the near term? What do you think about the visibility?

Dinesh Patel: Deepak ji, actually, the gross margin depends on raw material. Last year you saw a huge inflation which we don't see it should repeat. But still, the price is stable, according to that we can keep a guideline of 35%-40%. But as the further development happens, according to that we will give you a guideline.

Deepak Purswani: Okay, okay. Sir, in terms of...

Moderator: Hello, sorry to interrupt.

Deepak Purswani: Okay, okay. I will fall in the queue. Thank you.

Moderator: Yes. Thank you. The next question is from the line of Ajaykumar Surya, Niveshaay. Please go ahead.

Ajay Surya: Congratulations for good set of numbers. Sir my question is regarding KUSUM Component C.

Sir, as the entire KUSUM scheme is seen, the Component C is quite large. And into that FLS part is also very big. But sir, since the pump will be agricultural, so I wanted to understand the role of Shakti Pumps. What role can it play or is it an addressable opportunity for us or not?

Dinesh Patidar: Okay, Ajay, you have asked a very good question. We have discussed a lot of details about KUSUM C in concalls and very few people know about it. KUSUM C is a very good scheme

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in itself because it is a scheme that makes our food generators energized. If I install a 7.5 HP pump, then the income of the farmer who is our food giver will be around INR50,000 per year. And if our DISCOM provides this pump for free 100%, then the money that they have invested their money will recover in three years.

So this is such an excellent scheme which we are trying to establish gradually. And once we establish it, the market is very big. KUSUM C is the biggest scheme in today's save our DISCOM loss. You can see that it will be useful at every level. It will be useful for DISCOM, state, and farmer. It will go into the micro irrigation itself. It will be helpful for the environment as well.

We will be able to fulfill our commitments on the international level. So, in total, the scheme is very good. The scheme of the grid-connected pump is KUSUM C.

Ajay Surya: Sir, as in KUSUM C, the pumps will remain electrical pumps, then will Shakti Pumps do EPC in the future? Is this the right understanding for us to take?

Dinesh Patidar: Ajay Kumar, I will appreciate you very much that you have studied this very well. In true sense while telling you this I feel very proud. That if you don't replace the pumps, then its payback is 20 years. Replacing the pump, is the beauty of this sch

eme. If you replace the pump, then this scheme will work. If you don't replace the pump then the scheme won't work. Because the pump itself is a 40% of the electricity consumed, then the part that will increase the income of the farmers will not happen.

And for this work DISCOMs will have to wait for its investment for 20 years. That is why you must have seen that the pump change in KUSUM C is going slow. We have put the pilot project and now we will prove it. And Ajay, I will tell you that as soon as it is proved, all the DISCOMs will follow it. And why? What is the benefit of Shakti Pumps for this? I will be very happy to tell you that the technology we have, on which we are working, I have already told you in a call that while running the pump, electricity will be saved from the pump and water also will be saved from it.

And while saving water, the remaining electricity will be supplied to the grid at the same time. Means in one time we will be able to do two things. One is that we will be able to run the pump and at the same time if pump use say 10kW, we will be giving 5 kW of remaining electricity to the grid and the benefit of this will also be given to the farmer. And for this we have a patent. So this is the technology of Shakti Pumps which is a patented technology which in the coming time the way it the market moves towards grid connecting, Shakti Pumps will benefit from it. Ajay.

Ajay Surya: So sir, just a final understanding the order that we are executing in Kusum component C and you were telling that we were facing some problems so sir, are those pump related problems that the execution is slowing or some other land acquisition that needs to be done at the feeder

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level so those are the issues that the execution is slowing so where is the problem facing if you can highlight something on that?

Dinesh Patidar: Ajay, this is a very good question, you have studied a lot. There is no problem in the pump because in component B and C there is no pump required separately. There is no problem in the inverter because in component B and C the technology is almost the same. The problem is the availability of the grid if there is no electricity in the grid then what will the Shakti Pumps do. So in our country at the time of the sun if there is electricity available at the agriculture feeder attention is being paid towards this and as we are telling them to give the grid in the day because we are injecting power in the grid so we are successful at the feeder level and this scheme will be successful at the feeder level which will benefit the DISCOM.

Ajay Surya: Sir, one last question regarding component B there was a price revision last year the average price of the pump was INR3.25 lakh so going forward because the price of the module has also been corrected, so can we expect a rate revision regarding component B regarding that?

Dinesh Patidar: Ajay, you will have to study again. Shakti Pumps has such good margins that if you remove

the trading business and the solar business then Shakti Pumps has also worked well in component B. For more margins, if it's not solar pump and agriculture market then you will have to look at some other market.

Ajay Surya: No, my question was earlier the price of the module had increased and we had also left the Haryana order because it was not viable for us and when the rate was revised then our raw material was also falling. So sir like Kusum component B has to be executed by 31st March 2026. So sir the rate card that we have got will Kusum component B run on the same rate card or can we expect a rate revision there that was my question?

Dinesh Patidar: No, your question is correct that in the coming time you will get this margin or not is what you are trying to say?

Ajay Surya: Yes sir, it will depend on the raw material, but sir if we are

selling a 3.25 lakhs 3HP pump as

final can it fall to 2,80,000 or 2,75,000 that is my question

Dinesh Patidar: Sir you do not have the right information as the technology develops the rates of those things come on a sustainable position and on a sustainable position so far pumping business rates have come. And in the coming time what will be the rate of raw material and where will the crude oil and what will Iran do we are all ready for that. In our team we have a certain percentage decided that our team we do not participate in any tender below that. My request to you do not ask me that percentage, but if you talk about margin 16%, 17% we will run our company this is the decision of our board.

Ajay Surya: Got it sir. All the best for future.

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Moderator: Thank you very much. The next question is from the line of Venkatesh Akula from Wells Fargo. Please go ahead.

Venkatesh Akula: Hi sir. First of all congratulations for the stellar results and I have gone through the investor presentation and I see a decrease in the cash flow from operations maybe due to the change in the working capital like what impact will it have on the ongoing operations?

Dinesh Patel: Can you repeat your question the question actually I am not getting what you want to say.

Venkatesh Akula: Just asking about the cash flow from operations like I see there is a reduction in the cash flow generated I mean there is a decrease in the working capital compared to the previous year. So will there be any impact for the execution of orders our upcoming orders?

Dinesh Patel: No, there is not any impact. We have sufficient working capital facility available from our multiple banking partners so that is not a constant and recently also there is a INR1,000 crores outstanding in our debtors book, but still we are executing very well in our pending orders.

Venkatesh Akula: So is it like any new chances of adding any new debts from banks?

Dinesh Patel: No, nothing. We have sufficient sanction limits we can use that.

Venkatesh Akula: Sure sir. Thank you. That's it.

Moderator: Okay. So the next question is from the line of Jainam from Salto Investment. Please go ahead.

Jainam: You have a very good result so really want to thank for that and I wanted to get a n understanding of Shakti EV business I think factory started recently in the month of September, so if you could throw some light and what will be vision of management in terms of where can we see the EV business going in the next 2 years to 3 years?

Dinesh Patidar: Yes. So in our Shakti EV business for that 100% subsidiary company we have started in which EV motors we are making and for some manufacturers we have started the sale and we are testing the motors of motor cycles and in EV Scotties motors already we have given for testing and EV motors with Eicher, Tata Ashok Leyland and their designing we are moving forward it is a little slow because in automobile approval and designing takes time.

So we are moving forward in JBM we have sold about 3,000 motors which is going on in the market. We have developed some more and first phase of our plan is going to start in December and after that its sale will start from there in the coming 2 years we will take it completely forward and Indian manufacturers in automobile in EV which is in India we will try to be a leader in that.

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Jainam: So what kind of revenues are we expecting and margins compared to our Kusum business what is the management thinking what range we can understand and go forward, if you can provide – throw some light on that, that would be great?

Dinesh Patidar: Definitely. The plant is in development phase, the motor which we have sold out the amount is

not so big, but we can say that we have established o

ur things. And in terms of pricing we will

see in the coming time in our competition who is a strong player in EV motors and controllers coming with Made in India theme because till March the EV controller and motors anti-dumping duty could be effected. So yes we have established ourselves and we will continue. So in the coming time we will see who is in our competition and at what price we have to work. Yes the margin you are talking about we have set a margin around 15% to 17% we are giving our pricing to our new vendors we are giving them a guideline. So yes definitely once the plant starts in the next 3-5 years we will work on it

Jainam: Thank you very much and wishing you a very Happy Diwali

Dinesh Patidar: Thank you and wishing you all a Happy Diwali

Moderator: Thank you very much. The next question is from the line of Harshil Solanki from Equitree Capital. Please go ahead.

Harshil Solanki: Hi team, good afternoon. Sir I have a few questions sir I need a reconciliation of the order book because we...

Dinesh Patel: Yes I will send it to you separately you can call me I gave it to you.

Harshil Solanki: And sir the INR300 crores that we have blocked in working capital, how did we fund it because our short term debt is more than INR30 crores and we had some cash, but how did we fund the rest of the working capital

Dinesh Patel: Sir if you study it closely, then you will see that the creditors have given us extended credit. So according to that it matches with the working capital and our internal equity has been generated to support our working capital. So there are too many factors you will have to do a complete analysis then you will understand the reason. So there is not any external debt we have taken from anyone.

Dinesh Patidar: Our company is cash rich company

Harshil Solanki: Yes sir, need one clarification. You said that our entire cycle we got the money we invested and sold it and we collected the money and the cycle has already gone around.

Dinesh Patel: You can see that the cash flow before working capital is positive.

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Harshil Solanki: And sir this was a question on retail business. You have posted a video on youtube where we have set up a store through a dealer. So can you talk in detail what is the strategy, what model will you follow and how will you take it forward?

Dinesh Patel: The video that you want to tell me send it to me separately. Then I will be able to answer you. Right now I don't have that video so I won't be able to comment.

Harshil Solanki: Okay sir. This video is on our youtube page.

Dinesh Patel: Okay sir we will update you with the marketing team.

Harshil Solanki: Okay, this was it thank you very much.

Moderator: Thank you very much. The next question is from the line of Ankur Kumar from Alpha Capital. Please go ahead.

Ankur Kumar: Hello sir, thank you for taking my question. Sir I wanted to ask you are giving guidance of INR500 crores in the next quarter but this quarter we did 600 crores and this quarter was a little monsoon so any reason that we are talking conservatively for the next quarter?

Dinesh Patidar: INR500 crores is a good figure we did INR640 crores in monsoon this is a good thing but if we had given a guideline of INR500 crores and we did INR640 crores then you would have liked it.

Dinesh Patel: Sir this is a minimum guideline, not a maximum one

Ankur Kumar: Because our order book is of INR1,800 crores when are we expecting new orders?

Dinesh Patidar: As soon as this order gets over you will see new orders in the next quarter

Ankur Kumar: And sir in INR1,800 crores what is the execution time can we expect 9 months or is it longer

Dinesh Patel: 12 months

Ankur Kumar: Got it thank you and all the best.

Moderator: The next question is from the line of Ayush Agarwal from MAPL Value Investing Fund.

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Please go ahead

Ayush Agarwal: First of all congratulations for such good numbers second sir what you explained to Ajay you explained it very well that in the individual pump replacement what will be our role but sir in that FLS component feeder level solarization where DISCOMS is solarizing the feeder so there is a good allocation of pumps what will be the role of Shakti in that please talk about that

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Dinesh Patidar: Ayush you are monitoring it very well. Your question is also very good. We believe that the work that can be done at the level of the individual farmer which can increase the income of the farmers is more sustainable. And can be done in a better way at the level of the feeder you are doing it. At the level of the feeder if you are growing from coal, solar or nuclear, it doesn't matter. Because the farmer has no future ultimately his responsibility will be on the feeder. If you have put a grid connected pump if the grid is not available then in that case also our pump as a generator will keep giving water to the farmers. This is the beauty of our product this is our product which will keep the farmer happy. Whatever the challenge we are facing today grid availability is not there in many rural areas but for the farmers we are fulfilling the need of giving water.

We are fulfilling the need of giving water, this is a unique effort of Shakti Pumps. And this is only with Shakti Pumps no one in the world has. This we have got a patent. In other pumps if the grid is not available and you are not giving electricity to the grid then your pump will not give water. The rest of the people do this, but Shakti Pumps respects the farmers, respects their requirements and for that we have already thought that the grid is not available. So the farmer's pump should give water on time. So that is the future of Shakti Pumps and that is why it has a bright future.

Ayush Agarwal: This was very clear. Due to the pilot project in Ajmer it becomes very important can you elaborate on that what stage are we in what difficulties are we facing and what are we doing to succeed the feeder?

Dinesh Patidar: We have is a tribal feeder and in Ajmer where we are working the feeder is a place where there is no electricity. There are many rural areas where there is very little electricity. So there are some challenges because the line is not updated. There are no transformers, if there is electricity once in 15 days then the farmer can do the farming and wait for 15 days. So our solar grid pump has a challenge that it has to be connected to the grid every day, so that it can be exported to the feeder. So that is the challenge but I believe that in the future there will be improvements and we are also looking for an improved version of the feeder

Ayush Agarwal: So when we started the pilot it was very important, that the transmission line has electricity so we didn't see this?

Dinesh Patidar: No, the line was there and it is still there, but we don't know if there is electricity. We have to repair the transformer at some places and on some feeder there is no connectivity. So these are all challenges, in the future I think this will overcome when there is motivation from both sides because the farmer will also see that if there is a loss of INR 200 then he will also go and get the line connected.

Ayush Agarwal: That's all I have to say, I wish you a very Happy Diwali.

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Moderator: Thank you very much. The next question is from the line of Harshit Saini from Summer Wealth Advisors. Please go ahead.

Harshit Saini: Good afternoon everyone. My name is Harshit Saini from Summer Wealth Advisors. First of all, congratulations on such wonderful results, but considering the current growth INR3000 crores is the range for FY26 considering 30%

growth rate. But what if our revenue is more than INR3000 crores, can we have capacity to work more than INR 3000 crores when required?

Dinesh Patidar: Yes, this line already company is working and that is why we have done expansion work some machines are working some are getting ahead and we have given the reply to your earlier questions that slowly our capacity is increasing further and as the order will be booked we will utilize our capacity in the same way, we are becoming experts in exhibitions and in the coming time we will increase our own speed.

Harshit Saini: Okay sir. Also in the last call 30% growth was in guidance. Was it a CAGR growth?

Dinesh Patidar: In the next quarter we are giving a guideline that we will do a minimum of INR500 crores as we said in the last quarter we will do a minimum of INR500 crores and we did INR640 crores.

So you must have liked it and we will do a minimum of INR500 crores.

Dinesh Patel: Sir, we always give a minimum guideline.

Harshit Saini: Thank you.

Moderator: Thank you. The next question is from the line of CA Garvit Goyal from Nvest Analytics Advisory. Please go ahead.

CA Garvit Goyal: Congratulations for a good set of numbers sir. Our execution is going well, my question is about the capacity constraint when will our new capacity be commenced?

Dinesh Patidar: It will take 2 years. In 2 years we will be able to commence it completely. But our bottlenecks, wherever we could have doubled our machine and increased productivity, those orders have

been placed. In the coming quarters, you will see that our capacity will also look a little big. And as you can see, we have broken our previous record. We will not allow any capacity concern. We have already planned something for that

CA Garvit Goyal: So, the growth that will be in 2026 will come comfortably with existing capacity, right?

Dinesh Patidar: Yes, it will definitely come.

CA Garvit Goyal: Sir, how much will be our peak revenue from the new capacity?

Dinesh Patel: INR5,000 crores.

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CA Garvit Goyal: Will it be incremental revenue or total revenue?

Dinesh Patel: Total revenue. Actually, our existing revenue is for INR2,500 crores and the new capacity is also for INR2,500 crores. So, our total capacity will be for INR5,000 crores.

CA Garvit Goyal: Understood. You had explained the trade receivables, I missed that. So, can you please explain again how the recovery is happening now for that particular amount?

Dinesh Patel: The recovery is still going on this is our historical trend, every time we close a quarter we have outstanding of around 1.5 quarters, so if you see in the last two quarters we have around INR1200 crores. So, if we talk about the execution of INR1200 crores, then in today's date, only INR900 crores to INR1000 crores are outstanding.

CA Garvit Goyal: Understood sir. And sir, as you said in the next quarter, the growth margin will be in the range of 35% to 40%. So, sir, is there any guidance for EBITDA margin on this?

Dinesh Patel: The EBITDA have given the minimum guideline of 16%, 18% range. We say that something better will happen than that. But our minimum guideline is 16%, 18% which the management board has decided that we will not do below this.

CA Garvit Goyal: And lastly, sir, big orders are expected in this quarter because INR1800 crores and TTM revenue is INR2400 crores. So, almost the existing order book is much less than that. So, is there any big expectation in this quarter of order inflow, sir? Which will give us revenue difficulty for the next 1, 2 years?

Dinesh Patel: See, sir, the order of INR1,800 crores is also for the next year. And in the last quarter also, the order of INR500 crores something has been received from UP. I am getting around INR100 crores orders from Rajasthan every quarter, so orders are coming so the order book is maintained and we will keep you informed.

CA Garvit Goyal: Thank you very much for that, all the best for the future.

Dinesh Patel: Thank you.

Moderator: Thank you very much. The next question is from Pranav Shrima from PINC Wealth Advisory. Please go ahead.

Pranav Shrima: I have a repeat question Sir, you said that we can expand the capacity to INR3000 crores and what is the installation for the next 3 months? What is that installation exactly? Will we change our product mix or will we install some machinery?

Dinesh Patel: Some machinery will remain, some product specific tools and dies will remain.

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Pranav Shrima: If we are doing the capacity expansion, then how will it be mixed? What can we expect from it?

Dinesh Patel: If we talk about the mix then, I will say that the maximum order will be from KUSUM and in that the solar mix will be more.

Pranav Shrima: Yes, if we can expand capacity by de-bottlenecking, can we reach around INR4000 crores, INR4500 crores, sir?

Dinesh Patel: Sir, we have already funded for that through QIP. Our good value investors have supported us. So we are planning for expansion. So we will expand and increase the revenue.

Pranav Shrima: Sir, our record date for bonus shares? Has not been announced sir.

Dinesh Patidar: For this our Company Secretary will give you the answer.

Ravi Patidar: For that, we have a Postal Ballot on 9th November, Postal Ballot will be approved by the shareholders. Then we will call a board meeting for cut-off date and they will decide what will be the cut-off date.

Pranav Shrima: Okay, got it. And lastly, sir, if our growth and revenue is in this year, sir, considering that H2 is usually heavy for us, historically speaking, and if we take H2 growth rate, then sir, the capacity constraint, because sir, 2 years to get our capacity sir?

Dinesh Patel: There are so many options, management is looking at it minutely and whatever remains, we will not let bottleneck come already Dinesh sir, has told you. So I think we will move forward

with that.

Pranav Shrimal: Okay, thank you.

Moderator: Thank you very much. The next question is from the line of Hardik Patel, an Individual Investor. Please go ahead.

Hardik Patel: Hello, my question is Rajasthan has a big tender. There are two types USPC and without

USPC. In USPC, we have more space. So what are we expecting in orders? More USPC or without USPC? Can you tell us the proposal?

Dinesh Patel: No, for all of this GST is include. Without GST with GST nothing like this.

Hardik Patel: No, with USPC and without USPC are the two types of segment of our Shakti Pumps assignment are there with USPC controller and without USPC controller?

Dinesh Patidar: You have explained very well USPC and without USPC, what is the question?

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Hardik Patel: Yes, so in that financial bid of which we are getting to see in that our, with USPC. that we are getting to see? In which USPC is the market? Is it in L1 or is it around L5? So, what is the order that we can expect in this category?

Dinesh Patidar: See, in this category, the market is a bit slow for USPC. Our project is ready and our is better than our competition. As soon as we get an order for USPC, we supply it. As soon as we get an order for without USPC, we supply it. I don't think we have any challenge in this. Wherever there is a requirement, we will definitely supply it.

Hardik Patel: Has the government specified how amount of USPC?

Dinesh Patidar: The market has a requirement of what the customer wants. The decision maker is the farmer here. The farmer gets what the farmer wants. He doesn't even get a subsidy on USPC. That's why we don't look at the USPC market.

Hardik Patel: Okay. The second question is that we are not in L1 bidding.

So can it impact our order inflow?

Or that is not the matter?

Dinesh Patidar: No, Where we are not in bidding.?

Hardik Patel: We are not in L1. We are not in lowest bidder.

Dinesh Patidar: Where? There is no requirement of L1 bidder in the country.

Dinesh Patel: There is no concept of L1 meter in existing system. Price is same for all.

Dinesh Patidar: We have good market share. We are leader in market. Shakti Pumps is leader in India.

Hardik Patel: Correct. Thank you sir.

Moderator: Thank you very much. Ladies and gentlemen due to time constraints, we will take this as a last question. I would now like to hand the conference over to Mr. Dinesh Patidar for closing comments.

Dinesh Patel: Thank you very much, friends. Thank you very much for coming. I wish you all a happy Diwali. You have given us confidence and motivated us in this conference. I would like to thank you all once again for coming. We will meet you in the next quarter. Thank you.

Moderator: Thank you. On behalf of Shakti Pumps India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Disclaimer: E&OE. This transcript has been edited for factual errors. In case of discrepancy, the audio recordings uploaded on stock exchange on 28th October 2024 will prevail.

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"Shakti Pumps (India) Limited
Q3 and 9M FY25 Earnings Conference Call "
January 27, 2025

MANAGEMENT : MR. DINESH PATIDAR – CHAIRMAN
MR. RAMESH PATIDAR – MANAGING DIRECTOR
MR. DINESH PATEL – CHIEF FINANCIAL OFFICER
MR. RAVI PATIDAR – COMPANY SECRETARY AND
COMPLIANCE OFFICER

MODERATOR : MR. ROHIT ANAND – ERNST & YOUNG LLP

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Moderator: Ladies and gentlemen, good day , and welcome to the Q3 and 9 M FY25 Earnings Conference Call, hosted by Shakti Pumps (India) Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Rohit Anand from Ernst & Young LLP. Thank you , and over to you, sir.

Rohit Anand: Good afternoon, everyone. Before we proceed, let me remind you that this discussion may contain forward -looking statements that may involve known or unknown risks, uncertainties, and other factors. It must be viewed in conjunction with our business risks that could cause future result performance or achievements to differ significantly from what is expressed or implied by such forward -looking statements.

Today, from the senior management of Shakti Pumps (India) Limited , we have with us Mr. Dinesh Patidar, Chairman; Mr. Ramesh Patidar, Managing Director; Mr. Dinesh Patel, Chief Financial Officer; and Mr. Ravi Patidar, Company Secretary and Compliance Officer. Before I hand over the call to Mr. Dinesh Patidar for his remarks, I would like to give a brief overview about Shakti Pumps (India) Limited for those who might be joining for the first time in our call.

Shakti Pumps (India) Limited is one of the leading integrated manufacturers of pumps, motors, controllers, VFDs, and inverters in India. The company currently manufactures most of the critical components of the pump in -house and provides end -to-end solution in solar pumps. The company has three state -of-the-art manufacturing facilities in Pithampur , Madhya Pradesh. With a rich legacy of over four decades, the company is led by Mr. Dinesh Patidar . The company has made a strong presence in the domestic market with a strong foothold in 100 countries globally.

Shakti Pumps also has a strong focus and commitment to technology and R&D, which is evident by the 15 patents it has received so far. The company's ability to manufacture high -quality products on the back of its backward integrated manufacturing capabilities has translated into higher acceptance of its products by the farmer, thereby increasing the installation of solar pumps.

The company is one of the largest suppliers of the pump with approximately 25% market share under the PM-KUSUM scheme all over the India and also has a robust market share in the largest agriculture states in the country like Haryana, Rajasthan, Uttar Pradesh, Madhya Pradesh and Maharashtra.

The PM-KUSUM scheme is a pivotal government initiative designed to promote irrigation efficiencies in India by replacing the conventional diesel or electrical pumps with solar pumps. This transition provides farmers with a reliable power supply, supports micro-irrigation and improves both crop yield and farmer's income. Additionally, farmers can also earn extra income by selling extra electricity back to the grid.

PM-KUSUM is the largest of the several government schemes encouraging solar pump adoption, benefits state governments and electricity boards by simplifying power supply management. It also reduces fossil fuel reliance and cuts greenhouse gas emissions contributing to a more sustainable economy. In addition to the PM-KUSUM scheme, the company sells its products to governments through various other schemes and in the major export markets also.

The company has also diversified into manufacturing of electric controllers and motors for EV securing pilot orders from OEMs. In conclusion, Shakti Pumps (India) Limited stands as a testament to innovation, quality and sustainability in

the pump manufacturing industry. As

SPIL continues to invest in its growth and technology advancement, the company will continue to lead by example and ensure prosperity for farmers and all other stakeholders. With that, I would like to hand over the call to Mr. Dinesh Patidar, Sir, for the quarterly and other business highlights. Thank you, and over to you, Sir.

Dinesh Patidar: Thank you, Rohit. Greetings to all friends. Thank you very much for being a part of this call today. I am very happy to be sharing this with you that our company has been accredited with the Great Place to Work Certification. This is a very good achievement which is a proof of our team's strength and inspiration. This culture of innovation and cooperation and satisfaction of the employees reflects our commitment.

The results for this quarter are very good and I am very happy with the performance. The Company secured a revenue of INR 650 crores in this quarter, and we have broken our own record.

We have achieved an EBITDA of INR 154 crores in this quarter which is the highest number till date. If we look at the record of 9 months, then we have secured a revenue of INR 1,851 crores which has EBITDA of INR 439 crores. We have maintained strong orders from all the states and our order book now stands at INR 2,000 crores.

During the quarter, we received a major order worth INR 754 crores from Magel Tyala Saur Krushi Pump Yojana in Maharashtra. Additionally, we also received a major order from Haryana which is of INR 116 crores. We have been moving strongly under PM-KUSUM and other state-run schemes like Magel Tyala in the solar pump industry and confident to maintain dominance in this segment going ahead.

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We believe that we have a special ability in the design and construction of solar pumps. We have been able to serve our customers backed by our superior technology, strong product quality and backend services.

Our EV business is also moving forward, in which we are working with various companies for pilot orders. We foresee a good success because we have done a very good job in R&D where we manufacture motors and controllers for EVs.

In our exports business we have reported a robust growth. Earlier we were reporting the business of around INR 50 crores which is now at INR 106 crores. In the 9 M FY25 also, we have done a 58% growth YoY in export business. We are confident and believe we will be able to maintain our strong position going ahead. This will create value for our shareholders in the years to come. For the rest of the financial segment, I will call our CFO, Dinesh Patel.

Dinesh Patel: Thank you, sir. Good afternoon, everyone. We have continued to deliver a strong performance with Q3 FY25 revenue at INR 649 crores, up by 30.9% YoY from INR 496 crores. We have also delivered a solid performance in terms of profitability. EBITDA for the quarter was at INR 154 crores as compared to INR 71 crores with growth of 117% YoY.

Due to the higher execution of orders and our consistent efforts towards operational efficiency, EBITDA margin has expanded to 23.8% in Q3 FY25 from 14.3% in Q3 FY24. PAT in Q3 FY25 has increased by 130% to reach INR 104 crores. PAT margin has expanded to 16% from 9.1% in Q3 FY24 with an expansion of 692 bps. EPS for the quarter stood at INR 8.7 per share as compared to INR 4.1 per share.

Now moving on to 9 M FY25, revenue from operations stood at INR 1,851 crores , up by 143% from INR 762 crores in 9 M FY24. EBITDA for the 9 M FY25 increased to INR 439 crores from INR 94 crores in 9 M FY24. EBITDA margin for 9 M FY25 was at 23.7% as compared to 12.4% in the corresponding period of last year. PAT was reported at INR 298 crores as against INR 52 crores in 9 M FY24. P AT margin also expanded significantly to 16.1% as compared to 6.8% in 9M FY24.

EPS reached to INR 24.8

per share in 9 M FY25 from INR 4.7 per share in 9 M FY24. Our robust financial position and strong key metrics bolster our confidence in the timely execution of orders, further reinforcing our market share.

With this, I may request the moderator to open the floor for question and answer.

Moderator: We will now begin the question -and- answer session. The first question is from the line of Nirav from ASK Investment Managers. Please go ahead.

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Nirav: Hello sir and thank you for giving me the opportunity. First of all, I want to know sir, the order backlog after Q3 which is of approximately INR 2,070 crores, how much will be the GST from that? Will it be about 18%?

Dinesh Patel: 13.5% somewhere.

Nirav: You are saying this on a blended basis, right?

Dinesh Patel: Yes.

Nirav: Sir, I was seeing that the order of Ajmer District, there is not much movement in it because Q2's PPT is practically same amount and Q3 is also same amount , is there no execution in that order or we are facing any technical issue in that order ?

Dinesh Patidar : Nirav, this is a pilot project by Rajasthan Government and by the help of this product the farmers can also become an energy producer apart from food producer. Till now , being a KUSUM -C grid connected pump scheme and a pilot project , we are moving forward slowly. We are expecting this to complete in the next quarter.

This INR 150 crores is a totally new project for us and for the department. Along with this Ajmer area has its own challenges. As the things become clearer, we will be able to complete this project.

Nirav: Sir, will it be executed in Q4 or not? How do you feel, will you be able to handle the whole thing in Q4?

Dinesh Patidar : We have installed around 350 -400 pump on it. We are planning to progress further on this.

Nirav: Sir, my second question is that we were expecting a revenue of approximately INR 2,500 crores revenue for this year, and we have booked a revenue of around INR 1,850 crores in 9 months. That means we can target a revenue of approximately INR 650 crores in Q4 if we follow that assumption. So, in front of Q3, there is no big growth in Q4. That means it will be practically flat. Would you like to comment on this?

Dinesh Patidar : Nirav, we achieved our 12-month revenue target within 9 months of this financial year .. So, this is a good achievement of our team. And for the coming years also, we have always said in every call that we will continue to grow 20 -25%, do not look at the quarter on quarter, but look at us on a year on year basis .

So, as you will see that last year , we had a sales of around INR 1,400 crores, you are seeing that we have bettered that in 9 months. We will continue to do so in the future too. With us, we have no issues with the production and productivity of our company and the market.

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Now we are facing some issues with the DCR cell and panel availability. In the last quarter, we have installed 70-75 megawatts and executed the solar pump orders . Want to bring to your notice, that some new DCR cell companies have started production in India, and we are further expecting new entrants in this space. This will help us to meet our solar panel requirements. We have order book, we have capacity, we have quantity and as we think that in the coming time, the DCR cells quantity may increase, and we will do much better.

Nirav : Sir, my next question is, the way it is in solar pumps – because in the KUSUM scheme the State government also has to make provisions. According to you, which are the states in India that are increasing provision in their annual budgets? And how big does its impact look like in the fiscal year 2026?

Dinesh Patidar: This is a good project for the state government

ent that we have to understand the reason behind

installing solar pumps. I have already told many people that if they do not buy solar pumps and give connections then the state government will have to spend more than they will spend for solar pumps .

Now all the government has started to admit the situation and as they are opening the tenders we are supplying to them .

Dinesh Patel: Nirav , I would like to tell you one more thing. The state budget for next month and subsequent months is under process. So let their budget finalize , then we will comment who is increasing and who is decreasing. We should wait a little, I think.

Nirav : Understood. Sir, in the issue of DCR panel, had you spoken to the government that we are facing these problems. Let us import so that we can increase its execution. Did the industry ask for any relaxation or anything for a temporary period?

Dinesh Patidar: Nirav , it is Atma Nirbhar Bharat , the country of Modi Ji. Rest assured.

Nirav : Sir, you are right, but let's see , it may be due to technical problems. Thank you very much.

Moderator: Thank you very much. The next question is from the line of Amit Kumar from Ritz Capital.

Please go ahead.

Amit Kumar: Sir, I have two questions. First, update on your Uganda project. How far have we reached in that? Second is the order of INR 750 crores from the Maharashtra government. I guess we had two months to fulfill it. So, I thought that the number should have been highlighted in quarter 3 or will it be highlighted in quarter 4. Do you have any guidance on this?

Dinesh Patidar: I will give it to our Export Director -Ramesh to update you about Uganda.

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Ramesh Patidar: Yes, Amit ji . We are doing a quarterly growth in the Uganda project. Around 52% of the project has been completed so far . We are working continuously on it. Everything is going well.

Dinesh Patidar: All the payment for the completion has received .

Amit Kumar: Okay, sir. Sir, on the side of the order from the Maharashtra government ?

Dinesh Patel: Actually, sir, I will explain it a little more. The 60 -day timeline is from the order date. We have got LOE. The extended period of LOE is one year. From the day we start getting orders through the portal, we have to install it in 4-7 days.

Dinesh Patidar: Thank you, Amit ji.

Amit Kumar: Thank you, Sir.

Moderator: Thank you . The next question is from the line of Praful from Shravas Capital . Please go ahead.

Praful: Congrats on a good set of numbers. I just wanted to check on how much is the receivables on the books , as of the end of December?

Dinesh Patel: At the end of December, it is around INR 1,175 crores.

Praful: Okay. Got it, sir. Thank you.

Moderator: Thank you. The next question is from the line of Pratik , is an individual investor. Please go ahead.

Pratik: Good afternoon, sir. First of all, thank you very much for giving me this opportunity. And congratulations on posting such good numbers. Sir, I am a long -term investor. So, my question is that in the next 5 years, where can we see Shakti Pumps? How big a company can it be? Do we have any such vision? Have we made any roadmap for the next 5 years?

Dinesh Patel: Yes, sir. Projections are there . And we update it regularly basis the progress . And the management has always told that we will achieve 25-30% growth year -on-year. So, we are looking to achieve the same in the next year.

Pratik: So, sir, at what size can we take this company in electric motors , in the next 5 years?

Dinesh Patidar: Yes, as an electrical motor company, we would like to see that how many EV OEM companies can we tie up . So, once the ir plants are set up we can talk about financial in detail then . But I will assure you that in the coming time, EV market is going to be very good in the country.

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We have the technology to make electric motors as well as controllers and getting good support in the automobile market , which has its own standards and systems . We believe Shakti Pumps will do a good job in this market on the back of our technology .

So, we are talking about 25 -30% growth in Shakti Pumps only instead of Shakti EV. Shakti EV is at the initial stage.

We can discuss Shakti EV separately and are optimistic of commanding good position in future. That's why we have ventured in it. But if we talk about the figure, then once 2-3

companies start production, then we will be in a better position to discuss this. Right now, we are investing in it. And the biggest investment in it is of Shakti Pumps only.

Pratik: So, sir, approximately by when will the revenue of the electric motor s start?

Dinesh Patidar: In the coming time, it will take another 6 -9 months.

Pratik: Okay. And sir, when you talked about the Maharashtra order of INR 750 crores, you said that it is a letter of intent. Can I know when this order can actually be made?

Dinesh Patidar: The letter of intent that the Maharashtra government has given us, they have started applications on a portal. We have to complete these installations within a year and once the farmers, who is the decision maker, select pumps we supply them within 7 days. We are very much confident to install even one lakh pumps as per government requirement .

But the constraint today is DCR cells and for that we are focusing on partnering with new and upcoming DCR cell manufacturers which will help us to grow at 25-30% rate easily.

There are few other manufacturers who are setting up production facilities for DCR cells . We will partner with them. We will not lose any opportunity in the market and grow at the suggested growth of 25% -30%.

Pratik: Okay sir, my last question is on the account receivables side. We have around INR1,100 - INR1,200 crores receivables? Is this affecting our working capital that we don't have cash crunch because of high receivables?

Dinesh Patidar: No, actually, you will have to see that this money is all secured with state government. The terms and condition of this tender which has been decided by the government of India is that 90% of the money should be received in 30 days according to the tender condition , which we usually receive in 90 to 100 days.

The remaining 10% should be received in 90 days post RMS. RMS is the mobile technology in which we provide data from the remote monitoring system to the Indian government and the Shakti Pumps (India) Limited

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state government. They should have the data of the pump running due to which they keep 10% of the money in the department. This 10% takes 180 -200 days sometimes 250 days to reach us. The delay is because the operation of pumps is not in our hands, and is in the hands of the customers. The Indian government has deliberately put these terms , so that whenever the pump start running, they can release the balance payment . So that's why you see high receivables . According to us, we have no money stuck with in any state. Everything is coming on time. There is no issue. Government of India is also giving money on time and the state government is also giving.

Pratik: So, it means that our working capital is not impacting.

Dinesh Patel: I will tell you this way that in the last one year i.e. last four quarters, more than INR 2000 crores of orders have been executed. So, these are the debtors due within 180 days. Talking about working capital, we have almost 9 to 10 leading banks to which we have relationship . And as of today , the working capital utilization is around INR 200 crores .

Dinesh Patidar: Shakti Pumps is a cash-rich company, and we don't have any term loans .

Dinesh Patel: Working capital is not

stressed.

Moderator: The next question is from the line of Pranav from ThinkWealth .

Pranav: First of all, sir, congratulations for the great set of numbers. I had a question, sir. what will be the sustainable margins in terms of EBITDA and PAT?

Dinesh Patidar: It will depend on the price of raw material and dollar rupee rate. Our margins depends on pricing of solar panel and the DCR panel. If price of DCR panel decrease our margin will increase and if it increase a little more, then our margin will be less by 1 %-2%. During the quarter, we have maintained our margins and will continue to maintain the margins going ahead . Panel price depends mainly on price of dollar , copper and steel.

Pranav: should we take 2 medians like 20 %-25% margin or not , I mean is there any range?

Dinesh Patidar: I was telling you that the 24% margin that we are maintaining is a very good margin according to us . We will try to maintain this margin but sometimes the situation is not in our control like price of dollar and price of solar panel so because of dollar price our pricing is affected but in future we can increase our sales price but it takes time so we have to take care of those things. We look to maintain the EBITDA margin.

Dinesh Patel: If you talk about minimum guidance, then management has already given its guidance of 16-18%. And on the maximum side we are guiding to exceed it as is evident in last 2 -3 quarters.

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Pranav: Okay, and sir in EV motor which is our second line of business if we have to onboard any OEM as a client then how much time it takes to onboard an OEM as a customer?

Dinesh Patidar: It takes 6-8 months. Sometimes it takes a year.

Moderator: The next question is from the line of Soumil from Lucky Investments.

Soumil: I wanted to know when the replacement demand for pumps will come out of the 3-lakh average cost of a pump. Roughly if I am correct 50% are module, and 50% are motor, pump etc. So, in this 50% which is on motor, pump and all, we manufacture that in house right?

Dinesh Patidar: Correct.

Soumil: So, the life of the module will be roughly 20 years, 15-20 years, 25 years, whatever. And how long is the life of the pump controller? When can you expect their replacement demand?

Dinesh Patidar: See, for pump it depends on pH water level. A normal pump has a life of about 10-15 years. But if the pH level is bad, then the pump runs for 2 years or 1 year. VFDs have a life of 3-5 years. But it also depends on the atmosphere the pump is in. So, the resale market has just started developing. And it will increase in the coming time.

Soumil: Has the secondary market started to come? I mean, have you started to see the replacement demand now?

Dinesh Patidar: Yes, demand from replacement has started and the sale is also on.

Soumil: Okay, okay. And the last question, sir. There was another order from the Maharashtra government that got delayed. I'm sorry I joined the call late, so you might have talked about it. But are there any updates on that? It is getting delayed again and again. Are there any updates?

Dinesh Patidar: No, no, we have already received an order of INR 750 crores from Maharashtra. We have also mentioned the same in presentation.

Soumil: One more tender, if I'm not wrong. Its bids had gone and its results were yet to come. Is that correct?

Dinesh Patidar: Correct, correct. That is another tender. The result is yet to come. I think it should be in the coming 15-20 days.

Soumil: That will be in the 15-20 days?

Dinesh Patidar: There is no shortage of orders under the Pradhan Mantri KUSUM Yojana. We can take more order if the supply situation of DCR cell panel improves for which we are partnering with new and upcoming DCR cell manufacturers.

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Soumil: Right. And now we are taking DCR cells from Adani and Premier, correct?

Dinesh Patidar: Right, correct.

Soumil: And are there any other players in this that can supply DCR cells?

Dinesh Patidar: New companies are in the pipeline. Now we are negotiating with these new suppliers. So, in the future, we will be able to do 25-30% growth.

Soumil: Okay. And one final question, sir. In the last 2-3 months, the prices of modules have increased because of the anti-dump clause on the solar glass module. Due to that, did you feel any pressure on the margin?

Dinesh Patidar: You keep very good news. You are a better judge. It has increased because of that and also because of the dollar rupee rate. As we increased our utilization and other operational efficiencies, we have maintained our EBITDA level and will continue to do so in future.

We will make margin a little more sustainable going forward. We have 150 engineers working in R&D. We treat ourselves as an R&D company. So, in the coming future we will roll out more R&D developed products.

Soumil: Okay. So just to sum it up. Due to the increase in the cost of the solar module, the pressure that must have come, due to the control of your cost, capacity, utilization, it has been negated and your margins have increased despite that? Correct?

Dinesh Patidar: Right. Despite that, our margins are maintained.

Soumil: Right. Okay. Thank you so much, sir.

Dinesh Patidar: Thank you.

Moderator: The next question is from the line of Kapil. He is an individual investor. Please go ahead.

Kapil: Sir, first of all, congratulations. Very good numbers have come from Shakti Pumps. Sir, what I understood from the call is that there is a problem with the DCR cell panel. The company's growth is dependent on it. It is growing well and can grow well if the DCR cell panel problem is sorted out. So, sir, what is the timeline? How long do you think this issue will be resolved and you will get uninterrupted supply?

Dinesh Patidar: Look, the solar market will also increase at the same speed of industries are being established in the coming time. So, I will tell you first that the two big companies have started the production here. We have started a partnership with them and they will start giving us in a good quantity.

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So, in the coming time, we will also start working with them. And we ourselves are also planning to install a solar module manufacturing plant and move forward with it. Because we think that this will also be a problem in the coming time.

We have already planned a QIP of raising INR 400 crores and which will be used mainly for installation of our solar module plant.

Kapil: So, sir, how much time can we talk while looking at the internal and external sourcing that this problem will not remain an issue? Sir, can you define a time period for that?

Dinesh Patidar: Yes, look, we will install a unit to make a DCR cell. If there is any other problem, we will do something else. We will keep moving forward. We want to make KUSUM a success in the country and take the country forward in solar energy. Our target is very clear. We are focusing on development of solar energy and will stand to solve any problem that arises in the progress.

Kapil: Sir, the second question was that in the next three to six months, let's see how your order book grows. Currently, it is INR 2,000 crores. So, how much will it reach in the next three to six months?

Dinesh Patidar: We do not have any problem with the order book as of today. We already have an order book of INR 2,000 crores and we can take another order of INR 2,000 crores. At present we are partnering with the DCR cell manufacturers for better control over the supply chain.

Kapil: Okay, sir. Got it.

Dinesh Patidar: Thank you.

Moderator: Thank you.

ou. The next question is from the line of Alisha from Envision Capital. Please go ahead.

Alisha: Hello, sir. Good afternoon. Sir, my question was also on the same line that was asked earlier. Our order book is of INR 2,000 crores. You are saying that there is no shortage of orders. We are not taking it after thinking about it because we can see that there is a supply chain problem in the DCR cell. But if we have to grow this 20-25% next year and if our execution is of one year, then we will have to take a lot of orders in the next quarter or three to four months. So, is our DCR tie-up enough to go above INR 2,000 crores?

Dinesh Patidar: It is already there, ma'am. You can see that we have achieved our 12-month target in nine months. So, after considering the DCR cell tie-up situation only, we are providing you a guidance of 25% year on year growth.

Alisha: No, sir. Then we will have to increase our order book to at least INR 3,000 to INR 3,500. And now we are saying that we are not taking above INR 2,000 because we are seeing a little

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problem in the cell and panel. So how long will we get the capacity of the incremental DCR cell to take the rest?

Dinesh Patel: From the last quarter to this quarter about INR 800 crores of orders have been built up. So, every quarter some new orders are getting built up. So as on date we can't take order, execution is done and then the remaining capacity then according to that we take the new order. So that will get updated on quarter-on-quarters every time. Now also INR 2,000 crores you should take in hand that next three-quarter order you have already available so there is no problem of execution, that is what sir is saying.

Alisha: Okay, so you are saying that this order of INR 2,000 crores is executable in three quarters. And the order that we will take in the next 5 months, 6 months, we will be able to execute it in the next year, in the year 2026 and that is why there is a growth of 20%, 25%?

Dinesh Patel: So, you are looking at a run rate of INR 600 crores. According to that, the order book of INR 2,000 Crores for three quarters it is sufficient and we are talking about growth over that.

Alisha: No, but sir the point is the same. This order book of INR 2,000 crores will still take you to the quarterly run rate of INR 600, INR 650 crores which we are doing now. So, if we want to see more growth on a Q-o-Q basis, then the order book will have to increase more for that. My question is like that?

Dinesh Patel: No, the order will come there is no problem with that.

Dinesh Patidar: Now, we have told you that the planning that we have done year-on-year, we will do a minimum of 25% growth. If we have any other DCR cell arrangement from somewhere then further orders will be executed. But the guideline that you are seeing for the next quarter is that we will take it to 25% growth year-on-year.

Dinesh Patel: So, we are giving you a minimum guideline of INR 600 crores.

Alisha: Okay sir, understood. Thank you.

Moderator: Thank you. The next question is from the line of Piyush from Dhunseri Investments . Please go ahead.

Piyush: Congratulations, sir, for a very good Q3. Sir, I wanted to know what is happening in your current capacity utilization?

Dinesh Patel: Sir, the current capacity utilization is at 62%.

Piyush: Sir, are you telling about 9 months or the average of the year?

Dinesh Patel: 9 months.

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Piyush: And sir when will our new capacity come?

Dinesh Patel: It will come till FY27.

Piyush: So, sir, how are you going to bring growth in FY26?

Dinesh Patel: Actually, we have done some internal arrangements, some internal expansion with which we can build up some capacity here. We have been pursuing the debottlenecking exercise

and with

this we can easily do INR 3,000 crores to INR 3,200 crores.

Piyush: INR 3,000 crores, INR 3,200 crores can we assume for the next FY26?

Dinesh Patel: Yes, we can easily do it with our existing plans. Yes, some expansion has been done internally.

Piyush: And it is a matter of bringing new capacity in FY26?

Dinesh Patel: New capacity is coming in FY27.

Moderator: Thank you. The next question is from the line of Deepak from Kotak Equities. Please go ahead.

Deepak: Hi, sir. I just wanted to understand. You were saying that DCR this time there is a shortage, so any change in pricing that we have seen over the last 3 months 4 months any hint of the current pricing of DCR cell?

Dinesh Patidar: Yes, pricing is a bit confidential. There are different tie-ups with different companies. So, that will not be possible. We will not be able to discuss it, but yes, the pricing has definitely increased. And we are seeing the effect of it. We will be able to tell you about it in the next quarter.

Now, the situation is that the DCR cells we have available, we have booked it. So, the tie-up that we have done with Premier and Adani, we are moving ahead in the quantity that we are able to give. So, in future, as I have told you in the last call, we are planning for 1.2 gigawatts and reduce our dependency on anyone.

Today, we are making 24% margin, but if we negate INR 250 Crores of solar panels purchase which is a pure trading product for us, we are making 40% margin. So, our own product is considered good in the eye of your consumer.

Deepak: Sure sir. Thank you.

Moderator: Thank you. The next question is from the line of Bharat Shah from Ask Investment Manager. Please go ahead.

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Bharat Shah: Dinesh see two things. Today how is the breakup of our order book state-wise?

Dinesh Patidar: I have put it in my presentation on the website. You will get everything there as well. So, the whole presentation is there that the breakup of state-wise is also there. Everything is there.

Bharat Shah: I will check that, but can you quickly guide me about that?

Dinesh Patel: Sir, actually the order we have today is of INR 2,070 crores.

Dinesh Patidar: INR 750 crores orders which is there are from the Maharashtra government. INR 116 crores is from the Haryana government. We also have orders from Rajasthan.

Dinesh Patel: The overall order book from Maharashtra is INR 1,200 crores. And in the remaining it is from UP, Haryana and Rajasthan.

Bharat Shah: So, in four states the total is INR 2,000 crores?

Dinesh Patel: Correct.

Bharat Shah: And in all the four states, payments are happening within the guidelines that you suggested. 90% of payment within 90 days?

Dinesh Patel: Yes sir.

Bharat Shah: And the remaining 10% can take anywhere from 150 days to 240 days?

Dinesh Patel: Yes sir.

Bharat Shah: So, in all the states, the payment...

Dinesh Patidar: There is no issue, Mr. Bharat. There is no issue of payment in any state and there is no issue of installation. We have tied up with our vendors supplying solar panels and were able to sell

whatever we can make. Now, in the coming future the quantity of panels is increasing backed with partnership with new and upcoming manufacturers . So, we are targeting to increase our panel by 25 % to 30% which will help us to sustain our overall growth target . Further, we will also install that solar panel capacities .

Bharat Shah: And the growth of 25% to 30% that you were talking about, for how long is your estimation that this 25% -30%?

Dinesh Patidar: Look, I am telling you that Shakti Pumps and our team is so capable that we will work day and night to complete all the orders in time frame. There is no issue with our own capacity. We have already taken a project to double the capacity of the pump,

planned its QIP, all those things have been done.

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We were facing some problem in sourcing the required panel for which we have already in discussion with new and upcoming manufactures to fulfill our requirement. Also, we are going to install a solar panel plant for that as well which will help us to additionally solve our problem .

So, in the next 2 -2.5 years, our solar panel plant for cell will also start. So, this is the situation that we are moving ahead in Shakti Pumps in any case. So, you have seen that the whole team is moving ahead with full courage.

Bharat Shah: Yes. So, can we say even though the cell constraint is still material today, and it will remain for a while, but if we grow from 25%, then in the next 3 years, even with that constraint, our business will double?

Dinesh Patidar: It will definitely happen. That's why we are installing a 1.2 Giga watt plant. That's why we are installing a solar cell plant.

Bharat Shah: Yes, but it will take time. In the meanwhile, keeping in mind our existing problem, if we grow from 25% in 3 years, then our volume should double. You don't see any big problems in that ?

Dinesh Patidar: There are no problems in that. We will definitely do it.

Bharat Shah: And in order to reduce the risk of depending on just a limited number of states, what are we trying to do and what opportunities are we seeing?

Dinesh Patidar: If our capacity is announced, then we will definitely open other states as well. Secondly, I am telling you the best thing which we underestimate . Our export business is growing very well on its own. All the companies in India do not export as much as Shakti Pumps does.

So, we are doing well in the export market as well along with our domestic market.

Bharat Shah: And how much has been exported today?

Dinesh Patidar: In this quarter, we exported INR 106 crores, which was INR 53 crores in the previous quarter. So, in 9 months, we exported INR 312 crores.

Bharat Shah: And our realization and margins there are better than here?

Dinesh Patidar: Margins are better than here.

Bharat Shah: And what are the payment terms there?

Dinesh Patidar: There are payment terms as well. Sometimes we give 60 days on the LC side, sometimes on the other side. It is different with different customers.

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Dinesh Patel: We give some credit to the old dealers. And we pay them some advance on the LC side.

Bharat Shah: So, the 90% and 10% problem here is not there?

Dinesh Patidar: No, it is not there.

Dinesh Patel : It is the whole dealer distributor network.

Moderator: Thank you. The next question is from the line of Priyesh from Mahindra Mutual Fund. Please go ahead.

Priyesh: So, the capacity of, let say cell manufacturing, as far as I know, is around 7 gigawatts , 8 gigawatts . So, which is basically requirement of DCR modules and such. So, I wanted to know that this DCR module challenge, is it because of capacity constraint, because these OEM players are kind of focusing on exports or some other problem. I mean, just elaborate on this?

Dinesh Patidar: No, sir, people have done some MOU with us in a very good way, have contracted some of our vendors. And in the coming time, the production capacity of big companies is also coming. So, we are also planning that in the next 2 years, 2.5 years, we will also have a plant of 1.2 gigawatt. So, our requirement will also be the same. So, we are planning in the same way so that there is no threat in the next 2 years, 2.5 years.

And now, we think that the capacity that is coming, yes, there will be a little shortage in this

segment. But we should not have any problem in completing it. That's why we are planning a 25% growth.

If any company comes with us for DCR cell, then we will be ready to move

forward with this

25%. Because our capacity to make a pump, to make a motor, to make a VFD, to make a structure is already there. And we have also increased that.

Priyesh: Okay. Just a related question. So, what will be our requirement? Let's say, for 20 %, 25% growth, in terms of megawatts, what can be the requirement of our solar model?

Dinesh Patidar: For the next year, our requirement will be around 1 gigawatt.

Priyesh: 1 gigawatt. Then if there is a 25% growth on that, then 1.2 and then ...

Dinesh Patidar: Right now, we have 600 -700 megawatts. In the coming time, it will be 1 gigawatt. And as soon as our capacity, our capacity is already there, the pump set VFD is already there. As soon as the panel capacity increases, we will increase our production.

Priyesh: Understood. And sir, I was reading in a couple of media articles, in which it was written that in India, our cell capacity will be almost close to 110 gigawatts. In fact, in FY '27. So, if it is seen like this, then there will be a concern of overcapacity, right? I mean, according to that, why

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should we also set up plant? Considering that our return ratio will also be less. Even though it will be for capital consumption, I understand. But still, that's just a secularity?

Dinesh Patidar: See, you are absolutely right. You know that our capacity to make a solar panel is there in the country. The capacity to make a solar cell is still in doubt. Many people are paying attention to that. Our requirement for solar is that our country's requirement is 500 gigawatts. And now you are seeing that the suryagruh/home has also started by the Prime Minister. The free electricity for the poor has also started. Its requirement will also be around 70 -80 giga in the coming time.

So, the speed at which solar consumption is increasing in the country, the requirement is increasing at that speed. This has become sustainable at that speed. Today, if you install a solar panel in your house, you will be able to reduce your electricity bill to zero.

So, you will be able to recover your money in 3 years. So, in the coming time, the requirement will increase due to EV. So, the requirement of power has to remain in our country and move forward. So, I don't think I need to be afraid of anything in this.

Priyesh: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Ajay from Niveshaay. Please go ahead.

Ajay: Sir, congratulations on the result. Sir, my question is regarding this. For example, you got a new order in the Magel Tyala scheme. So, what is the tendering process in that? And since there is an L1 tender there, will we be able to make the same margin in that order?

Dinesh Patidar: No, actually, in this tender, the decision maker is a farmer. Decision will come from a farmer and people are selecting our pumps well in Maharashtra. Those who took the order from our competitors, their pumps are facing issues.

Ajay: No, sir, my question is regarding the pricing. For example, in the KUSUM scheme, the rate card was already fixed, right? So, in this one, the pricing that has come in the Magel Tyala scheme, has it come according to L1 or how has that pricing come? And according to that pricing, will we be able to make the margin of 22 %, 24% this is the question.

Dinesh Patidar: I want to tell you that the tender of Magel Tyala that has come, in that, the concept of L1 is also a rate contract. In this too, the decision -making is in the hands of the farmer. In this, in some variety, there are some percentage rate cuts. I will send you the details of this separately.

Ajay: Okay, sir. And sir, in the Magel Tyala scheme, there is a subsidy of almost 90%. And in the KUSUM scheme for Maharashtra state, there is a subsidy of 60%. So, what is the incentive for the farmer to continue KUSUM? So,

the question is, sir, that in the future, will the execution of the KUSUM scheme in Maharashtra state slow down?

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Dinesh Patidar: No, I don't think that in the future, KUSUM will decrease or increase. So, both the schemes are going on. Both have their allocated own funds. Both are doing their own work.

Dinesh Patel: Actually, sir, it should be understood in this way that the state has more requirements. That's why they had to bring two schemes. And Maharashtra has done good work before. If you see the execution now, then Maharashtra is in the leading position in KUSUM and other schemes.

Ajay: Next question, sir, is that, sir, like we are telling that our quarterly run rate is INR 600 crores to INR 700 crores. And the problem we are facing is due to this module. And because of this, we will be doing a QIP for installing a cell plant. So, sir, the question is, sir, like we have to install pumps at the end in the field. So, sir, is our EPC capability so much that we are doing INR 600 crores, INR 650 crores in a quarter ...

Dinesh Patidar: Yes, we have our capacity. We can definitely do it. There is no issue in that.

Moderator: Thank you. The next question is from the line of Deepak. Please go ahead.

Deepa k: Yes. Congratulations, sir, for good set of numbers. Sir, I just wanted to check that we had recently given an enabling resolution of INR 400 crores. So, can you share the details of that? What is the purpose of that fund? And maybe you had also said about it that we are looking at the capacity of the module. Are we planning the capacity of the cell in this? And how much capacity are we planning in this?

Dinesh Patel: Yes, we are planning the capacity of the wafer -to-cell with this because that is the requirement in the DCR cell. And the fund of INR 400 crores, we have told the solar plant, that the solar DCR cell, the 1.2 giga watts plant that is going on, that is the requirement to utilize it.

Deepak: So, sir, what is our total capex requirement in this? And will we use this for equity and are you planning to take any debt?

Dinesh Patidar: We will tell you that detail later.

Moderator: The next question is from the line of Rohan from Eleverse Capital.

Rohan: Sir, Namaste and congratulations for the good set of numbers.

Dinesh Patidar: Thank you.

Rohan: Sir, I just wanted to know that the government has approved 49 lakh pumps overall under the scheme. In which maximum pumps are in the component C and you have already given the answer to this. But sir, what is coming in the exact issue component C, because in Maharashtra, almost 16 GW feeder level solarization is happening. So, will there be no pumps
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in it? And then how will the components move forward? I wanted to understand what the exact issues are?

Dinesh Patidar: See that is why we have put a pilot project in Ajmer, and that is why we are going slow in it. We are working on this scheme to make individual farmers more energy efficient by using solarised pumps. It is important that the pumps are replaced. The scheme does not have a pump replacement requirement. This is the reason the scheme is not running successfully. We have also given a presentation to the ministry, and we are also suggesting that if you change the pump in it, then only the scheme will be sustainable and then only its payback will be done. One pump will generate income of INR 50,000 per year for the farmer and DISCOMS will make an income of INR 1 lakh per year, and payback period of the DISCOMS will be before 3 years.

We have also installed our product in Ajmer, and we are monitoring it. And in the coming time, the projects of KUSUM C will also come in speed which will create further demand.

Rohan: But in the future, do you think that if KUSUM C goes

in a slow pace, then can the government increase the off-grid pumps in the future?

Dinesh Patidar: Talking about numbers is not a big deal. The central government and state government are sanctioning the numbers. The solar pump costs much less than a new connection, which itself costs INR 2.5 lakhs plus the pump also consumes INR 50,000 per year of electricity.

So instead of new connection they should give solar pump, and the already given connection should be connected to grid. So, in our country's economy there will be a big change in this.

Moderator: The next question is from the line of Shushrut from Caprize Investment.

Shushrut: There is question that is a lineman or a POJSR reports and he goes to the circle office. We have to install the pump in 90 days, so the crunch in the availability of DCR cell, does our pump get installed in 90 days?

Dinesh Patidar: Yes, it gets installed, we execute the order as much as we expect to get the supply of DCR cell.

Shushrut: Sir, the second question was that the Rajasthan Horticulture tender which is in the financial evolution stage. It has been a long time since it has been in the UPSC has bid.

Dinesh Patidar: Which tender are you talking about?

Shushrut: Rajasthan Horticulture?

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Dinesh Patidar: Rajasthan Horticulture is already working on the second tender and we are supplying the orders. Every quarter we get some orders and we supply them.

Moderator: That was the last question for the day. Due to time constraint, we will close this call. I now hand the conference over to Mr. Dinesh for closing comment.

Dinesh Patidar: Thank you very much , friends. If you have any other questions, you can contact our IRteam at EY. We will try to answer all your questions. And for the plant visit, you can come to our factory , please let us know, tell EY team . Thank you very much .

Moderator: On behalf of Shakti Pumps Limited that conclude this conference . Thank you for joining us and you may now disconnect your line s.

Disclaimer: E&OE. This transcript has been edited for factual errors. In case of discrepancy, the audio recordings uploaded on stock exchange on 27th January 2025 will prevail.

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Q4 and FY25 Earnings Conference Call "

May 12, 2025

M
ANAGEMENT : MR. DINESH PATIDAR - CHAIRMAN
MR. RAMESH PATIDAR - MANAGING DIRECTOR
MR. DINESH PATEL - CHIEF FINANCIAL OFFICER
MR. RAVI PATIDAR - COMPANY SECRETARY &
COMPLIANCE OFFICER

MODERATOR : MR. ROHIT ANAND – ERNST & YOUNG LLP

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Moderator : Ladies and gentlemen, good day and welcome to the Q4 & FY'25 Earnings Conference Call of Shakti Pumps India Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone.

I now hand the conference over to Mr. Rohit Anand from Ernst & Young LLP. Thank you and over to you, Mr. Rohit Anand.

Rohit Anand: Good afternoon, everyone. Before we proceed, let me remind you that this discussion may contain forward-looking statements that may involve known or unknown risk, uncertainties and other factors. It must be viewed in conjunction with our business risk that could cause future results, performance, or achievements to differ significantly from what is expressed or implied by such forward -looking statements.

To take us forward through the financial results and the key developments and to answer your questions today, we have the senior management of Shakti Pump India Limited, represented by Mr. Dinesh Patidar – Chairman ; Mr. Ramesh Patidar, Managing Director ; Mr. Dinesh Patel – Chief Financial Officer and Mr. Ravi Patidar – Company Secretary & Compliance Officer. We will start the call with a brief overview of the past quarter and full year FY '25 by Mr. Dinesh Patidar followed by a Q&A session. I will now hand over the call to Mr. Patidar. Over to you, sir.

Dinesh Patidar: Thank you, Rohit . Greetings to everyone . Thank you for joining us today for our earnings call. I am delighted to share with you the remarkable progress and achievements of our company over the past year. I am proud to announce that we have achieved the highest operational performance in the history of our company.

Our revenue has crossed a significant milestone, reaching Rs 2,516 crores, with a Profit After Tax (PAT) of Rs 408 crores. We had surpassed our annual goal of Rs. 1,800 crores of revenue in 9 months of FY25 . This outstanding performance has been driven by our strong growth in both domestic and export markets, which have shown exceptional results.

Our ongoing commitment to financial prudence and operational efficiencies has paid off, as evidenced by the significant decline in our receivable days. We have managed to reduce receivable days to 152 in FY25, down from 178 days in FY24, and we expect to continue improving this in the coming years. We have given our team a target to reduce the debtor days to 120 days . We have a healthy order book of Rs. 1,655 crores as on today with steady order

infow from major stats such as Maharashtra, Haryana and Rajasthan .
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We are an R&D company and we work towards it all the time and we have received good results because of that and we will keep on working towards that. We will always try to live up to the expectation of our shareholders and thank you for associating with us. I will pass it on to Dinesh Patel, our CFO for further proceedings. Thank you.

Dinesh Patel: Thank you, sir. Good afternoon, everyone. I will only briefly talk about the FY '25 numbers. We have delivered a remarkable performance across all metrics in FY '25 with revenue reaching Rs. 2,516 crores reflecting an 83.6% YoY growth from Rs. 1,371 crores in FY '24. The EBITDA for the year was Rs. 603 crores, a significant growth of 168% compared to Rs. 225 crores last year. This growth is attributed to higher order execution and our ongoing commitment to operational efficiencies, resulting in an expansion of EBITDA margins to 24% in FY '25 up from 16.4% in FY '24. In terms of PAT, we saw a huge increase of 188% reaching to Rs.408 crore in FY'25. The PAT margin improved to 16%

, a substantial expansion from 10% in FY24, marking a 589-basis point expansion. Earning per shares for the year was Rs. 34 compared to Rs.12.8 in the previous fiscal.

This year's performance underscores our robust financial results and solid balance sheet position. While Chairman sir has already emphasized our reduction in receivables days this year even with significantly higher revenue. I would like to draw attention to additional key metrics. The company's net worth has increased to approximately Rs.1,161 crore by the end of FY '25. And our interest coverage ratio has strengthened to 13.6 times in FY '25 up from 11.5 times in FY '24. Furthermore, the return on capital employed has risen to 43.9% compared to 24.5% in FY '24 and the return on equity has also improved increasing to 35.2% in FY '25 from 18.8% in FY '24. The board has proposed a final dividend of Rs.1 per share which is 10% of the face value. With this, I now request the moderator to open the floor for questions. Thank you.

Moderator: Thank you. We will now begin the question-and-answer session. Our first question comes from the line of Agastya Dave from C AO Capital. Please go ahead.

Agastya Dave: Sir after the previous quarter conference call, in 2 or 3 days you announced a deal with ReNew for panels. You were saying that panel availability was an issue last quarter for higher growth and getting new contract. So, my first question is, after that deal, how is the situation of your panel availability? Sir, when will your supply start? How much will it be? After executing the existing order book, what is outlook for revenue growth for next year? And sir, at what pricing do we get the panels?

Dinesh Patidar: We have tied-up with ReNew for the supply of Rs.1,300 crores worth of DCR cell based solar module. The purchase has already started. We entered into a contract with Adani, their supply has also started. We already had a contract with Premier, whose supply is regular since the last few years. We expect to do a minimum revenue of Rs. 3,000 crores in FY26. If we talk
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about the EBITDA margin, we look to maintain it around 24%. We will work on only those states and SKUs in which we will get good margin.

Agastya Dave: Have we noticed any slowdown from any government side? Because new states are keeping coming on, but the activity levels in old states from all what we see we think that it has been cooled down a little bit, what is your take on the overall picture? And this minimum target of Rs. 3,000 Crores how difficult is it, according to you, to achieve? Will it get done easily or will you have to work more on sales?

Dinesh Patidar: Our team and I are confident that we will achieve this target, and I want to highlight that this Rs 3,000 Crores is our minimum target. And your second question was that the activity levels in some states are down. I don't know what information you have and activity levels in which state has gone down. We haven't seen any such slow down. KUSUM and Solar Pump are a very good scheme because every state, every farmer, every manufacturer, every installer will be profited from this. So instead of slowing down the speed will increase in the coming times ahead, that is what we believe. It is going on well in all the states.

Agastya Dave: Great sir. Thank you very much sir for the time given. All the best sir.

Dinesh Patidar: Thank you Agastya ji.

Moderator: Thank you. Your next question comes from Swarnashish from Asterisk Capital. Please go ahead.

Swarnashish: My question was that last year, our order intake was slow because our DCR cells availability was bit low. Now, issue has been solved or not? And secondly, in the last financial year, we got margin benefit because our solar panels price was a bit low. But over a period of time, like you 24% margin guidance that

t you are giving, that state government will realize it and our margin will be again back to high teens maybe below 20%, is it possible? That is my question.

Dinesh Patidar: Your question on DCR, yes, we are confident that the agreement which we have done with the companies for DCR, we will get a timely supply of our requirement very easily. We have no doubt about it. Second thing is yes, the DCR cells' price has increased, but against that other raw material prices has come down. So, we believe that with planning from all sides we are confident that we will achieve our target of 24% margin.

Swarnashish: Thank you, sir. Any guidance for order inflow in this year?

Dinesh Patidar: Rs. 1,650 crores of order book we have with us.

Swarnashish: Inflow, sir, in FY'26. How much we are expecting?

Dinesh Patel: The current order will be executable in next 6-7 months. We believe with the kind of opportunity in hand we would be able to secure substantial orders. As we get new orders, we will update you.

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Swarnashish: Thank you, sir.

Moderator: Thank you. Next question is from Ankur Kumar from Alpha Capital. Please go ahead.

Ankur Kumar: Sir, you are saying the minimum revenue of Rs. 3,000 crores in FY26. When are we expecting the next orders, I think we got big orders in Maharashtra. In this year from which state, we are expecting big orders?

Dinesh Patidar: We are working at different places. We are already working Maharashtra, also in Rajasthan, in Haryana, in UP, also going to do in Punjab. And we feel that we will cross this minimum Rs. 3,000 crores target very smoothly.

Ankur Kumar: Sir this government, mostly it will come in KUSUM, what is the expectation. What about the export orders also, sir?

Dinesh Patidar: On the exports you will see, the Rs. 3,000 crores target which we are telling, in that Rs. 500 crores we are planning for export. The remaining Rs. 2,500 crores in that we already have orders worth Rs. 1,650 crores. The remaining Rs. 1,000 crores of order we are seeing forming in the other states very clearly.

Ankur Kumar: And sir, will it get bifurcated equally, like last year we had 550, 570, 650 type, so this year also the expectation is same, similar quarters?

Dinesh Patidar: Please try to understand one thing. Shakti Pumps team works for bottom-line in whichever SKUs we get more profit, which states gives us more profit, we will focus on those state and we grow forward from there and work accordingly. We know that for maintaining the 24% EBITDA which all states we need to work with and which all SKUs we need to work.

Ankur Kumar: Sir, last question. Would you like to give something regarding guidance, when orders will increase, when we will get orders, what do we have?

Dinesh Patidar: You please see, now we have order book for 6 months already. Rs. 500 crores of exports and Rs. 1,650 is of domestic, totaling to approximately Rs 2,100 crores. We are very confident to secure substantial orders from new and existing states and will intimate you as and when we will get any significant orders.

Ankur Kumar: Got it sir. Thank you and all the best.

Moderator: Thank you. The next question comes from Tushar Gupta from Sahgun Capital. Please go ahead.

Tushar Gupta: I want to ask about the status of the new plants?

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Dinesh Patidar: The fund we had raised for increasing the capacity, that capacity of 4 lakhs for VFD is enhanced and I feel happy to inform you that from 1 lakh structures to 2 lakh structures capacity, we have completed.

Tushar Gupta: Sir, I wanted to ask one question regarding DCR cell manufacturing plant, what is the progress there? Now we have got land there also. When will we start?

Dinesh Patidar: In that we have time. We have been allotted land by Madhya Pradesh government. We are planning to move it forward. It is under planning. We will inform you about the progress.

Tushar Gupta: Okay, sir.

Moderator: Thank you. The next question comes from line of Praful Siddharth from Shravas Capital. Please go ahead.

Praful Siddharth: Hi sir, congrats on good set of numbers. I just have a couple of questions. So how many pumps were installed this quarter and the last quarter and what was the revenue from government this quarter and last quarter?

Dinesh Patel: This quarter we have installed in solar EPC 18,749 pumps and for the year 71,572. Revenue for the quarter from solar EPC is Rs. 496 crore and for the year Rs. 1,939 crores.

Praful Siddharth: And what is the revenue from exports this quarter and last quarter?

Dinesh Patel: This quarter is around Rs. 125 crore and for the year Rs. 437 crores .

Praful Siddharth: So last question, what led to the fall in other expenses from Rs. 74 crores to Rs. 55 crores this quarter?

Dinesh Patel: Are you talking about other expense?

Praful Siddharth: Yes. So , there's a fall from 74 to 55. Is there any one -off in the previous quarter? Is there any other reason for this?

Dinesh Patel: Like the execution has risen, in that service reinstatement has happened and some revenue deferment was also there. So , there were some minor changes in policies.

Praful Siddharth: Okay, sir, but quarter -on-quarter, we have broadly the same run rate, Rs. 650 crores, but other expenses there's a steep fall of around Rs. 20 crores from 75 to 55.

Dinesh Patel: So, the provision of service has been reversed because our historical trend was on the downfall side. That's why the auditor has taken a call on it.

Praful Siddharth: Got it, sir. That's it from my end . Thank you.

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Moderator: Thank you. The next question comes from the line of Darshil Pandya from Finterest Capital. Please go ahead.

Darshil Pandya: Sir. Last call you discussed that we would go towards fundraising of Rs. 400 crores. Do you any plans for this year or when?

Dinesh Patidar: Yes, it is under process and as we will finish it, we will intimate .

Darshil Pandya: Okay. Sir, In EV Mobility , what kind of revenue we are expecting this year?

Dinesh Patidar: We are in a good position and have started some production. You will see good numbers in the next quarter. We were fully on the R&D system till now and we have started production slowly.

Growth will start showing from next quarter. We will give you the growth plan from next quarter onwards.

Darshil Pandya: Thank you, sir.

Dinesh Patidar: Thank you, Darshil.

Moderator: Thank you. The next question comes from Soumil Jain from Lucky Investments. Please go ahead. sir.

Soumil Jain: I have two questions. Maharashtra scheme in order book and component C from Ajmer, both are flat quarter -on-quarter. Can you talk on that please?

Dinesh Patidar: Yes, in Maharashtra we are working on that and doing a very good progress in it. Ajmer is slow because it a pilot project we are going forward step by step with the department.

Soumil Jain: Okay, when will these two order books be executed? And from component C and the Maharashtra scheme how much order do you expect in the next 1 -2 quarters?

Dinesh Patidar: Quarter to quarter is fine. We are doing it. As I told you we will do a minimum of Rs 3,000 crores on a yearly basis . This is also covered in it.

Soumil Jain: Can you tell us something specific about Maharashtra and Component C?

Dinesh Patidar: Maharashtra we are working very well. Component C is a pilot project, and we would like to move ahead step by step only in this .

Soumil Jain: Okay . And sir, the current receivable run rate , are we expecting the same next year also?

Dinesh Patidar: Yes, it will be almost the same rate, but we are working towards to reduce it further . Our internal

target is 120 days. We have reduced it from 178 to 152 days in FY25 despite sharp increase in

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revenue. And we are trying to bring it to around 120 days and we can do it. Our historical trend is the same.

Soumil Jain: Okay . That's it, sir. Thank you so much.

Dinesh Patidar: Thank you.

Moderator: Thank you. Our next question comes from the line of Rohit Singh from Nvest Analytics Advisory LLP. Please go ahead.

Rohit Singh: Congrats for good numbers. Last quarter, we were about a minimum growth of 25% in sales and last to last quarter we were talking about in the range of 25 % to 30% . But suddenly, sir, this quarter we are talking about Rs. 3,000 crore sales, which is almost 20 % of growth that we are targeting for next year. So, sir, this change, why has it happened?

Dinesh Patel: Nothing has change, we are giving a minimum target . Sir, talked about in terms of revenue, that is minimum target of Rs. 3,000 crores . There is no change . The company's philosophy is same and so is the work .

Rohit Singh: And sir, on order book side, last quarter you mentioned that we have issues in supply chain.

Otherwise, orders are continuously coming . We can still procure orders from government . So sir, why is there delay in getting orders because from last concall to till now we haven't got any

big orders, which we had confidence that we will achieve 20% minimum we will achieve. So why haven't we received orders? And also, KUSUM B order is slowing, and we are looking more towards the KUSUM C?

Dinesh Patidar: No. I would like to clear something. We already have Rs. 1,650 crores for 6 months. How will it work if I take more orders. And Rs. 500 crores are for export, So, we have a booking of Rs. 2,100 crores. If I take any big order today, I will also have to do supply also, otherwise I will get into penalty clause.

Rohit Singh: Got it, sir. And in EV side, you said numbers will show from this quarter. What will be the contribution of this in this year?

Dinesh Patidar: We will talk about it in next quarter. I will bring another slide specifically for Shakti EV. Then we will talk about it, tie ups and sales and all that.

Rohit Singh: Got it. Thank you. All the best for the future.

Dinesh Patidar: Thank you very much, Rohit.

Moderator: Thank you. The next question comes from the line of Nikhil Abhyankar from UTI Mutual Funds. Please go ahead.

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Nikhil Abhyankar: Sir, just wanted some clarification. You mentioned that you have sold 71,500 odd KUSUM pumps directly, is it?

Dinesh Patel: This is direct only.

Nikhil Abhyankar: And how much will be indirect pumps?

Dinesh Patel: Actually, we have stopped OEM in this.

Dinesh Patidar: We are not supplying to OEMs, we are doing it ourselves.

Nikhil Abhyankar: So not supplying even one pump outside?

Dinesh Patidar: No.

Nikhil Abhyankar: The revenue that you mentioned for exports, around Rs. 125 crore in Q4. And in segmental, it is Rs. 89 crores for the fully year in consol. What am I missing here?

Dinesh Patel: No, total is Rs. 437 crores export. In this quarter it is around Rs. 125 crores.

Nikhil Abhyankar: Sir, in this segmental revenue, it is showing we Rs. 83 crores revenue. So, that difference, why is it so big?

Dinesh Patel: Which slide are referring to?

Nikhil Abhyankar: Sir, I am looking at the result document, the segmental information.

Dinesh Patel: No, it's coming same.

Nikhil Abhyankar: India revenue and annual revenue in consol overseas, Rs. 83 crores.

Dinesh Patel: I will tell now, sir. This Rs. 83 crore that you seeing is of the two subsidiary revenues only, FZE and USA.

Nikhil Abhyankar: Okay, so apart from that, those direct from India ...

Dinesh Patel: Yes, complete, the direct also in Rs. 125 for the quarter.

Nikhil Abhyankar: Okay

, sir. Thank you.

Moderator: Thank you. The next question comes from Deepak Purswani from Swan Investments. Please go ahead.

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Deepak Purswani: Hello, sir. Congratulations for a good set of numbers. Sir, I wanted to understand, that in the presentation we have mentioned, we are actively participating in other states as well, in MP and Punjab. So, if you can tell about it how the tendering is happening there and how big is the opportunity is like or how we are seeing in the next 3, 6 or 12 months? So that would be really helpful.

Dinesh Patidar: Okay, I will tell it again. In the coming time, we have put the minimum guidance of Rs. 3,000 crores seeing the business in these states. And the state wise planning also is done. We will receive orders from Maharashtra, Rajasthan, Haryana, UP and most recently we have received a new order from Punjab. As soon as we get orders, we will update you.

Deepak Purswani: Yes sir, but specifically if you can share how much opportunities is there in MP?

Dinesh Patidar: We will inform as soon as it comes.

Deepak Purswani: Sir, if something from the payment terms, especially related to the Maharashtra state, are we seeing any payment delays or are they coming on time?

Dinesh Patidar: Total, you see that we have done a such good job. We have brought down from 178 days and 152 days. So, for this to our team needs a big appreciation. And next target is for 120 days. And we have done it with increase in revenue.

Deepak Purswani: Okay. Thank you.

Dinesh Patidar: Thank you, Deepak.

Moderator: Thank you. The next question comes from the line of Varun from Equitree Capital. Please go ahead.

Varun: Hi sir, congratulations for good set of numbers. A couple of questions. First, installation from last three quarters has been around 18,000 -19,000 pumps. So, has there been any execution challenges? What would you like to tell about it? And secondly, our market share is also seen to reduce across the overall orders. So is there a decline in market share? So is there any reason for that? Is it competitive pressure or what you have to say on that?

Dinesh Patidar: Yes, sir. Your first question, about the competition, that market share is going down, I have told you earlier also, that we would like to work in those states in which we get support on margin.

We like to work on those SKU where we get more profit margin. So, what I was telling is, we will work only on those states where we get timely payment delivery. We will only work in those products, those SKUs where there is a chance of making good margin. I will tell that there is a big market opportunity. We will welcome more competition. Let all those who want to come, we won't be able to supply 4.5 crores pumps alone. So, we would like big players to come, and we will work together to serve the India solar pumps efficiently. Yes, we would be the leader
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and also maintain the margin. But we won't like to run behind the numbers and reduce the profit in balance sheet.

Varun: You mentioned that where money you are getting, are there any states where there is an issue that you see?

Dinesh Patidar: Where we are working now, we are getting regular and timely payment, that is why we are working.

Dinesh Patel: That is why the debtor days have come down.

Varun: Right. And regarding installation of pumps

Dinesh Patidar: No problem in installation. We have developed mobile apps in power electronics, and we have SAP, bought another software by the name Sales Force, so all the schemes are being able to be executed very well. We don't see any challenge in installation.

Varun: In that you should see growth in coming quarters?

Dinesh Patidar: Right, it is with the Rs. 3,000 Crores which is incoming.

Dinesh Patel: What sir is repeat

edly telling is, we are concentrating on the revenue itself.

Varun: But your CAPEX status is getting delayed, your plan to double the capacity. So, when will that start because it is already delayed?

Dinesh Patel: No, there is no major delay. As sir has already told you, we have already installed capacity of VFD and the structural capacity is almost installed. As far as the pump and motors is concerned, that was also working as per our target. We are publishing the monitoring report regularly in every quarter and you can see that there is no major delay in that.

Varun: No, you have in the utilization report that which was going to happen in June 24 will happen now in May.

Dinesh Patel: If you see, the completion date of March 26th we moved it to June 26th. There is not much delay.

Dinesh Patidar: We can't say it is a delay, Varun.

Dinesh Patel: 3 months is not a delay, sir.

Varun: Okay, sir, I will get back in the queue. Thank you.

Moderator: Thank you. Our next question comes from Prateek Bhandari from Art Ventures. Please go ahead.

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Prateek Bhandari: Sir, what will be our domestic to export revenue mix going forward?

Dinesh Patidar: Yes, I told you the previous call that of the Rs. 3,000 crores, Rs. 500 crores is from export. So, the mix? It will be around 17%.

Dinesh Patel: We have been maintaining around 20%.

Prateek Bhandari: 20% exports?

Dinesh Patel: Yes.

Prateek Bhandari: Any new areas in the export market?

Dinesh Patel: Yes, our sales team is always on world tour and always get new dealers.

Prateek Bhandari: Sir, how much difference is export and domestic in margins?

Dinesh Patel: We have given average guideline of 10% as compared to domestic difference.

Prateek Bhandari: Okay, sir. Thank you.

Moderator: Thank you. Next question comes from Amit Kumar from Determined Investments. Please go ahead.

Amit Kumar: Thank you so much for the opportunity sir. Our exports in FY25, of Rs. 2,500 crore revenue, how much will it be?

Dinesh Patel: Rs. 437 crore , sir.

Prateek Bhandari : Okay. Thank you so much.

Dinesh Patel: Thank you.

Moderator: Thank you. Next question comes from Mohit Jain from M Capital. Please go ahead.

Mohit Jain: Sir, my question was, state- wise break -up, in presentation our execution in UP has either come down or has been very slow and it seems that we have done more execution in Maharashtra state.

So, can you give some guidance on this?

Dinesh Patel: Actually , in Maharashtra orders were also big . So, execution will be more there. Where the order size is small the execution will be only of that size.

Mohit Jain: Sir, the UP order which came very less execution happened in the last 2 quarters , is there any issue in execution there?

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Dinesh Patidar: No issues. We ourselves are slow in UP. We have moved little material there. The clarity needs to come from their side regarding 75% or 90% subsidy, so as soon as the clarity comes we will increase the pace. We proceed considering all these things step by step.

Mohit Jain: In June quarter also, UP it will be slow, there won't be much execution?

Dinesh Patidar: This quarter, UP should do well.

Mohit Jain: And in Maharashtra , the letter of intent, the empanelment which happened for 25,000 pumps, so is there any possibility of order execution?

Dinesh Patidar: I will tell you. I am very happy telling you this, it is good that you asked this question. All investors must know that Shakti Pumps brand is doing so well that out of the 25,000 pumps requirement , Maharashtra government opened portal for 15,000 pumps and in less than 3 hours of opening , the portal was full, it means that our customers were waiting for us that we were able to achieve in 3 hours . Which our competition was not able to do it

in 3 months of time . So, I am

very happy in telling you this. Good that you asked and it will give clarity. Everyone will get clarity or else it would have missed.

Mohit Jain: Has the execution begun?

Dinesh Patidar: Yes, going on.

Mohit Jain: Yes. Thank you so much. That's all from my side. Thank you.

Dinesh Patidar: Thank you.

Moderator: Next question comes from Vivek Gautam from GS Investment. Please go ahead.

Vivek Gautam: Our solar cell plant, various solar cell capacity is coming very well in India. So , would we still like to go for this heavy CAPEX thing and lowering our ROE, ROCE or will we wait and take a call going forward in solar cell?

Dinesh Patidar: Vivek, our understanding is that whatever capacity has come in India, there is more requirement in Solar Pumps , Surya Grah and in KUSUM and India's requirement is much higher than that.

Now the capacity has come very low. So that is why for starting we are having a plan of 2 Giga and our consumption, now you see the Rs. 3,000 crores that we have planned, so around Rs.1,200- 1500 crores solar cell is going to be installed for us alone. And in the coming times, when any solar manufacturer delays giving the solar cell, then we would be like to be self -reliant , that is why we are putting up this unit because we don't need to depend on solar manufacturer . And our requirement is going to increase day by day in the coming days. In 4-5 years , the solar cell requirement will go much higher in India. That is why we have a plan to install this plant.

And now you see that the margin that is visible in DCR cell, margin that is available in the price of cell , our vendors with whom we purchase because demand supply is the matter, so price is

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also the matter. The solar cells are available in China, but here we are purchasing at a price higher of 30% -40% price. This is also an issue. We believe that if we install a plant of 2 giga then we will be confident that we will be able to supply for KUSUM on timely manner. Because we have heavy investment. We will reach to the capacity of 10 lakh pumps, then our solar requirement will be 10 Giga. So , we want more domestic manufacturers to come forward and install their solar plant. We are putting this plant to keep our confidence level high. That will support us. That's we are putting it.

Vivek Gautam: Earlier you were saying there is shortage of solar cells but has improved a lot. There is no such criticality because of which you needed to diffuse the order.

Dinesh Patidar: Vivek, you will be happy to know that we are biggest domestic purchaser of KUSUM and we are also not getting timely supply. That is why we are going step by step. The people with whom we have agreement today; we see same amount in a year. We can get more, but it is still not evident.

Dinesh Patel: And when more development is there, we will update you.

Vivek Gautam: And sir, there is some talks about KUSUM 2.0. The government's focus was on the replacement of crude with solar power and expenditure in setting up grid facilities, is very expensive and government of India is also making big plan ahead in KUSUM.

Dinesh Patidar: I have already informed investors, if this subsidy business is stopped, then we will do much bigger business. Because the solar pumps requirement is there in the country and they need pumps in the country. Farmers have seen that, and their confidence has also increased. In Rajasthan and in many other states, 40% farmers use their allocated share and are buying pumps. So now I don't think in the coming years, there is going to be any dependency on the Government because the cash market is also opened.

Vivek Gautam: And sir is our payment getting delayed because of this Ladli Behen Yojna? Different states government's money is going there so could there be any issue of receivables?

s?

Dinesh Patidar: If there had been a negative impact of Ladli Behen Yojana, then how could have we brought down the debtor days from 178 days to 152 days?

Vivek Gautam: You right, sir. And exports, what kind of opportunity size is it? Apart from Uganda, Bangladesh, has also had setback because of government change.

Dinesh Patidar: No, okay. Bangladesh is a very small country. We will share plans as and when we got any confirmation. And as we said, we will do revenue of Rs. 500 crores in exports.

Vivek Gautam: Okay, sir. Thank you, sir.

Dinesh Patidar: Thank you.

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Moderator: Thank you. Our next question comes from Chandan Kumar, a Retail Investor. Please go ahead.

Chandan Kumar: Hi sir. Thanks for the good numbers. I want to know, there is a tender in Orissa, in which I have seen that there is Shakti pumps in empaneled but in PPT we have not mentioned about Orissa.

So, do we believe that it will not be allotted to us?

Dinesh Patidar: It is small then why will we tell you about it if it is small, and we are going to start it. And if there will be big orders coming from there. We will inform you for sure. But we do not inform others about the agreement, that is why you wouldn't have seen it in our PPT. Whenever big orders come, we will definitely tell you.

Chandan Kumar: Sir, there is one more question. Component C is coming in big numbers in many states. Why don't we have agreement with some others and supply pumps and some parts they look into, in component C, in AP, Maharashtra, lot of new tenders are coming, and we are focusing less on that. So, can we get more clarity on component C?

Dinesh Patidar: In component C there is still confusion. We will clear it. When clarity is there then we will tell you and we will also work on it. If we ourselves are not clear how can we tell you about it?

Chandan Kumar: Thank you, sir.

Dinesh Patidar: Thank you, Chandan.

Moderator: Thank you. The next question comes from Jainam from Saltoro Investments. Please go ahead.

Jainam: Hello, congratulations on a very good set of numbers. This slide #33, in this particular presentation about the retail and cash business which I wanted to understand what opportunity you see in there, if you could elaborate a bit?

Dinesh Patel: Jainam, we have started making exclusive counters pan India. But it is in initial phase, so we are not committing big numbers. But yes, as sir give you guideline, that even if we lose the business with government, then we would like to do it in retail. And for that we have started the preparation, and we are getting good response pan India, and we have already made 80 dealer distributors till date for solar.

Jainam: That's great. I also wanted to understand, I think the debt limit, that has been increased from Rs. 1,000 crores to Rs. 2,000 crores, we wanted to get some understanding on the same if you could throw some light.

Dinesh Patel: Actually, if you know, our government business has 3% performance guarantee which we are supposed to give. As the numbers increase, like for this year minimum guidelines of Rs. 3,000 crores and the growth that are according to that, bank guarantee plus for LC, all the solar panels are LC based procured. So, we have to arrange for a minimum working capital. As the orders would come to us, so we have to increase the credit line.

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Dinesh Patidar: We need to give LC to the DCR cells suppliers in advance. Then they start production. Like in advance we need to give LC or if cell is to be imported from China and given to them. So, in that working capital is on us. That is why we are installing solar plant using Rs. 1,200 crores. If we want to open LC of 120 days and also need to buy cell too in advance, need to pay cash also,

booking also need to be done, s

o why don't we start our own plant.

Dinesh Patel: Our working capital is already infused.

Jainam : That is very correct. Backward integration for the solar plant must be on it seems given how the situation is. Congratulations and all the best. you. Thank you.

Dinesh Patidar: Thank you, Jainam .

Moderator: Thank you. The next question comes from the line of Rahul Ranka from Kushal Investments. Please go ahead.

Rahul Ranka: I wanted to know, a year later, one year from now, what can be the order book which we might have ?

Dinesh Patel: Sir, already told you that the target is Rs. 3,000 crore minimum and the Rs. 1,650 crores of order book already there. Apart from that, the export is of Rs. 500 crores expectation. So, I think there is sufficient order book in hand. In future whatever order we will receive, will intimate you.

Rahul Ranka: No, sir I wanted to understand, the order book in future, definitely sales Rs. 3,000 guidance or margins, that will be understood for next one year. But after a year, do we have that sufficient from where we can get growth forward .

Dinesh Patel: Sir, big opportunity rests with solar, as told by sir already. So, now we are saying that it has just started. Still, lot of work is pending in this segment . 30 lakh pumps MP government has agreed, 35 lakhs pump Maharashtra government has said, this much big market is a big thing.

Rahul Ranka: Because last year and last 1 or 2 years, our order book twice than sales . But 6 -8 months we have order book . So, that be refilled or not? That is my question .

Dinesh Patidar: The sale was also less in previous years. In previous years, 900 crores, 1, 300 crores and then 2,500 crores.

Rahul Ranka: So, compared to that, we had double orders also.

Dinesh Patidar: I'll again tell you . Our minimum guidance is Rs. 3 .000 crores and today we have visibility of Rs. 2,100 crores. So , today also we are double. Now the whole year is pending, the remaining order will come, right. Order Inflow will be there.

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Rahul Ranka: Because of the previous trends, the book should be of Rs. 5,000 crores - Rs. 6,000 crores compared to last few years.

Dinesh Patidar: Okay. Next coming years we will see.

Rahul Ranka: Thank you, sir.

Moderator: Thank you. The next question comes from the line of Ajay Surya from Niveshaay. Please go ahead.

Ajay Surya: Sir, this KUSUM Yojana is ending in F Y'26 and you are saying that there is discussions in the industry in which the new KUSUM Yojana is coming. So sir, question is that this KUSUM Yojana was for 14 lakh pumps component B . So, the coming yojana is of what size, in which timeline it will come, please could you highlight on that?

Dinesh Patidar: Ajay, again I am tell you, this KUSUM which is running, there is a requirement of 4.5 Crores pump. This is pilot project and planning is going on towards this. Nobody is saying that KUSUM is going to end or KUSUM 2 is going to come or KUSUM 3 is going to come. Government is thinking in its level. Companies are thinking on their own level. And Maharashtra Chief Minister said he want to install 35 lakh pumps. Madhya Pradesh Chief Minister statement is that he want s to install 30 lakh pumps. So, what is the value of the 30 lakh and 35 lakh pumps? I have to calculate the value of 6 5 lakh pumps. So that's big market . Leave the problems aside, everything is very good and we are climbing up step by step. You must have seen our sales this year and last year. And in coming years also we will do good sales. We will understand the market and move forward.

Ajay Surya: Okay, sir. Thank you very much.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we will take this as our last question. I will now hand the conference over to Mr. Dinesh Patidar for closing comments.

Dinesh Patidar: Thank you very much

Thank you all for coming. I am happy that I am able to answer all your questions. If

you have any more questions you can write to our EY team. You can contact us also. We will answer all your questions. Thank you very much. Once, again, it was a very good year . We will also perform well in the coming years. Thank you very much.

Moderator: Thank you. On behalf of Shakti Pumps India Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Disclaimer: E&OE. This transcript has been edited for factual errors. In case of discrepancy, the audio recordings uploaded on stock exchange on 12th May 2025 will prevail .

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"Shakti Pumps (India) Limited
Q1 FY'26 Earnings Conference Call"

August 04, 2025

MANAGEMENT : M R. DINESH PATIDAR - CHAIRMAN
MR. RAMAKRISHNA SATALURI - CEO, SHAKTI
ENERGY SOLUTIONS LTD.
MR. DINESH PATEL – CHIEF FINANCIAL OFFICER
MR. RAVI PATIDAR – COMPANY SECRETARY &
COMPLIANCE OFFICER

MODERATOR : M R. ROHIT ANAND – ERNST & YOUNG LLP

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Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY'26 Earnings Conference Call hosted by Shakti Pumps (India) Ltd.

As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rohit Anand from Ernst & Young LLP. Thank you and over to you, sir.

Rohit Anand: Good afternoon, everyone. Before we proceed, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risk that could cause future result performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements.

To take us through the Financial Results and Developments and to answer your questions today, we have the senior management of Shakti Pumps (India) Ltd. represented by Mr. Dinesh Patidar – Chairman; Mr. Ramakrishna Sataluri – CEO, Shakti Energy Solutions Ltd.;

Mr. Dinesh Patel – CFO and Mr. Ravi Patidar – CS and Compliance Officer.

We will start the call with brief overview of past quarter by Mr. Dinesh Patel. I will now hand over the call to Mr. Patel, our CFO. Over to you, sir.

Dinesh Patel: Thank you, Rohit. Good afternoon everyone and thank you for joining us today. It is my pleasure to welcome you to our Q1 FY'26 Earning Call.

We have begun the current financial year on a strong note, reflecting the strength and resilience of our diversified business model and disciplined execution. Our growth this quarter has been driven by robust performance in the solar pump segment, strong momentum in export markets and strategic investments in capacity and technology. We continue to lead the solar pump business, maintaining approximately 25% market share across key states. As of 1st August 2025, our order book stood at approximately Rs.1,350 crores, supported by steady inflows and active participation in tender across Maharashtra, Madhya Pradesh, Rajasthan, Haryana, Punjab, Uttar Pradesh and Jharkhand etc. We are now seeing decisive action from the Central Government, which is working closely with states to accelerate implementation. We believe this will unlock substantial opportunities with meaningful orders inflow and we remain confident in our ability to maintain leadership position while being selective in the orders we pursue.

On the export front, while executing marquee project globally, we continue to deliver strong results with around 25% CAGR over the past four years and having delivered successful Shakti Pumps (India) Limited
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projects in Uganda, Bangladesh, Nepal, Haiti etc. With the growing demand for our products in USA, Middle East and Africa, we remain confident in our ability to sustain our growth in exports. We are witnessing good traction in our emerging businesses such as solar rooftops, motors and controllers for EV segment and the retail business for solar pumps. We remain confident about the opportunity in the solar rooftop business driven by government initiative such as PM Surya Ghar : Muft Bijli Yojana. In the solar rooftop space, we have initiated business in the states of Madhya Pradesh, Maharashtra, Rajasthan and Uttar Pradesh. I am happy to share that Mr. Ramakrishna Sataluri who leads this vertical will share his thoughts later on, on our progress and outlook for this business. Mr. Ramakrishna's longest and most impactful tenure was at Tata Power Solar System Limited where he served as Executive Vice President and later Chief Products & Marketing. He also chaired the

Board of Directors of TP Renewal Microgrids Ltd. demonstrating his leadership in renewable energy initiatives and product innovation. With his deep understanding of business strategy and renewable energy markets, Ramakrishna sir will lead SESL in its next phase of growth focusing on innovation, operational excellence and strengthening our market position.

Let me discuss now about our EV business:

We have also witnessed good traction in the EV business where we are receiving increasing inquiries and are undergoing trials. Our efforts towards the solar pumps retail business also continue as we now have more than 100 exclusive outlets in key locations. Our products are well accepted and we are working to reduce dependency on government programs by growing our non-government business.

We are also investing in the future and for the same we are executing a CAPEX plan of Rs. 1,700 crore over the next two years. We had announced last year that we are doubling our capacity for pump and motors, solar structure and VFD and inverter. I am happy to share that our solar structure capacity has already increased from 1 lakh per annum to 2 lakh per annum and the VFD and inverter capacity has increased from 2 lakh per annum to 4 lakh per annum. We are also in the process of establishing an EV motors, controllers and chargers facility under our wholly owned subsidiary Shakti EV Mobility with an annual capacity of 2 lakh motors and 2 lakh controllers and chargers, which will require a total capex of Rs. 250 crore. In addition to this, we are also initiating the process to set up a 2.2 GW solar DCR cell and PV module plant in Pithampur, Madhya Pradesh, requiring a total capex of Rs. 1,200 crores. We successfully raised Rs. 292.6 crores through a QIP, which will partially fund our solar DCR cell and solar PV module manufacturing project. The balance CAPEX will be financed through internal accruals and debts. These investments will enhance our manufacturing capabilities, improve integration and support long-term growth.

With a strong foundation, disciplined execution and a clear strategic roadmap, we are confident in delivering around 25-30% revenue growth in FY'26 and sustaining this trajectory
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over the next 3-4 years. The opportunity ahead is immense and we are taking the right steps to build a strong, diversified and future-ready business that delivers long-term value to all our stakeholders.

Now let me take you all through the financial performance for Q1 FY'26:

Revenue for the quarter stood at Rs. 623 crore, reflecting a year-on-year growth of 10% compared to Rs. 568 crore in Q1 FY'25. EBITDA came in at Rs. 144 crore, up from Rs. 136 crore in the same quarter last year, with an EBITDA margin of 23.1%. Profit after tax for the quarter was Rs. 97 crore, an increase from Rs. 93 crore in Q1 FY'25.

During the quarter, India Ratings & Research Pvt. Ltd. upgraded the company's credit rating to AA-.

Now, I would like to request Mr. Ramakrishna Sataluri Ji to share the developments and outlook for the solar rooftop business. Thank you.

Ramakrishna Sataluri: Thank you very much, Mr. Dinesh Patel. Good day to everyone. I am Ramakrishna Sataluri and I am extremely delighted to be here to lead the rooftop business for Shakti Energy Solutions. This, in India, is seeing a significant growth. All of us are fully aware of the PM Surya Ghar : Muft Bijli Yojana, where the government is looking at solarizing 1 crore rooftops. It's got a very rapid pace. We have almost 58 lakh applications that have already been received by the government and in excess of 10 lakh installations already done. The speed is picking up and the opportunity is immense there. I am looking forward to leading this and doing good business here with a clear vision that by 2030, we will be the market leader in this

space. I bring to the table about more than 30 years of ex

perience, really breaking it down into three large sectors, office automation, telecom, and lastly, as Dinesh said, in renewable space.

20 years of my working career has been with the Tata Group and it's been immensely enriching.

I now open the floor for some questions. Thank you.

Moderator: Thank you very much. We'll now begin the question and answer session. The first question is from the line of Aashish Uppanlawar from InvesQ PMS. Please go ahead.

Aashish Uppanlawar: Thank you for the opportunity, sir. I wanted to understand because the order book has been continuously going down if we look at numbers for the past 3-4 quarters. So, if you can elaborate on how things are going at the government's end, central, state level and what's the outlook on the order book because we understand that efforts are there from the government side and from the industry side to work up the kind of tenders and orders. But it's not reflecting in terms of awards and improvement in our order book. So, what do you think will happen next year? If you could please help us understand, that would be the first question for me.

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Dinesh Patidar: Okay, Aashish. Yes, this is very clear. This scheme has a big opportunity and we have to execute these orders within timelines. Two quarters of the order book is good enough for our business. The business that we should have in two quarters, we will do it with this order book and additionally we have other orders in pipeline. We are doing very well in export as well. And in solar business, our order book used to be between Rs. 2,000 crores and Rs. 2,500 crores. Right now, it is Rs. 1,350+ crores. But this is also because we have also increased our execution at the same speed. We must install this solar pumping system in 90 to 120 days which makes us believe that this order book is executed well in the next two quarters. We are also anticipating more orders in the coming period. And we will do 25% to 30% growth year-on-year. And we think that solar business will grow well in India.

Aashish Uppanlawar: Sir, can you tell us a little bit about what is happening at the state level? What is happening in Maharashtra, Rajasthan, Haryana, what is happening at the central level? You are close to all these things. So, your thoughts will be a little helpful. Because what we are saying that 25% growth, this is our core business of pumps. The rooftop thing is a separate thing. If you help us a little bit, it will be easy for us to understand what is going on at the government level and at the different level.

Dinesh Patidar: Yes, Aashish, we are talking about 25% growth in our solar pump business. Number two, for solar business, the central ministry is also very positive and is moving forward in a good way, and is also coordinating with states. We will continue to do very well in all the states. In all the states, we are in the leader's position. We are doing good work across major states like Rajasthan and Maharashtra. We are also going to start in Madhya Pradesh in a big way. So, we are going to do work well in all these places.

Aashish Uppanlawar: KUSUM 2, which is in the works now, is it going to be on-grid or off-grid? Because we have heard that it will be more focused on on-grid.

Dinesh Patidar: No, it is not like that. It will run in both ways. KUSUM B is a very good scheme in itself because it replaces the diesel pump and opens new areas and connects new farmers. It also helps to convert the new area into crops. Because if you look at KUSUM B, solar pumps have to be installed in areas with no electricity connection. So, the farmers who were already dependent on water and rain, solar pumps have enabled that farmer to now sow three crops. So, no one will be able to stop KUSUM B. KUSUM C, which is an on-grid scheme, will move forward step by step.

Aashish Uppanlawar: So, this order book, which is 1,300 crores, do

you think that it will be based on this? Will we see the order book improving incrementally by the end of Q2? What is going on?

Dinesh Patidar: Yes, it will definitely improve.

Aashish Uppanlawar: So, the order will come from Maharashtra. Maybe there was tendering in the works. Sir, if you give some clarity, it will be easy for us to understand, state by state.

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Dinesh Patidar: There is a possibility of orders coming from all states. We are expecting orders from Maharashtra. And Haryana is also about to open. We are already executing in Rajasthan, and along with this we are doing good business in other places as well. Orders have started coming in MP as well and we are expecting good orders going ahead as well.

Aashish Uppanlawar: Okay, sir. Thank you so much.

Dinesh Patidar: Thank you, Aashish. Thank you.

Moderator: Thank you. The next question is from the line of Abhinav Kapadia from Choice Equity Broking. Please go ahead.

Abhinav Kapadia: Yes. Hi, sir. Good afternoon. My question is on the lines of the cost of materials consumed.

And so, if we see that this quarter, there has been a slight increase in the cost of materials that we have consumed. Any particular reason for the same? And where do we see that going forward?

Dinesh Patidar: Yes, Abhinav. Actually, in our raw material, you will see that across the country, MS has increased by 6%-7%, Steel has increased by 1.5%-2% and some other materials have also increased. So, due to this there is a difference of 1% in our total raw material. We feel that in the coming time, this will settle down again and it has started to settle down a bit. So, there is nothing extraordinary about it going up or down by 1% or so.

Abhinav Kapadia: Okay. And, sir, my second question is from the line of the EV mobility business. So, have we had any order book for that or any execution, because last quarter, I believe that we had said that that has not picked up?

Dinesh Patidar: In the EV business, you have to understand the approvals take time in the automobile sector and each company has its own different standards. We have given our samples, our technology, our design for approval in many companies. As and when it is approved, we will tell you more about it in the coming quarters. We have gotten the business to a good condition. We have given samples at the development stage in very good companies. In the coming time, we feel that we will get a good business in it.

Abhinav Kapadia: Okay, sir. Thank you. I will get in the queue for next question.

Dinesh Patidar: Thank you, Abhinav.

Moderator: Thank you. The next question is from the line of CA Garvit Goyal from Nvest Analytics Advisory LLP. Please go ahead.

CA Garvit Goyal: Good afternoon, sir. Sir, my question is on the fundraise part. Like, we raised money via QIP recently. And now, we are looking to borrow also, I think. We approved a limit for borrowing.

So, I want to just understand what is the perspective behind this? Like, what is management

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thinking? Why we have raised the money via QIP? And why raising this significant amount via borrowing? So, what are the exit plans that we are looking for? That's my first question.

Dinesh Patel: Okay. Actually, we have already said that there is a plan of Rs. 1,200 crores of CAPEX in SESL for DCR cell and PV module manufacturing. So, we are funding through equity for 33%, which is the minimum requirement of the bank for the loan. And the remaining part will be funded through our internal equity and debt. The increase in the borrowing limit is an enabling resolution and we have got approval from the board. That is the only requirement.

We are very confident that we are generating EBITDA at every quarter at a much higher level.

So, we will be more concerned about the debt portfolio, and we are minimizing it. And we are

expecting that we will take a minimum loan and execute this project within the timeline.

CA Garvit Goyal: Okay. And regarding the order book part, like order book is obviously on the decreasing side quarter-over-quarter despite the confidence the management is showing regarding the order inflows. So, my question is like, till now we have seen about 25-30% growth for this year, but

this quarter was kind of muted for us, right? So, I want to understand what is the plan for next 9 months? What is giving us confidence that we will be able to do 25-30% growth this year?

And secondly, on the margin side, do you feel like we will be able to do the similar margins that we did in FY'25 for full year FY'26?

Dinesh Patidar: Okay, yes. You see, we have already experienced 10% growth. And if you look at the last quarter, the major issue was the 10-day conflict with Pakistan, where we called our Punjab, Haryana and Rajasthan team back to the head office because it was not right for us to keep the whole team there. So, due to our 10-day loss, this growth is a little low. Otherwise, we will maintain our 25%-30% growth. We are confident and all the planning is going on for this in our pipeline.

CA Garvit Goyal: Sir, the revenue that was lost in this quarter due to macro challenges and events, that revenue will also be made up in the coming quarters, like we will be seeing more than 20-30% growth in the next 9 months?

Dinesh Patidar: Yes, yes, it will definitely happen. Our entire plan is that we will definitely give 25-30% growth year-on-year for the full year. One or two quarters can go back and forth for some reason, but we will grow 25%-30% in the full year.

CA Garvit Goyal: Sir, in the previous quarter, we used to give the guidance for next quarter, so what is the guidance for Q2 this time?

Dinesh Patel: Actually, we are only guiding our yearly targets. In the last Concall, Sir has already said that we will do 25-30% growth on a year-on-year basis i.e., for the full year, and we will maintain 24% EBITDA at a year-on-year basis level.

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CA Garvit Goyal: And sir, what will be the guidance for the order book? In the coming 1-2 months, we have to increase the order book, only then will we be able to achieve that guidance. So, what do you think, sir, how much order inflow will we have in the next 2 months?

Dinesh Patidar: We have orders in our planning and are expecting good orders in the coming period. As soon as we receive the orders, we will inform the stock exchanges within 24 hours. We are focusing on executing the orders timely, and we will pay attention to it in the future as well. We are also focusing on the export business. We have a very good export business and have been delivering 25% growth there as well. There are also higher margins in the export business. So, we are moving forward with our focus and planning in all businesses.

CA Garvit Goyal: Thank you very much, sir. All the best for the future.

Dinesh Patidar: Thank you.

Moderator: Thank you. The next question is from the line of Aditya Sahu from HDFC Securities. Please go ahead.

Aditya Sahu: Yes. Thanks a lot for the opportunity, sir. I had two questions. One of which was, what would be the overall scope of KUSUM 2 in terms of the total order that you are expecting in KUSUM 2?

Dinesh Patidar: Yes. See, the product, the solar pump itself is a sustainable product. And KUSUM 2 is coming in a bigger and better way than the current. I can tell you that the government planning is going on very well for this scheme.

Aditya Sahu: Okay. And how much will be left in KUSUM 2 next year?

Dinesh Patidar: We have told you our targets. We are expecting growth of 25-30% year-on-year every year for the next 3-4 years. Because in the coming time, we are setting up our unit for DCR cell, which was a restraint which will be taken care of. Production will start and af

ter that, we will share

our other big plans that we have developed. That's why we are telling you that we will continue to grow 25-30% every year for the next 3-4 years.

Aditya Sahu: Okay. And this KUSUM 2, are you expecting it this year or next year?

Dinesh Patidar: No, KUSUM 2 will start after next April. And it will start in a good and big way.

Aditya Sahu: Understood. And I just wanted to understand from your perspective that the Magel Tyala scheme and within the KUSUM scheme. In the current year, how much order are you expecting, including how much we expect the government to tender out over here?

Dinesh Patidar: Aditya, as soon as the order comes, we will inform the market. And we are planning a growth of 25-30%. We will get the same growth from Magel Tyala and from other places as well.

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Aditya Sahu: Understood. Thank you.

Moderator: Thank you. The next question is from the line of Rajesh Vora from Jainmay Venture. Please go ahead.

Rajesh Vora: Good afternoon, Dineshji. What will be the current capacity utilization and how many pumps did we sell in this quarter? In KUSUM and Magel Tyala?

Dinesh Patel: So currently we are working at around 60% capacity and for solar business we have sold out around 17,500 units. That amounts to around Rs. 452 crores for this quarter.

Rajesh Vora: And exports?

Dinesh Patel: That is Rs. 99 crores.

Rajesh Vora: Okay. And my second question is to Mr. Ramakrishna. Very interesting to see that Shakti Pumps is taking initiative on rooftop business. You said that at FY'30, Shakti wants to be number one in the rooftop market. So, can you elaborate a little bit on the strategy and how you plan to get there?

Ramakrishna Sataluri: Yes. One, we have a clear vision of getting to market leadership by 2030. What we are doing right now is keeping that as a vision now we are working backwards as to how we are going to get there. We are now getting into the minute details of every data point and putting the strategy and the business plans together, which we will share in due course of action.

Rajesh Vora: And when you say number one, do you mean currently number one of course is your previous company with 13% market share. So, is it fair to say that we are looking at double digit market share by then?

Ramakrishna Sataluri: Whatever it takes to be the market leader. If it is double digit, so be it.

Moderator: Thank you. The next question is from Nikhil Abhyankar from UTI Mutual Fund. Please go ahead.

Nikhil Abhyankar: Thank you. I have got just one question. So, in the recent tenders, I have seen that the realizations are coming off. I mean, for a 5-HP pump, the tender has gone for 2.5 lakhs, whereas our average realization last year was 2.7 odd lakhs. So, in this scenario, how do you really expect to maintain the margin at the current level? And are you actually seeing some

kind of moderation in module costs for you?

Dinesh Patidar: Yes, Nikhil, that's a very good question. In terms of costing, as the pricing has gone down in some tenders, we have also made some adjustments and reduced our pricing in the same ratio in the product. The sale price is the same. And as you can see, due to the rise in steel prices, Shakti Pumps (India) Limited
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our EBITDA has come down in this quarter. In the coming time, we will maintain our margin and move forward.

Nikhil Abhyankar: Sir, but won't this have a direct impact on your margins?

Dinesh Patidar: No, it's not. We are moving forward with speed. We are also paying attention to Kaizen and we are doing other things as well. So, we are trying to control it.

Moderator: Thank you. The next question is from the line of Aditya Vora from Sohum Asset Management. Please go ahead.

Aditya Vora: Hi, sir. Thank you for the opportunity. I have two questions. One is that you have given in the presentation that your receiv

ble is going to go to 120 days. Now I understand that I think

75%-77% of your business is through government. So structurally, it is difficult to reduce that.

So, can you just guide us that from your current 150-152 days, how will we get the incremental benefit of 30 days in working capital?

Dinesh Patel: Actually, we have been in this business for the last 12-13 years. And our historical trend is also 120-130 days. And we are just targeting that trend only. Last year also we did a very good job by reducing it from 178 days to 152 days. And now we are targeting 120 days by the end of this year. So, there is not much challenge we are seeing and we know how can we do this.

Aditya Vora: Right. So you are saying by FY'26, this 120-day number is very achievable.

Dinesh Patel: Yes, that is achievable and that is our target. We will achieve it. We are confident.

Aditya Vora: And secondly, it was more of a broader question. Since this KUSUM part 2 is going to come maybe this year or the start of next year. And obviously, this scheme is going to be much bigger, is expected to be much bigger than the current scheme. In that case, do you see any pressure on your margins going forward? Like I know you have guided your 24% margins. But you know, since competition heats up and since this becomes much bigger, can margins be under pressure? Because historically, if you look at the last 2-3 years margins, we have not been at this higher level.

Dinesh Patidar: Yes, Aditya. Your question is very good. The thing about margins is that you are seeing how our margins are maintained. For that, I would give the credit to our R&D department. Because the work our R&D department has done on casting and the process they have worked on has

helped us. You will see that we manufacture VFD, structures, motors, pumps, all in-house.

And all these things are not available in-house with our competition. Our competition has to import VFD from China and they have to import it from there and provide its service. Which is why there is always going to be a difference between them and us. Because we have designed our product and are manufacturing and servicing it ourselves. So, in our costing and in other people's costing, which you were calling the pressure of the tender a while ago, we are going to get that advantage from them. Because in our own company, our own R&D department has Shakti Pumps (India) Limited
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made many things cost effective. So, in our margins, we feel that in the coming competition, whatever company comes and competes with us in KUSUM 2 and because of that the rates will be reduced. We are seeing that our performance is very good in the field, our service is very good in the field and our brand recall is very good. We will definitely get the benefit of this and because of that only we will be able to grow.

Aditya Vora: Right. So that was very helpful. Sir, one last question if I may. The backward integration of DCR cells going forward, not this year but next year or in FY'27, how much benefit do we see in terms of margins? And one more question related to that is, won't it make sense to get DCR cells from outside considering that going forward, there is a lot of capacities coming in. I think it is estimated that the cell capacity in India is going to double. And as a result, the prices may go down. So, is it more prudent to get it from outside say 2 years later or rather make your own capacity which you are doing?

Dinesh Patidar: First of all, we will have to see how much the requirement of DCR cell in India is, number one. Number two, we will have to see how much the manufacturing capacity of DCR cell is. So, what I know, the current capacity which was announced by the ministry the day before yesterday is 13 GW. The requirement is above 30 GW this year. In the future, the country will require around 100 GW and 200 GW as per the speed at which EV is

growing. So, we don't think that there will be so much manufacturing capacity in DCR cell in the country that it will be in excess. Yes, we have two advantages if we start our own solar. The export business which brings us Rs. 500 crores currently, will then be able to bring Rs. 2,000 crores of solar panels as well. Because in that channel, Shakti pump is already approved and we will be able to bring our business from export through that channel. Because we are already exporting solar pumps and we will also need so lar panels. And since the brand is already approved, we will not face the issue of higher marketing expenses. There is a line-up, and we are also looking at it in the export market. And in domestic as we ll, till our production starts, our internal consumption will be 2 GW. And we will be able to consume 2 GW capacity in-house and we will be able to export it as well. So, we are confident with our unit that the 2.2 GW capacity that we are going to install, we will be able to market it at the right place. And the difference on our EBITDA will be around 3-4%.

Aditya Vora: Alright, sir. Thank you so much for the detailed explanation.

Dinesh Patidar: Thank you.

Moderator: Thank you. The next question is from the line of Snehal Shah, an individual investor. Please go ahead.

Snehal Shah: Very good. I wanted to ask, in your slide 35, the retail that you have written, there was some confusion in it. You have said that a pump of 2.5 lakhs falls to a farmer of 1.25 lakhs under the subsidy scheme.

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Dinesh Patidar: Actually, what happens in this , you must be knowing, in this , instead of DCR cell, Chinese cells, which you are seeing, which we buy at double price here, we get it at half price there. In today's date, Chinese cells are available for Rs. 10 to Rs. 11. So, who are cash sale, we give it to them.

Snehal Shah: I think there is some typo in the presentation. Y ou have written that it is sold in retail for 2.5 lakhs. I have read something like this. You ch eck it. Maybe something we nt wrong in writing.

Dinesh Patel: Yes, sir. We will check and rectify if required.

Snehal Shah: Alright. So, basically, you are saying that the pump of 2.5 lakhs that I buy in KUSUM, I will get it for 1.25 lakhs. Correct?

Dinesh Patel: Correct.

Snehal Shah: I don't have to wait?

Dinesh Patel: Correct.

Snehal Shah: Thank you.

Moderator: Thank you. The next question is from the line of Nilesh Soni from JM Financial. Please go ahead.

Nilesh Soni: Is there any delay in procuring the solar module? Is there any problem there due to the capacity at the industry level? That is one. And secondly, as we were asking the last participant's question. The farmer who is directly buying the solar pump without KUSUM can get it for a little cheaper. So, is that market opening up now? Is there any big traction there? Or is the farmer still procuring through Kusum? But is that market opening up? Or is the farmer directly buying the solar pump from the market? Do you see that trend? These were my two questions.

Dinesh Patidar: Okay. So, your first question was that are we facing any problem in getting the solar panel in this quarter? Not at all. We mentioned in the last call that we have made a good tie-up with all three vendors. With Adani, with Premier and with Renew. And what you are talking about the cash market or the retail business, the 50% price that the farmers are talking about. In that, I think that it is going to be big in the future. Today our brand is so good and our pump performance is so good because of which it is becoming easier for the farmers to buy. And we are slowly converting towa rds that. So, in the coming time, we will see that our cash sale will increase. For this, we have already opened 100 counters of our exclusive dealers. And from now on, our whole team is also focused on the same side.

Nilesh Soni: Okay.

And if I can ask one last question. The KUSUM 2.0 that we are talking about. So, what is the government planning? Is it launching the scheme for diesel only at a large level? Or is

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there something about the electric pump? Because the electric pump has not been picked up yet. So, this KUSUM 2.0 will be on diesel only. Conversion of diesel in the future also.

Dinesh Patidar: Okay. I had answered this previously in the call as well. Solar pump is a replacement for the diesel pump. The second biggest thing in today's date is that the farmers have land, facility, capability, everything. But due to the lack of electricity connection, they are not able to sow their three crops. So, works on only one crop . It works on the faith of God, on the faith of rain. That market is completely open now due to solar pumps and this scheme.

Nilesh Soni: So, it will be more beneficial for those who do not have a pump.

Dinesh Patidar: Absolutely. Okay.

Nilesh Soni: Okay. Got it.

Moderator: Thank you. The next question is from the line of Deepak Purswani from Svan Investments. Please go ahead.

Deepak Purswani: Yes. Good afternoon, sir. And thank you for the opportunity. Sir, my first question was that our DCR capacity of 2.2 GW is going to be operationalized from when? And what is going to be our peak level of debt in this?

Dinesh Patel: So, that capacity will get operationalized from March '27. And the peak level debt, if you will say, as of today. So, we are planning around Rs. 900 crores. Yes. But we are confident that at the existing EBITDA level, which we are generating approximately Rs. 100 crores in each quarter. So, we are expecting lesser debt for this project.

Deepak Purswani: Okay. And secondly, sir, as per the rooftop solar business, we had to understand the requirement of the cell that we will get there, secondly, in terms of the distribution network.

So, if I look at both the things that we have here, then one, the capacity of the DCR cell that we are putting now, is sufficient from there. And the distribution network of our solar pump will be used there or we will have to set up a new setup there in the distribution network.

Ramakrishna Sataluri: Yes, it's a good point. DCR cells are needed for this since it's a government run subsidy program. So, we will be using our capacity for the rooftop program. And so, therefore, it will be a complete in-house solution.

Deepak Purswani: Sir, is the capacity of our solar cell pump plus rooftop solar sufficient or how should it be seen based on our current plans?

Dinesh Patel: So, Deepak Ji, the capacity of 2.2 GW, my first priority is for in-house consumption. So, it's for both, for the pump and for this rooftop. In the future, the additional requirement that we will get, then we will take a decision on how to procure it. Even today, we are procuring in a good quantity from Premier, Adani, Renew.

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Deepak Purswani: Okay. And can you give some clarity on the distribution network?

Ramakrishna Sataluri: Obviously, in a business, it requires strong distribution network and robust coverage, which we are working on. Yes, we will give an option to the existing channel partners if they want to grow further with Shakti Parivar.

Deepak Purswani: Okay. And, sir, in this presentation, we have also mentioned that we are planning Rs. 250 crore Mobility and EV motor and charger facility under the Shakti EV Mobility Pvt. Ltd. We are planning CAPEX of Rs. 250 crores. So, eventually, sir, can you give some sense on how this business should be seen potentially in the next 3-4 years down the line or how big we are thinking we can do this?

Dinesh Patel: Mr. Deepak, we have projected Rs. 250 crore for this EV business. And in phase 1, we have already done the CAPEX of around Rs. 114 crores, which is already planned in the board

meeting. And we are expecting that this capacity is sufficient for around Rs. 500 crore to Rs. 700 crore business. Currently, we have a capacity of around 2 lakh motors and 2 lakh controllers & chargers in this facility. So, that is covering the area of around 8 acres. If required, we will expand further.

Deepak Purswani: Okay. Thank you and wish you all the best.

Moderator: Thank you. The next question is from the line of Surya from Phillip Capital PCG. Please go ahead.

Surya: Thank you, sir. First of all, thank you for the opportunity. Sir, regarding the solar water pumps that we are doing, what are all we doing in-house and what are we sourcing from outside?

Dinesh Patel: We are sourcing only solar panels from outside and whatever other BOQ, we are totally backward integrated.

Dinesh Patidar: We buy stainless steel sheets and we make pumps. We MS pipes and take out the structure. We buy ICs and diodes and make VFDs. And in the rooftop business, I would like to say one more thing that our inverter of 3 KW and 5 KW is more efficient than our competitors. These are made in India and has good quality. So, we are moving ahead at good speed. Till now, we have seen very few people in the made in India inverter market. The market of China is still in this which we are slowly replacing with our Indian products.

Surya: Understood, sir. And sir, the second question I have is like, how will the revenue mix of the different segments be going forward?

Dinesh Patel: At the current level, 20% is from exports and 80% is from solar business. But as far as I can see, we are very confident that we will do good business in export and domestic.

So, we are

reducing dependency on government business.

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Surya: In terms of solar pumps and EVs, rooftops, etc.

Dinesh Patel: Yes. So, that is why we have planned for EV, for rooftop.

Surya: So, the current concentration is of solar pumps, how much will it be going forward and how will the remaining be?

Dinesh Patidar: We will keep updating you quarter-on-quarter. But our focus is on other businesses as well.

Surya: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Divya from Bonanza Portfolio. Please go ahead.

Divya: Sir, I have a question. In Ajmer, our project is going on. We are not able to see any traction.

There is still an order value of Rs. 1,300 crores. There is execution risk. Any reason on that?

Dinesh Patidar: Correct order book is Rs. 138 crores. It is a pilot project. We and the customer have to go slow in the pilot. So, the speed is low. But in the coming time, we are trying to clear it. And we will increase it further.

Divya: Okay, sir. Thank you, sir. And, sir, my second question is for exports. We have seen an order value of Rs. 200 crores. From last year, I think it was Rs. 100 crores. Is there any new territory or country which we have entered? And we have got more projects in Uganda. And any guidance on how much we will grow exports?

Dinesh Patel: So, for current year, we are planning for around Rs. 500 crores from exports. And whatever order you see in our order book, that is around Rs. 100 crores for Uganda. And 100 crores from African countries and Rs. 100 crores from other territories.

Divya: Okay, sir. Thank you, sir. That is all from my side. Thank you.

Dinesh Patel: Thank you.

Moderator: Due to time constraints, we will take this as the last question for today. I now hand the conference over to Mr. Dinesh Patidar for closing comments.

Dinesh Patidar: Thank you very much for joining this call. We will be back with good results in the next quarter. I hope I was able to answer all your questions correctly. We will meet again in the next quarter. Thank you.

Disclaimer: E&OE. This transcript has been edited for factual errors. In case of discrepancy, the audio recordings uploaded on stock exchange on 04

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h August 2025 will prevail.

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"Shakti Pumps (India) Limited
Q2 and H1 FY '26 Earnings Conference Call"

November 10, 2025

MANAGEMENT : M R. DINESH PATIDAR – CHAIRMAN
M R. RAMAKRISHNA SATALURI – CEO – SHAKTI
ENERGY SOLUTIONS LIMITED
M R. RAMESH PATIDAR – MANAGING DIRECTOR
M R. DINESH PATEL – GROUP CHIEF FINANCIAL
OFFICER
M R. RAVI PATIDAR – COMPANY SECRETARY AND
COMPLIANCE OFFICER

MODERATOR : M R. VIKASH VERMA – ERNST & YOUNG LLP

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Moderator: Ladies and gentlemen, good day and welcome to the Q2 and H1 FY '26 Earnings Conference Call hosted by Shakti Pumps India Limited. As a reminder, all the participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikash Verma from Ernst & Young LLP. Thank you and over to you, Sir.

Vikash Verma: Thank You. Good Afternoon, everyone. Before we proceed, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risks that could cause future result performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements.

To take us through the Financial Results and Developments and to answer your questions today, we have the senior management of Shakti Pumps (India) Limited, represented by Mr. Dinesh Patidar - Chairman; Mr. Ramesh Patidar - Managing Director; Mr. Ramakrishna Sataluri - CEO, Shakti Energy Solutions Limited; Mr. Dinesh Patel - CFO and Mr. Ravi Patidar - CS and Compliance Officer.

We will start the call with brief overview of past quarter by Mr. Dinesh Patel. I will now hand over the call to Mr. Dinesh Patel. Over to you, sir.

Dinesh Patel: Thank you, Vikash. Good afternoon, everyone, and thank you for joining us on the call today. Despite a challenging environment, largely led by extended monsoons, we continued to display strong execution capabilities. We delivered a consolidated revenue of Rs. 666 crores in Q2 FY '26, among the highest in our history, and Rs. 1,289 crores for H1 FY '26, up 7% Y-o-Y. Our solar pumps business remains a cornerstone with 39,861 installations in H1FY26 and 22,304 in Q2FY26, growing by 19% and 21%, respectively. While weather and GST 2.0 reforms moderated the execution pace in some states, our order book of Rs. 1,300 crores as on 7th November 2025 and a strong pipeline across Maharashtra, Madhya Pradesh, Rajasthan and other states, positions us for sustained growth.

Beyond solar pumps, emerging businesses are gaining momentum. Retail sales surged 67% Y-o-Y to Rs. 43 crores, supported by over 100 exclusive outlets nationwide. Our solar rooftop segment expanded into Rajasthan, Uttar Pradesh and Maharashtra, leveraging government

initiatives like PM Surya Ghar Muft Bijli Yojana. Early feedback from dealer engagements has been encouraging, and we see this as a significant growth lever over the next 12 months. Our capex plan remains firmly on track, including doubling pump and motor capacity and stabilizing a 2.2 gigawatts solar DC R cell and PV module plant.

Receivables looks impacted by extended monsoon and RMS-linked collection cycles, stood at Rs. 1,639 crores as of 30th September 2025. Out of this, around 44% of receivables are not yet due, while around 38% of receivables are less than 90 to 180 days. Due to the prolonged and excess monsoon, there was less urgency from farmers in running the pumps, which impacted the receivables. However, the urgency for pump installations has returned, and a substantial portion of receivables is expected to be released this quarter. The payment schedules and cash flow outlook remain aligned with our year-end guidance of 120 days of receivables cycle. We are proud to share that Shakti Pumps received an ESG rating of 75 - "Good" by ICRA, and industry recognition as "Best Strategy Organization of the Year" and "Best Employer" also. These accolades reflect

our commitment to sustainability, governance and people.

Our diversified order pipeline, operational agility and strategic investments give us confidence in meeting our FY'26 guidance and sustain growth beyond.

Let me now quickly take you all through the financial performance for Q2 FY '26, followed by H1 FY '26.

Revenue for the Q2 FY '26 stood at Rs. 666 crores, marking our highest ever quarterly revenue, reflecting a year-on-year growth of 5% compared to Rs. 635 crores in Q2 FY '25.

EBITDA came in at Rs. 136 crores with an EBITDA margin of 20.4%. During the quarter, prices of key raw materials such as copper, steel and solar panels increased by around 3% to 4% on account of volatile market condition, thereby impacting the EBITDA margins.

Profit After Tax for the quarter was Rs. 91 crores with a PAT margin of 13.6% in Q2 FY '26.

For H1 FY '26, revenue came in at Rs. 1,289 crores as compared to Rs. 1,202 crores in H1 FY '25, a year-on-year growth of 7%. EBITDA for the period was at Rs. 280 crores with an EBITDA margin of 21.7%. PAT for H1 FY '26 stood at Rs. 188 crores. Export business continues to gain momentum with the company recording a revenue of Rs. 103 crores in Q2 FY '26 and achieving a revenue of Rs. 200 crores in H1 FY '26.

Now I would like to request Mr. Ramakrishna Sataluri ji to share the developments and outlook for the Solar Rooftop business. Thank you.

Ramakrishna Sataluri: Thank you very much, Mr. Dinesh Patel. Good afternoon, everyone. The last 90 days was nothing less than very exciting. So, on the rooftop business, we focused on getting the basics right because this is going to be the trigger for huge growth as we move forward. We worked basically on three things in the last 90 days, and I'm very happy to share the following.

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First, we worked on the product. We wanted to give the best-in-class product. The second, we worked on the infrastructure and processes. And third, we looked at exciting customer offerings in the form of a good EMI scheme.

On point number one, that is on the product, very proud to share that our inverter right now, which is a complete Made in Bharat, a Swadeshi inverter, is the top-class inverter that is there.

We have, in our test run seen that we are giving more than 10% generation than what our competitors are doing, which makes this a very, very attractive proposition to the customer. I repeat that this is conceptualized and manufactured by Shakti Energy Solutions Limited. So therefore, kudos to the entire team, which got this off the block.

On the second point of infrastructure and processes, we have a detailed plan. We got our manpower on board at the three states that Dinesh spoke of. We went across to the length and breadth of all the states, and we have already set up 57 channel partners. We have exclusive agreements with 57 channel partners.

And we have also trained in the process, over 400 installers, so that we have the differentiation of quality installation when our consumers come on board. We also set the processes right as far as our call centre is concerned, how the lead management happens, what are the various IT processes that are involved. We got all of that updated and it is up and running right now.

On the third point, we realized after our research from the market that the consumers are also looking at good EMI options. So we have a tie-up with an organization called Ecofy, which is in this space, doing good business. So we have a tie-up with them and come up with a very exciting EMI offers as well for our

customers. So we got all the basics right. And now we continue to ensure that the training is top of the lot, and the customer gets a very differentiated experience when the customer deals with Shakti. So, these are the inputs. We are going to work on the basics absolutely right, so that once we take off, it's going to be a very, very

good take off. That's all from my side as an update on the Rooftop business. Now ladies and gentlemen, I open the floor for questions.

Moderator: Thank you very much. The first question comes from the line of Aashish from InvesQ PMS. Please go ahead.

Aashish: A few questions based on the presentation that you have provided. I can see your receivables aging pie chart there. So just wanted to understand, there is a whole lot of percentage of receivables more than even six months. I think 20% is more than 365 days and 11% is given us more than 180 days. So can you clarify what is it, I mean this is pretty stretched. So, if you could give some update on this one, that will be great to understand.

Dinesh Patel: Yes. We have given all the aging of the receivables, and we are expecting that in the next quarter, we will realize most of them.

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Aashish: But more than six months is 20%. So is this really receivables or retention money? Or what is it?

Dinesh Patel: There is some portion of retention money. Actually, as per the tender condition, we will realize our 10% amount based on receiving 90 days data from the RMS. So, we can say that 10% of the amount for retention. But yes, remaining 90%, we are hopeful we will get on time.

Aashish: Okay. And I didn't understand your comment on the RM, this thing; you said that the rains were heavy, and that's why the realizations were affected, receivables were affected. Can you make us understand how the entire thing works?

Dinesh Patidar Yes. Because this scheme is an agriculture scheme and as per the KUSUM scheme, you get the 10% payment after the pump has operated and delivered water for 90 days. So, you can assume that this is retention money. And normally, for a pump to operate for 90 days, it takes a period of 200-250 days. So during the rainy season, the 90 days condition cannot be met, due to the natural irrigation from rains. That is why the 10% payment has been delayed.

Aashish: Sir, then there should be a realization of all these things in this quarter, right?

Dinesh Patidar Yes, it will definitely happen during this quarter.

Aashish: Sir, what are we expecting? Because the receivables have increased a lot. The receivables of Rs. 1,600 crores against our top line are very high. Maybe that's why we had to take a debt. So can you clarify how this position will be cleared soon? How much will it remain, given our top line? How far should it go, until FY '26 end, the receivable position?

Dinesh Patel: Sir, we still believe in the guideline we have given. 120 days is our target. We are hopeful that we will achieve it. This was temporary where you are seeing that the receivables have increased a little, but it will not stay the same over the long term. Also, you should note that as the execution and the company's revenue increase, the receivables tend to increase a bit.

The second thing is that due to the excess and extended monsoon which stretched till November, the natural irrigation has happened. Due to this, we have seen a fluctuation in the RMS and that is why it has been delayed a little. But it will be back in place in the next quarter. And we are keeping our yearly guidelines the same. 120 days is our internal target and we will achieve it.

Aashish: Sir, the second thing I wanted to ask, would you like to share some developments on KUSUM 2? What are the numbers, because it is critical for our growth. So, would you like to share some developments on it?

Dinesh Patidar First of all, let me make it clear to you that KUSUM 2 is not critical for us. And the Indian government is preparing for KUSUM 2. And it is progressing. But now people are working even without KUSUM. For example, in the Maharashtra government, tenders have been made

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without KUSUM. And other states are also thinking about this li

ke Madhya Pradesh. In

Maharashtra, they have already started working on it and we have already installed very good pumps there. If you want to work in the agriculture sector, KUSUM will continue and the state government will also do work at its level.

Other than this, we have already opened more than 100 exclusive outlets and in the last 6

months, we have achieved a revenue of around INR43 crores from this. So, going forward, we are also focussing on cash sale. And we feel that we are also growing in export and also our domestic capacity.

Aashish: Cash sale means without any subsidy mechanism kind of sale we are doing in the market?

Dinesh Patidar Yes. And the order book of Rs. 1,300 crores. We could increase the order book a little more.

But due to the implementation of GST, like in UP and other states, due to GST, the farmer's share has decreased. So the government unable to decide yet on how to refund it back to the farmer or how to adjust it. In this month, we think that decision will also be done, so that it will

also be converted into our order book and converted into the sale. Due to GST, some states have held their orders.

Aashish: So sir, how are you looking at this state-wise ordering situation in the next six months?

Dinesh Patidar We are sticking to the yearly guideline that we have given, and we will achieve it.

Aashish: Okay sir, thank you.

Moderator: Thank you. The next question comes from the line of Aditya Vora from Sohum Asset Manager. Please go ahead.

Aditya Vora: Thank you for the opportunity. I had two questions. I wanted to understand that from March '24 I think, previous quarter, you've consistently been doing 23% to 25% margins. And now the margins have come down to 20% in this quarter. So in this, what will be the structural?

That was one thing.

And also, we've heard that Magel Tyala scheme in Maharashtra, that has been doing a lot in terms of execution. But the pricing has reduced a lot in that. There has been a lot of pricing pressure in that, which is obviously evident in your realization also. So my question, could we see this 20%, 21% as the sustainable new margins? Or how do we look at it that way?

Dinesh Patel: So for this, we have already mentioned that some raw material prices have gone up in this quarter, and we are seeing that it will get reduced in the next upcoming quarter. So, we will maintain the margin guideline and this revenue guideline. There is no change in the guideline.

Aditya Vora: So what you are saying is that this 20% is a one-off, right? This is not going to be a structural fall in margin?

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Dinesh Patel: Yes, yes, because we are seeing that operational leverage will give us some extra margin to maintain this guideline, due to our execution. We have executed a good number of pumps in this H1, and we will continue this execution. So, it will help us to maintain the margin.

Aditya Vora: Okay. Right. And secondly, in terms of receivables, of Rs. 1,600 crores and you alluded to the fact that, it is numbers for the month of September, obviously things have improved in October and November. What is the latest figure? If you can tell us that of the Rs. 1,600 debtors this is the percentage that has come in. Just to understand how the cash flow is.

Dinesh Patel: Sir, we do not give this on a daily basis. We are talking about Rs. 1,600 crores. After the quarter ends, I will give you new figures, once it gets audited.

Aditya Vora: Right, right. Okay sir. Thank you.

Moderator: The next question comes from the line of Punit Mittal from Ebisu Investment Advisors. Please go ahead.

Punit Mittal: Thank you very much. I only had this question. This is regarding solar rooftop. If you can give more colour on how does this scheme work? What is the credit cycle? What is the sales process like because you mentioned that you appointed channel partners, EMI, income ma

rgin.

So basically, just more colour on potentially solar rooftop business, would be very helpful.

Ramakrishna Sataluri: Yes. The rooftop business is largely under the PM Surya Ghar Muft Bijli Yojana. So what the consumers do is, they go to the portal and register themselves. And once they are registered, they have the freedom to buy any of the brands that are available to them. Then after they select it, so we get to know whoever has selected it, we go to the consumer, and we make a pitch about our product and services.

So, the business model is, our channel partners, our dealers buy the material from us in advance. And they go and install it at the customer location, and they go to the customer location, install it and collect the money from the customer. And the customer, after the installation is done, directly gets the subsidy amount of Rs. 78,000 from the government. So this is the entire cycle. But to cut it short, this is business, we will do it on an advance basis with our dealers and dealers sell it to the customers.

Punit Mittal: So this, what is the margin profile for this business in that case and also the working capital cycle?

Ramakrishna Sataluri: We are just putting this entire plan together on the margin. Obviously, it's a very competitive market. So we are putting this entire plan together. And I don't want to make any forward-looking statements on this. Once we actually hit the ground and realize it, then I will share all the details with you, if that is

Punit Mittal: That's fine. But just to understand, what is, in the industry what is the margin that the best players are working on and the working capital cycle just on average industry level?

Ramakrishna Sataluri: See average industry margins, and this is just out of conversations that I have had, could be in the range of around 10% to 15%.

Punit Mittal: And also, do we need to empanel ourselves like we do in the solar pump because, in every state, because it's a government subsidy program?

Ramakrishna Sataluri: Right. So there are two kinds of enrolments. One is at a brand level and the other is at an installer level. So at an installer level on the ground, a lot of people do enrol themselves. What we have done is we've also enrolled ourselves at a brand level. There are totally only five players who have enrolled at a brand level. So that is the enrolment process. So we will have all the partners, say the 57 partners that we have, they would be enrolled on the portal and beside them, it would show Shakti.

Punit Mittal: Okay. Got it. Second question, Dinesh ji, was on the MP. So the MP, CM has announced 90% subsidy for the farmers as far as the news reports there. So, when is that scheme going to start? How many pumps are they trying to install? Do you have a timeline for that?

Dinesh Patidar: Actually, MP from the very beginning, are doing a financial arrangement in a different phase. They have a different concept and they are working on that. So, we feel that their sale should start in this quarter because they have also committed something. They have opened a portal and our pumps have been selected by the farmers.

And it will pick up shortly because they have to take decision in the cabinet. So, in the next 1-2 months, we feel that some business will start on this.

Punit Mittal: What is the potential of the MP? I mean, how many pumps are required in the overall MP? According to you, how many solar pumps are required?

Dinesh Patidar: Yes, in MP, our CM has said that he wants to install 30-35 lakh pumps. But once this system is settled, we will definitely want to do a good job in this.

Punit Mittal: Thank you so much and all the best.

Moderator: Thank you. The next question comes from the line of Achal from Nuvama Institutional Equities.

Achal: Two questions. First, if you could provide us the update on the solar cell, where are we? What

capex? When do we expect it to commission? How do we see the scale up?

Dinesh Patel: Yes. So actually, we are planning for 2.2 gigawatts. That is for solar cell and solar module, and it will commission by March '27. So we will get the revenue from March '27 onwards. And we

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have a total capex plan of around Rs. 1,200 crores, for which the implementation period is around 18 months.

Achal: And what kind of scale up can we see from this Rs. 1,200 crores investment? What is the potential revenue?

Dinesh Patel: So after this investment, we are in the position to achieve the Rs. 5,000 crores revenue for this company.

Achal: No, only for this investment, sir, solar cell and module I'm saying, what would be the potential revenue out of this Rs. 1,200 crores of capex and what margins one would expect?

Dinesh Patel: So actually, this 2.2 gigawatts is sufficient for around Rs. 4,000 crores revenue. And for 75% capacity, we can say it can generate around Rs. 3,000 crores. And we are expecting around 15% EBITDA level. So Rs. 450 crores per year, it will generate. And this Rs. 1,200 crores, we are expecting within three years, we will get back. So the payback period is around three years.

Achal: Understood. And how much of that will be captive?

Dinesh Patel: Our first preference is for captive use and whatever the excess production capacity is available at that time, we will take the decision for export business and domestic business.

Achal: Got it. The second question I have is if I understand you right, you said we are maintaining our 25% kind of what we had earlier indicated the revenue growth for FY '26.

Dinesh Patel: Yes. So we told that whatever management has committed in the March results call, we are maintaining the same guideline for this year.

Achal: And that was 25% revenue growth, right, sir?

Dinesh Patel: That is 24% for EBITDA level, and that is 20% to 25% for this revenue level.

Achal: Right. So, let's say, for the sake of argument, I'm saying if you look at a 20% growth for the full year, right? In that case, the ask rate is actually 30% plus in the second half. Now given we have had a 10% and 5%, where is this significant delta going to come from? Is that from the

states, particular states we should watch out for? Is that central government? Is that retail? Or is that something else?

Dinesh Patel: So our historical trend is that H2 is always better than H1. So we are hoping for the same.

Achal: Sir, I'm comparing 2H versus 2H last year.

Dinesh Patel: Yes. So for that, we need to wait for H2 completion. We have some plan in our corner. Once that gets executed, we'll deliver the result.

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Achal: No, fair point, sir. I was just curious to know where the growth is going to come from. Is it state, central schemes or the retail sales? I was trying to understand that.

Dinesh Patel: From all of the businesses.

Achal: Alright. Thank you.

Moderator: Thank you. The next question comes from the line of Nikhil Abhyankar from UTI AMC. Please go ahead.

Nikhil Abhyankar: Sir, just in addition to the earlier question, what was the revenue from the solar pumps in this quarter? I think last quarter was Rs. 452-odd crores for 17,500 pumps. For this quarter, how much is it?

Dinesh Patel: It is around Rs. 487 crores.

Nikhil Abhyankar: Okay. And so I mean, just doing that math, I mean, the realization quarter-on-quarter has dropped significantly. Is it purely because of the mix? You have done higher number of 1 HP and 3 HP pumps? Or is it that the pricing has come down drastically?

Dinesh Patel: Yes, yes. We have already mentioned that whenever the SKUs get changed in the sales mix, then realization will get upward and downward trend.

Nikhil Abhyankar: Okay. So going forward, I mean, historically, our average, I mean, the ticket size was

somewhere around 5HP. So is it trending more going forward?

Dinesh Patel: Is around Rs. 2.5 lakhs. But that depends on where we have executed. And this time, we have executed in the Maharashtra. If we will execute in the Haryana and Punjab, there are some different SKUs, which is at around 7.5 to 10 HP. So every quarter, we will get the different average. It depends on the geography where we have executed the pumps.

Nikhil Abhyankar: And sir, on the Solar Rooftop business, till the time our own cells and modules come in, I believe we have a tie-up already for supplying the domestic modules.

Ramakrishna Sataluri: Yes, we do have a tie-up with a few players.

Nikhil Abhyankar: Okay. And can you just give us some kind of a guidance as to what will be the size of this business in megawatt terms, say, in FY '26 and '27?

Ramakrishna Sataluri: Honestly, early days. Right now, the entire focus is on setting the basics right because that's absolutely essential for this growth because once the basics are right and we know exactly what needs to be done on the basics, then business is an automatic byproduct because it's a fairly structured category right now. So I'm purely, purely focusing on the basics to get everything right. So early days for me to talk on the guidance right now.

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Nikhil Abhyankar: So any substantial revenue should only come in FY '27, I believe.

Ramakrishna Sataluri: Yes, you're absolutely right. So like next 12 months, as it was said in the beginning also this month, we are going to see a huge spike.

Nikhil Abhyankar: Understood. And can you just talk about the working capital cycle? How much would it be? Should we assume somewhere around 90 days?

Ramakrishna Sataluri: See, the nature of this business, as I just mentioned, at a field level is it's largely on an advance basis. In the sense that we have channel partners across the country, and we will sell our product to the channel partners on an advance basis. And they, in turn, will go ahead and sell it to the end consumers. So that way, from that standpoint, the structure of this business is pretty good from a cash flow standpoint.

Nikhil Abhyankar: Okay. Understood. Thanks a lot and all the best.

Moderator: Thank you. The next question comes from the line of Manish Vora from 308 Ventures. Please go ahead.

Manish Vora: Sir, a couple of questions. What sort of expenditure we have made till now on the solar panel and like cell and module manufacturing? By March '27, we are saying that the capex will get completed. So, my question is how much we have already spent? And what is the source of that funding? Have we taken some debt or it is entirely through the surpluses available with us?

Dinesh Patel: Okay. So, we have raised the funds through QIP in July. So that is around Rs. 292 crores. And

for the rest of the fund, we are expecting some debt and some from internal equity. So that depends on the situation of the organization at the time of implementation. And for March '27, yes, that is our guideline for 18 months. And we are in the final negotiation process, and we are executing some orders.

So we have, now in this quarter, we will do some advance to our vendors, some capex LCs. So we will update you after this quarter, whatever capex we have done. And for both the projects for our doubling capacity and for this project, we have already published the monitoring report for your reference and for your detailed analysis.

Manish Vora: Okay. So debt tie-up, long-term debt tie-up so far has not happened for our PV modules and cell business as well as doubling the capacity from 5 lakhs to 10 lakhs as far as Solar Pumps goes. Is my understanding correct?

Dinesh Patel: So for doubling the capacity, we don't need any debt. And for this module project, yes, we need some debt, we are confident that our 10 banking partners, existing banking partners, and they are su

fficient for this, all the funding arrangement. So we are speaking with them.

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Manish Vora: Any update on the EV business, sir?

Dinesh Patidar: Yes, in EV, we have already invested around Rs. 100 crores and we have developed some motors. So, currently we are doing it with JBM and we have extended the agreement with some more people. So, it will take some time, but it will move forward in a good way. We have developed some good technologies and the results will be visible in the next few quarter onwards.

Manish Vora: So, sir, the year that will end in FY 2026, can we expect any business from EV?

Dinesh Patidar: Definitely.

Manish Vora: Sir, last question. If I want to come and meet you and have a look at your setup. When is it possible? I have sent an email to your CFO and EY team also, but unfortunately, I have not received any response.

Dinesh Patel: So sir, actually, we are in a silent period after the quarter end. That's why we have not responded to you. Mr. Vikash will connect with you after this con call, and we'll arrange the meeting and the plant visit also.

Manish Vora: Kind of you, sir. Thank you. No more questions from me.

Moderator: Thank you. The next question comes from the line of from Keval Gala from Navkaar Investments. Please go ahead.

Keval Gala: Thank you for the opportunity. Sir, I wanted to ask two things. One is about the execution and the other is about the revenue guidance. In the last quarter, it was mentioned in the presentation that there was a war-related scenario. Because of this, there was a problem in the execution. This year, there was an extended monsoon. We faced a lot of problems in that as well. And in the revenue guidance, in FY25 last year, we had achieved Rs. 2,500 crores. And this year, we have given 25% guidance. So, it has already been half a year. We have earned around Rs. 1,300 crores in terms of revenue. So, how is it possible to reach to the revenue target of Rs. 3,000 crores? We need clarity on this. How are we going to generate so much revenue in the second half? The order book is also around Rs. 1,300 crores as of now. So, we need clarity on this.

Dinesh Patel: Sir, actually, as I told you earlier, the management has a plan and they are firm on the plan. That is why there is no change in the guidance. So, we cannot tell you everything today. But yes, we are firm on our plan and our guidance. And we will be able to achieve that. And we will deliver the results in March '26.

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Keval Gala: Sir, I wanted to ask about an order book as well. As of now, we have an order of Rs. 1,300 crores. And we will definitely get an order in the future. So, there are two quarters left. How will we be able to execute this. How will we be able to generate so much revenue? We wanted to know this.

Dinesh Patel: So, we have already done Rs. 1,300 crores. There is already an order book of Rs. 1,300 crores. So, there is no need to worry too much about the order book. Because there are five months left. And there are still a lot of orders to come. GST reforms and rainy season have been completed.

All the states are now making their orders. The portals will open in the future. We will get orders from there and execute them. So, there is sufficient order books and business available

and opportunity available for our revenue.

Keval Gala: So, we are maintaining this guidance for FY26. The 25% that we have been guiding since last year, it is still maintained. This is what I understand from your words.

Dinesh Patel: The guidelines given by the management in March is still unchanged. There is no change.

Moderator: Thank you. The next question comes from the line of Tushar Gupta from Sagun Investments. Please go ahead.

Tushar Gupta: Thank you for the opportunity. I want to know two things. Sir, how the 24% margin

is

sustainable and how we are looking on that? And second is the fundraise we have done last year in monetary report; it is showing that Rs. 116 crores is still unutilized. So, what is the status of capex of previous fundraise we are at the current stage?

Dinesh Patel: Okay. So first question is for 24%. So as I said earlier as well, we have seen the inflation in the steel, copper and panel price. But in the next quarter, we should see a 2%-3% reduction as it is temporary. So, our margin will be maintained. The next question is for Rs. 116 crores. So, I should tell you, that the project for Rs. 250 crores, we have done quite a lot of work on that. We have done the ordering as well and there is work still going on there. And this we will complete it within the time frame. The major amount that you see, is for machineries, which is paid out after the delivery.

Tushar Gupta: Okay, sir. That's it from my side.

Moderator: Thank you. The next question comes from the line of Preet Nagarsheth from Wealth Finvisor. Please go ahead.

Preet Nagarsheth: So what I wanted to understand is a little bit more on the KUSUM and the solar pump schemes. So could you shed some light in terms of what do you think is the overall market size

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for solar pumps and say, how much has been achieved? How much more is possible? And what kind of market share would Shakti Pumps be able to grab in this?

And of course, we are also hearing that KUSUM 1 itself might get continued or extended. So if you can just share your reading on the whole scenario, that would be great. Is there a chance for KUSUM 1 to be extended for another six, eight months?

Dinesh Patel: Sir, as sir has already told you, we are not only focusing on KUSUM. We have a very big export market and export projects are going on at the same time. We have a domestic market. We have started cash business. So, we are not only dependent on KUSUM.

We have also started tendering at the state level. So, we are getting state tenders and orders.

So, we are looking at doing business there.

Preet Nagarsheth: No, that's right, sir. You have already said that. I was just talking about KUSUM. That from your view, how long can KUSUM 2 come? And what will be the size?

Dinesh Patidar: KUSUM 2 is in the hands of the Indian government. And I think that in the next quarter, they will take some decision on the scheme. And it will be done by the next quarter. They have already extended it till December. So, KUSUM 2 will come after December.

Preet Nagarsheth: And do you think there is a chance for KUSUM 1 to be extended for another six to eight months? Because a lot of work is left from B and C.

Dinesh Patidar: I don't know what the government will decide about this.

Preet Nagarsheth Okay, sir. Thank you.

Moderator: Thank you. The next question comes from the line of Shashank Agrawal from Cisco. Please go ahead.

Shashank Agrawal: Sir, I just had two questions. Sir, you said in the last call that there is a price difference between government schemes and cash sales for farmers. Sir, can you clarify one more time?

And which technology are you going to use in these solar panels?

Dinesh Patel: Yes, sir. On your technology question. We are working on Topcon. Your first question was about what is the difference between government sales and cash sales? There is only a difference in the modules. In the government schemes we have to give DCR cells and in cash business we can give imported modules. So the price difference follows in MRP.

Shashank Agrawal: Sir, can you tell us the difference?

Dinesh Patel: DCR cells are in the range of 22 to 25 and the imported cells are in the range of 12 to 15.

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Shashank Agrawal: Sir, one more small question. Are you planning to supply your VFDs in industrial applications?

Dinesh Patidar: Yes

, of course. We are going to use VFDs in the industrial market as well as in cranes and lifts. We are also planning to use VFDs in the data centers as well .

Shashank Agrawal: Sir, what is the maximum capacity of your VFDs in the range of kilowatts?

Dinesh Patel: Sir, it is unit wise. We can produce 4 lakh units in today's date.

Shashank Agrawal: Sir, how much load can the VFDs handle individually?

Dinesh Patidar: The VFDs can handle 1 to 20 kilowatts, which are used for agriculture purposes and we are doing regular production. We have the ability to manufacture up to 100 kilowatts. We are ready to deliver it as soon as we get an order.

Shashank Agrawal: Sir, are the VFDs and EV controllers in different plants or are they in the same plant?

Dinesh Paridar: They are in different plants.

Moderator: Thank you. The next question comes from the line of Sudarshan Mall from Dhunseri. Please go ahead.

Sudarshan Mall: My main question is that, since the last 7-8 quarters, the quarterly revenue run rate is between Rs. 500 crores to Rs. 650 crores. Given our capacity which is in 70% utilization, what can be the peak revenue in the existing capacity?

Dinesh Patel: In the existing capacity, we can easily achieve up to Rs. 3,200 crores.

Sudarshan Mall: Rs. 3,200, okay.

Dinesh Patel: If we get a new capacity in 2026, then it will expand even more.

Sudarshan Mall: My second question is about growth. People have asked that due to the rain, the problem has increased in the second half. Are you confident that it will be achieved?

Dinesh Patel: Yes

Sudarshan Mall: That's it for me. Thank you.

Moderator: Due to time constraint, that was the last question for today. I now hand the conference over to management for closing comments.

Dinesh Patidar: All of you that have come in this call, I would like to thank you very much. We will all grow together. Thank you.

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Moderator: This brings the conference to an end. On behalf of Shakti Pumps (India) Limited, we thank you all for joining us. You may now disconnect your lines. Thank you.

Disclaimer: E&OE. This transcript has been edited for factual errors. In case of discrepancy, the audio recordings uploaded on stock exchange on 10th November 2025 will prevail.

Call: Feb 2026

Date: - 19/02/2025

To,
The Secretary,
Listing Department
The National Stock Exchange of India Ltd.
Exchange plaza, BKC, Bandra (E)
Mumbai -MH 400051. To,
The Secretary,
Corporate Relationship Department
BSE Limited
P . J. Towers, Dalal Street
Mumbai - MH 400001.

REF: - (ISIN - INE908D01010) SCRIP CODE BSE -531431, NSE Symbol - SHAKTIPUMP

Subject : Transcript of Earnings Call held on Saturday , February 14, 2026 .

Dear Sir/Madam,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Earnings Call held on Saturday, February 14, 2026, with regards to the Un-audited financial results of the Company for the quarter and nine month ended December 31 , 2025.
The same is also available on the company's website.

Kindly take the aforementioned information on records.

Thanking You,
Yours Faithfully,

For Shakti Pumps (India) Limited

Ravi Patidar
Company Secretary

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Q3 & 9M FY '26 Earnings Conference Call "
February 14 , 2026
MANAGEMENT : M R. DINESH PATIDAR – CHAIRMAN
MR. RAMESH PATIDAR – MANAGING DIRECTOR
MR. RAMAKRISHNA SATALURI – CHIEF EXECUTIVE
OFFICER , SHAKTI ENERGY SOLUTIONS LIMITED
MR. DINESH PATEL – CHIEF FINANCIAL OFFICER
MR. RAVI PATIDAR – COMPANY SECRETARY AND
COMPLIANCE OFFICER
MODERATOR : M R. ROHIT ANAND – ERNST & YOUNG LLP

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Moderator: Ladies and gentlemen, good day , and welcome to Q3 and 9 M FY '26 Earnings Conference Call, hosted by Shakti Pumps (India) Limited. As a reminder, all participants' line will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone.

I now hand over the conference to Mr. Rohit Anand from EY. Thank you, and over to you, sir.

Rohit Anand: Good afternoon, everyone. Before we proceed, let me remind you that the discussion may contain forward -looking statements that may involve known or unknown risks, uncertainties, and other factors. It must be viewed in conjunction with our business risks that could cause future results, performance, or achievements to differ significantly from what is expressed or implied by such forward-looking statements.

To take us forward through the financial results and developments and to answer your questions today, we have the senior management of Shakti Pumps (India) Limited , represented by Mr. Dinesh Patidar, Chairman; Mr. Ramesh Patidar, Managing Director; Mr. Ramakrishna

Sathuluri, CEO, Shakti Energy Solutions Limited; Mr. Dinesh Patel, Chief Financial Officer; and Mr. Ravi Patidar, CS and Compliance Officer. We will start the call with a brief overview of the past quarter by Mr. Ramesh Patidar, our Managing Director.

I will now hand over the call to Mr. Ramesh Patidar sir. Over to you, sir.

Ramesh Patidar: Thank you, Rohit. Good afternoon, everyone, and thank you for joining us on a Saturday. I am pleased to welcome you to Shakti Pumps' earnings call for the third quarter and nine months ended December 31, 2025.

Let me start by saying that Q3 FY '26 was a quarter of deliberate and disciplined choice for us.

While our reported financial performance for the quarter was below our earlier expectations, the actions we took were intentional, prudent, and aimed at strengthening the company for the long term. During Q3, we consciously moderated execution, especially in Maharashtra, to address elevated receivable levels and protect balance sheet strength.

As part of this approach, we temporarily paused execution of orders of approximately INR200 crores. This decision resulted in lower revenue recognition and pressure on margins on both Q-o-Q and Y-o-Y basis. However, we want to clearly emphasize that this was a strategic decision, prioritizing cash flows and working capital discipline over short-term revenue growth.

Margins during the quarter were also impacted by several factors. These included lower realizations of around 4% in Magel Tyala orders, a continued increase of around 2% in raw material prices such as copper, steel, and solar panels, and higher employee costs.

Additionally, we consumed some inventory that was procured in Q2 FY '26 when input prices were higher, which also impacted the margins.

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We also incurred a one-time manpower cost of INR4.4 crores due to the implementation of the new Labor Codes, along with investments in emerging businesses that are still in their build-up phase. Importantly, our working capital position has started to stabilize. Even with incremental revenue recognition during the quarter, trade receivables remained broadly stable compared to Q2 FY '26, reflecting improved collections and tighter execution discipline. This gives us confidence that the corrective steps taken are already showing results.

We continue to maintain a strong diversified order book of approximately INR 2,100 crores with healthy representation across multiple states, including Maharashtra, Karnataka, Madhya Pradesh, Jharkhand, Uttar Pradesh, and Haryana. Payments from Maharashtra

have started

improving following the release of funds by the Asian Infrastructure Investment Bank and the state government.

The execution in the state has now resumed. Our entry into Karnataka with our first large order marks an important expansion into the southern region. The execution there will be closely aligned with the payment timelines. Our export business remained resilient, performing well during the quarter, with the retail business reporting 25% Y-o-Y growth.

Revenue from export business stood at INR307 crores in 9M FY '26 and INR105 crores in Q3 FY '26. We expect this segment to grow at a healthy pace for the full year, supported by the strong retail exports and expanding international opportunities. We also expect our export business to gain traction with the signing of trade agreements of India in major international markets like USA, our major export market, and also with Europe.

We also continue to see encouraging traction in emerging businesses. Cash sales grew strongly during the 9MFY26 period to INR66.6 crores, a Y-o-Y growth of 68%. Our solar rooftop business is steadily expanding its dealer network, positioning it to become a meaningful contributor post commissioning of our DCR module capacity of 500 megawatts in Q1 FY '27. Looking ahead, we expect execution momentum to improve meaningfully in Q4 FY '26, which we anticipate being our highest revenue quarter ever, although some revenue may spill over into subsequent quarters. We aim to reach as close to our revenue guidance given for the full year FY '26. Our focus remains firmly on strengthening the balance sheet, disciplined execution, and sustainable growth.

In closing, we believe the steps we have taken during the quarter place Shakti Pumps on a much stronger footing, allowing us to capture upcoming opportunities while protecting long-term value for all stakeholders. Thank you for your continued trust and support.

Now, I would like to request Mr. Ramakrishna Sathuluri ji to share the developments and outlook for the solar rooftop business. Thank you.

Ramakrishna Sathuluri: Thank you very much, Mr. Ramesh Patidar. We have had a very exciting set of actions in the quarter for the rooftop business. This being a new business that we are starting off, the focus isn't to look into the long term but work on the basics at present. We spent a lot of time in

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building the channel infrastructure for the business. We placed our products in the market to get feedback, and the feedback has been very positive.

We also started a digital campaign speaking about our products, our strengths, the legacy of Shakti . That has been well -received as well. And as Mr. Patidar just said, we are looking at some volumes coming in, in the next financial year once our module plant, the 500 megawatt module plant also comes up.

I now open the floor for questions, please.

Moderator : Thank you very much. We will now begin the question-and -answer session. The first question is from the line of Mahesh Bendre from LIC Mutual Fund. Please proceed.

Mahesh Bendre: Hi. Good afternoon, sir. Thank you for the opportunity. Sir, I mean, this quarter was an unexpected one. So was that expected from your end, or is it that as the quarter progressed, the situation became challenging in terms of execution?

Dinesh Patidar: Yes, Mahesh. In the Maharashtra government, due to the possibility of some payment delays, we had paused the execution of some of our orders , worth approximately INR200 crores in the last quarter. The funds have now been sanctioned by the Asian Infrastructure Investment Bank and the state government budget. In the last quarter, because of payments delays , we had deliberately paused execution , despite having the required material and the stocks ready , so that we could focus on strengthening our balance sheet and keep working capital disciplined.

king capital disciplined.

This decision, yes, a bit bitter, but it was necessary for us.

Now we feel that the situation has improved significantly. The Maharashtra government has already sanctioned INR1 ,000 crores and the Asian Infrastructure Investment Bank's sanction

has also come. So, in this quarter, we think we will increase our execution further and we have already started and are trying to execute at an increased pace.

We have also started receiving some payments , we have received some payment yesterday and are expecting more in a day or two, which gives us some confidence. The situation looks good.

They are also likely to open another tender of 100,000 pumps. So now they will have to clear all the payments. Anyway, at the end of March, government departments want to clear all the payments.

Mahesh Bendre : Sir I mean when we go into this quarter do you feel that the thing which got impacted in Q3 that will get reverse in Q4?

Dinesh Patidar: Yes, absolutely, because we ourselves had paused execution . See, out of our order book of INR2 ,100 crores , the INR200 crores orders we stopped, which were waiting for dispatches in the pipeline, and everything was ready. We stopped it because we wanted discipline. Now that their payments are getting cleared, money has come from the budget, AIB sanction has come and they are bringing the next tender , they will pay on time. The Maharashtra government will now be disciplined; this is what we think, and we are confident about that .

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Mahesh Bendre : Okay. Sir another thing is non Kusum business and export business what was your contribution from this non Kusum and export business, what will be outlook going forward?

Dinesh Patidar: I will request Ramesh to address your queries for exports.

Ramesh Patidar: As I mentioned, we have maintained a growth of 25% in the 9M and we will absolutely maintain that. We have good orders in exports and the tariff change in USA from 50% to 18% is a very positive development for us. We are already established in the market there, so we will definitely get the benefit of that.

Mahesh Bendre: And in non-Kusum pumps business?

Ramesh Patidar: Non-Kusum , the cash business, we have just done a growth of 68% YoY in 9M . So there too, we are working on the dealer network, and we are maintaining that growth well. You will definitely get its results in the next quarter, I mean in Q1 FY27 .

Mahesh Bendre: Last question from my end I think we were doing two projects. One was backward integration project with solar cell capacity and secondly EV business who are going to make motor. So what are the timelines for these two businesses and what will be impact in FY27?

Dinesh Patel : So, in the pump expansion, which is underway , a lot of work has been done. Site development has started, the building work is going on and we have also ordered some machinery . Most probably, in August '26 we will be able to start trial runs and then full-fledged production.

In our module capacity, there are two updates. One, we are building a 0.5 gigawatt Module capacity which will get commissioned in Q1 FY27, from which we will be able to start production. Second, the cell plus module capacity of 2.2 gigawatts we are talking about, the remaining capacity is expected to be operational by April 2027. So both projects are going

according to their timeline.

Dinesh Patidar : Regarding Shakti EV, a lot of good work has happened this quarter, but it will take another year for the sales to come. We have developed some motors, testing has also been done, and we have also started increasing varieties for our existing customer, JBM. We have also made some controllers for them, which have also been proven and tested.

We have also got our motor and controller approved in a few other companies. So in the next year, we will see

good sales in the EV business and SES (Shakti Energy Solutions), the solar panel making company, next year. Currently, both these companies are in the initial stage and development has happened very well in both of them.

In Solar, we have proven technology and in motors, we already have 40+ years of experience. In the controllers also we have 10 years of experience now. Also, we are getting support from the Government of India in EV because they have also increased the domestic content requirement now. So, customers who were earlier installing imported motors are now coming towards us.

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Mahesh Bendre: Sure. Thank you so much, sir.

Moderator : Thank you, sir. The next question is from the line of Aashish from InvesQ PMS Please proceed.

Aashish: Yes. Sir, this realization has decreased in Maharashtra. So, what is the trajectory like? This 4% decrease has hit our gross margins and EBITDA margins, which were around 24% last year. In this quarter, there are two or three things, but what is the sustainable margin in this because if it continues like this due to competition or whatever factors, our margins will always be under pressure in a downward trajectory. So how will we deal with this?

Dinesh Patidar: Actually, the margin history you are seeing in the last quarter, in this, we installed more of 3 and 5 HP pumps, which were a part of the Magel Tyala orders from Maharashtra. Whereas in the other states where we supply higher HP pumps, there are higher margins, such as Rajasthan, Haryana, UP, Jharkhand, MP and now the state that has opened in the South. Our margin increases whenever we install higher horsepower pumps. Yes, I agree that there was pressure in Magel Tyala, firstly due to lower HP pumps with lower realisation. Secondly, the prices of raw materials had also increased, due to the effect of the high dollar price. Whenever the dollar increases, our raw material, stainless steel, copper, solar panels, also increases. Now, the DCR panel price has decreased a bit, but in other things we have felt a bit of a hit in price. Because of this, the margin fluctuates a bit temporarily.

And let me tell you one more thing: we are a dollar-plus company. So, we get the benefit of dollar appreciation, but because our raw material is linked to the dollar, so the margin is affected a bit.

Aashish: It's not that because of competition L1 prices have come down our rates have decreased overall and margins are decreasing. Is this a proper interpretation or not?

Dinesh Patidar: No, I would like to correct you there. We always make the strategy of the business and consider the margin and decide where to work and where not to work. So, in our business, you will notice that we get around 20% -25% revenue from exports. In other states, where the margin is more, we work there. So, it depends on how much business we are able to conclude where there is more margin. And we get a good margin in exports. Because of that, we are able to maintain our margin.

Yes, I am talking in a calculated way that the installation of low HP in Maharashtra increased this quarter. Because of this, our margin has come down. Going forward, we will make all the efforts to improve the margin as much as we can.

Aashish: But sir, what should be the guess? What rate of margin will we be at next year? You know the ground situation and your business better than us. So, if you can give some direction on that, it will be great. Second is the working capital that was stuck. So, the collections that would have come from the Maharashtra government.

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So, you have given the December balance sheet. In that, the working capital loan and term loan both have gone up. So, what is the situation now? Has the working capital been released? I

mean, has it been less than the December balance sheet? Because one and a half months of Q4

has already passed. So, these are two things. If you can add more and tell us, it will be helpful?
Dinesh Patel : As sir also explained earlier, in the debtors the realization has started to improve . And the visibility is also there as the Maharashtra government has started releasing money. So, as such, we are not seeing any problem there and that is why we have increased our execution there . Based on this, we are able to say that Q4 will be very good and in fact it will be the highest . As far as the margins are concerned , the whole team is working on that, and moving forward, we see that there will be a lot of improvements in it. So, this effect is one -off because the sales mix has changed and we installed more small HP pumps this time. As the sales mix changes, the margin will also improve there.

Aashish: But how much can the working capital come down? This is visible in the balance sheet. These are very big numbers. So, we will talk a little about the number. What was the total working capital? And what is it looking like till the end of Q4? Because half Q4 has already passed. So, you will have an idea that if the Maharashtra government is going for a reasonable collection, then it should be less?

Dinesh Patel : Yes, it will reduce but you will have to wait till March. Because by March, the whole fund s will be released. After that, the working capital and the debtor's position that you are seeing will certainly improve. You must have heard the recent announcement about the support given by the Maharashtra government of INR 1,100 crores for solar pumps, plus the support given by AIB of INR 900 crores to the Maharashtra government.

So, both these funds will be released in the next 15 days to 1 month. So, after this, I will be able to comment on this much better. We are also waiting. But yes, we can see the visibility that the availability of funds is there. That is why we have speeded up our execution. And now we are doing our work with full strength.

Aashish: Okay. If I can ask one more question, sir, then what is the update in KUSUM 2.0.? I mean, what is the central government hearing? Where are things stuck and when is the announcement expected? I mean, the states are doing their own work. But if that scheme is clarified, then maybe it will be a little better for investors ? Visibility wise ?

Dinesh Patidar: We are very confident that KUSUM 2.0 will come. There is no doubt about this. But even if KUSUM does not come, then our cash business will grow at an even higher pace. Because today my customer wants a pump but does not get it. Because the number of pumps we are seeing in KUSUM is very low.

Till now 5 lakh - 7 lakh pumps have been installed in Maharashtra, whereas they have a total requirement of 40 lakh pumps. Now 5 lakh pumps is very less as compared 40 lakh pumps which 40 lakh farmers want to buy. The farmers want to buy but they are not able to buy since the sanctioned pumps is so less.

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And it is not that they do not have money. They have money and they also want to buy. And they want to buy our pump, that is evident because within 30 to 40 minutes our portal for 15,000 pumps is full. So people have the requirement of our pump.

But the farmer keep waiting for subsidies. They also wait for subsidies because if a neighbour gets a subsidy pump, and I buy a pump with full payment, then my ego hurts. So because of that, it is not happening.

Aashish: Sir, the government must also know about all these issues. Even if we do it directly, it is still worth doing. But because of the government's incentives, people keep waiting. Because of that, it is not being implemented. So, the government must also know about this. What is the solution to this?

Will there be an improvement to all this?

Dinesh Patel : Ashish Bhai, you have to consider two facts. One is the allocation of INR 5,000 crores in the budget for KUSUM and INR22,000 crores for PM Surya Ghar . So visibility is there from both. Because in the last year, this allocation was INR 2,600 crores for KUSUM and INR10,000 crores for PM Surya Ghar . So, you will see that the allocation of the starting budget has just doubled. This budget is revised and increased, and we have seen this trend every time. So there is no doubt that PM KUSUM will not come. KUSUM 2.0 will come. This is completely certain. And we are also waiting for it.

Along with this, we will be able to tell you in advance that the state government is also bringing its tenders. So not only KUSUM, but now state tenders are also available. Third thing, as sir told you, that even if this tender business reduces , we are more than happy in that. The reason behind this is that we will be able to do quality competition there. In today's date, no competitor can match our quality. So we see ourselves as leaders in quality competition. So we have no worries about it.

Aashish: Sir, can you tell us something about the other states? Maharashtra is one of the states, but a major one. But our concentration is mostly in Maharashtra. So what do you think about the

other states? Will the numbers increase there? Because they are very small numbers now, given the size that India has. And is the process the same in that too? That the farmer chooses on the portal? Or is there a different tendering in that?

Dinesh Patidar: The process is the same everywhere that the farmer chooses. This is done in a rate contract mode. That means decision maker is a farmer in this. And in the coming time, we feel that every state is ready to increase the numbers. Our chief minister in MP is also saying that he wants to increase but his process is a bit stuck in some things. So it's slow.

But everyone is planning in other places too. And all the states will have to take good numbers . If they want to reduce the losses of their DISCOMs, then this is the only way , to solarize the agriculture pump. Either the consumer does it himself or the state government helps in it or the centre government does it. Only then will the situation of our DISCOMs improve.

Aashish: Sir, I have more questions. But I don't know. Maybe other people will also have to ask . questions. So I will come back.

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Moderator: Thank you. The next question is from the line of Praveen Motwani from BOIMF. Please proceed. Mr. Praveen, are you there on the line?

Praveen Motwani: Yes, hi. Thanks for the opportunity, sir. I have a couple of questions. Firstly, I want to understand the margins we have reported in this quarter. How do we see this? If we look at the one-off, how do we see the margin trajectory in the coming quarters? Because our margin trajectory is above 20 % and this quarter is 11% . So, will we be able to do more than 20% margins in the coming quarters? How do we see this? If you can explain?

Dinesh Patel : Yes, as sir explained , we stopped the execution of orders worth INR 200 last quarter , and now we have increased our execution. So, we will get the benefit of the scale up as well. And we are trying to take the margin to the maximum. So, the whole team is focused on that.

Praveen Motwani: But sir, how do we see it directionally? Will it improve from here? We have shown the one - time margins ? In the future, it will come back to 20% plus level. And how do we see it? I am trying to understand that ?

Dinesh Patidar: Praveen, I just told earlier that the margin you are seeing in the last quarter, because we only worked on the business of Magel Tyala where the rate is already low. There are small 3HP and 5HP pumps. And their rates are

also low. So, because of the product mix you are seeing this .

But currently, we have the order from South, which is on a good margin. The other 10HP and 7.5HP products that go to other states also have a good margin.

Yes, right now, because of the Dollar, our raw material price was hit. And we are trying our best to maintain our margin.

Praveen Motwani: Okay, okay. And sir, the guidance that you gave in the last quarter, will we be able to achieve it in the next quarter? Or there is some delay?

Dinesh Patidar: Yes, Praveen, we are trying our best. The guidance that we gave, we are trying our best to achieve that . Because we have started work in the South and we have also increased the pace of execution in Maharashtra. So we will definitely try our best and we hope that we will try to reach as close to the guidance that we have given .

Praveen Motwani: Okay, okay. Sir, second, I wanted to ask, sir, how are the margins in non-Kusum and Kusum? What is the margin difference?

Dinesh Patel : In export, there is always a 10% higher margin as compared to the domestic market.

Praveen Motwani: Okay, okay. And sir, how did we see this rooftop ramp-up in 2027? Initially, I mean, how will the revenue trajectory be built in '27? What are your internal targets in '27?

Ramakrishna Sataluri : As I said, we are still studying the whole market. We have just started the marketing program . And we are also expecting our 500-megawatt plant to start in Q1 FY '27 . This will also

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increase our volumes. So we will do the planning, and I think by Q1, we will be clear on what volumes we will be looking for the year.

Praveen Motwani: Okay, got it. So you will give us some more clarity in Q1 of '27?

Ramakrishna Sataluri : Yes.

Praveen Motwani: Okay, got it. Sir, last question. If you can just help me to give some timeline on the new businesses. Sorry, I missed your initial remarks, sir. When is the capacity of the cell coming?

When is the capacity of the module coming? Can you please tell me the timeline again?

Dinesh Patel: The capacity expansion of pumps will be completed by August '26 and we will start full production from there. The capacity of our module is in 2 phases . The module capacity of 0.5

giga is coming in Q1 of FY '27, as sir told you. And the capacity of the cell of 2.2 Giga is expected in April '27. So that is the update for the project. The capacity of the structure and VFD is already built up.

Praveen Motwani: Okay, sir. Thank you. Thank you.

Moderator: Thank you. The next question is from the line of Kamlesh Bagmar from Lotus Asset Managers. Please proceed.

Kamlesh Bagmar: Thank you, sir. The first question is that sir, right now the Karnataka order is about 37% -38% of our total order book. And if we see the finances of the State of Karnataka, their highest ever dues have reached in January 2026.

Although orders are being received, an inherent issue of recovery has occurred in them. This Maharashtra one was also an issue for a long time. In other companies like DI pipe companies, this issue was going on continuously for the past one year. And sir, from the last two quarters, this question was also being asked on the call that sir, how will the dues be recovered? Because the company has always said that we will get the money. And in this quarter, in reality, this time it has played out in your earnings, sir.

So, sir, I think there is an issue of a little miscommunication, sir, in the last two quarters. And like this Maharashtra order also did not come in this quarter and the margin dipped. 4% realization is lower.

So, this time, because there was an impact in the earnings, that's why we are saying it this time. But sir, it is visible that there is an issue in a little communication. And lastly, sir, the prices of copper and all this have

increased.

And they are also stabilizing at that level. There is not much fall from there. This is our order book of INR2100 crores. In this, if these current governmental prices continue, then what level of margins do we have to see? Because we know that if there are prices, then what margin will we operate on? So, sir, if we can give some clarity then it will be very good?

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Dinesh Patidar : Kamlesh, I'll try to answer your question. Your first question is that issues can come regarding payment in Karnataka. As per the information we have, is that MNRE has already given some money in advance to Karnataka. So, we should get 25-30% of the payment for the order we have got immediately from this money and some from farmer's money.

And out of the order, which is around 30%, we might be able to supply 40% -50% this quarter.

So for this quarter, we are seeing the possibility of payment. In Karnataka, we will only move forward as we get clarity of payment. We have been saying this in every call and to everyone, that we move forward only when we have the possibility of payment.

See, our whole quarter we paused because we wanted to strengthen our balance sheet. We want to keep ourselves in discipline. That's why we kept material filled in Maharashtra's warehouses, but still, we did not dispatch. That payment has now come, now we have started, and now we have also increased the speed. Similarly, we will do in Karnataka too. We will wait for the payment. When the first phase payment comes to our hands, then we will increase the speed of the second phase. And in the first phase, I don't think there is any challenge in payment in Karnataka.

So we are confident. Yes, we would like to stay in discipline. Whenever there is some delay in payment in any department, we will keep ourselves in discipline and move forward. We will not work in pressure of order or top line. Earlier also we have left an order of INR500 crores in Haryana and we will do the same further because we would not like to put our shareholders' money in such a place where we get stuck.

Kamlesh Bagmar : And secondly on margins. If current raw material prices continue, what does it feel like for the next year? Because it doesn't look like there is going to be any pressure in raw material prices.

And secondly sir, we are saying about the rupee, but there has been a 3% -4% fall in the rupee or 4%-5%. But the copper prices which have increased by 30% in a year, that is more impactful.

In steel also, prices are firm right now, it has increased by around 6000 to 7000 rupees in one and a half to two months. So seeing all these things, what trajectory of margin do we feel? Because we take the order first and prices because we don't have back-to-back arrangement of raw material?

Dinesh Patel : Rightly said. As sir already explained earlier, that the price is becoming so volatile, the Dollar is becoming so volatile, so in this, giving a guideline for the whole year is difficult right now. Once the economic conditions and global conditions smooth out and stabilize, then we can give you a guideline of this margin.

So right now, we will say that we are trying to do the best because at this time you also know that copper prices have increased, steel prices have increased, aluminium prices have

increased. All these are impacting, but we will be able to do better margin from this. And when execution increases, the benefit of scale-up we got in earlier quarters, we will get that further too. And when this sales mix changes, improvement will come in that too.

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So when the execution of 10 HP, 7.5 HP and 5 HP increases, the margin also automatically increases, realization also automatically increases. So there is no big impact like this in this, but yes, this one -off that

has come due to the high contribution of small pumps in our sales mix, but from next we see that we will be able to come back to that line somewhere again.

Kamlesh Bagmar : But what I was asking is that we have already taken the raw material for one quarter, so if that continues, what level of margins is visible? At least we will have that clarity.

Dinesh Patel : Currently, the margins that you are seeing at the YTD level are visible as maintained to us. And the team is working its best to bring an improvement.

Moderator: Thank you. The next question is from the line of Nikunj Banushali from Koch Wealth. Please proceed.

Nikunj Banushali : Hello, sir. Thank you for the opportunity. Sir, there was a gap visible in the order book. So last quarter our order book was at INR 1300 crores, and we received additional INR1900 crores order book. So even after taking out the execution of this quarter, I think there is a gap of around INR400 crores, -INR 500 crores ?

Dinesh Patel: Actually, the order from Ajmer KUSUM C was a slow -moving project and we are not seeing more traction in that, so we have removed it from the order book. Secondly, in the UP order, the final order they have given us is of INR52 crores . The remaining orders of INR300 crores were cancelled in a way and in its place, they gave us a new order of INR52 crores . So there has been a correction there. So because of these two corrections, you are seeing a slight change in the order book. But even after that, if you see, we have sufficient order book for the next two quarters.

Nikunj Banushali: What will be the execution timeline approximately for this INR2,100 crores?

Dinesh Patel: We have sufficient order book for the next two quarters. And more additions will happen in the next two quarters, so we will keep updating you as they come.

Nikunj Banushali : In Component C, there has not been much movement. So what do we expect in Component C, for solar panels? How is our involvement in that and in PM -KUSUM 2.0 also? It is being said that there will be some modification of Component C level. Any news on that, sir?

Dinesh Patidar : Currently, there is no clarity on what is going to happen in Kusum C . It is to be done at the feeder level and pumps are also going to come in Kusum C this time , and discussions are also going on for photovoltaic solar. So once it comes fully, then we will be able to give some light on it.

Nikunj Banushali: Okay, okay. And sir, how will be the long -term vision? There will be 2 -3 businesses. One is solar pump. Then solar will also come separately and EV. So, from 2-3 years point of view, how do you see the company growing? I mean, how would you like to grow according to a percentage? And what are our targets right now? What direction we are moving and what actions are we taking right now to achieve your goals?

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Dinesh Patel : Yes, you are right. Our target, as we have said earlier, is to remain a leader. And we will continue to be a leader. And line with this, like Ramkishna sir, we are doing a good job in the rooftop. And in the same line, we are doing a good job in the pump. In FY 28, we will see ourselves doing a revenue of INR5,000 crores. For this, we have planned all the capex , moved towards backward integration, new diversification, and will move forward in the export market.

So, all these initiatives are in the same line. Even if you look at the rooftop, the branding, advertisements, new team development, we have moved forward in the same line. So, we are confident that we will achieve it. And we will keep giving you updates quarter on quarter.

Nikunj Banushali: Right. Earlier, we had guided in the current financial year that approximately we want to cross INR500 crores this year. So, what are we expecting exports to be in this year and next year?

Dinesh Patel : Yes. So, actually, R

ameshji has already told you that his retail market is already growing by 20%-25%. And it will grow in the same line, going forward. You will see that the historical trend is the same. And we are still continuing it. We are expanding it further.

The projects are moving forward. For example, we have done a good execution in Uganda project, and we are expecting good orders. So, when the orders come, you will see that the project export will grow. But yes, the retail export will grow by 25% every year.

Moderator: Thank you. The next question is from the line of Keval Gala from Navkar Investment. Please proceed.

Keval Gala: Sir, thank you for the opportunity. Sir, I have 2-3 questions. For example, in January and December, we got very good orders. In New State and Karnataka, we got a very big order. So, sir, from which other states is there a possibility that we will get good orders in the next quarter? That's what I wanted to ask. That's what I wanted to ask ?.

Dinesh Patidar : All the states will have good work. As soon as we get the orders, we will inform you within 24 hours through Stock Exchange . All the states are doing good planning. Everyone has planned on their own budget. We are also doing good in our exports. We are doing good in cash sales. As soon as we get a big order, we will inform you immediately.

Keval Gala: One more question. As you paused some execution in the December quarter, has it also been paused initially in the ongoing Q4 or has everything come in continuity?

Dinesh Patel : No, as sir already told you, we were waiting for visibility whether their payment fund allocation gets released . We have the update of fund allocation in Maharashtra government, already INR1100 crores state government has given them funding support and about INR 900 crores of AIB fund is coming. So in this way they have got proper funding support, so we have started our execution level from there. So it is ramped up and now it's very speeded up.

Keval Gala: Sir, one more thing. As per the confirmation, there was a question that whenever we feel that working capital is getting stuck somewhere, then we will not look at our top line and we will

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pause our execution. So, sir, it will not happen that our peers competitors like GK and Oswal others will get an edge in that. Because government related work is slow. But, obviously, it will happen ?

Dinesh Patel: No, actually, you have to keep a balance at both places. You have to keep your balance sheet strong. You have to keep a balance at both sides. Competition will always be there at its place.

So, you don't have to worry about that.

But you have to maintain profitability and also check the visibility of your receivables. Till we don't have proper visibility, you will see such decisions. Earlier when the price of raw material was exceptionally high due to inflation , we had left some orders in Haryana. So, such exceptional cases come. It comes in one or two quarters in the entire history. Rest, there is no such historical trend.

Keval Gala: Sir, I have one last question. Assume that the last two calls were management's guidance.

You are reaffirming that management will achieve its guidance. So, as an investor, we want to know whether it is possible to make such a huge revenue and do what we want to do. Is it possible, sir?

Dinesh Patel : We are doing our best to close it somewhere. The whole team is working on it. Let's wait for the quarter's numbers.

Moderator: The next question is from the line of Darshil Jhaveri from Crown Capital. Please proceed.

Darshil Jhaveri : Hello. Good afternoon, sir. Thank you so much for taking my question. Most of my questions have been answered already. So sir, one question I had to ask you is that as you are saying that our order book is enough for nearly two quarters, so does this mean that we are going

to do

INR1000 crores plus revenue in the next two quarters ?

Because that's nearly double of what we've done in the last quarter? I mean you're saying company's highest ever but highest ever is also quite a big jump. So do we have the capability to do this, sir? Is our capacity not constrained anything that we will be able to do a INR1000 crores revenue, sir?

Dinesh Patel : Sir, in this, the INR1000 crores that you are not calculating correctly . What I meant was that we have sufficient order book for future execution and sufficient capacity for supply of the pump and other products. We have not said anywhere that we are going to do any INR1000 crores top line . Second, what I am talking about is that business opportunity is sufficiently available. The team is working for the same and we are doing our best effort to be able to match it as much as possible. Because currently we are only at 60% capacity, so 40% capacity is already available and we also see our execution on that line that we will be able to do a good execution.

Darshil Jhaveri : Okay. Sir, I understood. Because we have understood 20% growth from last year. So, we will have to do at least INR800 crores, INR900 crores plus. That's why I was asking. So, we have

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lost half a quarter. So, do we have confidence that we will be near? I am not asking you to give the exact number. But at least we are near. We can make that assumption. Correct, sir?

Dinesh Patel : That's why I said that let us wait till the quarter numbers. We are trying to deliver a good performance.

Darshil Jhaveri : Okay. Fair enough, sir. And sir, I wanted to ask you that as we are doing diversification and you are also saying that KUSUM there is a lot more demand. So, over the next 2 -3 years, what assumption can we make? We only have our pump divisions. EV will come later. So, for that, what growth rate can we see It will be 25% plus. Because export has also opened up a lot for us. So, I wanted to ask you about that?

Dinesh Patel : Sir, if you look at retail business, both my businesses, whether it is export or domestic, both are growing above 25%. And we will maintain that same trajectory in the future as well. It is a very big market.

Darshil Jhaveri : And sir, I just had one last question from my side. Sir, this interest cost of ours has increased a bit in Q3. I assume it has increased because of working capital. But will this be our new normal that our interest cost will be nearly I think so INR18 crores ? Will our interest cost stay a little elevated because working capital is being extended for us because of this?

Dinesh Patel : No, sir. Our historical trend has been that we get the fund mostly released in March. So the utilization of our working capital also goes down. Regarding the interest cost you talked about, that INR18 crores will come back on that line, but later it will a little higher again . Reason behind this is that for the new projects that we have to bring, some funds we have to borrow from the bank. So some impact of term loans which we are planning will also come in the finance cost. Because the INR1200 crores investment to be made to install the solar plant, in that we are planning a minimum debt of a round INR400 crores to INR500 crores.

Darshil Jhaveri : Okay. By when will the solar plant be completed, sir?

Dinesh Patel : We can see it in April '27 as per the current expectation and how we have lined-up things .

Darshil Jhaveri : Okay. Sir, I wanted to ask you about the solar plant. There is some negativity in the industry that everyone is afraid of oversupply. So, what do you think? Is there an oversupply situation? How is it?

Dinesh Patel : Particularly if I talk for DCR, I don't see any oversupply right now. Second, for my own plant, we have in-house demand. So this capacity is sufficient for the captive demand we need for

solar pump and solar rooftop , according to the growth seen in future expansion. And this was our minimum requirement. Reason behind this is that sometimes we have to execute some big orders in a timeline. So at that time we would like a little less dependency on third parties.

Darshil Jhaveri : Okay. Fair enough. That's it from my side. Thank you.

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Moderator: Thank you. The next question is from the line of Praveen Motwani from BOI MF . Please proceed. Mr. Praveen, are you there on the line?

Praveen Motwani: Thanks for the opportunity again, sir. Sir, one thing to understand from you. How are you seeing the order inflow pipeline for next couple of months or immediately where it feels like orders are possible in which state? And second is sir, what is your view on KUSUM 2? Would it be better than the KUSUM 1?

Dinesh Patel : So let's take both of them separately. For KUSUM, as I told you, we are seeing the budget allocation increased in this. So we think that it should come on a good scale again. And second, where you said in other states where are the orders visible, so in other states also , as sir told you, in Maharashtra a tender has already come and other states are also planning. So let's see as it comes, we will keep updating you.

Moderator: Thank you. The next question is from the line of Gaurav Shukla from Finvestors . Please proceed.

Gaurav Shukla: Sir, my maximum questions have been asked. I just want to know how far you are seeing KUSUM 2 coming. What is your expectation of when it will come? And one more question, you said the solar plant will be ready in April 2027 in FY '27. So will it work as a backward integration for you, so there will be margin expansion in that?

Dinesh Patidar: Absolutely . That's why the investment has been done so that our margin increases by approximately 3%. And more than that, the thing is that we will be able to supply on time. This backward integration will also open up exports. Today in export our customer want to take our solar panel with our pump at a good price, but since we don't have solar panels, so we don't give fully. Our customer goes forward to buy panels from other people even if they don't want to. Number one.

Number two, you talked about KUSUM. Yes, KUSUM will come. There is full possibility of KUSUM coming and it will take a little time. So let's see as KUSUM comes, we will give

information on Stock Exchange first.

Dinesh Patel: And in our plant that is coming, in that we will get a big benefit that our working capital which will get a little released. Reason behind this is that currently we have to do LC backed for full panel, we have to give deposits, we have to bring raw material and give it to them. So all this working capital of ours that freezes there, that will be released and it will support our existing business. So, we can see that the working capital for this solar panel will be released around 50%. Because only for the cell, only for the wafers, we will get the requirement of LCs.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question for today. I now hand over the conference to Mr. Dinesh Patidar for closing comments. Over to you, sir.

Dinesh Patidar: Okay. Thank you.

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Moderator: Thank you. On behalf of Shakti Pumps India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Disclaimer: E& OE. This transcript has been edited for factual errors. In case of discrepancy, the audio recordings uploaded on stock exchange on 14th February 2026 will prevail.

Call: May 2026

Date: - 15/ 05/2026

To,

The Secretary,

Listing Department

The National Stock Exchange of India Ltd.

Exchange plaza, BKC, Bandra (E)

Mumbai -MH 400051. To,

The Secretary,

Corporate Relationship Department

BSE Limited

P . J. Towers, Dalal Street

Mumbai - MH 400001.

REF: - (ISIN- INE908D01010) SCRIP CODE BSE -531431, NSE Symbol - SHAKTIPUMP

Su

bject : Transcript of Earnings Call held on Monday, May 11, 2026.

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rsuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, please find enclosed herewith the transcript of the Earnings Call held on

Monday, May 11, 2026, with regards to the Audited financial results of the Company for the

quarter and financial year ended March 31, 2026 .

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he same is also available on the company's website.

K

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hanking You,

Y

ours Faithfully,

For Shakti Pumps (India) Limited

R

avi Patidar

Company Secretary

"Shakti Pumps (India) Limited

Q4 & FY26 Earnings Conference Call"

May 11, 2026

MANAGEMENT : MR. DINESH PATIDAR - CHAIRMAN

MR. RAMESH PATIDAR - MANAGING DIRECTOR

MR. RAMAKRISHNA SATALURI – CHIEF EXECUTIVE

OFFICER, SHAKTI ENERGY SOLUTIONS LIMITED

MR. DINESH PATEL – CHIEF FINANCIAL OFFICER

MR. RAVI PATIDAR – COMPANY SECRETARY &

COMPLIANCE OFFICER

MODERATOR : MR. ROHIT ANAND - ERNST & YOUNG LLP

Moderator: Ladies and gentlemen, good day and welcome to the Q4 & Full Year FY26 Earnings Conference Call hosted by Shakti Pumps (India) Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing “*” then “0” on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Rohit Anand from Ernst & Young LLP. Thank you and over to you, Mr. Anand.

Rohit Anand: Good afternoon, everyone.

Before we proceed, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risks that could cause future results, performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements.

To take us through the financial results and developments and to answer your question today, we have the senior management of Shakti Pumps (India) Limited represented by Mr. Dinesh Patidar - Chairman, Mr. Ramesh Patidar - Managing Director, Mr. Ramakrishna Sataluri - Chief Executive Officer, Shakti Energy Solutions Limited, Mr. Dinesh Patel – Chief Financial Officer and Mr. Ravi Patidar - Company Secretary and Compliance Officer.

We will start the call with a ‘Brief Overview’ of the Past Quarter and Full Year FY26 by Mr. Ramesh Patidar – our Managing Director.

I will now hand over the call to Mr. Ramesh Patidar sir. Over to you, sir.

Ramesh Patidar: Thanks, Rohit. Good afternoon, everyone and thank you for joining us on Shakti Pumps Q4 & FY26 Earnings Call.

FY26 marked a strategic transition year for the company, one where we deliberately balanced growth with financial discipline.

Our priority throughout the year was clear - to strengthen the balance sheet, improve cash conversion and build a resilient operating platform capable of delivering sustainable long-term growth, while continuing to reinforce our leadership in the solar pumping segment.

The company delivered its highest ever consolidated revenue of INR 2,698 crores in FY26 with Q4FY26 revenue at INR 858 crores, also the highest in the single quarter. This performance was backed by a strong execution ramp-up with solar pump installation

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increasing 20% year-on-year to 86,086 units in FY26 and a robust 51% year-on-year growth in Q4FY26 to 28,345 installations. The strong exit run rate in the fourth quarter underlines our improved execution capabilities and sustained traction across key states.

During the year, we navigated a challenging operating environment. EBITDA margins faced pressure from lower realizations under the Magel Tyala scheme, a sharp increase in raw material prices and elevated logistic and freight costs impacted by ongoing global geopolitical disruptions. Importantly, these are external and cyclical headwinds, not a structural issue. Despite these challenges, we sustained EBITDA margin at approximately 16% for FY26, reinforcing the robustness of our operating model and our ability to protect profitability while maintaining execution momentum.

Crucially, we have not persuaded growth at the cost of balance sheet strength. FY’26 focused on disciplined execution and capital stewardship. This is now clearly reflected in our financials. Receivables were reduced by over INR 420 crores during the fourth quarter, reduced from INR 1,697 crores as of December 31st, 2025, to INR 1,276 crores as of March 31st, 2026, representing a 77-day improvement in receivable days. This was achieved even as Q4 marked the highest quarterly revenue in the company's history, underscoring our strong focus on working capital efficiency

. As a result, the company generated healthy cash flows

from operations of INR 124 crores in FY26, significantly strengthening balance sheet quality and liquidity. The improvement in cash conversion is a key pillar of our long-term strategy and positions us well to fund growth sustainably without undue leverage.

Our order book stands at approximately INR 1,500 crores as of May 7, 2026, providing strong revenue visibility for the coming periods. We remain constructive on demand prospects, supported by anticipated policy momentum under KUSUM 2.0, continued opportunities under the Magel Tyala scheme and sustained demand across other state-level solar initiatives.

On the export front, FY26 saw stable performance. During Q4, exports were temporarily affected due to delays in order placement amid geopolitical tensions in the Middle East. Encouragingly, we have witnessed improving traction through our dealer and distributor network, which we expect to remain a steady contributor going forward. Meanwhile, the

growth in our cash-based domestic business has enhanced revenue diversification and further supported working capital efficiency. Beyond our core solar pumping business, we are also looking into related areas like solar rooftop systems and electric vehicle parts, which are aligned with India's clean energy transition and offer attractive medium-to-long-term opportunities.

Shakti Pumps remain committed to growing responsibly, protecting the balance sheet, preserving cash flows and investing for the long term. We are confident that the fundamental of the business remains strong and the steps taken in FY'26 ensure that we emerge from current challenges better positioned, more resilient and firmly focused on sustainable value

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creation. We believe these actions reinforce our long-standing commitment to all stakeholders and underscore the Shakti Pumps is here to stay with long-term growth firmly intact.

I now request Mr. Ramakrishna Sataluri to share key developments and the outlook of our solar rooftop business. Thank you. Thank you sir.

Ramakrishna Sataluri: Thank you very much, Mr. Ramesh Patidar. Good afternoon, everybody. Just to take it from where he has left, the strong fundamentals and the excellent product quality has really helped the rooftop business to start off very well. We started very well and we realized that the heart of this solution belongs to the inverter and therefore we placed a lot of inverters in the market to check the feedback.

Given that the strong Shakti brand acceptance is pretty good, the feedback also for this product is very good. We have partners and we have customers who have come back to us and said that whenever there is a Shakti inverter that has been installed, we have roughly about 10% better generation, which augurs very well for this business.

We have already set up the channel in most of the places. That is a continuous process, but we have some very good distributors set across the country. We are looking forward to some very good numbers in this financial year. This year really looks very good for us.

Thank you very much. Now I open the floor for your questions, please. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question comes from the line of Prakhar Tibrewal from Choice Institutional Equities. Please go ahead.

Prakhar Tibrewal: Hello, sir. Congratulations for a record-breaking revenue number. My question is regarding the margins. Do we see a way back to the peak margins of 24% we saw in H1 FY26 and back in FY25, or are we expected to remain at the current levels?

Dinesh Patidar: Yes, Prakhar, we are focusing on margins. I would like to highlight that the margins this year have been affected by increased raw material pricing due to the geopolitical situation, which is not under the Company's control. There has been a lot of variation in ra

w material prices

including copper, stainless steel and silicone sheets. Also, there has also been an increase in the US dollar. We always work on getting better margins but due to the pressure on raw material, we could not achieve that this year.

But we are working on our product and improving it day by day. We have also performed well in exports. Mr. Dinesh Patel – our CFO also wants to add something.

Dinesh Patel: So, this is just a temporary impact because of the geopolitical situation and other things. We think that going forward, the situation will be smoothened again, and accordingly the margin will improve again.

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Prakhar Tibrewal: Okay, so do we see it coming back to like 20% again?

Dinesh Patel: It will be a little early to comment on a number right now. Once things improve, we'll communicate with you.

Dinesh Patidar: Once the geopolitical situation settles, then we will communicate. We will update you in Q1FY27.

Prakhar Tibrewal: Okay, sir the lower realization of Magel Tyala, what is the impact approximately?

Dinesh Patel: There has been a 3% to 4% impact because of Magel Tyala. Like we said in our previous call, the recent tenders we have received have had an impact of 3% to 4%.

Prakhar Tibrewal: Okay, and now a follow-up ahead for FY'27, which of the states are we expecting the most orders from?

Dinesh Patidar: Currently, we have an order book of approximately INR 1,500 crores. And yesterday, the Hon'ble PM talked about replacing the diesel pumps with solar pumps. So, we expect KUSUM 2.0 to get rolled out at a good scale. And by the time we execute our current order book over the next two quarters, it is possible that KUSUM 2.0 will also get started.

Prakhar Tibrewal: Okay, thank you.

Dinesh Patidar: Thank you, Prakhar.

Moderator: Thank you. Our next question is from the line of Aashish Uganlawar from InvesQ PMS.

Please go ahead.

Aashish Uppanlawar: Sir, can you explain in detail why did the tender prices reduced? How is the competitive scenario and secondly, the situation on payment which was about to come from the state government. It has improved a bit but still the receivables are increasing. So, that one and second question KUSUM 2.0 has been delayed, so, will you give some clarity on that. So, if you can shed some light on these three?

Dinesh Patel: Sir, if you compare the receivable position with Q3FY26, we have improved a lot, in line with our commitment. And if you see, despite achieving a revenue of INR 858 crores in Q4FY26, the receivables have reduced to INR 1,276 crores as on 31st March 2026. So, there is a lot of improvement in terms of the receivables, which has also strengthened the overall balance sheet. And we also said that as soon as we start collecting our receivables in Maharashtra, we will increase our execution there. So we have done that, and it has also contributed to this quarter.

Secondly, if you look at the receivables position, you will see that out of INR 1,276 crores, INR 916 crores is not due. So, now after RMS starts reporting data, that money will get due

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and we will receive it because there is enough availability of the funds in all the states. We don't see any issue with regards to payments now. That is why we have increased our execution as per the commitment.

Aashish Uppanlawar: Okay, I mean, not due means, sir, it takes some time before you can raise the receivable something like this, right after installation.

Dinesh Patel: Yes, that is how the tender terms are. After installation, you must receive RMS data for seven days to collect 90% of the money. And for the remaining 10%, you must receive RMS data for 90 days after installation of the pumps. So, until these terms are met, the money does not get due for the Company to recover. So basically, what I'm trying to say is that, these are the recent pumps which have been installed,

and the payments are not due yet.

Aashish Uppanlawar: Yes, so this means that the money will be blocked for a minimum of 100 days?

Dinesh Patel: This has always been our historical trend also. Our receivables have historically also been in the range of 120 to 150 days.

Aashish Uppanlawar: Okay, and sir, that realization, perhaps the competitive intensity has increased in the market or tenders are not coming so can you tell us a little more about that?

Dinesh Patidar: What I would like to say is that yes, our competition has increased and because of that the price also gets affected a bit. But the important thing that I would like to highlight is that there is a strong demand for the Shakti brand in the market. Like in Maharashtra, the portal for Shakti opened for 25,000 pumps and it was fully subscribed in 25 minutes. The prices will keep fluctuating but there should be demand in the market. And when the portal gets fully subscribed in 25 minutes by the farmers, I feel that is a testament to Shakti being the leader. And going ahead, I can say with confidence that our growth is certain, and we will keep moving forward.

Aashish Uppanlawar: But sir, there are some criteria for L1, that we will have to match the minimum price, so won't we be stuck there according to profitability?

Dinesh Patidar: This is a part of this business, it keeps going up and down. But for so many years, we have done business under the L1 criteria. Going forward, I hope that the future tender conditions are good, and we can do good business in the future. Our responsibility is to provide good quality pumps, and that is something we don't compromise on.

Aashish Uppanlawar: But if the margin is halved, then there is a little worry.

Dinesh Patidar: You are correct. If you see, in the past, we had left an order in Haryana, where we did not have a feasible margin. And in the last quarter, to strengthen the Balance Sheet, we left orders of INR 200 crores in Maharashtra, since we were not getting any clarity on payments. And now that we have received clarity, we have increased execution there and did a quarterly revenue of

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INR 858 crores. So, we will continue to take such decisions. But our objective is clear. We will continue to work with the objective of creating value for the investors.

Aashish Uppanlawar: Sir, I could not see the position of the order book, PPT has not been studied yet, but what is the situation now, what could be the next year's top line, and where will the orders come from?

Secondly, I asked about the stance of the government of KUSUM 2, why is there a delay, I need clarity on that.

Dinesh Patel: If you see our press release and investor presentation, we have an order book of INR 1,500 crores. We have maintained a diversified order book and we believe it is sufficient for the next two quarters. For KUSUM 2.0, like the announcement done by the Hon'ble PM yesterday, we believe KUSUM 2.0 will come very soon. That is why Chairman sir has also said that we will

maintain the year-on-year growth and will continue to perform well in the future.

Aashish Uppanlawar: Sir, will we cross INR 3,000 crores?

Dinesh Patel: We are not guiding on any number at the moment. We are saying that we will continue to grow. This is just the beginning of the next financial year, we will keep updating you on the situation every quarter.

Aashish Uppanlawar: Thank you, sir. Okay, thank you.

Moderator: Thank you. Our next question is from the line of Ankit Shah from Anand Rathi, please go ahead.

Ankit Shah: Yes, sir. Our margin was 25% earlier, now it is 10%, and our revenue has also increased year-on-year, so how much from operating leverage advantage we have got?

Dinesh Patel: Sir, we have got 2% to 3% operating leverage advantage.

Ankit Shah: 2% to 3%, okay. And how much impact it had on the raw material price?

Dinesh Patel: The raw material price has an impact of around 6%

to 7% in this quarter.

Ankit Shah: Okay, 6% to 7% is the impact of raw material, and 3% to 4% is the impact of operating leverage. And how much impact has it had on realization?

Dinesh Patel: In realization, the recent Magel Tyala tenders we have had an impact of 3% to 4% on realization.

Ankit Shah: Okay. And our receivables is around INR 1,200 odd crores, right? So, how much will it be in the future, in the receivables?

Dinesh Patel: It will depend on the execution in the future; we will keep updating you every quarter.

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Ankit Shah: Okay, and can you give some guidance for the financial year 2027, in the top line?

Dinesh Patel: As Chairman sir said, we will keep doing year-on-year growth. We will keep updating you on the numbers on every quarter.

Ankit Shah: Okay. Thank you so much.

Dinesh Patel: Thank you.

Moderator: Thank you. Our next question comes from the line of Nikunj Bhanushali from Walfort PMS. Please go ahead.

Nikunj Bhanushali: Hi sir, thank you for the opportunity. Sir, my first question is, next year, from the standpoint of this financial year, can you talk about the CAPEX? So, firstly, in FY'26, what is the CAPEX?

How much has it been? And in FY'27, what is the plan for the solar cells or modules?

Dinesh Patel: So, you can refer to the monitoring reports for both projects, which we have published. We are expecting that we will have the expanded capacity in pumps from Q2FY27 onwards. Apart from this, we will also get the capacity of 0.5 GW from Q2FY27 onwards and the 2.2 GW solar cell capacity, we are looking at March'28. That is the update from our side.

Nikunj Bhanushali: Okay, and in terms of pump installations, what will be the target for next year?

Dinesh Patel: In FY26, we have done 86,086 solar pump installations, and in the quarter, we have done 28,345 solar pump installations. For the next year, as things keep materializing, like KUSUM 2.0 and other tenders, based on that, we will assess and keep updating you every quarter.

Nikunj Bhanushali: Okay, one last question. So, how will exports be this year? Because of the West Asia war impact, are orders coming ahead in the current year? Or what is the situation? Will there be some growth in exports?

Ramesh Patidar: Definitely, due to the current geopolitical situation, there are issues everywhere. And there is a meaningful impact in Middle East. But still, we will continue trying to do our best in terms of growth. We will keep working on it.

Nikunj Bhanushali: Okay. Thank you, sir.

Ramesh Patidar: Okay, thank you.

Moderator: Thank you. Our next question comes from the line of Daksh Malhotra from Aadriv Global. Please go ahead.

Daksh Malhotra: Hello, sir. Very good afternoon. This quarter has been good relatively. Sir, there were two or three questions. One was about our solar rooftop, Mr. Sataluri just told us that this year is a

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new beginning for us and it will be good. So, if you could shed some light on this. What are we doing? Are our inverters efficient? So, how big of a market do we expect from this? For pumps you will give guidance after KUSUM 2 comes. But can you give some guidance on the rooftop for 2027? And can you give us an idea of the margin as well? What will it be?

Ramakrishna Sataluri: Hello, sir. The rooftop market is growing very fast, which you can also see from data that is available in the public domain, on the PM Surya Ghar portal. And as I said earlier, in this solution, this inverter is the most important. And the inverters that we have placed in the market for trials and taken feedback, we have got very good feedback that our inverters are getting 10% extra generation. With this, we hope that as the word-of-mouth increases, and

customers will be attracted more towards Shakti Energy Solutions. And as you know, this is a long-term game. We are investing and are working with solid fundamentals.

Daksh Malhotra: But sir, would you like to give any input, any numbers to this for FY'27?

Dinesh Patel: For numbers, like we have told you, we will update you every quarter, because this business has not matured yet. It is still getting started. And after the in-house production of panels begins, we can see it grow to even higher scale. Right now, we are tying up with channel partners. And margin wise, we have already given guidelines that we are seeing 15% margins at the EBITDA level for this business.

Daksh Malhotra: Noted, sir. Okay. Sir, along with this, we have another line of EV motor and controller, which we have started for many years. We have also invested around INR 70 crores out of INR 114 crores in CAPEX. Are we getting any breakthroughs? In the last call or last to last call, Mr.

Patidar had told us about JBM Auto. But it still shows under emerging business in the presentation. Is there no output, no revenue being generated from it?

Dinesh Patidar: Yes, your question is very good. I had mentioned in the last quarter that we will see business in EV only after next year, because in the automobile sector, approvals and development is a time-taking process. We have developed the technology for the world's latest motors. Shakti Pumps is an R&D company in itself. We have also designed our controllers, which is a very big thing, especially in India. So, it takes time in all these things.

We have invested a lot of time in it and have worked on many products. To develop the controllers, we have leveraged our experience of around 8 years in power electronics of making VFDs. So, yes, in the next six months to one year, the results will start showing. We have also tied up with some other automobile companies, who are testing the motors and we have reached the vehicle level trials. So going forward, you will see that Shakti EV will be a good company.

Daksh Malhotra: Okay sir, thank you for answering these questions. Wish you the best sir.

Dinesh Patidar: Thank you. Thank you very much.

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Moderator: Thank you. Our next question comes from the line of Mahendra Jain from Way2Wealth.

Please go ahead.

Mahendra Jain: Sir, we are expecting that there will be a big CAPEX in the world after this war. So, there could be big opportunities in export. So, are we thinking on that line that we can enter in the future in nuclear or hydrogen? Or can you give some light on the low-turn and high-margin value added products?

Dinesh Patidar: Yes, yes, absolutely. The current situation in the world will benefit Shakti Pumps in the future. Because for solar, even yesterday our Hon'ble PM has given us the direction that wherever in the world diesel pumps are being used, diesel availability is going down. Like we see in Africa, a lot of work is still happening with diesel pumps, but it has become difficult for diesel to reach there and rates are also getting affected. So, this business will also become available for us.

As an R&D focused company, we have already developed products and distributors according to each country. Further, we have already proved ourselves by exporting to 100+ countries in the world. So, the platform is ready. Now slowly, as you can see, our distributors are growing. Exports is a tough business generally, but yes, our country has also made some agreements, like the recently signed agreement in Vietnam. There have been many more agreements in Europe. In Europe, we have been trying to develop our business for the past 10 years but we were only able to gain a small share because we were worried about custom duties and other things there. But we feel that going forward, we will export well in Europe and other countries of the world. And in our current business also, we are doing very good growth.

Mahendra Jain: Sir, is there any planning on the nuclear side?

Dinesh Patidar: No, we only understand solar pumps and solar inverters,

so we will focus on that.

Mahendra Jain: So, sir, in 2027, there will be a market of INR 15,000 crores, as you said, of solar pumps. So, sir, what is our market share in solar, what are we expecting?

Dinesh Patidar: We will continue being the leader and we will try our best to maintain that, which is why we have made such a big investment.

Mahendra Jain: Okay. Thank you sir.

Dinesh Patidar: Thank you, Mahendra. Thank you.

Moderator: Thank you. Our next question is from the line of Yohan Khinvasara from Asian Broking.

Please go ahead.

Yohan Khinvasara: Sir, I wanted to know that why were your tax rate was so high this quarter, 42% approximately?

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Dinesh Patel: Actually, there have been some temporary impacts like the warranty provisions, dividend tax, corporate CSR, etc. All these additions must be completed at the end of the year. So, because of these things, it is slightly high. Also, the total profit is less, if you see. So, because of that, you are seeing an impact in this quarter. But if you look at the full year, it is around 27% approximately, which is normal for our company.

Yohan Khinvasara: Okay sir, thank you sir.

Moderator: Thank you. Our next question is from the line of Suvankar Mallick from Sanghai Family Office. Please go ahead.

Suvankar Mallick: Yes sir. Sir, my first question is that this KUSUM 2.0, which is being delayed by the government, so when can it come? I mean, first half of the year or second half of the year?

Dinesh Patel: As per the announcement by the Hon'ble PM, we feel that it should roll out by the end of Q1FY27 and we should start getting orders by Q2FY27 onwards.

Suvankar Mallick: Okay sir. Sir, my next question is, the Maharashtra project that we were doing, the dues from the government's side was being paid little by little. There was no complete payment. There was some problem. Has that problem been solved?

Dinesh Patel: Yes sir, that problem has been solved. That is why we have increased our execution in Maharashtra. The problem was in December, which is why we reduced our execution at that time. But now, we have got around INR 1,200 crores and our balance sheet strength is retained.

Suvankar Mallick: Okay sir. My third question is, I think in the last Q3 or Q2, there was some comment from you that there is a scheme coming in UP, of solar pump. Any update on that scheme?

Dinesh Patel: In UP?

Suvankar Mallick: Yes sir, in UP or in MP. In second quarter, there was a comment.

Dinesh Patidar: It was in MP, it is going on. It is going slow, but it is going on.

Suvankar Mallick: Okay sir. I will join back the queue.

Moderator: Thank you. The next question is from the line of Rahul Gupta from Evergrowth Capital. Please go ahead.

Rahul Gupta: Yes sir, actually your order book is of INR 1,500 crores. I have seen that we have INR 524 crores of Maharashtra. Our margin is very less in that. So, how are we going to execute this in the coming quarter, in Q1FY27? And what will be our margin in the next quarter?

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Dinesh Patel: We feel our margins will improve. We are expecting the prices of raw material like metals which are inflated will get normalized. Due to the inflated prices, there is an impact of 6% to 7%, which we expect will get normalized going forward. Our diversified order book will also help us to maintain the margins. You can see that out of Rs. 1500 crores, only Rs. 500 crores are from Maharashtra. The remaining is from other states, where we see positivity.

Rahul Gupta: Yes sir, I was asking that, will we complete the order book from Maharashtra or will we keep it combined?

Dinesh Patel: We will keep it combined.

Rahul Gupta: Okay. And sir, how much will our margin improve? Right now, it is around 10%. So, how much will it improve sir?

Dinesh Patel: I think there will be an improvement in margins because the geopolitical situation is temporary

and will improve in the future. The inflated metal prices will get normalized and there will be an improvement. But we will update you every quarter.

Rahul Gupta: And sir, what is the export margin? I think it is double.

Dinesh Patel: Export margin is around 10% more as compared to domestic market.

Rahul Gupta: Okay sir. Thank you sir.

Dinesh Patel: Thank you.

Moderator: Thank you. Our next question is from the line of Jeet Jhaveri from Waya Financial Technologies. Please go ahead.

Jeet Jhaveri: Namaskar sir. I wanted to know that what type of margin can we expect on our order book of INR 1,500 crores.

Dinesh Patel: There are different margins in each order. And I have told you before that we will update you post Q1FY27. So, once we execute, then we will update you because the operational efficiency is a separate matter and the raw material price is a separate matter.

Dinesh Patidar: In terms of margin, I feel that the price of raw material like stainless steel, copper and silicon sheets, is fluctuating a lot, so it is difficult to comment on anything right now. In future, our raw material costs will come down because the prices of stainless steel and copper are only this high because of the geopolitical situation. We are working on it. We feel that as soon as the pricing improves, the margin will also improve.

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Jeet Jhaveri: Okay sir. So, how much will we be able to pass on the raw material prices in the future? And my second question was that we can expect this order book of INR 1,500 crores to be fulfilled in the next two quarters.

Dinesh Patel: Yes, it will be executed in the next two quarters. Secondly, on the margins, our solar panel plant will start from end of Q1FY27, which will give upward push to margins. We also do a lot of R&D and try to improve our margins through reverse engineering. Thirdly, we have a good scale now, so we are negotiating with the vendors on pricing. So, we can expect some positive movement in margins from there as well.

Moderator: Thank you. Our next question is from the line of Bhavya Shah from Walfort Fund Management. Please go ahead.

Bhavya Shah: Good afternoon, sir. My question is about BMS solution. We meet a lot of people, and we can understand that some people are working on R&D on battery management. Like you are working on solar cells so what is your view on battery management and how fast will it be integrated into solar pump and rooftop solar?

Dinesh Patidar: Yes, as we said that we are working a lot on power electronics like controllers, inverters, and chargers. BMS is also important and a lot of battery manufacturers are working on BMS, but we are not focused on that. We just take data from BMS operator and write the algorithm to charge it in our system.

Moderator: Thank you. Our next question is from the line of Kamlesh Bagmar from Lotus Asset Managers. Please go ahead.

Kamlesh Bagmar: Namaskar sir. Sir, I have a question because our order book is for six months. So, we will have this much visibility because we must have kept inventory of raw material. So, if the raw material prices like copper and silver remain the same then the margin for this order book will be around 11%. When we are bidding for new orders and new tenders which are coming, then how are we measuring the pricing? Like these are the raw material prices then are we factoring 20% because over the years we get benefit only when raw material prices go down and if this is the trajectory of raw material then how will our margins be and the coming projects or tenders that we are taking how will we measure the pricing because one year ago we got benefit because raw material prices went down and now raw material pricing is upwards so we are getting impacted because the gross margin that we were making around 30% is now around 20%, 22%. So, this is what I wanted to understand. This is done that in this six-month order

book the raw material prices, it does not seem that the margin which we used to earlier will come back because raw material prices do not seem to be going down because the rupee is also at the same level. So, if we assume that these are the raw material prices then what will be the margin in this order book and in future orders margins are we bidding by factoring, these are the two questions I wanted to know from you.

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Dinesh Patel: Mr. Kamlesh, as I told you earlier that if you talk about margins as on date then yes, the margins which we have given you are at the same level. But like Chairman Sir said, we have started many projects like reverse engineering, negotiating with vendors after achieving good scale last quarter and our solar panel plant coming up by the end of next quarter. So, we are expecting some margin improvement in the future. The current raw material prices which are so high, are only this high because of the geopolitical tension. So, we do not think that this will sustain for long. It will have reductions going ahead and after reduction our margins will improve. So, in future we can see that margins will improve again.

Dinesh Patidar: You asked us about the tender and what price we are going to quote. We cannot discuss the rates on this call.

Kamlesh Bagmar: No sir, I am not asking what pricing we will do. I am asking do we do margin factoring? Because sir, a margin of 24% comes to 10%. So, sir, what I am understanding is that we do not have flexibility according to that. Because if we look at it, I know that no one knows about war and all these things happen. But sir, the margin guidance that we were giving of 24%, in the second half, it fell to 11% margin. Because you have the pricing part in your hand. But there is no clarity how our margin should be. According to that, I was asking. Sir, whenever we take any order, how much contingency do we hold and how much our minimum margin should be? I wanted to know that sir.

Dinesh Patel: Correct. Sir, we are present in diversified sectors. So, in exports and dealer distributor network, we can pass on the price. But in the tendering business or the rate contract business, the price differs from state to state and our competition is also different in every state. The execution is happening more in Maharashtra, and there the price was already low, which is why the margin could not improve in this quarter. Going ahead, we think that when we get orders in the next quarter and we will grow the rest of the business, then the margin will also improve in that

line. We have already explained the measures we are taking for it to improve. So, let us work a little on this line and we will keep updating you every quarter.

Kamlesh Bagmar: And sir, lastly, the order book that we give, just like in the last quarter, if we see last year Q3, we give the order book at the quarter end. So, sir, what happens is that you have given of 7th May or 8th May. It becomes very difficult to compare that how much has happened in this quarter and how much incremental order has come and how much has been executed. And sir, secondly, the order book that you give, it is with GST. Give it without GST sir. Because when we report revenue, that revenue is without GST. So, it is very difficult to compare that how much incremental order came and how much was executed.

Dinesh Patel: Okay sir, we have noted your point. Next time we will tell the compliance officer to maintain both the prices while disclosing. Secondly, you will see that whatever order we have received, we have notified to the stock exchange within 24 hours. So, all the orders are updated in a timely manner.

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Also, it is necessary to show our visibility as on date to show that we have that much order book. There are few updates in the period between the end of the quarter and date of the Earnings call

in which we must incorporate. But we have given proper disclosures that order book is as on date. Other than that, I tell you the quarterly numbers every time.

Moderator: Our next question comes from the line of Himanshu Shivhare from MB Investment. Please go ahead.

Himanshu Shivhare: Sir, good afternoon. I wanted to know that will you be able to tell the percentage of our KUSUM 1 payments? How many are left and how many are pending now?

Dinesh Patidar: We will share these details with you separately.

Moderator: Thank you. Our next question comes from Vamika Mandhania from Anand Rathi. Please go ahead.

Vamika Mandhania: Hello sir, congratulations on your set of numbers. I had two questions. You mentioned last quarter that you will expand in the south and maybe you can see visibility of your order book is more in Karnataka. So, maybe you can give your comment on that.

Dinesh Patidar: Yes, we have started execution in the South and have reached a good figure there. Going forward, we will expand our execution further in the South.

Vamika Mandhania: Can we get a rough number or figure that how much percent out of the total order book?

Dinesh Patidar: Once the order comes, then we will inform you within 24 hours.

Vamika Mandhania: Okay. And my second question was that you mentioned that 0.5 GW module plant will be commissioned till Q1 2027. So, can we get any update on that now?

Dinesh Patel: Yes, the work is progressing well. We feel that the facility will be commissioned by the end of Q1FY27 and will start contributing to margin improvement.

Moderator: Thank you. Our next question is from the line of Prakhar Tibrewal from Choice Institutional Equities. Please go ahead.

Prakhar Tibrewal: Hi, sir. I had one question left. I wanted to understand how many days orders we book in our quarterly revenue. So, I have mapped all the orders that we have received since 11th

December. So, from 11th December 2025 till 12th January, we received orders worth INR 1750 crores. Out of that, we have recognized revenue of INR 850 crores for Q4. So, out of that, how many orders are left? Or were there any orders that we fulfilled in Q3? So, I wanted to understand so that I can forecast the revenues of the next quarter properly.

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Dinesh Patel: So, if you see the order book, we have around Rs. 1,500 crores pending as on date. In the solar business, we have executed around Rs. 704 crores worth of orders in Q4FY26 and around Rs. 2,080 crores in full year FY26. The remaining execution has been done in OEM, EV sales or domestic or in export. If you have any further confusion in calculations, you can reach out to me or the EY team, and we will address your queries.

Prakhar Tibrewal: That is fine, sir. I just wanted to understand that in how many days approximately, like you always tell the timeline when you release the order, then the timeline is of 60 days or 120 days or 90 days.

Dinesh Patel: So, with every order, we mention the timeline there.

Prakhar Tibrewal: Yes, exactly. You have mentioned it, so I was just asking that suppose we have accepted the order for 120 days, so in how many days can we do it approximately?

Dinesh Patel: So, there is a minor correction that we have given in our press release. In KUSUM's order, we have been given a little more time for execution by the government. So, both these timelines will not match. So I would suggest, you should use the order book and the numbers that we are giving, for your analysis.

Prakhar Tibrewal: Sir, no, these are the numbers that we get after the order, the disclosures that you do in 24

hours. So, these are those numbers. So, I just wanted to know that if we get an order today and its timeline is 90 days, so will we book it in Q1 FY'27 or will it go to Q2?

Dinesh Patel: See, I am trying to tell you the same thing again, that we do it in 90 to 120 days, but we have got an extension. As you can see in PM

KUSUM's notification, the execution extension has already been provided by the government to all players. So, that extension is where the timeline moves forward.

Prakhar Tibrewal: Right. Okay, so we use the timeline that has moved forward.

Dinesh Patel: Correct.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we will take that as our last question. I would now like to hand the conference over to Mr. Dinesh Patidar, Chairman, for closing comments. Over to you, sir.

Dinesh Patidar: Thank you, friends. Thank you all for coming. I have answered all your questions correctly. If you have any other questions, you can contact us through our EY team. And we are here to answer all your questions. You can send us questions, and we will reply to you. Thank you very much for joining this call. Thank you very much.

Moderator: Thank you. On behalf of Shakti Pumps India Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

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